

## Issuance of the Permit for B2B/B2C By Revenue Service of Georgia

1. The permit is issued only to the company, established in Georgia

Please note that the permit for organizing prize/winning games / sports betting is issued only in conjunction with the permit for organizing land activities as given below.

2. Permit for organizing betting in a systemic-electronic form may be issued only to the operator which holds a permit for organizing betting house on land.
3. Permit for organizing gambling in a systemic-electronic form may be issued only to the operators which holds permit for casino or slot club.
4. The permit seeker shall submit the number of documents to the Revenue Service of Georgia including the authorization certificate issued by the Selected Person.
5. The Revenue Service is obliged to issue its decision within 20 days after submission of the application from the permit seeker. If the decision is not made by the Revenue Service within the given timeline, the permit is considered to be granted.

The permit conditions to obtain a permit of Game Service Provider (GSP) (B2B permit) are given under the Law of Georgia On Organizing Lotteries, Games of Chance and Other Prize Games (the “Gambling Law”) and Law of Georgia on Licenses and Permits (the “Law on Permits”).

1. Application to the Revenue Service;
2. Official extract from the LELP National Agency of Public Registry for the legal entity;
3. Document, confirming the payment of the permit fee (100 000 GEL per one year for the permit);
4. Detailed list and description of the games and/or critical products/services to be provided;
5. Authorization certificate, confirming the compliance of critical products/services with the standards/requirements set by the Minister of Finances of Georgia;

6. Certificate of conviction of GSPs Managers, authorized to represent the company, shareholder/founder (if any), ultimate beneficial owner, issued by the country of citizenship;
7. Document certifying the provision of an origination of funds, paid for the permit fee. The responsibility regarding the correctness of the document lies on the permit seeker;
8. Any other document required by the Revenue Service to consider the application and render a decision.

One of the permit conditions for B2C and B2B to acquire a permit from the Revenue Service of Georgia is to present an authorization certificate issued by the Selected Person.

#### Authorization Certificate Overview of the Process

##### Registration and provision of the initial info

1. Applicant sent the request to be registered on the portal
2. No later than 5 days the Selected Person approves or rejects the application

o If the application is approved the process continues; o If the application is rejected to applicant is given additional reasonable time to rectify the defect; Conclusion of the Service Agreement with the Selected Person

3. If the application is approved, a service agreement shall be concluded between the applicant and the selected person determining the terms and conditions for payment of service fees.
4. In parallel with point 3 or after the service agreement with the Selected Person is signed, the Selected Person is entitled to issue an invoice for one-time fee(s).

##### Commencement of initial audit

5. After One-time fee for initial technical audit is paid, the selected person is obliged to start the initial audit procedures no later than 20 days. The timelines are as follows:

o Prize and/or winning games, organized in a systemic-electronic form – not more than 45 days; o Slot club(s) – not more than 30 days; o Betting houses – not more than 15 days; o Critical products/services – not more than 15 days These timelines may be extended only once with the same number of days.

6. Within the 7 days after completion of the initial audit, the result of the audit is sent to applicant

o If the result of the initial audit is positive, the Selected Person initiates the integration procedures o If the result of the initial audit is negative: § the selected person shall determine a reasonable period of time for the applicant to rectify the defect § if the initial audit confirms the substantial incompatibilities with the established standards / requirements which cannot be rectified during the current authorization process, the authorization process will be considered terminated.

#### [OPTIONAL] Issuance of the Provisional Approval Certificate

If the initial audit confirms the absence of substantial incompatibilities with the established standards / requirements which cannot be rectified during the current authorization process, the Selected Person may upon its discretion issue a Provisional Approval Certificate up to the period of 3 (three) month for the rectification of defects.

Integration with the System 7. After One-time fee for placement/installation of the equipment is paid, the Selected Person starts the integration procedures. The timelines are as follows: o Prize and/or winning games, organized in a systemic-electronic form – not more than 30 days; o Slot club(s) – not more than 90 days; o Betting houses – not more than 10 days; o Critical products/services – not more than 45 days. These timelines may be extended only once with the 30 days.

As a result of integration procedures, the Applicant shall be able to send XML reports to Selected Person.

Issuance of the Authorization Certificate 8. No later than 2 days after the completion of the system integration, the selected person will issue an authorization certificate.

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The information given above, refers to the permit and certifications conditions and may have non-exhaustive character with respect to the requirements, set for by the laws of Georgia regarding the specific type of activity.

We do not make any assurance and/or warranties as to the accuracy of the information reflected.

Please, before submitting for the permit, consult with your local counsel for more detailed information.

# Order No. 43 of 26 February 2021

Tbilisi

## **On Approving the Rule for Registration, Identification and Verification of a Player by the Holder of a Permit for Arranging a Lottery, a Game of Chance and/or a Prize Game in Systemic-Electronic Form**

In accordance with subparagraph "p" of paragraph 1 of Article 29 of the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games", paragraph 7 of Article 2 of the Law of Georgia No. 6487-III of 25 June 2020 "On Amending the Law of Georgia 'On Arranging Lotteries, Games of Chance and Prize Games'", and subparagraph "b" of paragraph 3 of Article 11 and paragraph 4 of Article 12 of the Law of Georgia "On Facilitating the Prevention of Money Laundering and the Financing of Terrorism", I hereby order:

### Article 1

The "Rule for Registration, Identification and Verification of a Player by the Holder of a Permit for Arranging a Lottery, a Game of Chance and/or a Prize Game in Systemic-Electronic Form" shall be approved in the attached wording.

### Article 2

This Order shall enter into force upon its publication.

Minister of Finance of Georgia

Ivane Machavariani

## **Rule for Registration, Identification and Verification of a Player by the Holder of a Permit for Arranging a Lottery, a Game of Chance and/or a Prize Game in Systemic-Electronic Form — Article 1. General Provisions**

1. This Rule defines the procedure for the registration, electronic identification and verification of a player by the holder of a permit for arranging a lottery, a game of chance and/or a prize game in systemic-electronic form.
2. The face-to-face (non-electronic) identification and verification of a player by the holder of a permit for arranging a lottery, a game of chance and/or a prize game in systemic-electronic form shall be governed

by the "Rule for the Identification and Verification of a Customer by an Accountable Person", approved by Order No. 2 of 5 June 2020 of the Head of the Financial Monitoring Service of Georgia.

3. The holder of a permit for arranging a lottery, a game of chance and/or a prize game in systemic-electronic form shall be obliged to carry out the registration, electronic identification and verification of a player in accordance with the conditions defined by this Rule, and the face-to-face (non-electronic) identification and verification of a player — in accordance with the rule provided for by paragraph 2 of this Article.
4. The operator shall be obliged to establish a business relationship for the purpose of participation in a game only with persons identified and verified in accordance with this Rule (in the case of electronic identification and verification) and with the rule provided for by paragraph 2 of this Article (in the case of face-to-face (non-electronic) identification and verification).

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5. A violation of this Rule and of the rule provided for by paragraph 2 of this Article shall constitute a violation of the permit conditions, and, in the case of a lottery organizer, a violation of the conditions provided for by the contract, and shall entail liability in accordance with the procedure established by legislation.

## Article 2. Definition of Terms

For the purposes of this Rule, the terms used herein shall have the following meanings:

- a) identification — obtaining the identification data defined by this Rule (in the case of electronic identification) and by the rule provided for by paragraph 2 of Article 1 of this Rule (in the case of face-to-face (non-electronic) identification), which makes it possible to ascertain the identity of that person and to distinguish that person from other persons;
- b) verification — obtaining the information (document) defined by this Rule (in the case of electronic verification) and by the rule provided for by paragraph 2 of Article 1 of this Rule (in the case of face-to-face (non-electronic) verification), which makes it possible to check the accuracy of a person's identification data;
- c) operator — a person arranging, in systemic-electronic form, a lottery and, on the basis of the relevant permit, games of chance and/or prize games, in accordance with the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games";
- d) player — a person defined by the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games" who participates in a game for the purpose of obtaining winnings, except for the persons provided for by subparagraphs "b<sup>1</sup>" and "b<sup>3</sup>" of Article 3 of the same Law;
- e) gaming account — an account created on a gaming platform which is used by a player to participate in gaming activities and on which the player deposits funds, places bets and withdraws funds;

f) list of sanctioned persons — the list of sanctioned persons provided for by the Law of Georgia "On Facilitating the Prevention of Money Laundering and the Financing of Terrorism".

Order No. 52 of the Minister of Finance of Georgia of 21 February 2022 — website, 23.02.2022.

## **Article 3. Grounds for Identification and Verification**

1. The operator shall be obliged to carry out the identification and verification of a player in each of the following cases:

- a) registration of the player;
- b) a risk-based approach.

2. The operator shall be entitled to carry out the identification/verification of a player through a third party/intermediary provided for by Article 16 of the Law of Georgia "On Facilitating the Prevention of Money Laundering and the Financing of Terrorism". In such a case, the operator shall immediately obtain from the third party/intermediary the player's identification data defined by this Rule.

3. The operator shall ensure the immediate receipt, upon request, of copies of the documents obtained from the third party/intermediary for the purpose of customer verification.

4. The operator shall be entitled to satisfy the condition provided for by paragraph 3 of this Article:

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- a) by a contract concluded with the third party/intermediary;
  - b) by an obligation undertaken in writing by the third party/intermediary; or
  - c) by the document exchange rules defined within the framework of the group-level compliance control system.
5. The ultimate responsibility for the fulfilment by the third party/intermediary of the requirements established by this Rule shall rest with the operator.
6. The holder of a permit for arranging a game of chance and/or a prize game (except for a promotional draw) shall be obliged, annually from the date of the player's verification (no later than 5 business days after the end of each continuous 12 calendar months), to carry out the re-verification of the person in accordance with paragraph 8 of Article 5 of this Rule.

Order No. 52 of the Minister of Finance of Georgia of 21 February 2022 — website, 23.02.2022.

## Article 4. Registration of a Player on the Website

1. The registration of a player on the website in systemic-electronic form may be carried out either personally by the player electronically, or by the operator on the basis of direct face-to-face contact with the player.
2. During registration, it is mandatory that at least the following information be indicated/obtained:
  - a) the player's first name and surname;
  - b) the player's date of birth;
  - c) the player's personal number (if any);
  - d) the number, date of issue, issuing country, issuing authority and period of validity of the identity and/or citizenship document;
  - e) the player's active telephone number;
  - f) the username selected by the player;
  - g) the player's email address;
  - h) the player's password;
  - i) confirmation that the player agrees to the rules/conditions, is of full age, and will not grant the right to use his/her gaming account to any other person(s).
3. The operator shall be entitled to request, at the time of registration, the indication of any other information that may be used to establish the player's identity and/or to communicate with him/her.
4. The operator shall be obliged, for the purpose of completing the registration and verifying the telephone number indicated in the registration data, to send a short-term one-time code in the form of a short text message to the telephone number indicated in the registration data.
5. The operator shall complete the player's registration after the player enters, in the relevant field on the website intended for registration, the one-time code received on the  
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telephone number indicated in the registration data.
6. A change by a verified player to the information provided for by subparagraphs "a"—"d" of paragraph 2 of this Article shall be permitted only where such information has been changed by the relevant authorized body in accordance with the procedure established by legislation.
7. A change to the information provided for by subparagraphs "a"—"d" of paragraph 2 of this Article shall be permitted only by way of verification of the player under any of the rules provided for by subparagraphs

"a"—"c" and "e" of paragraph 4 of Article 5 of this Rule, while a change to the information provided for by subparagraph "e" of paragraph 2 of this Article shall be permitted by way of verification of the player under any of the rules provided for by subparagraphs "a"—"e" of paragraph 4 of Article 5 of this Rule. In addition, for the purposes of changing the information provided for by subparagraph "e" of paragraph 2 of this Article, verification under the rule provided for by subparagraph "d" of paragraph 4 of Article 5 of this Rule means verification by way of sending a short-term one-time code in the form of a short text message to the player's new active telephone number, and its use shall be permitted on condition that the operator has implemented an appropriate procedure and/or has taken additional measures to prevent the use of the gaming account by another person.

Order No. 74 of the Minister of Finance of Georgia of 5 April 2021 — website, 06.04.2021.

Order No. 52 of the Minister of Finance of Georgia of 21 February 2022 — website, 23.02.2022.

## **Article 5. Rule for Identification and Verification**

1. In order to carry out the identification procedure, the operator shall use the personal identification data/information submitted by the player for the purpose of registration on the website.
2. The operator shall be obliged, in the case of a citizen of Georgia and the holder of a residence permit card, to check the person's identification data in the electronic database of the LEPL Public Service Development Agency upon registration as a player and when applying a risk-based approach. For this purpose, the operator shall be entitled to obtain the following information about the player from the Agency: first name and surname, date of birth, place of birth, personal number, document number, date of issue and period of validity, photograph, and registered residential address.
3. In order to carry out verification, the player shall submit to the operator a valid document provided for by subparagraphs "a"—"d" of paragraph 1 of Article 5 of the rule provided for by paragraph 2 of Article 1 of this Rule, which contains the player's photograph.
4. The operator shall be obliged to carry out the verification of the player in accordance with any of the rules set out below:
  - a) for the purpose of verifying the player on the website, it is necessary to submit a photograph of the player taken together with the document provided for by paragraph 3 of this Article, in which the identification data of the document are clearly legible and the photograph and the player's face are visible;
  - b) by means of a video call. The image obtained by means of the video call must make it possible to identify the person;
  - c) by way of direct contact with the player, where the operator verifies him/her face to face;
  - d) by way of sending a short-term one-time code in the form of a short text message to the player's active telephone number. In the case of a lottery organizer, also by way of sending, in the form of a short text message, a short-term one-time code sent to the



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email address;

e) by a technological solution that uses biometric data to establish the identity of the person depicted in the photograph taken and in the photograph on the identification document and/or in the photograph obtained from the electronic database of the LEPL Public Service Development Agency.

Note: Verification of a player in the form provided for by subparagraph "d" of this paragraph is not permitted at the time of the player's registration.

5. The operator shall be obliged, as a result of examining the information obtained in accordance with paragraph 1 of this Article, to make sure that the registration data correspond — in the case of subparagraph "a" of paragraph 4 of this Article — to the person shown in the photograph, in the case of subparagraph "b" — to the person making the video call, and in the case of subparagraph "c" — to the person who has appeared in person on site, and that such person is not found on the list of sanctioned persons.
6. Where a player submits incomplete information during registration, the operator shall be entitled to give the player the opportunity to submit additional information/documents.
7. The documents obtained by the operator for the purpose of verifying a player in accordance with this Rule shall be stored in accordance with the procedure and for the period established by legislation.
8. The operator shall be obliged to carry out all of the following measures in order to ensure the re-verification of a player:
  - a) sending a short-term one-time code in the form of a short text message to the player's active telephone number;
  - b) in the case of a citizen of Georgia and the holder of a residence permit card, checking the person's identification data in the electronic database of the LEPL Public Service Development Agency;
  - c) checking against the list of sanctioned persons. For this purpose, the operator shall be entitled to obtain the following information about the player from the Agency: first name and surname, date of birth, place of birth, personal number, document number, date of issue and period of validity, photograph, and registered residential address.

Order No. 74 of the Minister of Finance of Georgia of 5 April 2021 — website, 06.04.2021.

Order No. 52 of the Minister of Finance of Georgia of 21 February 2022 — website, 23.02.2022.

## **Article 6. Obligations of the Operator**

The operator shall be obliged to:

- a) not allow a player to play and not accept funds and/or bets without identification and verification in accordance with this Rule (in the case of electronic identification/verification) and with the rule provided for

by paragraph 2 of Article 1 of this Rule (in the case of face-to-face (non-electronic) identification/verification), and likewise without the annual re-verification provided for by paragraph 6 of Article 3 of this Rule;

b) use software (electronic) support for recording information about players;

c) for the purpose of a full inspection, while observing the security measures established by it,

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ensure access by the person authorized to inspect the permit conditions to the internal system for recording information about players;

d) not allow the opening of two or more gaming accounts for one and the same person;

e) store the documents obtained for the purpose of identification and verification in accordance with the procedure and for the period established by legislation and submit them to the authorized bodies on the basis of a substantiated request;

f) taking into account the requirements of the Law of Georgia "On Facilitating the Prevention of Money Laundering and the Financing of Terrorism", develop a risk-based approach proportionate to the nature and volume of its activities;

g) carry out the verification of the player upon his/her registration and under the risk-based approach;

h) store the documents/information confirming the player's verification in such a manner, on an appropriate information medium, as to ensure, where necessary, the substantiation of his/her verification as of the date of the player's registration;

i) make available on the website, to a player verified in accordance with this Rule, the unique code assigned to him/her.

Order No. 52 of the Minister of Finance of Georgia of 21 February 2022 — website, 23.02.2022.

## **Article 7. Transitional Provisions**

1. For the identification/verification of a player registered before 1 March 2021 for participation in a game arranged in systemic-electronic form by the holders of a permit for a game of chance and/or a prize game and by a lottery organizer that are in force at the time of entry into force of this Rule, the following rule shall apply:

a) if a player registered before 1 March 2021 has undergone verification in accordance with any of the rules provided for by subparagraphs "a"—"e" of paragraph 4 of Article 5 of this Rule, such player shall, until 1 January 2022, be deemed to be identified and verified in accordance with the requirements of the legislation;

b) if a player registered before 1 March 2021 has not undergone verification in accordance with any of the rules provided for by subparagraphs "a"—"e" of paragraph 4 of Article 5 of this Rule, where such player is

verified before 1 April 2021 by way of sending a short text message containing a short-term one-time code to his/her active telephone number, such player shall, until 1 January 2022, be deemed to be identified and verified in accordance with the requirements of the legislation;

c) after 1 January 2022, a player shall be deemed to be identified and verified in accordance with the requirements of the legislation from the moment when he/she satisfies all of the requirements listed below, irrespective of the time at which those requirements are satisfied:

c.a) he/she has undergone verification in accordance with any of the rules provided for by subparagraphs "a"—"c" and "e" of paragraph 4 of Article 5 of this Rule;

c.b) he/she has activated the telephone number by means of a short-term one-time code sent in the form of a short text message;

c.c) in the case of a citizen of Georgia and the holder of a residence permit card, the person's identification data have been checked in the electronic database of the LEPL Public Service Development Agency.

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2. The operator shall be obliged to carry out integration with the electronic database of the LEPL Public Service Development Agency no later than 1 May 2021, and, in the case of a citizen of Georgia and the holder of a residence permit card, to ensure the checking, in the electronic database of the LEPL Public Service Development Agency, of the data of a player registered between 1 March 2021 and 1 May 2021 no later than 10 May 2021.

Order No. 74 of the Minister of Finance of Georgia of 5 April 2021 — website, 06.04.2021.

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Of the Minister of Finance of Georgia

## **Order No. 41**

**26 February 2021**

### **Tbilisi**

On Approving the Rule for Depositing Funds into an Account and Withdrawing Funds from an Account in the Case of Arranging a Lottery, a Game of Chance and/or a Prize Game in Systemic-Electronic Form. In accordance with subparagraph "v" of paragraph 1 of Article 29 of the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games", I hereby order:

Article 1

The "Rule for Depositing Funds into an Account and Withdrawing Funds from an Account in the Case of Arranging a Lottery, a Game of Chance and/or a Prize Game in Systemic-Electronic Form" shall be approved in the attached wording.

Article 2

This Order shall enter into force from 1 March 2021.

Minister of Finance of Georgia

Ivane Machavariani

## **Rule for Depositing Funds into an Account and Withdrawing Funds from an Account in the Case of Arranging a Lottery, a Game of Chance and/or a Prize Game in Systemic-Electronic Form**

### **Article 1. General Provisions**

1. This Rule defines the procedure for depositing funds into a gaming account and withdrawing funds from an account in the case of arranging a lottery, a game of chance and/or a prize game in systemic-electronic form.
2. In accordance with the conditions defined by this Rule, depositing funds into a gaming account and withdrawing funds from an account shall be mandatory for lottery organizers and for holders of permits for arranging games of chance and/or prize games who carry out their activities in systemic-electronic form.
3. A lottery organizer and a person arranging games of chance and/or prize games in systemic-electronic form shall be obliged to carry out the depositing of funds into a gaming account and the withdrawal of funds from an account only in accordance with the rule established by this Order.
4. A violation of this Rule shall constitute a violation of the permit conditions, and, in the case of a lottery organizer, a violation of the conditions provided for by the contract, and shall entail liability in accordance with the procedure established by legislation.

### **Article 2. Definition of Terms**

For the purposes of this Rule, the terms used herein shall have the following meanings:

a) operator — a person arranging a lottery, games of chance and/or prize games in systemic-electronic form on the basis of the Law of Georgia "On Arranging Lotteries, Games of Chance and/or Prize Games";

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b) player — a person defined by the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games" who participates in a game for the purpose of obtaining winnings, except for the persons provided for by subparagraphs "b<sup>1</sup>" and "b<sup>3</sup>" of Article 3 of the same Law;

c) gaming account — an account created on a gaming platform on which the player deposits funds, places bets and withdraws funds.

Order No. 48 of the Minister of Finance of Georgia of 18 February 2022 — website, 21.02.2022.

## **Article 3. Depositing and Withdrawing Funds into/from a Gaming Account**

Funds may be deposited into and withdrawn from a gaming account by the following means:

a) a licensed financial institution and a product issued by it;

b) a cash desk of a game of chance and/or prize game arranged in systemic-electronic form located outside a facility organized under a permit for arranging a game of chance and/or a prize game, and a cash desk located at a lottery service center;

c) a cash desk located at facilities organized under a permit for arranging a game of chance and/or a prize game;

### **d) a payment service terminal;**

e) an electronic wallet (not more than GEL 2,000 within 24 hours). In addition, the restriction of not more than GEL 2,000 within 24 hours shall not apply to electronic wallets of financial institutions licensed by the National Bank of Georgia and/or in a member state of the European Union, the United Kingdom and/or the United States of America.

## **Article 4. Obligations of the Operator**

The operator shall be obliged to:

a) make the depositing and withdrawal of funds into/from a gaming account possible only for players verified in accordance with the "Rule for Registration, Identification and Verification of a Player by the Holder of a Permit for Arranging a Lottery, a Game of Chance and/or a Prize Game in Systemic-Electronic Form", approved by an Order of the Minister of Finance of Georgia;

b) not accept and/or not disburse funds from a player's account before the completion of verification;

c) not allow a player to transfer/move funds from his/her gaming account to the gaming accounts of other players;

d) ensure the full recording, systematization and storage in its system of the operations of depositing and withdrawing funds into/from gaming accounts by players in such a manner that, where necessary, it is

possible to search for and retrieve information about them within a reasonable time;

e) for the purpose of a full inspection, while observing the security measures established by it, ensure access by the person authorized to inspect the permit conditions to its internal system;

f) in the case of withdrawal of funds from an account under the rule provided for by subparagraphs "b" and "c" of Article 3 of this Rule, ensure the disbursement of funds only to the player who holds the gaming account or to his/her authorized representative (which must be confirmed by a notarized document certifying the authority). For this purpose, it shall request from the player a valid document provided for by subparagraphs "a"—"d" of paragraph 1 of Article 5 of the "Rule for the Identification and Verification of a Customer by an Accountable Person", approved by Order No. 2 of 5 June 2020 of the Head of the Financial Monitoring Service of Georgia,

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which contains the player's photograph, or check the player in the electronic database of the LEPL Public Service Development Agency and store a copy of the document/the information in accordance with the procedure and for the period established by legislation;

g) taking into account the requirements of the Law of Georgia "On Facilitating the Prevention of Money Laundering and the Financing of Terrorism", develop a risk-based approach proportionate to the nature and volume of its activities and ensure the verification of the player in each such case.

Order No. 48 of the Minister of Finance of Georgia of 18 February 2022 — website, 21.02.2022.

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Of the Government of Georgia

## **Resolution No. 455**

22 July 2020

Tbilisi

# **On Defining the Detailed Types of Fees Payable to the Selected Person, Their Amounts, the Periodicity and Procedure of Payment**

## **Article 1**

In accordance with paragraphs 10 and 11 of Article 36<sup>1</sup> of the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games", the attached "Detailed Types of Fees Payable to the Selected Person, Their Amounts, the Periodicity and Procedure of Payment" shall be approved.

## **Article 2**

The Resolution shall enter into force upon its publication.

Prime Minister

Giorgi Gakharia

Detailed Types of Fees Payable to the Selected Person, Their Amounts, the Periodicity and Procedure of Payment

## **Article 1. General Provisions**

1. The "Detailed Types of Fees Payable to the Selected Person, Their Amounts, the Periodicity and Procedure of Payment" (hereinafter — the Rule) defines the types of fees payable by a permit holder/applicant to the selected person, their amounts, and the periodicity and procedure of payment.
2. A permit holder/applicant shall be obliged to pay, personally or through a third party, the established one-time fee before the provision of the service by the selected person, and the fee for the operation of the electronic control system (operating fee) — with the periodicity indicated in Article 5 of this Rule.

## **Article 2. Definition of Terms**

The terms used for the purposes of this Resolution shall have the following meanings:

- a) permit applicant — a person defined by subparagraph "h" of Article 3 of the Law of Georgia "On Licences and Permits" who intends to carry out activities by means of gaming machines, games of chance and/or prize games arranged in systemic-electronic form (except for promotional draws), a totalizator, and the supply of games of chance and/or prize games;
- b) permit holder — a person defined by subparagraph "p" of Article 3 of the Law of Georgia "On Licences and Permits" who carries out activities by means of gaming machines, games of chance and/or prize games arranged in systemic-electronic form (except for

promotional draws), a totalizator, and the supply of games of chance and/or prize games;

c) selected person — a person selected by the Legal Entity of Public Law within the governance sphere of the Ministry of Finance of Georgia — the Revenue Service (hereinafter — the Revenue Service) — for the purpose of implementing and operating the electronic system for the control of the gambling business;

d) GGR — the difference between the bets received from players and the winnings paid out to players by the permit holder (IN-OUT);

Note: in the case of a holder of a permit for the supply of games of chance and/or prize games, GGR includes the difference between the bets placed by players on the game(s) of chance and/or prize game(s) supplied by it in systemic-electronic form to the holder of a permit for games of chance and/or prize games and the winnings paid out to players (IN-OUT);

e) monitoring device — a device necessary for carrying out control electronically.

## Article 3. Types of Services

The selected person shall provide the following services in accordance with paragraph 10 of Article 36<sup>1</sup> of the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games":

a) installation of a POS terminal — a special electronic device that meets the requirements established by the Minister of Finance of Georgia and ensures the reflection of each ticket of a totalizator (except for a game organized in systemic-electronic form) in the electronic control system;

b) initial research of a gaming system and/or critical products/services / issuance of an authorization certificate — a technical audit by means of which the selected person assesses the compatibility of the system and/or the critical products/services with the electronic control system and, on that basis, issues an authorization certificate. This process is carried out separately, according to the following areas of activity:

b.a) games of chance and/or prize games organized in systemic-electronic form;

b.b) gaming machine salon(s), totalizators, except for the cases provided for by subparagraph "b.a" of this paragraph;

b.c) critical products/services;

c) for integration with the electronic control system at an applicant for/organizer of a permit for games of chance and/or prize games in systemic-electronic form, as well as at an applicant for/holder of a permit for the supply of games of chance and/or prize games — placement of equipment: the placement of technical devices/installations/other means, the purpose of which is the integration of the gaming system and/or the critical products/services into the electronic control system;

d) operating fee — the fee for the ongoing services provided by the selected person for the operation of the electronic control system;



e) placement of a gaming machine monitoring device — the placement of a device necessary for carrying out control electronically;

f) activation of a GSM card — the activation of a communication device necessary for transmitting a mobile signal. 04017031010003022172

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## **Article 4. One-Time Fees**

1. The fee for the initial research of a gaming system and/or critical products/services / issuance of an authorization certificate by a permit holder/applicant — not more than GEL 35,000 for each area of activity.
2. The fee for the placement of equipment for integration with the electronic control system at a holder of/applicant for a permit for arranging systemic-electronic games of chance and/or prize games and for the supply of games — not more than GEL 100,000 for each permit holder/applicant.
3. Placement (including installation) of a monitoring device on gaming machines owned/used by a holder of/applicant for a permit for arranging a gaming machine salon — not more than GEL 500 per gaming machine.
4. Activation of a GSM card — not more than GEL 10 per gaming machine.
5. Installation of a POS terminal — not more than GEL 2,500.

## **Article 5. Fee for the Operation of the Electronic Control System (Operating Fee)**

The operating fees payable to the selected person are:

- a) for holders of permits for games of chance and/or prize games arranged in systemic-electronic form — not more than 0.5% of GGR per month;
- b) for holders of permits for the supply of games, on the game(s) of chance and/or prize game(s) supplied in systemic-electronic form — not more than 5% of GGR per month;
- c) for holders of permits for a gaming machine salon — not more than GEL 3.5 per day per gaming machine.

## **Article 6. Procedure for the Payment of Fees**

1. The fees indicated in Article 4 of this Rule shall be paid before the provision of the service by the selected person.
2. The amount and the periodicity of payment of the fees indicated in Article 5 of this Rule shall be determined in accordance with the contract concluded between the selected person and the permit

holder/applicant.

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Of the Government of Georgia

## **Resolution No. 605**

30 September 2020

Tbilisi

# **On Defining the Rights and Obligations of a Game Organizer/Permit Applicant, a Game Supplier/Permit Applicant and the Selected Person for the Purpose of Implementing and Operating the Electronic Control System**

## **Article 1**

On the basis of paragraph 7 of Article 36<sup>1</sup> of the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games" and paragraph 12 of Article 2 of the Law of Georgia No. 6487-III of 25 June 2020 "On Amending the Law of Georgia 'On Arranging Lotteries, Games of Chance and Prize Games'", the attached "Rights and Obligations of a Game Organizer/Permit Applicant, a Game Supplier/Permit Applicant and the Selected Person for the Purpose of Implementing and Operating the Electronic Control System" shall be approved.

## **Article 2**

The Resolution shall enter into force upon its publication.

Prime Minister

**Giorgi Gakharia**

Rights and Obligations of a Game Organizer/Permit Applicant, a Game Supplier/Permit Applicant and the Selected Person for the Purpose of Implementing and Operating the Electronic Control System

## **Article 1. General Provisions**

The Rights and Obligations of a Game Organizer/Permit Applicant, a Game Supplier/Permit Applicant and the Selected Person for the Purpose of Implementing and Operating the Electronic Control System (hereinafter — the Rights and Obligations) define the rights and obligations of the game organizer/permit

applicant, the game supplier/permit applicant and the selected person provided for by the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games", for the purpose of implementing and operating the electronic control system.

## **Article 2. Definition of Terms**

For the purposes of these Rights and Obligations, the terms used herein shall have the following meanings:

- a) Revenue Service — the Legal Entity of Public Law within the governance sphere of the Ministry of Finance of Georgia — the Revenue Service (hereinafter — the Revenue Service);
- b) selected person — a person selected by the Revenue Service for the purpose of implementing and operating the electronic system for the control of the gambling business;
- c) permit holder/applicant — a game organizer/permit applicant, a game supplier/permit applicant;

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- d) equipment — any apparatus, installation or device on which a bet may be placed and winnings may be obtained, and also on which the decision on winning or losing is made;
- e) monitoring device — a device necessary for carrying out control electronically;
- f) communication device connection source — a place located on the equipment where the monitoring device is connected;
- g) security seal — a special seal that precludes the possibility of artificial interference with the equipment owned/used by the permit holder/applicant, other than the standard interference defined by the technical passport of that equipment;
- h) authorization certificate — a certificate issued by the selected person confirming the compliance of a game of chance and/or a prize game, as well as of certain critical products/services, with the standards/requirements introduced/established by the Minister of Finance of Georgia.

## **Article 3. Rights and Obligations of the Selected Person**

### **1. The selected person shall be obliged to:**

- a) protect confidential information (including personal data, commercial secrets, tax secrets, banking secrets) in accordance with the legislation of Georgia and the contract concluded. In the case of a violation thereof, appropriate legal liability shall be imposed on the selected person;
- b) ensure the implementation and proper functioning of the electronic system for the control of the gambling business;

- c) upon request of the Revenue Service, ensure the provision of information to it in continuous (Live) mode. Where necessary, the Revenue Service shall ensure the setting up of the relevant infrastructure;
- d) carry out periodic updates of the electronic control system in order to ensure the full and proper obtaining of information. All updates of the electronic control system must be based on technical standards in force in the European Union and/or in force in Georgia;
- e) the selected person shall, in agreement with the Revenue Service, develop an informational manual/guide for permit holders/applicants covering matters related to the electronic control system, and ensure its placement on the website — [www.rsi.ge](http://www.rsi.ge);
- f) promptly provide the relevant state bodies with information about any violation of the permit condition(s) and/or other requirements established by legislation;
- g) in the case of organizing a game of chance and/or a prize game in systemic-electronic form, complete the integration of the permit holder/applicant with the electronic control system within 45 days from the completion of the initial research of the system;
- h) submit to the Revenue Service its own recommendations and opinions regarding the risks existing in the gambling business industry and the measures to address them, regarding possible unlawful actions of persons involved in the industry, <http://www.matsne.gov.ge> 04017031010003022325
- as well as regarding new standards.

## **2. The selected person shall be entitled to:**

- a) for the purpose of investigating an incident (any inconsistency and/or suspicious action recorded in the electronic control system which originates from the permit holder/its systems/equipment), have a representative of the selected person go to the site together with an authorized representative of the Revenue Service or independently — on the basis of the authority granted by the Revenue Service;
- b) for the purpose of issuing an authorization certificate, inspect and conduct an initial system research of any critical products/services located at the permit holder's/applicant's facility;
- c) place a monitoring device in the gaming machine(s) and equipment — in the network intended for a game arranged in systemic-electronic form, for the purpose of integration with the electronic control system;
- d) request from the permit holder/applicant the submission of full technical information and certificates relating to gaming machines and/or other critical products/services and POS terminals;
- e) request from the permit holder/applicant an external communication device connection source;
- f) affix a security seal to the main control mechanism in a gaming machine in order to preclude the possibility of artificial manipulation;
- g) request from a supplier of games of chance and/or prize games the provision of information relating to gaming operations carried out in Georgia;

- h) request from the holder of a permit for the supply of a game of chance and/or a prize game the reflection in the electronic control system of any information relating to games in Georgia;
- i) only on the basis of a written request/confirmation of the Revenue Service or another authorized body, temporarily suspend the operation of a gaming machine and/or of games of chance and/or prize games organized in systemic-electronic form, remotely or physically, where it is not subject to and/or does not comply with the requirements established by the relevant legislation;
- j) in the case of organizing a game of chance and/or a prize game in systemic-electronic form — request from the permit holder the reflection in the electronic control system of any information relating to games;
- k) request from permit holders the submission of periodic technical reports in a defined format;
- l) for the purpose of the full and proper performance of the obligations imposed on it by the legislative and relevant subordinate normative acts of Georgia, conclude contracts with permit holders/applicants for the purpose of providing services and determining the service fee;
- m) in accordance with Resolution No. 455 of the Government of Georgia of 22 July 2020 "On Defining the Detailed Types of Fees Payable to the Selected Person, Their Amounts, the Periodicity and Procedure of Payment", request from the permit holder/applicant the payment of the fee.

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#### Article 4. Rights and Obligations of the Permit Holder/Applicant

### **1. The permit holder/applicant shall be entitled to:**

- a) request from the selected person the performance of the obligations defined by these Rights and Obligations and by the relevant service contract signed between the parties;
- b) request the provision of services in such a manner as to ensure the possibility of conducting the permit holder's/applicant's activities without hindrance.

### **2. The permit holder/applicant shall be obliged to:**

- a) register on the selected person's website — [www.rsi.ge](http://www.rsi.ge);
- b) in the case of organizing a game of chance and/or a prize game in systemic-electronic form, have the selected person place the relevant equipment for the purpose of integration with the electronic control system;
- c) if the permit holder's/applicant's critical products/services fail to meet the standards/requirements established by legislation, bring the system into compliance with the standards/requirements at its own expense;

d) ensure the proper provision of a communication signal by appropriate technical means in those places where the signal is unsatisfactory or unavailable.

## Article 5. Transitional Provisions

1. In the case of organizing games of chance and/or prize games in systemic-electronic form, a permit holder in force at the time of entry into force of these Rights and Obligations shall be obliged to register on the selected person's website — [www.rsi.ge](http://www.rsi.ge) — before 1 November 2020.
2. A holder of a permit for arranging a gaming machine salon and a totalizator that is in force as of 1 February 2021 (except for the cases provided for by paragraph 1 of this Article) shall be obliged to register on the selected person's website — [www.rsi.ge](http://www.rsi.ge) — no later than 1 February 2021.

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Of the Minister of Finance of Georgia

Order No. 223 of 31 August 2021

## Tbilisi

## On Approving the Rule for the Authorization of a POS Terminal

On the basis of paragraph 1<sup>1</sup> of Article 29 of the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games", I hereby order:

Article 1

The "Rule for the Authorization of a POS Terminal" shall be approved in the attached wording. Article 2

This Order shall enter into force from 1 September 2021.

Minister of Finance of Georgia

Lasha Khutsishvili

## Rule for the Authorization of a POS Terminal

### Article 1. Scope and Purpose of Regulation

1. This Rule defines, in accordance with the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games", the procedure for the authorization, by the LEPL Revenue Service within the governance sphere of the Ministry of Finance of Georgia (hereinafter — the Revenue Service), of a

POS terminal to be supplied by the selected person to an applicant for/holder of a permit for arranging a totalizator (except for a permit for a game organized in systemic-electronic form).

2. The purpose of the authorization is to establish the compliance of the POS terminal with the standards/requirements introduced/established by Order No. 243 of the Minister of Finance of Georgia of 1 October 2020 (hereinafter — the standards/requirements) and its compatibility with the electronic control system.

### **3. The authorization consists of 3 stages:**

- a) submission by the selected person to the Revenue Service of the POS terminal to be supplied to an applicant for/holder of a permit for arranging a totalizator (except for a permit for a game organized in systemic-electronic form);
- b) the establishment, by the commission examining the issues arising in the process of implementing the electronic system for the control and monitoring of the gambling business created by an order of the Head of the Revenue Service (hereinafter — the Commission), of the compliance of the submitted POS terminal with the standards/requirements and its compatibility with the electronic control system;
- c) authorization of the POS terminal.

## **Article 2. Definition of Terms**

The terms used in this Rule shall have the following meanings:

- a) permit applicant — a person defined by subparagraph "h" of Article 3 of the Law of Georgia "On Licences and Permits" who intends to carry out the activity of arranging a totalizator;

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- b) permit holder — a person defined by subparagraph "p" of Article 3 of the Law of Georgia "On Licences and Permits" who carries out the activity of arranging a totalizator;
- c) selected person — a person selected by the Revenue Service for the purpose of implementing and operating the electronic system for the control of the gambling business;
- d) applicant — a permit applicant and/or a permit holder;
- e) POS terminal — a special electronic device that meets the standards/requirements and ensures the reflection in the electronic control system of each ticket of a totalizator (except for a game organized in systemic-electronic form);
- f) electronic control system — a system implemented through the selected person on the basis of the legislation of Georgia regulating games of chance and/or prize games, the purpose of which is to control the fulfilment by the permit holder of the permit conditions and of the requirements established by the legislation of Georgia;

g) day — a calendar day;

h) authorization — the consent of the Revenue Service to the supply by the selected person of a POS terminal to the applicant, which is issued after the Commission establishes the compliance of the POS terminal with the standards/requirements and its compatibility with the electronic control system.

## **Article 3. Application for Authorization**

In order to obtain the authorization of a POS terminal, the selected person shall apply to the Revenue Service in writing and submit the following documents:

- a) the details of the manufacturer and/or supplier of the POS terminal: name, legal address, telephone number, website address (if any), email address;
- b) the document confirming the procurement concluded between the selected person and the manufacturer and/or supplier of the POS terminal;
- c) the technical characteristics of the POS terminal (make, model, operating system support, etc.);
- d) operating documentation (description of the functionality of the POS terminal).

Order No. 263 of the Minister of Finance of Georgia of 5 October 2021 — website, 06.10.2021.

## **Article 4. Examination of the Application for Authorization and the Form of Communication**

1. No later than one month from the receipt of the application for authorization, the Commission shall examine the submitted application and the documents/information attached thereto and shall establish the compliance of the POS terminal submitted by the selected person with the standards/requirements and its compatibility with the electronic control system.
2. Where the information indicated in the application is presented incorrectly, the Revenue Service shall be entitled to set a reasonable period for the selected person, requesting clarification of the information.

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3. As necessary, the Revenue Service shall have the right to request additional information from the selected person for the purpose of establishing the compliance of the POS terminal with the standards/requirements and its compatibility with the electronic control system.
4. The Revenue Service shall be entitled to test whether the POS terminal submitted by the selected person and to be supplied to the applicant meets the standards/requirements and whether it ensures the reflection in the electronic control system, in real time, of each ticket of a totalizator (except for a game organized in systemic-electronic form).



5. The selected person shall be obliged to submit to the Revenue Service any document that confirms the compliance of the submitted POS terminal with the standards/requirements and its compatibility with the electronic control system.
6. The written notification provided for by this Rule may be delivered to the parties in person or sent by courier or by postal item (including by registered letter). Delivery of a notification to the other party by email is permitted on condition that, at the request of the other party, the notification is also submitted to it in written form within a reasonable period from such request.

## **Article 5. Authorization of a POS Terminal**

After the Commission establishes the compliance of the submitted POS terminal with the standards/requirements and its compatibility with the electronic control system, consent for the supply of the POS terminal to the applicant shall be issued to the selected person by an order of the Head of the Revenue Service.

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Of the Minister of Finance of Georgia

Order No. 243 of 1 October 2020

**Tbilisi**

## **On Establishing/Introducing into Force the Requirements/Standards to be Met by the Critical Products/Services, POS Terminal and/or Any Other Device to be Used/Used in Its Activities by an Applicant for/Holder of a Permit for Arranging Games of Chance and Prize Games or a Permit for the Supply of Games of Chance and/or Prize Games**

On the basis of subparagraph "z" of Article 3, paragraph 2 of Article 16<sup>1</sup>, paragraph 2 of Article 24<sup>2</sup> of the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games" and paragraph 13 of Article 2 of the Law of Georgia No. 6487-III of 25 June 2020 "On Amending the Law of Georgia 'On Arranging Lotteries, Games of Chance and Prize Games'" (registration code: 040170310.05.001.019926), I hereby order:

Order No. 222 of the Minister of Finance of Georgia of 31 August 2021 — website, 01.09.2021.

# Article 1

The following shall be approved:

- a) "Requirements/Standards for Games of Chance and/or Prize Games Organized in Systemic-Electronic Form" (Annex No. 1);
- b) "Requirements/Standards for Gaming Machines" (Annex No. 2);
- c) "Requirements/Standards for a POS Terminal" (Annex No. 3).

Order No. 222 of the Minister of Finance of Georgia of 31 August 2021 — website, 01.09.2021. Article 2

This Order shall enter into force upon its publication.

Minister of Finance of Georgia

Ivane Machavariani

Annex No. 1

## **Requirements/Standards for Games of Chance and/or Prize Games Organized in Systemic-Electronic Form — Chapter I. General Provisions and Definition of Terms — Article 1. Scope of Regulation**

This Rule defines the requirements and standards for systemic-electronic games in accordance with the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games".

## **Article 2. Definition of Terms**

For the purposes of this Annex, the terms used in the Rule shall have the following meanings:

- a) active account — a systemic-electronic gaming account that is used by a player to participate in gaming activities;

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- b) authentication — the process and method used by a systemic-electronic gaming system to verify the validity of critical software;
- c) authorized game — a game for which an authorization certificate has been issued by the selected person for the purpose of its use;
- d) blocked account — a systemic-electronic account that is suspended and on which the depositing/withdrawal of funds is restricted;

e) (deleted — 21.02.2022, No. 51);

f) cancelled bet — a bet that has been cancelled by the systemic-electronic totalizator operator for any reason related to an event and which prevents its completion;

g) cancelled game — a game whose completion is impossible after the placement of a bet and whose outcome has not occurred;

h) compliance report — a report containing the data of the systemic-electronic games platform and of the servers of the game suppliers, which must be sent to the selected person;

i) inactive account — a systemic-electronic gaming account on which no activity has taken place on the part of the player during the last 1 year;

j) electronic security seal — a digital signature (Digital Seal) issued by the selected person as a result of the issuance of an authorization certificate;

k) game supplier (GSP) — in accordance with subparagraph "bb" of Article 3 of the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games";

l) systemic-electronic game — the process of placing bets on a gaming platform for the purpose of playing games located on a gaming server or systemic-electronic system arranged under the relevant permit;

m) systemic-electronic gaming account — an account created by a player on a gaming platform on which the player deposits funds, places bets and withdraws funds, except for those funds that constitute a marketing incentive on the part of the operator and to which a withdrawal restriction applies;

n) systemic-electronic network — the intersection of players by one or more systemic-electronic operators for the purpose of participating in various Peer-to-peer games;

o) systemic-electronic operator — a party or parties holding the relevant permit issued by the Revenue Service for the purpose of arranging a systemic-electronic game of chance and/or prize game;

p) systemic-electronic gaming platform — software consisting of a gaming system and/or the broadcasting of a game in progress at live tables, and typically containing the functionality for managing players' accounts and players' funds;

q) systemic-electronic gaming system — a system that includes all devices, software, networks, platform and communication used for gaming purposes, including a systemic-electronic totalizator;

r) Peer-to-peer game — the process of a game of chance and/or prize game that takes place between two

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or more players, where the players compete with each other;

s) player's device — a device owned/used by a player which is used for the purpose of connecting to a systemic-electronic gaming system, for playing;

- t) remote gaming server — a gaming server that contains gaming software and control programs and is operated by the game supplier (GSP);
- u) remote gaming system/platform — a systemic-electronic gaming system that contains gaming software and control programs and is operated by the game supplier (GSP);
- v) totalizator — the activity defined by subparagraph "n.c" of Article 3 of the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games";
- w) totalizator system — all devices and software used for the purpose of the bet placement and risk management system;
- x) totalizator ticket — an electronic ticket issued by a systemic-electronic operator which contains information about the bets placed and the possible winnings;
- y) event — an individual or team sporting or athletic competition or any other event that is not prohibited by the legislation of Georgia for the purposes of placing bets;
- z) strong authentication — a method that uses higher security measures than only a username and password. This measure may be the requirement to enter the player's unique number, email or SMS code in order to use the system;
- aa) suspended account — a systemic-electronic gaming account that is temporarily suspended from the placement of bets;
- bb) suspicious gaming activity — non-ordinary gaming activity that has no reasonable explanation and contains signs of an unlawful transaction, manipulation of an event, use of insider information or other prohibited activity aimed at influencing the outcome of a game;
- cc) two-step authentication — an authentication method that uses two components to identify the player's identity. In addition to a password, this may be an answer to a special question, a physical or electronic one-time or multiple-use code, or some biometric data;
- dd) non-ordinary gaming activity — abnormal gaming activity displayed by players which is considered by the operator as an indicator of suspicious actions. Abnormal gaming activity may include the size of a player's bet, the volume of bets on a specific event, or the type of bet;
- ee) operator — an applicant for/holder of a permit for arranging games of chance and prize games or a permit for the supply of games of chance and/or prize games;
- ff) selected person — a person selected by the Legal Entity of Public Law within the governance sphere of the Ministry of Finance of Georgia — the Revenue Service (hereinafter — the Revenue Service) — for the purpose of implementing and operating the electronic system for the control of the gambling business.

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Order No. 51 of the Minister of Finance of Georgia of 21 February 2022 — website, 22.02.2022.

## **Chapter II. Requirements for Players and Their Accounts**

### **Article 3. Requirements for Players' Devices**

1. The requirements for a player's device are:
  - a) when a player logs in to a gaming website organized in systemic-electronic form, the website must ensure the display of the time and date of the player's last log-in;
  - b) the operator's system must have the capability to establish that the player's device:
    - b.a) does not contain gaming logic capable of determining the outcome of a game;
    - b.b) does not carry out unauthorized data collection or file extraction; it must not contain computer viruses or any other program that violates the security of the device and of the data located on it;
    - b.c) does not use an automated computer program or other methods intended to automate participation in systemic-electronic games.
2. The system of a systemic-electronic gaming operator must have the technical capability to use at least SSL encryption when connecting to players' devices.

### **Article 4. Requirements for Players' Accounts**

For the purpose of creating a player's systemic-electronic gaming account, a systemic-electronic operator, through the system/platform owned/used by it and/or its various components/modules:

- a) must create an electronic file of the player, which must include at least:
  - a.a) the player's first name and surname;
  - a.b) the player's date of birth;
  - a.c) the player's personal number or passport data;
  - a.d) the unique number of the player's account and/or the selected username;
  - a.e) the player's registered place of residence;
  - a.f) the player's email address;
  - a.g) the player's telephone number;
  - a.h) any other information obtained from the player by the operator which was used to establish the player's identity;
  - a.i) the method of verification of the player's identity;
  - a.j) the date of verification of the player's identity;

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- b) must require the player to create a password and/or use other security mechanisms, and also recommend to the player that he/she use a strong authentication method;
- c) must store the fact of the player's agreement to the operator's terms and conditions;
- d) obtain and store the player's statement/confirmation that the information provided by him/her to the systemic-electronic operator is accurate and that he/she is not prohibited from participating in a systemic-electronic game;
- e) obtain and store the player's confirmation that the minimum permitted age of a player in Georgia is 25 years in the case of a citizen of Georgia and 18 years in the case of a foreign citizen/stateless person, and that the player is prohibited from granting the right to use the account to any other person;
- f) notify the player of the activation of the account by electronic means;
- g) encrypt the information contained in the player's file, as well as:
  - g.a) the player's personal number and/or any part of the state-issued identity document or passport;
  - g.b) the player's password(s);
  - g.c) the player's personal financial information;
- h) operators are prohibited from sending advertising related to games of chance and/or prize games to players whose accounts are blocked or suspended;
- i) players must undergo strong or two-step authentication when creating an account;
- j) operators must, within the framework of internal control, have a clearly formulated procedure for the creation, modification, suspension and blocking of accounts by players;
- k) if no activity has taken place on a player's account for 15 minutes, he/she must re-enter the data required for authorization;
- l) after 3 unsuccessful authorization attempts, the player's account must be blocked;
- m) every player must be assigned a unique identification number;
- n) players must be able to create usernames that will be displayed and accessible to other players in a number of games, such as Peer-to-Peer games;
- o) players are prohibited from placing bets if their systemic-electronic gaming account does not contain sufficient funds to place the bet.

## **Article 5. Checking of a Systemic-Electronic Gaming Account**

Every change to a player's account exceeding GEL 3,000 must be periodically checked by the systemic-electronic operator, through its authorized/responsible person or through the system/platform, and the information on the check must be securely protected in accordance with the applicable legislation of Georgia.

## **Article 6. Closure of a Systemic-Electronic Gaming Account**

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The operator must make it possible for a player to close an account. The method, instructions and/or procedure for closure must be easily accessible both through the player's personal page (profile) and through a call center. If, at the time of closure, funds are held on the player's account, they must be returned to the player.

## **Article 7. Inactive Player Account**

1. An account shall be deemed inactive if the player has not used that account during the last 1 year. Inactive accounts shall be closed by the operator.
2. Funds held on an inactive account shall be deemed abandoned from the moment the account is deemed inactive.
3. At least 60 days before the funds are deemed abandoned, the operator must take reasonable measures to locate the relevant player and send him/her a notification through the electronic and physical means of communication indicated by the player.
4. The operator shall place all abandoned funds in a specially created account and, upon request, shall notify the Revenue Service thereof.

## **Chapter III. Requirements for the System/Platform Owned/Used by a Systemic-Electronic Operator**

### **Article 8. Requirements for the System/Platform**

1. Systemic-electronic operators must, through the system/platform owned/used by them, make the following available to players:
  - a) clearly display all charges, interest and/or other obligations that will be imposed on the player in the case of using the operator's website/product;
  - b) clearly and legibly place the notice "Malfunction Voids All Pays";

c) provide exhaustive information on the rules and procedures that may relate to any action on the operator's website;

d) place information on the availability of detailed account information, which includes, among other things and not limited to:

d.a) the procedure for depositing and withdrawing funds;

d.b) the time limits for the availability of withdrawn funds;

d.c) the rules applicable to inactive accounts.

e) periodically or at the player's request, make it possible for the player to obtain a statement of gaming activity for a specific period. The statement must contain:

### **e.a) information on the amount of funds deposited;**

e.b) information on the amount of funds withdrawn;

### **e.c) information on the amount of funds won;**

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e.d) information on the amount of funds lost;

e.e) the account balance;

e.f) the amount of promo credit accrued;

e.g) the balance of promo credit accrued;

e.h) the playing time, in hours.

f) provide instructions on responsible gaming mechanisms (where such mechanisms exist);

g) ensure the player's easy access to the following information:

g.a) instructions on profile changes, passwords and two-step authorization;

g.b) on obtaining a copy of the rules and procedures;

g.c) on the consequences of an interruption of the internet connection during the player's access to the system.

2. Systemic-electronic operators must immediately notify the Revenue Service and/or another authorized body:



a) if there is a reasonable suspicion and/or appropriate justification that a player is involved in fraudulent actions, money laundering and/or any other unlawful activity;

b) if there is any threat to the integrity and/or security of the system.

3. Systemic-electronic operators must provide the Revenue Service or a person selected by it with internal control mechanisms, which include:

a) change management procedures;

b) business continuity procedures;

c) incident notification procedures;

d) anti-money laundering procedures;

e) procedures for detecting fraud, collusion and deception;

f) network security procedures;

g) a detailed diagram of the network, system and data;

h) a detailed procedure for the issuance of the player's password, unique identification number and/or any other security mechanism, as well as the procedure for notifying the player;

i) the procedure for making changes to the terms and conditions and the procedure for the player to express consent to a change.

4. Every systemic-electronic operator shall be obliged to carry out an assessment of the integrity and security of the system annually (from 1 March 2021), no later than 1 March of each following year, and to submit a copy of the assessment report to the selected person.

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5. The assessment report must contain:

a) a description of the work carried out;

b) the identification data of the assessing company/person;

c) the date of the assessment;

d) the materials investigated;

e) the recommended corrective actions, where necessary;

f) the completed or future actions that the operator is carrying out/will carry out on the basis of the materials investigated and the recommended corrective actions.

## Article 9. Electronic Seal

The selected person's electronic security seal (Digital Seal) must be placed on gaming platforms/websites organized in systemic-electronic form.

## Article 10. Communication of the Systemic-Electronic System

1. The secure connection between players' devices and the systemic-electronic gaming platform/system must be carried out using, as a minimum, the SSL/TLS 1.2 methodology.
2. The connection between the systemic-electronic gaming platform/system and the game supplier's servers must be carried out using, as a minimum, the SSL/TLS 1.2 methodology.

## Article 11. Reporting of Events

A systemic-electronic operator must be able to submit a report to the relevant body in the event that a suspicious action is noticed, such as fraud, collusion, money laundering or any other unlawful act.

## Article 12. Suspension/Blocking of an Account

1. The suspension/blocking of a player's account is possible in the following cases:
  - a) at the player's request;
  - b) at the request of an authorized body;
  - c) by the operator, if any unlawful activity on the account has been confirmed.
2. If a gaming account has been created by a person who, under the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games", is prohibited from participating in games of chance and/or prize games, the operator shall be obliged to block the account.
3. The operator shall be obliged to notify the player, by email, short text message and/or by an appropriate notification upon logging in to the account, that the account is being suspended/blocked, what restrictions apply to the account, and what actions are required in order to avoid the suspension/blocking of the account (where such actions are possible), except where the account has been suspended/blocked at the player's request.
4. In the case of suspension of an account, the system must not give the player the possibility to place a bet.

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5. In the case of blocking of an account, the system must not give the player:

- a) the possibility to place a bet;
- b) the possibility to deposit funds into the account;
- c) the possibility to withdraw funds from the account, except where the account is blocked by the operator on the ground that the account on the gaming platform has been created by a person who, under the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games", is prohibited from participating in games of chance and/or prize games;
- d) the possibility to delete the account or make any change to it.

6. A suspended/blocked account may be restored to active status when:

- a) the period of suspension/blocking has expired (where such a period exists);
- b) the authorized body has given the relevant consent to the activation of the account;
- c) the player has fully performed the corrective actions, where such actions exist;
- d) the circumstance on the basis of which the person was prohibited, under the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games", from participating in games of chance and/or prize games has been eliminated.

7. For the purpose of returning the funds held on the gaming account of a person who, under the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games", is prohibited from participating in games of chance and/or prize games, the operator shall be obliged, from the date of blocking of the gaming account, to take reasonable measures to locate the relevant player, in particular, to send him/her a notification via the player's mobile telephone/email indicating the amount of the balance of funds to be withdrawn from the account and the final deadline for withdrawal. The procedure for withdrawing the funds held on a gaming account shall be determined by Order No. 41 of the Minister of Finance of Georgia of 26 February 2021 "On Approving the Rule for Depositing Funds into an Account and Withdrawing Funds from an Account in the Case of Arranging a Lottery, a Game of Chance and/or a Prize Game in Systemic-Electronic Form".

8. The funds provided for by paragraph 7 of this Article shall be deemed abandoned and the requirements of paragraph 4 of Article 7 of this Rule shall apply to them if those funds are not withdrawn by the player from the blocked account within 90 days from the blocking of the gaming account. The withdrawal of funds by a person who has not been verified in accordance with the procedure established by legislation is not permitted.

Order No. 51 of the Minister of Finance of Georgia of 21 February 2022 — website, 22.02.2022.

## **Chapter IV. Peer-to-Peer Games**

### **Article 13. Requirements for Peer-to-Peer Games**

In the case of Peer-to-Peer games, the system of a systemic-electronic operator:

a) must not use automatic or computerized players to play against players;

b) must give the player the possibility to be placed at a gaming

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table on a random basis;

c) shall be obliged to define the time required for the player to perform an action;

d) shall be obliged to define the consequences for the player of failing to perform an action within the required time.

## **Chapter V. Requirements for the Remote Gaming System/Platform of a Supplier of Games of Chance and/or Prize Games**

Article 14. Requirements for the System/Platform of a Supplier of Games of Chance and/or Prize Games

Every game supplier that owns a remote gaming system/platform (including a remote gaming server) and by means of which it supplies game(s) and/or other critical products/services to an operator must:

a) formulate and implement internal control mechanisms covering all aspects of the operation of the games. Particular attention must be paid to the security, operation and reporting of the system;

b) submit the internal control mechanisms upon request of the Revenue Service and/or the selected person;

c) have authorized persons in key positions, at a minimum in the areas of information technology and change management.

## **Article 15. Information Technology Requirements**

1. In the area of information technology, the game supplier must, through its duly authorized person(s):

a) ensure the safe and secure operation of the remote gaming server;

b) ensure the safe and secure operation of the main and auxiliary gaming devices;

c) ensure safe and secure communication with the operator's system, including the following:

c.a) the recipient and sender of every communication must be known;

c.b) a data encryption method and/or a secure communications protocol must be used for the purpose of protecting the integrity of the system and the confidentiality of communications.

2. Carry out an assessment of the integrity and security of the system annually (from 1 March 2021, no later than 1 March of each following year) and submit a copy of the assessment report to the selected

person.

#### **Article 16. Changes to Critical Products/Services**

1. In the case of a change to critical products/services, the game supplier shall be obliged to:

a) supply to systemic-electronic operators only those products/services that are

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authorized by the person selected by the Revenue Service;

b) carry out continuous monitoring and, where necessary, immediately notify the operator, the Revenue Service and/or the selected person of any case that endangers the security and integrity of the remote gaming server.

2. Keep protected and stored all information about each and every change to the remote gaming server (including, but not limited to: changes to the content delivery network, the games and the system reporting).

3. Each and every relevant change must be authorized by the selected person before the game supplier is entitled to supply the changed products/services to a systemic-electronic operator.

## **Chapter VI. Jackpots**

### **Article 17. Requirements for a Jackpot Platform**

1. A systemic-electronic gaming system may contain a jackpot whose value increases by a percentage and which is paid out upon a specific outcome or event. The operator shall be obliged to:

a) provide players with clear rules on the payment of the jackpot that are easily accessible;

b) use a program authorized by the selected person;

c) use jackpot control software authorized by the selected person;

d) a jackpot provided for 2 or more games must ensure that the probability of winning the jackpot remains the same for all games.

2. The balancing of jackpots must be carried out monthly. If a discrepancy is recorded between the jackpot paid out and its contributing components, this fact must be recorded by the systemic-electronic operator as an incident and the relevant notification must be sent to the Revenue Service and/or the selected person.

3. The cancellation of unpaid jackpots is not permitted.

4. It is possible to add an unpaid jackpot to another existing jackpot only if the probability of winning the jackpot for the player is the same or higher.

## **Chapter VII. Requirements for the System/Platform Owned/Used by Operators of a Totalizator Arranged in Systemic-Electronic Form**

### **Article 18. Requirements for the System/Platform**

A systemic-electronic operator shall be obliged, through the system/platform owned/used by it and/or other means, to:

- a) immediately notify the Revenue Service and/or the selected person of every case

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where there is a suspicion that fraud, an unlawful transaction, deception or any other unlawful act is taking place;

- b) store data on any malfunction of the systemic-electronic system for at least 3 years;

- c) make available to players clear rules, which must include at a minimum:

c.a) the method for calculating and paying the odds of winning tickets;

c.b) the rule for accepting bets;

c.c) the effect on a placed bet in the case of a change in the time of an authorized event;

c.d) the method of notifying players of a change in the odds;

c.e) the maximum payment limit (where such a limit exists). This is permitted only if the amount of the bet placed is restricted, and not the amount to be paid out;

c.f) the operator's policy regarding the cancellation of bets.

### **Article 19. Internal Control Mechanisms**

A systemic-electronic operator must have internal control mechanisms that include the following:

- a) the player's access to the system;

- b) a clear definition of the functions and responsibilities of authorized persons;

- c) risk management procedures, including automated and other processes;

- d) the procedure for preventing the possibility of placing bets by prohibited persons;
  - e) procedures for fulfilling anti-money laundering requirements;
  - f) procedures for detecting fraudulent and suspicious actions and for notifying the Revenue Service and/or the selected person of such actions;
  - g) the method of paying the winnings to winning players in the event that the system is malfunctioning or no longer operating;
  - h) in the case of each and every malfunction/defect, the relevant report must be sent to the selected person, which must include the time of the malfunction/defect, the cause of the malfunction/defect and the time of its rectification;
  - i) the procedure for cancelling a bet, indicating the reason for cancellation;
  - j) the balance of bets placed in systemic-electronic form;
  - k) the procedure for issuing promo funds and free bets to players and for their use;
  - l) information technology data security procedures;
  - m) player account procedures in accordance with Article 4 of this Annex;
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- n) procedures for determining the fixed and variable odds of an event.

## **Article 20. Requirements for the Totalizator System**

1. The totalizator system must be authorized by the selected person for the purpose that:
  - a) the system meets these standards/requirements established by the Minister of Finance of Georgia;
  - b) all bets must be made and paid in Georgia.
2. The operator must provide the selected person with information on the relevant transactions in advance, in accordance with the established procedure.
3. The main server(s) shall be used for the placement and storage of players' bets. Continuous monitoring must be carried out at the location of the server(s) by means of video cameras and other devices, and there must also exist the mechanisms established by legislation for the security and protection of the installations, software and data.
4. The systemic-electronic system must be secure and safe and must ensure the protection of the player's confidentiality: any communication carried out via a public or third-party network must be encrypted.

5. The relevant bets that are available to players for placement must include, among other things but not limited to:

- a) the odds;
- b) a short description of the authorized event;
- c) the persons participating in the event;

6. After placing a bet, the player shall receive an electronic totalizator ticket on which the transaction carried out is reflected. That transaction cannot be changed. The ticket must contain at least the following information:

- a) the operator's name and identification data;
- b) the time of placement of the bet;
- c) the time of the authorized event;
- d) the bets selected by the player;
- e) the amount of the bet placed;
- f) in the case of placing a promo bet or a free bet, their identifying data must necessarily be indicated;

### **g) the unique number of the ticket;**

h) the identification number of each specific bet. If the ticket contains a combination of several bets, each bet shall be assigned an individual number;

i) if a ticket has been issued, the serial number of the relevant device

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must be indicated.

7. The operator may cancel a bet where the occurrence of the outcome is impossible.

8. The operator has the right to place insured bets in another operator's system for the purpose of insuring the bets placed by players. The operator shall be obliged, upon request, to immediately submit to the Revenue Service or the selected person a list of such bets.

9. The operator shall be obliged to clearly provide players with information relating to any marketing campaign available to them.

10. The operator shall be obliged, immediately upon request, to submit to the Revenue Service and/or the selected person, in accordance with a procedure established in advance, each and every item of data on bets and/or the system.



## Chapter VIII. Reporting

### Article 21. Reporting

In accordance with a request, the following information shall be sent to the selected person by the systemic-electronic operator:

a) in the case of games of chance organized in systemic-electronic form:

a.a) details of the transactions on the player's account;

a.b) a short overview of the transactions on the player's account;

a.c) the status of the player's account;

a.d) other information requested by the selected person.

b) in the case of game suppliers:

b.a) details of the game transaction;

b.b) an overview of the bets placed;

b.c) details of the jackpot;

b.d) other information requested by the selected person.

c) in the case of a totalizator organized in systemic-electronic form:

c.a) the total amount of the bets placed;

c.b) the amounts payable to players;

c.c) the total number of tickets and the number of tickets paid;

c.d) other information requested by the selected person.

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Annex No. 2

# Requirements/Standards for Gaming Machines — Chapter I.

## Definitions

### Article 1. Definition of Terms

1. Central system — a system that collects information about meters (an electronic information carrier containing data on the bets received and paid out) and events. A central system may also be called a gaming machine reporting system, a casino management system, or a command and control system.
2. Electronic table game — a type of gaming device that imitates traditional table games (such as, for example, roulette and others).
3. GAT — the Game Authentication Terminal (GAT) protocol developed by the Gaming Standards Association. GAT carries out the authentication of a gaming device by means of a computer connected to the GAT port (connection source). The hash value (transaction identifier) obtained as a result of the test must correspond to the data of an internationally recognized testing laboratory.
4. Jackpot platform — an external device that is connected to one or more gaming machines and places a common jackpot on them. The jackpot is filled by a certain percentage of the bets placed on the connected gaming machine. The jackpot may be paid out upon a match of certain symbols or on a random basis.
5. Logic board — a computing device consisting of a central processing unit (CPU), random access memory (RAM), a graphics processing unit (GPU) and a data storage medium (EPROM, hard disk, SD card and others).
6. SAS — Slot Accounting System — a serial communication protocol used by gaming devices to provide information about meters and events to the central system.

## Chapter II. Technical Requirements for Gaming Machines

### Article 2. Gaming Machines

A gaming machine must, as a minimum, have the following capabilities:

- a) use a built-in random number generator to determine the winnings paid out;
- b) have at least one mechanism by means of which a choice can be made;
- c) have at least one mechanism by means of which the results are communicated;
- d) have the means for placing a bet and paying out winnings;
- e) have the critical components for the occurrence of the outcome and the storage of funds securely protected.

## Article 3. Peripheral Devices

A peripheral device is any product that is part of a gaming machine but cannot influence the outcome of a game.

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A peripheral device may be:

- a) a device that connects the gaming machine to command and control or monitoring systems;
- b) a device necessary for accepting money and/or tickets;
- c) a device for reading electronic cards;
- d) a device for printing cash-out tickets;
- e) a device necessary for accepting coins;
- f) a device for dispensing coins.

## Article 4. Minimum Technical Requirements for a Gaming Machine

1. A gaming machine must:

- a) be made using materials that make access to the internal data/devices reasonably impossible;
- b) use a key for access to the internal data/devices;
- c) contain a separately protected cabinet in which the logic board is located and must use a separate, different key;
- d) contain a security system for the operating system and the game programs that ensures that those programs are accessible only as a result of opening the logic board cabinet;
- e) contain a banknote acceptance mechanism, which must be located in such a way that it has no contact with the internal gaming data/devices;
- f) contain special switches on the following doors: the main door, the door of the banknote acceptance mechanism, the door of the logic board cabinet. These switches send a signal to the electronic control system when a door is opened;
- g) emit a loud sound when the main door switch is activated (i.e. the door has been opened);
- h) comply with the CE or an equivalent electrical safety standard;
- i) contain at least one free serial SAS port by means of which SAS v6.02 communication is possible;

j) contain a GAT port.

2. The software of a gaming machine must:

a) be stored on an authorized medium, such as EPROMs, SD cards, a hard disk or a removable disk; contain the clearly printed and affixed serial number of the manufacturer of the authorized medium;

b) contain support for the SAS v6.02 communication protocol;

c) contain support for the GAT software authentication protocol;

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d) mathematically provide the theoretical possibility of paying out at least 80% of the bet placed as winnings;

e) the gaming machine must not reduce the minimum theoretical payout percentage on the basis of the actual payout percentage;

f) determine the outcome of the game by means of a random number generator; when a player places a bet, there must be a chance of the occurrence of every possible outcome of the game;

g) inform the player of the rules of the game in Georgian or English, including the following information:

g.a) the possible bet amount;

g.b) the amount of possible winnings in the specific game;

g.c) the number of game lines (where such exist);

g.d) the bet limit for the specific game (where such exists);

g.e) the outcome of the game;

g.f) the amount of the winnings;

g.g) the funds available to the player, presented in GEL or in special credits;

g.h) any other information that the player may reasonably need in order to understand the game.

h) have a protection mechanism by means of which the rules of the game or the theoretical payout percentage will not change after the game has started. If a change to the rules of the game constitutes a normal gaming operation, then this change must be clearly communicated to the player;

i) have the means, in the event of a power cut, a lock-up of the machine or any other event that forces the machine into an artificial or automatic restart, to return to the same state it was in before the occurrence of the event;

j) generate and store game data for the last 50 games, including the total amount of bets placed and the volume of the total credit meter. The 50 games must not include bonus games or free spins.

## **Article 5. Minimum Technical Requirements for Linked Gaming Machines**

Gaming machines that are linked by means of an internal or external jackpot platform must meet the following minimum technical requirements:

- a) linked gaming machines must have the same bet requirements and an identical probability of paying out the jackpot; different bet requirements are permitted where the probability of winning the jackpot differs according to the bets;
- b) the theoretical payout percentage for linked gaming machines may not be less than a minimum of 80% of the bet placed.

## **Article 6. Minimum Technical Requirements for Peripheral Devices**

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1. Peripheral devices must meet the following minimum technical requirements:

- a) banknote acceptance mechanism:
  - a.a) must comply with the CE or an equivalent electrical safety standard;
  - a.b) must demonstrate that it cannot influence the outcome of a game;
  - a.c) accept only Georgian lari;
  - a.d) detect and not accept counterfeit banknotes.
- b) printers:
  - b.a) must comply with the CE or an equivalent electrical safety standard;
  - b.b) must demonstrate that they cannot influence the outcome of a game;
- c) communication and player activity boards:
  - c.a) must comply with the CE or an equivalent electrical safety standard;
  - c.b) must demonstrate that they cannot influence the outcome of a game;

### **Article 7. Minimum Technical Requirements for a Jackpot Platform**

A jackpot platform must meet the following minimum technical requirements:

- a) must comply with the CE or an equivalent electrical safety standard;

- b) must demonstrate that it cannot influence the outcome of a game;
- c) must be securely protected by means of a key in a separate cabinet or in one of the linked gaming machines (where such a linked gaming machine exists);
- d) be able to demonstrate mathematically that the theoretical payout percentage of the external jackpot system and of the gaming machine does not exceed 100%.

## **Chapter III. Electronic Table Games**

### **Article 8. Electronic Table Games**

1. Electronic table games (ETG), including gaming places and terminals which are connected physically or via a network to the main control/gaming mechanism, must meet the requirements set out in Article 4 of this Rule.

2. Electronic table games (ETG) must:

- a) clearly reflect the rules, the layout, the dice, the cards, etc. of the non-electronic game that it imitates;
- b) operate under the same rules as those defined for the non-electronic game;
- c) allow players to occupy and use more than one gaming place or

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terminal where the same rule applies to the non-electronic game that the electronic table game imitates;

- d) clearly display the minimum and maximum bet amount;
- e) provide players with clear information on the rules of the game, including information on special odds and special or additional bets.

3. An electronic table game (ETG) that uses a central server must:

- a) use physical control mechanisms in order to prevent unauthorized access to the server;
- b) be able to protect the integrity of the software and of the data stored on the server in the event of a shutdown;
- c) permit the use of only authentic and authorized programs at the gaming places/in the terminals;
- d) be able to use an encrypted communication link between the gaming places/terminals and the control/gaming mechanism;
- e) provide players with information on what will happen if the communication of the gaming place/terminal with the gaming mechanism is disconnected.

4. An electronic table game (ETG) that does not require a player action to complete the game shall use a random number generation program to complete the game.

5. An electronic table game (ETG) that requires a player action to complete the game must, in the event of a communication link problem:

a) suspend operation until the connection problem is resolved and continue the game from the state at which the connection was disconnected; or

b) after a certain (declared) period of time, cancel the game and return to the players the amount of the bet placed; or

c) use a random number generation program to determine the player's action for the purpose of completing the game. This action is permitted only if it is provided for by the rules of the game.

## **Chapter IV. Transitional Provisions**

Order No. 257 of the Minister of Finance of Georgia of 30 September 2021 — website, 01.10.2021.

### **Article 9. Transitional Provisions**

The holder of a permit for arranging a gaming machine salon shall be obliged, before the placement on a gaming machine used for a game of the device necessary for carrying out control electronically, but no later than 1 March 2022, to provide the selected person itself, in electronic and/or material form, with the information to be issued from the gaming machine under the conditions of the existence of such a device.

Order No. 257 of the Minister of Finance of Georgia of 30 September 2021 — website, 01.10.2021.

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Order No. 222 of the Minister of Finance of Georgia of 31 August 2021 — website, 01.09.2021.

Requirements/Standards for a POS Terminal — Chapter I

## **Definitions**

### **Article 1. Definition of Terms**

For the purposes of this Annex, the terms used shall have the following meanings:

a) POS terminal — a special electronic device that meets the requirements established by this Order and ensures the reflection in the electronic control system of each ticket of a totalizator (except for a game organized in systemic-electronic form);

- b) totalizator — a game defined by subparagraph "n.c" of Article 3 of the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games";
- c) electronic control system — a system implemented through the selected person on the basis of the legislation of Georgia regulating games of chance and/or prize games, the purpose of which is to control the fulfilment by the permit holder of the permit conditions and of the requirements established by the legislation of Georgia;
- d) totalizator ticket — a ticket issued by the holder of a permit for arranging a totalizator which contains information about the bets placed and the possible winnings;
- e) player — a person defined by subparagraph "b" of Article 3 of the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games";
- f) operator — an applicant for/holder of a permit for arranging a totalizator;
- g) auxiliary devices — any product that ensures the storage and security of the information received;
- h) selected person — a person selected by the Legal Entity of Public Law within the governance sphere of the Ministry of Finance of Georgia — the Revenue Service (hereinafter — the Revenue Service) — for the purpose of implementing and operating the electronic system for the control of the gambling business.

## Chapter II

### Technical Requirements for a POS Terminal

#### Article 2. POS Terminal

A POS terminal must, as a minimum, have the following capabilities:

- a) have one display (a personal computer monitor or a tablet may be used), which must be directed towards the operator's authorized representative. Where two displays exist, one of them must be directed towards the operator's authorized representative and the other — towards the player;
- b) have printing support by means of a built-in printer or a connected printer. The connection must be made in the following form: mechanical connection, Bluetooth, secure WiFi. The connected printer may be laser, thermal or other;

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- c) (deleted — 05.10.2021, No. 262);

- d) have a device comprising hardware and software capable of taking an image of the printed totalizator ticket before the ticket is handed over to the player. It must be possible to take the image with an 8+



megapixel camera or a connected scanner. The connection must be made in the following form: mechanical connection, Bluetooth, secure WiFi;

e) have support for a security system, such as an authorized employee profile and password, or biometric access;

f) operate by means of standard operating systems, such as: Windows, Linux, iOS, Android, etc.;

g) it must be possible to separate the display, the printer and other auxiliary devices.

Order No. 262 of the Minister of Finance of Georgia of 5 October 2021 — website, 06.10.2021.

## **Article 3. Minimum Technical Requirements for a POS Terminal**

A POS terminal must ensure:

a) the reflection in the electronic control system, in real time, of each ticket of a totalizator (except for a game organized in systemic-electronic form);

b) after the reflection of each ticket in the electronic control system, the printing, by means of the built-in/connected printer, of totalizator tickets bearing the details defined by paragraph 2 of Article 12 of the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games";

c) the printing, by means of the built-in/connected printer, of all bets placed by the player on one ticket, or of one ticket for each individual bet, indicating the identification number of each specific bet. If the ticket contains a combination of several bets, each bet shall be assigned an individual number;

d) the taking of an image of the printed totalizator ticket in approximately one second, before the ticket is handed over to the player;

e) the conversion of the images taken of the printed totalizator tickets into an appropriate format: PDF, Microsoft Word, Microsoft Excel or Optical Character Recognition (OCR) output;

f) the transmission of the images periodically to the selected person's server.

## **Article 4. Transitional Period**

Holders of permits for arranging a totalizator that are in force at the time of entry into force of this Annex shall arrange/organize the game (except for a game organized in systemic-electronic form) with a POS terminal complying with the requirements provided for by this Annex no later than 1 November 2021.

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Of the Minister of Finance of Georgia

# Order No. 239 of 30 September 2020

Tbilisi

## On Approving the Rule of Authorization and the Rule and Conditions for the Issuance of an Authorization Certificate

On the basis of paragraph 9 of Article 36<sup>1</sup> of the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games" and paragraph 10 of Article 2 of the Law of Georgia No. 6487-III of 25 June 2020 "On Amending the Law of Georgia 'On Arranging Lotteries, Games of Chance and Prize Games'" (registration code: 040170310.05.001.019926), I hereby order: Article 1

The "Rule of Authorization and the Rule and Conditions for the Issuance of an Authorization Certificate" shall be approved together with the attached annexes.

Article 2

This Order shall enter into force upon its publication.

Minister of Finance of Georgia

Ivane Machavariani

## Rule of Authorization and the Rule and Conditions for the Issuance of an Authorization Certificate — Chapter I

### General Provisions

#### Article 1. Scope and Purpose of Regulation

1. This Rule defines, in accordance with the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games", the rule and conditions for the authorization by the selected person of a game of chance and/or a prize game, as well as of certain critical products/services, and for the issuance of an authorization certificate.
2. The purpose of the authorization is to establish the compliance of a game of chance and/or a prize game, as well as of certain critical products/services, with the standards/requirements and their compatibility with the electronic control system.
3. The authorization consists of 3 stages:
  - a) initial research of the system;
  - b) integration with the system, which means:

b.a) the placement of equipment for integration with the electronic control system at an applicant for/organizer of a permit for a game of chance and/or a prize game in systemic-electronic form, as well as at an applicant for/holder of a permit for the supply of games of chance and/or prize games;

b.b) the installation of a POS terminal;

b.c) the placement of a gaming machine monitoring device.

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## **c) issuance of the certificate.**

4. The initial research of a gaming system and/or critical products/services and the issuance of an authorization certificate shall be carried out separately, according to the following areas of activity:

a) games of chance and/or prize games organized in systemic-electronic form;

b) gaming machine salon(s), totalizers, except for the cases provided for by subparagraph "a" of this paragraph;

c) critical products/services;

5. The authorization shall be carried out by the person selected on the basis of Article 36<sup>1</sup> of the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games".

6. If the authorization is successfully passed, an authorization certificate shall be issued by the selected person to the applicant.

## **Article 2. Definition of Terms**

The terms used in this Rule shall have the following meanings:

a) permit applicant — a person defined by subparagraph "h" of Article 3 of the Law of Georgia "On Licences and Permits" who intends to carry out any activity in the field of games of chance and/or prize games, including the supply of games of chance and/or prize games;

b) permit holder — a person defined by subparagraph "p" of Article 3 of the Law of Georgia "On Licences and Permits" who carries out any activity in the field of games of chance and/or prize games, including the supply of games of chance and/or prize games;

c) selected person — a person selected by the Legal Entity of Public Law within the governance sphere of the Ministry of Finance of Georgia — the Revenue Service (hereinafter — the Revenue Service) — for the purpose of implementing and operating the electronic system for the control of the gambling business;

d) applicant — a permit applicant and/or a permit holder;

e) initial research of the system — (technical audit) the assessment by the selected person of the compatibility of the system and/or the critical products/services with the electronic control system;

f) integration with the system — the placement of technical devices/installations/other means, the purpose of which is the integration of the gaming system and/or the critical products/services into the electronic control system;

g) day — a calendar day;

h) authorization certificate — a certificate issued by the selected person confirming the compliance of a game of chance and/or a prize game, as well as of certain critical products/services, with the standards/requirements introduced/established by the Minister of Finance of Georgia;

i) supply of critical products/services — the supply/provision of the goods (products)/services provided for by subparagraph "j" of this Article

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in accordance with Article 16 of the Tax Code of Georgia;

j) critical products/services — such products and/or services defined by the Government of Georgia which include games of chance and/or prize games (including games arranged in systemic-electronic form), a random number generation platform (RNG), a jackpot platform, a gaming platform (including the server(s) on which the outcome of the game is directly determined), a player database, a financial database/system, a management system, gaming machines and/or other products and/or services provided for by this Law, and which may influence and/or which influence the outcomes of games of chance and/or prize games with or without the participation of the supplier of games of chance and/or prize games.

Order No. 70 of the Minister of Finance of Georgia of 11 March 2022 — website, 14.03.2022.

## Chapter II

### Authorization

#### Article 3. Application for Authorization

1. The applicant shall apply to the selected person by means of the electronic application approved by this Order (Annex No. 1), through the website [www.portal.rsi.ge](http://www.portal.rsi.ge).

2. The application must contain the following information:

a) the name of the legal person/individual entrepreneur, the identification code, the identity and personal number of its authorized representative, the address and contact information;

b) the list of those services provided for by the relevant subparagraph of paragraph 3 of Article 1 of this Rule in respect of which it wishes to carry out the authorization;

c) in the case of gaming machines — the number of gaming machines subject to authorization.

3. Communication between the applicant and the selected person shall be carried out in electronic form.

## **Article 4. Examination of the Application for Authorization and the Service Fee**

1. No later than 5 days from the receipt of the application for authorization, the selected person shall examine the submitted application and the documents/information attached thereto and shall establish the compliance of the information indicated in the application with the requirements of paragraph 2 of Article 3 of this Rule.
2. Where the information indicated in the application is presented incorrectly, the selected person shall be entitled to set a reasonable period for the applicant, requesting clarification of the information.
3. If the application meets the requirements established by paragraph 2 of Article 3, a service contract shall be concluded between the applicant and the selected person, which shall define the rights and obligations of the parties, the time limit for the payment of the service fee, and the amount of the fee for the provision of the service, which shall be established within the limits of the amount established by Article 4 of Resolution No. 455 of the Government of Georgia of 22 July 2020 "On Defining the Detailed Types of Fees Payable to the Selected Person, Their Amounts, the Periodicity and Procedure of Payment" (hereinafter — the Resolution).

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4. The fee paid shall be subject to refund if:

a) the applicant requested, before the start of the initial research, the termination of the authorization process and the refund of the amount paid;

b) the fee has been paid in an amount exceeding the rate defined by this Rule. In this case, the difference between the amount paid and the rate defined by this Rule shall be refunded.

5. The fee shall be refunded within 10 days from the request. The request must contain a substantiation of the existence of a ground provided for by paragraph 4 of this Article for the partial or full refund of the fee paid. The request must be submitted within 6 months from the payment of the fee; after the expiry of that period the fee paid shall not be refunded.

## **Article 5. Initial Research of the System and Its Results**

1. The selected person shall be obliged, no later than 20 days from the payment of the fee provided for by Article 4 of the Resolution, to commence the initial research procedures and to notify the applicant of

the date of its commencement and completion, which shall be determined as follows:

- a) in the case provided for by subparagraph "a" of paragraph 4 of Article 1 of this Rule — not more than 45 days;
- b) in relation to the gaming machines provided for by subparagraph "b" of paragraph 4 of Article 1 of this Rule — not more than 30 days;
- c) in relation to the totalizators provided for by subparagraph "b" of paragraph 4 of Article 1 of this Rule — not more than 15 days;
- d) in the case provided for by subparagraph "c" of paragraph 4 of Article 1 of this Rule — not more than 15 days.

2. Where necessary, taking into account particular technical or other objective circumstances where an additional period is required for the initial research, the selected person shall be entitled, on the basis of a substantiated decision, to extend the periods provided for by paragraph 1 of this Article on a one-time basis, by not more than the relevant periods defined by the same paragraphs, of which the applicant shall be notified immediately.

3. No later than the following 7 days from the completion of the initial research, the result of the research shall be sent to the applicant, indicating the extent to which the application submitted by it meets the requirements/standards established by this Rule and by the Minister of Finance.

4. If the result of the initial research is positive, the selected person shall commence the procedures for integration with the applicant's system.

5. If, as a result of the initial research, defect(s) are identified but the circumstances provided for by paragraph 6 of this Article do not exist, the selected person shall be entitled to take one of the decisions indicated below:

a) set for the applicant a reasonable period necessary for rectifying the defect. If the applicant does not rectify the defect within that period, the authorization process shall be deemed terminated. If the applicant rectifies the defect, the selected person confirms the rectification of the defect and no new defect is identified, the selected person shall commence the procedures for integration with the applicant's system;

b) commence the procedures for integration with the applicant's system if the identified defect is not

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material and its temporary existence will not hinder the integration with the applicant's system. In such a case, after the completion of the integration, the authorization certificate shall be issued temporarily, in accordance with subparagraph "a" of paragraph 1 of Article 7 of this Rule.

6. Paragraph 5 of this Article shall not apply where the initial research confirms that the applicant's games of chance and/or prize games, as well as certain critical products/services, materially fail to comply with

the established standards/requirements, the rectification of which is impossible during the current authorization process.

Order No. 40 of the Minister of Finance of Georgia of 25 February 2021 — website, 26.02.2021.

## **Article 6. Integration with the System**

1. The integration process shall commence where the applicant pays, in accordance with the service contract, the relevant fee defined by Article 4 of the Resolution (except for the case provided for by paragraph 1 of Article 4). If the relevant fee is not paid, the authorization process shall be terminated.
2. The integration period shall be counted from the payment of the fee provided for by paragraph 1 of this Article and shall last:
  - a) in the case provided for by subparagraph "a" of paragraph 4 of Article 1 of this Rule — not more than 30 days;
  - b) in relation to the gaming machines provided for by subparagraph "b" of paragraph 4 of Article 1 of this Rule — not more than 90 days;
  - c) in relation to the totalizers provided for by subparagraph "b" of paragraph 4 of Article 1 of this Rule — not more than 10 days;
  - d) in the case provided for by subparagraph "c" of paragraph 4 of Article 1 of this Rule — not more than 45 days;
3. Where necessary, upon the substantiated request of the selected person, where an additional period is required for the system integration process, the selected person shall be entitled to extend the periods provided for by paragraph 3 of this Article on a one-time basis, by not more than 30 days, of which the applicant shall be notified immediately.

## **Article 7. Issuance and Cancellation of an Authorization Certificate**

1. No later than 2 days from the completion of the system integration, the selected person shall issue an authorization certificate, which shall be valid:
  - a) indefinitely — if the requirements provided for by paragraph 5 of Article 5 of this Rule do not exist;
  - b) temporarily — if the requirements provided for by subparagraph "b" of paragraph 5 of Article 5 of this Rule exist; in such a case, the authorization certificate shall indicate the defect(s) to be rectified and a reasonable period for its/their rectification, which must not exceed 3 months.
2. The form of the authorization certificate shall be determined in accordance with Annex No. 2.
3. In the case provided for by subparagraph "b" of paragraph 1 of this Article, if the conditions provided for by the temporary certificate are fully fulfilled, of which the selected person shall notify the permit holder

in writing, the authorization certificate shall be deemed to have been issued indefinitely. Otherwise, the authorization certificate shall be cancelled in accordance with subparagraph "e" of paragraph 4 of this Article.

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4. An authorization certificate shall be cancelled if:

- a) the permit holder does not undergo re-authorization in accordance with the procedure established by Article 8 of this Rule;
- b) the authorization fee has not been paid in accordance with paragraph 3 of Article 4;
- c) upon re-authorization, a ground provided for by paragraph 5 and/or paragraph 6 of Article 5 arises;
- d) as a result of the re-authorization process, a new authorization certificate has been issued;
- e) in accordance with subparagraph "b" of paragraph 1 and paragraph 3 of this Article, the conditions of the temporarily issued authorization certificate are not fulfilled.

5. Both valid and cancelled authorization certificates shall be recorded by the selected person in a form agreed with the LEPL Revenue Service.

5<sup>1</sup>. An authorization certificate for the critical products/services to be used/used by a holder of/applicant for a permit for arranging a game of chance and/or a prize game shall be issued only if such critical products/services to be used/used are supplied to the holder of/applicant for a permit for arranging a game of chance and/or a prize game by a supplier of games of chance and/or prize games.

## Note:

The operation of this paragraph shall not extend to:

- a) authorization certificates issued before 1 March 2022;
- b) critical products/services acquired before 1 January 2021 by a holder of/applicant for a permit for arranging a game of chance and/or a prize game, if, upon their acquisition, a consignment note, a tax invoice or a tax document was issued and/or a customs declaration was completed.

Order No. 40 of the Minister of Finance of Georgia of 25 February 2021 — website, 26.02.2021.

Order No. 70 of the Minister of Finance of Georgia of 11 March 2022 — website, 14.03.2022.

## Article 8. Re-authorization

- 1. If a permit holder makes a material change to games of chance and/or prize games, as well as to certain critical products/services, and/or plans to make such a change, it shall apply in advance to the



selected person with a request to undergo re-authorization.

1<sup>1</sup>. The permit holder shall also be obliged to apply to the selected person with a request to undergo re-authorization if a change is made to the standards/requirements for games of chance and/or prize games, as well as for certain critical products/services, introduced/established by the Minister of Finance of Georgia. The permit holder must apply to the selected person no later than 3 months from the change, unless a different period is established by legislation.

2. The re-authorization process shall commence, proceed and be completed in accordance with the rules established for authorization. In addition, the application provided for by Article 3 of this Rule shall additionally indicate that the request concerns re-authorization.

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Order No. 40 of the Minister of Finance of Georgia of 25 February 2021 — website, 26.02.2021.

## **Article 9. Security Seal**

1. For the purposes of the authorization process, as well as thereafter, for the purpose of preventing unsanctioned modification of and manipulation with games of chance and/or prize games, as well as certain critical products/services, the selected person shall affix a security seal to the applicant's devices (which includes, but is not limited to, gaming machines and the relevant servers).
2. The organizer of a game of chance and/or a prize game in systemic-electronic form must additionally place an electronic security seal (Digital Seal) on its own website. By means of this, it is monitored that the game organizer is fully integrated into the system and that unauthorized software and/or equipment is not used in the game.
3. The form of the electronic seal shall be determined by the selected person in agreement with the LEPL Revenue Service.

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Of the Minister of Finance of Georgia

# Order No. 240

30 September 2020

Tbilisi

## On Approving the Requirements for the Electronic System for the Control of the Gambling Business

On the basis of paragraph 2 of Article 36<sup>1</sup> of the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games" and paragraph 11 of Article 2 of the Law of Georgia No. 6487-III of 25 June 2020 "On Amending the Law of Georgia 'On Arranging Lotteries, Games of Chance and Prize Games'" (registration code: 040170310.05.001.019926), I hereby order:

### Article 1

The "Requirements for the Electronic System for the Control of the Gambling Business" shall be approved in the attached wording.

Article 2

This Order shall enter into force upon its publication.

Minister of Finance of Georgia

Ivane Machavariani

## Requirements for the Electronic System for the Control of the Gambling Business

### Article 1. General Provisions

This document defines the requirements that must be met by the electronic system for the control of the gambling business.

### Article 2. Requirements for the Electronic Control System

1. By means of the electronic system for the control of the gambling business (hereinafter — the "System"), it must be possible to control the activity of the software and equipment used/to be used for organizing/supplying games at every organizer of games of chance and/or prize games included in it, as well as at every holder of a permit for the supply of games of chance and/or prize games.

2. The data that are controlled and generated by means of the System must, according to the area of activity, include at a minimum:

a) information on games of chance and/or prize games organized in systemic-electronic form:

a.a) the identification data of the permit holder (name and identification code);

a.b) the permit number;

a.c) the number of the authorization certificate;

a.d) total GGR;

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a.e) RTP (payout percentage);

b) information on gaming machines (except for a game arranged in systemic-electronic form):

b.a) the identification data of the permit holder (name and identification code);

b.b) the permit number by facility(ies);

b.c) the number(s) of the authorization certificate(s);

b.d) the facility(ies) and the number of gaming machines located in them;

b.e) the number of gaming machines operating during the reporting period by facility(ies);

b.f) the total amount of bets placed;

b.g) the total winnings paid out to players;

b.h) total GGR;

b.i) RTP (payout percentage);

c) information on totalizators (except for a game arranged in systemic-electronic form);

c.a) the identification data of the permit holder (name and identification code);

c.b) the permit number;

c.c) the list of POS terminal(s) used;

c.d) the number(s) of the authorization certificate(s);

c.e) the number of tickets printed;

c.f) the total amount of bets placed;

d) information on the defects and incidents recorded in the electronic control system (any inconsistency and/or suspicious action recorded in the electronic control system which originates from the permit holder/its systems/equipment):

d.a) the identification data of the permit holder (name and identification code);

d.b) the permit number;

d.c) the list of POS terminal(s) used (if the incident relates to a totalizator);

d.d) the number(s) of the authorization certificate(s);

d.e) the specific facility where the incident occurred;

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d.f) the factory number of the machine involved in the incident (if the incident relates to gaming machine(s));

### **d.g) a description of the incident;**

e) information on valid and cancelled authorization certificates;

f) other information provided for by law and by the relevant subordinate act which is necessary for ensuring the uninterrupted functioning of the System in accordance with the procedure established by legislation.

## **Article 3. Requirements for the Functioning of the Electronic Control System**

1. The System must function continuously, 24 hours a day.
2. As necessary, for the purpose of ensuring the proper functioning of the System and its compliance with the standards established by legislation, updates must be made to the System periodically.
3. The System must have the technical capability to ensure the timely provision to the LEPL Revenue Service of information about each specific transaction or group of transactions upon request of the LEPL Revenue Service. For these purposes, a transaction is any action carried out in the permit holder's gaming system or machine (which includes, but is not limited to, each specific bet placed by a player, each specific jackpot paid out, etc.). For the same purposes, information is the aggregate of such transactions.
4. The information contained in the System must be protected against loss, deletion, damage or other similar occurrences. In the event of loss of information, it must be possible to restore it immediately, within a reasonable time, from backup and reliable copies.
5. Information security requirements must be observed throughout the entire period of functioning of the System.

6. The System must meet the other requirements established by the applicable legislation of Georgia.

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Law of Georgia

On Arranging Lotteries, Games of Chance and Prize Games — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011

## **Chapter I. General Provisions**

### **Article 1**

This Law establishes the legal bases for organizing and conducting lotteries, games of chance and prize games in Georgia, as well as for the supply of games of chance and/or prize games. — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011 — Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020

### **Article 2**

The purpose of this Law is the state regulation of the field of lotteries, games of chance and prize games in Georgia, and ensuring the protection of the lawful interests of citizens and the rights of consumers in accordance with the Law of Georgia "On Licences and Permits". — Law of Georgia No. 2237 of 9 December 2005, LHG I, No. 54, 20.12.2005, Art. 357 — Law of Georgia No. 1145 of 27 March 2009, LHG I, No. 9, 13.04.2009, Art. 38 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011

### **Article 3**

The terms used in this Law shall have the following meanings:

a) games of chance — games whose outcome depends wholly or partly on chance. They are conducted by means of cards, dice (except for backgammon), a gaming wheel (roulette), a gaming machine, a casino table, a club table and/or other gaming equipment, and participation in them offers the possibility of a monetary win. The organization of games of chance (except for a gambling tournament) is permitted only in a casino, a gaming machine salon and/or a gambling club;

a<sup>1</sup>) gambling tournament — a game conducted by the holder of a permit for arranging a casino and/or a gambling club by means of a club table. If the holder of a permit for arranging a casino uses the club table only for conducting a gambling tournament and does not pay the gambling business fee established for a club table by the Law of Georgia "On the Gambling Business Fee", it shall not have the right to derive income from conducting the gambling tournament. The organization of a gambling tournament is permitted both at a facility organized under a permit for arranging a casino and/or a gambling club and outside it;

b) player — a person who participates in a game for the purpose of obtaining winnings, except for the persons provided for by subparagraphs "b<sup>1</sup>" and "b<sup>3</sup>" of this Article;

b<sup>1</sup>) person addicted to gaming (hereinafter — addicted person) — a natural person who has an irresistible desire for, and an addiction to, games of chance and/or prize games and whose data have been entered in the list of addicted persons provided for by subparagraph "b<sup>2</sup>" of this Article;

b<sup>2</sup>) list of addicted persons — a database of persons addicted to games of chance and/or prize games (except for promotional draws), in which data on a person shall be entered on the basis of a judge's order or on the basis of an application by that person himself/herself to the Legal Entity of Public Law within the governance sphere of the Ministry of Finance of Georgia — the Revenue Service;

b<sup>3</sup>) prohibited person — a person who is prohibited from participating in games of chance and/or prize games (except for promotional draws), including where the game is arranged in systemic-electronic form. For the purposes of this Law, a prohibited person is:

b<sup>3</sup>.a) a person employed in a budgetary organization provided for by the Budget Code of Georgia (including a state official, a public servant, a state-political official, or a political official as defined by the Law of Georgia "On Public Service");

b<sup>3</sup>.b) a person employed in a regulatory body provided for by the Law of Georgia "On National Regulatory Bodies";

b<sup>3</sup>.c) a person employed in the National Bank of Georgia in accordance with the Organic Law of Georgia "On the National Bank of Georgia";

b<sup>3</sup>.d) a member of a family registered in the unified database of socially vulnerable families;

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b<sup>4</sup>) list of prohibited persons — a database of the persons provided for by subparagraph "b<sup>3</sup>" of this Article;  
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c) casino — a specially equipped building/structure or a part of a building/structure where the game organizer conducts games of chance and draws for monetary winnings by means of a gaming wheel (roulette), cards, a casino table, a club table, dice and/or other gaming equipment (except for a gaming machine);

d) casino table — a specially equipped table at which a game of chance takes place between a representative of the casino and the player(s) by means of a gaming wheel (roulette), cards, dice and/or other gaming equipment. For the purposes of this Law, a hybrid electromechanical gaming wheel (roulette) that is activated mechanically shall also be deemed a casino table. A casino table at which two or more games take place simultaneously between two or more representatives of the casino and the player(s) shall be deemed to be as many casino tables as the number of representatives of the casino with whom the game takes place;

d<sup>1</sup>) club table — a specially equipped table at which a game takes place between players by means of cards. Cards in the game may be dealt by a representative of the organizer of the game of chance (except for a gaming machine salon);

e) gaming hall — a specially equipped building/structure or a part of a building/structure in which a totalizator, bingo or lotto is arranged/conducted, and, in a casino, a gaming machine salon or a gambling club — a special area where games of chance are conducted. The gaming hall must not be visible from outside the building/structure;

f) gaming machine salon — a specially equipped building/structure or a part of a building/structure where the game organizer conducts games of chance by means of gaming machines;

g) gaming machine — an electronic, mechanical or electromechanical device or other specialized device that has a special program and/or mechanism which provides a monetary win or the means of determining a monetary win. A gaming machine on which one and/or several games take place, on which several players can play simultaneously and which consists of several gaming places shall be deemed to be as many gaming machines as the number of gaming places it consists of (except for an electronic gaming wheel (roulette) by means of which a game takes place with one type of roulette and/or several types of roulette);

g<sup>1</sup>) gambling club — a specially equipped building/structure or a part of a building/structure where the game organizer conducts card games by means of a club table/club tables;

h) lottery — a voluntary group or mass game in which the lottery organizer draws a prize fund in compliance with publicly announced, established rules and conditions. The occurrence of a win on any lottery ticket does not depend on the will or actions of the lottery organizer or any other entity, constitutes chance and cannot be specially arranged. The types of lottery are:

h.a) draw lottery — a lottery whose conduct process is divided into draws, into separate full cycles, from the production and sale of tickets up to and including the drawing of the prize fund. The holder of a lottery ticket establishes whether the ticket is a winning one only after the draw has been held;

h.b) instant lottery — a lottery whose draw result is determined by checking the ticket on the spot or by conducting the draw directly on the ticket;

h.c) (deleted — 08.06.2016, No. 5385);

h.d) (deleted — 08.06.2016, No. 5385);

h.e) (deleted — 08.06.2016, No. 5385);

i) lottery and/or prize game ticket — a card prepared for sale or distribution, a document confirming participation in a game, an item, a personal identification code (number) and/or another information carrier which complies with the conditions (regulations) of the law and of the arrangement of the specific lottery or prize game and which, in the case of a win, confirms the fact of the win;

j) prize fund — an amount which, before it is received, is recognized as a firm obligation in favour of a third party (the holder of a winning ticket), a mandator or a principal and is intended to be transferred to that party, in the amount of the winnings provided for by the conditions (regulations) of arrangement. In accordance with the conditions (regulations) of the arrangement of a specific game, the winnings may be presented in monetary form, in the form of an item or in another form, and shall be paid out on the winning ticket in the game. It is prohibited to encumber the prize fund with any other obligations, other than the obligation

undertaken towards the participants of the draw. The prize fund may not be used, either wholly or partly, in financial, commercial, industrial or other turnover. The restrictions defined by this paragraph shall not extend to the benefit obtained by placing the prize fund in a banking institution;

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k) drawing of the prize fund — a procedure during which the fact of the occurrence of a win on a lottery and/or prize game ticket is confirmed; the holder of a prize in the form of an item has the right to receive the item or the corresponding amount, if this is established by the conditions (regulations) of arrangement;

l) securing of the prize fund — a financial mechanism by which, in the case of a win, the interests of the players of a totalizator are secured and the existence of which is confirmed by a bank guarantee or a financial risk insurance policy;

m) volume of a lottery — the number of tickets intended for a specific draw multiplied by the retail value of the tickets;

n) prize games are:

n.a) lotto — a group game in which the participant selects combinations of numbers or symbols and in which the win depends on the full or partial coincidence of the combinations of numbers or symbols, and the win is determined from the amount of the prize fund. Lotto is conducted in a specially equipped building and the maximum number of its participants is determined by the number of gaming places available in the building;

n.b) bingo — a group game in which a win is recorded by means of numbered cards or an electronic scoreboard upon the coincidence of the numerical combinations drawn from a special device, and the win is determined from the amount of the prize fund. Bingo is conducted in a specially equipped building and the maximum number of its participants is determined by the number of gaming places available in the building;

n.c) totalizator — a game that is conducted by players placing bets on a forecast of the course of a competition, of a game, or of the outcome of an event (events), while the win depends on the amount of the bet and on the outcome. It is prohibited to arrange a totalizator in such cases where the outcome may be known in advance to one or both parties. A totalizator is conducted in a specially equipped building/structure or a part of a building/structure;

n.d) promotional draw — a game in which the organizer draws a prize fund in compliance with publicly announced, established rules and conditions. The occurrence of a win on any ticket does not depend on the will or actions of the organizer or any other entity, is a matter of chance and cannot be specially arranged. A promotional draw is conducted for the purpose of the rapid and efficient sale of a specific type of product (service), and also in cases established by the Government of Georgia. A promotional draw ticket is issued free of charge. A permit for arranging a promotional draw is issued to the manufacturer of a specific type of product (service) or to its representative, except in a case established by the Government of Georgia. It is not permitted to impose a fee in any form for participation in a promotional draw;

o) game organizer — the holder of a permit for arranging a game of chance and/or a prize game;



- p) casino safe — a specially equipped, windowless room that has one entrance door and in which the casino's reserve funds are kept (for each casino table — in an amount of not less than GEL 10,000), together with the casino's gaming equipment that is not permanently installed (balls for roulette, gaming chips, decks of cards, card-dealing shoes and trays, dice and others);
- q) lottery organizer — a person that has won a tender organized by the Ministry of Finance of Georgia in accordance with this Law — a person holding the exclusive right to organize and conduct a lottery, which carries out its activities in accordance with the conditions provided for by the same Law and by the contract;
- r) stage of a promotional draw — a process that begins with the production and sale of tickets and ends with the drawing of the prize fund;
- s) agent — a person that provides sales services to the lottery organizer and supplies lottery tickets to a retail seller or another agent for the purpose of their further sale. An agent has the right to perform the function of a retail seller itself;
- t) retail seller — a person that provides sales services to the lottery organizer or to an agent for the purpose of selling lottery tickets to players;
- u) sales services — services that include the sale by an agent (retail seller) of the lottery organizer's lottery tickets (including by using a lottery terminal), the payment of winnings to players in accordance with the rules established by the lottery organizer, the free-of-charge supply to them of the lottery organizer's advertising goods, and others.
- v) cash desk of a game of chance and/or prize game arranged in systemic-electronic form located outside a facility organized on the basis of a permit for arranging a game of chance and/or a prize game — a specially equipped place (except for a commercial bank, a microfinance organization, or a payment service provider) where funds are deposited into, and/or paid out from, a deposit opened for a player, by means of a cashier;

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- w) permit applicant — a person defined by subparagraph "h" of Article 3 of the Law of Georgia "On Licences and Permits" who intends to carry out any activity in the field of games of chance and/or prize games, including the supply of games of chance and/or prize games;
- x) permit holder — a person defined by subparagraph "p" of Article 3 of the Law of Georgia "On Licences and Permits" who carries out any activity in the field of games of chance and/or prize games, including the supply of games of chance and/or prize games;
- y) selected person — a person selected by the Legal Entity of Public Law within the governance sphere of the Ministry of Finance of Georgia — the Revenue Service (hereinafter — the Revenue Service) — for the purpose of implementing and operating the electronic system for the control of the gambling business;
- z) POS terminal — a special electronic device that meets the requirements established by the Minister of Finance of Georgia and ensures the reflection in the electronic control system of each ticket of a totalizator (except for a game organized in systemic-electronic form);

aa) supply of games of chance and/or prize games — the supply, in direct and/or indirect form, of critical products/services to a game organizer and/or to a person outside the territory of Georgia, on the basis of a permit for the supply of games of chance and/or prize games issued in accordance with the Law of Georgia "On Licences and Permits", which may influence and/or which influences the outcomes of games of chance and/or prize games with or without the participation of the supplier of games of chance and/or prize games;

bb) supplier of games of chance and/or prize games — a person that carries out the supply of games of chance and/or prize games;

cc) critical products/services — such products and/or services defined by the Government of Georgia which include games of chance and/or prize games (including games arranged in systemic-electronic form), a random number generation platform (RNG), a jackpot platform, a gaming platform (including the server(s) on which the outcome of the game is directly determined), a player database, a financial database/system, a management system, gaming machines and/or other products and/or services provided for by this Law, and which may influence and/or which influence the outcomes of games of chance and/or prize games with or without the participation of the supplier of games of chance and/or prize games;

dd) jackpot platform — the highest category of draw, and the rule for determining and distributing its initial and incremental amounts;

ee) random number generation platform (RNG) — a program for generating a random number;

ff) electronic control system — a system implemented through the selected person on the basis of the legislation of Georgia regulating games of chance and/or prize games, the purpose of which is to control the fulfilment by the permit holder of the permit conditions and of the requirements established by the legislation of Georgia;

gg) management system — the internal management and/or control system of a game organizer and of a supplier of games of chance and/or prize games;

gg<sup>1</sup>) gambling business — a lottery, a game of chance and/or a prize game organized by a person in accordance with the procedure established by the legislation of Georgia, the outcome of which depends wholly and/or partly on chance and in which the player participates in order to obtain a monetary win and/or a win in kind, and the supply of games of chance and/or prize games;

gg<sup>2</sup>) beneficial owner — a natural person defined by Article 13 of the Law of Georgia "On Facilitating the Prevention of Money Laundering and the Financing of Terrorism";

gg<sup>3</sup>) authorization certificate — a certificate issued by the selected person confirming the compliance of a game of chance and/or a prize game, as well as of certain critical products/services, with the standards/requirements introduced/established by the Minister of Finance of Georgia.

— Law of Georgia No. 5180 of 3 July 2007, LHG I, No. 28, 18.07.2007, Art. 277 — Law of Georgia No. 709 of 10 December 2008, LHG I, No. 37, 17.12.2008, Art. 239 — Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358 — Law of Georgia No. 3045 of 4 May 2010, LHG I, No. 24, 10.05.2010, Art. 164 — Law of Georgia No. 5169 of 28 October 2011, website, 11.11.2011 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011 — Law of Georgia No. 5859 of 16 March 2012,

website, 27.03.2012. Law of Georgia No. 6052 of 24 April 2012 — website, 27.04.2012 — Law of Georgia No. 6574 of 28 June 2012, website, 10.07.2012

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— Law of Georgia No. 5385 of 8 June 2016, website, 17.06.2016 — Law of Georgia No. 1912 of 23 December 2017, website, 11.01.2018 — Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020 — Law of Georgia No. 1083 of 14 December 2021, website, 24.12.2021 — Law of Georgia No. 1185 of 22 December 2021, website, 28.12.2021

## Article 4

Lotteries, games of chance and prize games do not include games that are conducted using machines, apparatus, devices and other means and in which an element of chance is not provided for. Their purpose is to test or demonstrate the participants' special knowledge, intellect, dexterity, skill or other special ability.

## Article 5

1. The conduct of all types of games of chance and/or prize games on the territory of Georgia, as well as the supply of games of chance and/or prize games on the territory of Georgia, requires a permit in accordance with the Law of Georgia "On Licences and Permits". The conduct of games of chance and/or prize games without a permit, the supply of games of chance and/or prize games, as well as failure to comply with the permit conditions, shall be deemed a violation of the law and shall result in the imposition of the liability defined by the legislation of Georgia, except for the case provided for by paragraph 3 of this Article.
2. Only the arranging of the lotteries, games of chance and prize games provided for by this Law and the distribution of their tickets are permitted in Georgia.
- 2<sup>1</sup>. It is prohibited to issue a permit for arranging a promotional draw for the purpose of the rapid and efficient sale of tobacco products, tobacco accessories and/or devices intended for tobacco consumption. It is also prohibited to use tobacco products, tobacco accessories and/or devices intended for tobacco consumption as prizes in a promotional draw or a lottery and/or to distribute them by means of lotteries, games of chance and prize games.
3. The Government of Georgia shall be entitled to grant the power to conduct a promotional draw to the Revenue Service. In this case, the rules and conditions for conducting the promotional draw shall be established, and the prize fund shall be determined, by the Government of Georgia.
4. The Minister of Finance of Georgia shall be entitled to define those services the provision of which is prohibited for a person carrying out activities in the field of the gambling business outside the territory of Georgia.

— Law of Georgia No. 2237 of 9 December 2005, LHG I, No. 54, 20.12.2005, Art. 357 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011 — Law of Georgia No. 5859 of 16 March 2012, website,

27.03.2012 — Law of Georgia No. 6052 of 24 April 2012, website, 27.04.2012 — Law of Georgia No. 862 of 17 May 2017, website, 30.05.2017 — Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020 — Law of Georgia No. 1083 of 14 December 2021, website, 24.12.2021

## Article 6

1. The organization and conduct of a lottery in Georgia shall be carried out by the person that has won a tender held by the Ministry of Finance of Georgia. The winner of the tender shall be determined as the person that meets the tender conditions and offers the largest amount to be paid into the state budget in order to obtain the exclusive right to organize and conduct a lottery in Georgia, but not less than the amount determined by the Government of Georgia, which shall be determined taking into account a study carried out by a third party. The procedure for paying that amount into the state budget shall be determined by a resolution of the Government of Georgia.
2. The rules and conditions for holding the tender provided for by paragraph 1 of this Article shall be approved by the Government of Georgia.
3. The tender documentation for the tender provided for by this Article must provide for bank guarantees to secure the tender proposal and the performance of the contract, the amounts and conditions of use of which shall be determined by a resolution of the Government of Georgia. The amounts of the bank guarantees shall be determined taking into account a study carried out by a third party.
4. The lottery organizer shall pay a fee into the state budget quarterly, in the amount and in accordance with the procedure defined by the Law of Georgia "On the Gambling Business Fee".
5. The lottery organizer shall be granted the exclusive right to organize and conduct a lottery in Georgia for a period of 10 years. That period may, on the basis of a proposal of the Ministry of Finance of Georgia and

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by a decision of the Government of Georgia, be extended until a contract is concluded with the winner of a new tender. — Law of Georgia No. 3142 of 25 May 2006, LHG I, No. 18, 31.05.2006, Art. 136 — Law of Georgia No. 3968 of 14 December 2006, LHG I, No. 48, 22.12.2006, Art. 332 — Law of Georgia No. 709 of 10 December 2008, LHG I, No. 37, 17.12.2008, Art. 239 — Law of Georgia No. 1126 of 24 March 2009, LHG I, No. 6, 26.03.2009, Art. 22 — Law of Georgia No. 2182 of 1 December 2009, LHG I, No. 40, 07.12.2009, Art. 296 — Law of Georgia No. 5138 of 13 October 2011, website, 19.10.2011 — Law of Georgia No. 5169 of 28 October 2011, website, 11.11.2011 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011 — Law of Georgia No. 5385 of 8 June 2016, website, 17.06.2016 — Law of Georgia No. 1195 of 22 December 2021, website, 28.12.2021

## Article 7

1. The issuance and cancellation of a permit for arranging a game of chance and/or a prize game and of a permit for the supply of games of chance and/or prize games, the making of amendments to them and

their entry in the departmental permit register shall be carried out by the Revenue Service in accordance with the Law of Georgia "On Licences and Permits" and with this Law.

2. The Revenue Service shall be entitled to verify the authenticity of the documents submitted by a permit applicant in order to obtain a permit and their compliance with the requirements of Article 35 of this Law, and, in the case of arranging a casino — additionally their compliance with the requirements of Article 24 of the same Law.

3. The Revenue Service shall be entitled to establish control over the fulfilment of the permit conditions. For this purpose, the state of fulfilment by the permit holder of the requirements established by this Law and by other normative acts may be inspected at any time during a calendar year and without any quantitative restriction. The procedure for such inspection shall be established by a joint order of the Minister of Finance of Georgia and the Minister of Internal Affairs of Georgia.

3<sup>1</sup>. For the purpose of controlling the fulfilment of the permit conditions, the Revenue Service shall be entitled, through the selected person, to implement an electronic control system in accordance with the legislation of Georgia and to control the fulfilment of the permit conditions both within the framework of an inspection and on an ongoing basis, including, where a fact of violation of the permit conditions exists, to carry out an inspection of the fulfilment of the permit conditions also for the period of a valid permit issued in accordance with the legislation of Georgia.

4. For a violation of the permit conditions provided for by this Law, the permit holder shall be fined by the Revenue Service or by the Ministry of Internal Affairs of Georgia. The tax authority shall administer the payment of fines imposed for a violation of the permit conditions provided for by this Law and of the fines provided for by Article 37<sup>2</sup> of the same Law in accordance with the rules established by the Tax Code of Georgia.

5. The permit holder shall be obliged to pay a fine imposed for a violation of the permit conditions within 30 calendar days from the delivery to it of the individual administrative-legal act on the imposition of the fine. — Law of Georgia No. 2237 of 9 December 2005, LHG I, No. 54, 20.12.2005, Art. 357 — Law of Georgia No. 5180 of 3 July 2007, LHG I, No. 28, 18.07.2007, Art. 277 — Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358 — Law of Georgia No. 2670 of 23 February 2010, LHG I, No. 7, 09.03.2009, Art. 29 — Law of Georgia No. 3601 of 17 September 2010, LHG I, No. 54, 12.10.2010, Art. 353 — Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020

## Article 7<sup>1</sup>

1. The list of addicted persons and the list of prohibited persons shall be maintained by the Revenue Service. Only data on citizens of Georgia may be entered in the list of addicted persons and the list of prohibited persons.

2. Data on a person shall be entered in the list of addicted persons:

a) on the basis of an application by the person himself/herself, who submits to the Revenue Service an application for the entry of his/her own data in the list of addicted persons;

b) on the basis of a judge's order, in accordance with the Administrative Procedure Code of Georgia.

3. Data on a person shall be entered in the list of addicted persons for a period of 5 years.
4. Data on an addicted person shall be removed from the list of addicted persons before the period provided for by paragraph 3 of this Article where the citizenship of Georgia of that person is terminated in accordance with the Organic Law of Georgia "On Georgian Citizenship", and also on the basis of a judge's order, not earlier than 3 years from the entry of the data on that person in the list of addicted persons.

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5. The procedure for maintaining the list of addicted persons shall be established by a normative act of the Minister of Finance of Georgia.
6. The procedure for maintaining the list of prohibited persons shall be established by a normative act of the Government of Georgia. — Law of Georgia No. 1185 of 22 December 2021, website, 28.12.2021

## **Article 8. (Deleted)**

— Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358

## **Article 9**

1. The amount of the prize fund of an instant lottery must constitute not less than 45 percent of the volume of the lottery.
2. The amount of the prize fund of a draw lottery must constitute not less than 45 percent of the total value of the tickets sold in each draw. The lottery organizer shall be entitled to reserve not more than 20 percent of the prize fund, which shall be drawn in subsequent draws.
3. The amount of the prize fund of a promotional draw is not limited. It shall be determined by the organizer. The amount of the prize fund shall be fixed in the conditions (regulations) for arranging the promotional draw.
4. The amount of the prize fund of lotto and bingo must constitute not less than 45 percent of the total value of the tickets sold in the given draw.
5. As a result of a lottery draw, a win in kind must fall to only one ticket. — Law of Georgia No. 1548 of 31 July 2009, LHG I, No. 24, 13.08.2009, Art. 132 — Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358 — Law of Georgia No. 5169 of 28 October 2011, website, 11.11.2011 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011 — Law of Georgia No. 5385 of 8 June 2016, website, 17.06.2016

## **Article 10. (Deleted)**

— Law of Georgia No. 2237 of 9 December 2005, LHG I, No. 54, 20.12.2005, Art. 357

## Article 11

1. The following shall be subject to the issuance of a permit:

- a) arranging a promotional draw;
- b) arranging a casino;
- c) arranging a totalizator;
- d) arranging a gaming machine salon;
- e) arranging lotto;
- f) arranging bingo;
- g) arranging a gambling club;
- h) the supply of games of chance and/or prize games.

1<sup>1</sup>. A permit provided for by paragraph 1 of this Article shall be issued only to an entrepreneurial entity registered in Georgia.

2. A lottery and the games established by subparagraphs "a"–"d" of paragraph 1 of this Article may be conducted in systemic-electronic form — using the internet, the telephone and specially equipped electronic means — only in compliance with the requirements established by this Law.

2<sup>1</sup>. Only an organizer of a game of chance holding a permit for arranging a casino and/or a permit for arranging a gaming machine salon has the right to arrange a game of chance in systemic-electronic form. A separate permit shall not be issued for arranging a game of chance in systemic-electronic form. In addition, under one permit for arranging a casino and/or one permit for arranging a gaming machine salon, the organization of a website existing under only one internet domain name is permitted.

2<sup>2</sup>. Only the holder of a permit for arranging a totalizator has the right to arrange a totalizator in systemic-electronic form under that permit. A separate permit shall not be issued for arranging a totalizator in systemic-electronic form. In addition, under one permit for arranging a totalizator, the organization of a website existing under only one internet domain name is permitted.

2<sup>3</sup>. A permit for arranging a gambling club shall be issued only in the municipality of the city of Tbilisi to a person holding a permit for arranging a casino and/or a gaming machine salon. A gambling club must be arranged independently of the casino hall and/or the gaming machine salon, as a separate facility.

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2. It is prohibited to arrange/play a game of chance and/or a prize game in systemic-electronic form at a facility providing internet services.



2<sup>5</sup>. It is prohibited to place a computer and/or another similar electronic device at a facility intended for a game of chance and/or a prize game for participation in a game of chance arranged in systemic-electronic form.

2<sup>6</sup>. Upon the cessation of the functioning of a physically arranged facility organized on the basis of a permit, the conduct of a game of chance and/or a prize game in systemic-electronic form is possible during the current quarter, but for not more than 60 calendar days. In each subsequent quarter, the arranging/organizing of a game of chance and/or a prize game in systemic-electronic form is possible only where the functioning of the physically arranged facility organized on the basis of a permit is resumed for not less than 30 days.

3. A permit for arranging a promotional draw shall be issued for a period of 1 year; a permit for arranging a casino, a totalizator, a gaming machine salon, lotto or bingo and a permit for the supply of games of chance and/or prize games — for a period of 5 years; and a permit for arranging a gambling club — for the remaining period of validity of the permit for arranging a casino or the permit for arranging a gaming machine salon on the basis of which the permit for arranging the gambling club has been issued.
4. Permits for arranging a casino, a totalizator, a gaming machine salon, lotto, bingo and a gambling club shall be issued for the functioning of each facility. In addition, games of chance and prize games must be conducted separately from each other.
5. It is not permitted to change the address of a casino, a gaming machine salon, a gambling club and/or a totalizator by making amendments to the departmental permit register if a different rate of fee is established for the new address by the Law of Georgia "On Licence and Permit Fees". In such a case, new permits must be issued for arranging the casino, the gaming machine salon, the gambling club and/or the totalizator, in accordance with the legislation of Georgia.
6. It is possible to change the location of lotto and bingo facilities by making amendments to the departmental permit register.
7. A permit for arranging a game of chance and/or a prize game (except for a permit for arranging a promotional draw) and a permit for the supply of games of chance and/or prize games shall not be issued where recognized tax arrears exist.
8. It is prohibited to transfer the permits provided for by this Article to another person.
9. It is prohibited to issue a permit for arranging a casino, a totalizator, a gaming machine salon, lotto, bingo or a gambling club and a permit for the supply of games of chance and/or prize games to a person whose person with the authority of management and representation, founder/partner (if any), or beneficial owner has been convicted of, or has a criminal record for, an intentional economic crime, including a crime in the field of financial activities, or an intentional grave or particularly grave crime, and whose criminal record has not been expunged or cancelled.
10. It is prohibited for the person with the authority of management and representation, the founder/partner (if any), or the beneficial owner of the holder of a permit for arranging a casino, a totalizator, a gaming machine salon, lotto, bingo or a gambling club or of a permit for the supply of games of chance and/or prize games to have been convicted of, or to have a criminal record for, an intentional economic crime,



including a crime in the field of financial activities, or an intentional grave or particularly grave crime, where the criminal record has not been expunged or cancelled.

11. It is not permitted for the possibility of obtaining a win in kind to exist upon participation in a game of chance. — Law of Georgia No. 3774 of 1 December 2006, LHG I, No. 47, 18.12.2006, Art. 311 — Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358 — Law of Georgia No. 3045 of 4 May 2010, LHG I, No. 24, 10.05.2010, Art. 164 — Law of Georgia No. 4933 of 24 June 2011, website, 30.06.2011 — Law of Georgia No. 5246 of 8 November 2011, website, 22.11.2011 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011 — Law of Georgia No. 6052 of 24 April 2012, website, 27.04.2012 — Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020 — Law of Georgia No. 6963 of 15 July 2020, website, 28.07.2020

## **Chapter I<sup>1</sup>. (Deleted)**

— Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011

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Article 11<sup>1</sup>. (Deleted) — Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358 — Law of Georgia No. 3045 of 4 May 2010, LHG I, No. 24, 10.05.2010, Art. 164 — Law of Georgia No. 4063 of 15 December 2010, LHG I, No. 74, 24.12.2010, Art. 455 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011

## **Chapter II. Conditions for Arranging Prize Games and for Issuing Permits**

### **Article 12**

1. In order to obtain a permit for arranging a prize game, the permit applicant must submit to the Revenue Service, in addition to the documents provided for by Article 25 of the Law of Georgia "On Licences and Permits", the following documents:

a) a contract between the permit applicant and the person that produces the tickets of the prize game (except for a game arranged in systemic-electronic form). That contract must indicate the number and numbering of the tickets to be produced;

b) the conditions (regulations) for arranging the prize game, which must state: b.a) the time limit and place for conducting the prize game;

b.b) the place, date and final time limit for the payment of the winnings of the prize game. The general time limit for the payment of the winnings of a prize game is 30 calendar days from the draw. The winnings must be paid no later than 6 days from the submission of the winning ticket;

b.c) the procedure and time limit for examining a claim. The time limit for examining a claim must not exceed 30 calendar days from the arising of the claim;

b.d) the number and numbering of the prize game tickets;

b.d<sup>1</sup>) in the case of arranging a totalizator — the number of POS terminals to be used. The details of the authorization certificate must be indicated;

b.d<sup>2</sup>) if the permit applicant uses, when arranging the prize game, game(s) and/or critical products/services supplied by another person — the number of the valid permit for the supply of games of chance and/or prize games issued to that person;

b.e) the general rules of the game (in the case of arranging a promotional draw, the general rules of the game submitted by the applicant for a permit for arranging a promotional draw (the reason for and purpose of the game) must comply with the criteria established by the Minister of Finance of Georgia);

b.f) in the case of arranging a totalizator, lotto or bingo — a list and detailed description of the prize games;

b.g) in the case of arranging a promotional draw — the prize fund, the date and address of the drawing of the prize fund, a list and the number of prizes, the value of a unit and the order of the draws;

c) a sample of the ticket of the prize game (except for a game arranged in systemic-electronic form) indicating the anti-counterfeiting features. The sample ticket must be signed by the permit applicant;

c<sup>1</sup>) where a permit for arranging a promotional draw is issued to the representative of the manufacturer of the product or the provider of the service — a document confirming the authority of representation granted to the permit applicant by the manufacturer of the product or the provider of the service;

d) in the case of arranging a totalizator:

d.a) a document confirming the securing of the prize fund in an amount of not less than GEL 10,000;

d.b) an authorization certificate confirming the compliance of the POS terminal with the standards/requirements introduced/established by the Minister of Finance of Georgia;

e) (deleted — 24.04.2012, No. 6052);

f) in the case of arranging a totalizator in systemic-electronic form — the rules of the systemic-electronic game, which must indicate:

f.a) the actual address from which the prize games will be managed and organized; f.b) a list and descriptions of the games;

f.c) the place/places and the final time limit for the payment of winnings (if the winnings are paid on the basis of paragraphs 2 and 3 of Article 28 of this Law — the address/addresses of the immovable property intended for arranging the cash desk), the procedure and time limit for the payment of winnings, and the procedure and time limit for examining a claim;

f.d) in the case of arranging by internet — the website address, the rules for the registration of a player, the rules for managing the deposit/balance. The website must indicate, in the Georgian language, the organizer's name, legal address, telephone number, permit number, a list of the games, detailed rules of the

game, information on the prohibition of participation in the game of citizens of Georgia under 25 years of age, of foreign

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citizens/stateless persons under 18 years of age, and of persons entered in the list of addicted persons and the list of prohibited persons;

f.e) in the case of arranging by telephone — a telephone number registered in Georgia;

f.f) if the permit applicant uses, when arranging the game, game(s) and/or critical products/services supplied by another person — the number of the valid permit for the supply of games of chance and/or prize games issued to that person;

f.g) the form and procedure for the registration/identification/verification of a player;

f.h) the procedure and technological description of the storage of a player's personal data;

f.i) a list of the protection mechanisms of the internet platform/system;

f.j) a description of the game management system;

f.k) a detailed description of the recording and storage of financial transactions;

g) an authorization certificate confirming the compliance of the critical products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;

h) in the case provided for by subparagraph "b.d<sup>2</sup>" or "f.f" of this paragraph — a copy of the contract concluded with the supplier of games of chance and/or prize games. Where an amendment is made to that contract, the permit applicant/permit holder shall be obliged, no later than 2 days from the making of that amendment, to notify the Revenue Service of that amendment and to submit a copy of the amendment document;

i) technical documentation of the game management system;

j) a certificate of criminal record of the person with the authority of management and representation, the founder/partner (if any), and the beneficial owner of the permit applicant (except for an applicant for a permit for arranging a promotional draw). That certificate of criminal record must be issued by the relevant authorized body of the country of which the person with the authority of management and representation, the founder/partner (if any), or the beneficial owner of the permit applicant (except for an applicant for a permit for arranging a promotional draw) is a citizen;

k) a document confirming the origin of the funds necessary for the payment of the permit fee. The permit applicant shall bear responsibility for the accuracy of that document;

l) any other document/information that the Revenue Service requests when examining the permit applicant's application for the issuance of a permit and when taking the relevant decision.

1<sup>1</sup>. Under a permit for arranging a prize game, it is prohibited to conduct a game that is not provided for by the conditions (regulations) for arranging the prize game, and, in the case of arranging a totalizator in systemic-electronic form — by the rules of the systemic-electronic game.

2. The following details must be clearly indicated on the sample prize game ticket:

- a) the name/first name and surname, address and telephone number of the permit applicant;
- b) the price of the ticket (except for a totalizator and a promotional draw);
- c) the number of the ticket;
- d) a space for the number of the permit to be issued;
- e) the time limit and place for conducting the prize game;
- f) in the case of arranging a promotional draw — the date and time of the drawing of the prize fund;
- g) the general rules of the game;
- h) the final time limit and place for the payment of the winnings of the prize game.

3. If it is technologically impossible to reflect the above details on the prize game ticket, the organizer of the prize game shall be obliged to ensure their publicity and the unimpeded provision to players of the conditions (regulations) for arranging the prize game.

4. The official table of the winnings of a promotional draw must be published no later than 3 calendar days from the draw.

— Law of Georgia No. 2237 of 9 December 2005, LHG I, No. 54, 20.12.2005, Art. 357 — Law of Georgia No. 5180 of 3 July 2007, LHG I, No. 28, 18.07.2007, Art. 277 — Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358 — Law of Georgia No. 3045 of 4 May 2010, LHG I, No. 24, 10.05.2010, Art. 164 — Law of Georgia No. 4063 of 15 December 2010, LHG I, No. 74, 24.12.2010, Art. 455 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011 — Law of Georgia No. 6052 of 24 April 2012, website, 27.04.2012 — Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020 — Law of Georgia No. 1185 of 22 December 2021, website, 28.12.2021

## Article 13

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1. Where the location of totalizator, lotto and bingo facilities is changed, the organizer of the prize games must submit to the Revenue Service the following documents:

- a) (deleted — 09.12.2011, No. 5448);
- b) (deleted — 09.12.2011, No. 5448);

- c) a contract between the permit holder and the person that produces the tickets of the prize game (except for a game arranged in systemic-electronic form). That contract must indicate the number and numbering of the tickets to be produced;
- d) the conditions (regulations) for arranging the prize game, and, in the case of a game arranged in systemic-electronic form — the rules of the game arranged in systemic-electronic form;
- e) a sample of the ticket of the prize game (except for a game arranged in systemic-electronic form);
- f) an authorization certificate confirming the compliance of the critical products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia.

1<sup>1</sup>. In the case of arranging a totalizator in systemic-electronic form, the holder of a permit for arranging a totalizator shall submit to the Revenue Service, in order to obtain consent, the rules of the game provided for by subparagraph "f" of paragraph 1 of Article 12 of this Law.

1<sup>2</sup>. In the case of arranging a cash desk provided for by paragraphs 2 and 3 of Article 28 of this Law, the holder of a permit for arranging a totalizator shall, before making an amendment to the conditions (regulations) for arranging the prize game, submit to the Revenue Service information on the address (addresses) of the immovable property intended for arranging the cash desk.

1<sup>3</sup>. The holder of a permit for arranging a totalizator shall be obliged, where the number of POS terminals and/or the critical products/services to be used/used are changed, to notify the Revenue Service of that change no later than 2 days before making that change and to submit an authorization certificate (in the case of the replacement and/or addition of POS terminals and/or critical products/services).

2. The organizer of a prize game (except for the organizer of a promotional draw) shall be obliged, where an amendment is made to the general rules of the game, the list and detailed description of the games, or the list and descriptions of the games provided for by subparagraph "b.e", "b.f" or "f.b" of paragraph 1 of Article 12 of this Law, to apply to the Revenue Service before making the relevant amendment in order to obtain the consent of the Revenue Service, and, where another change is made — to provide the Revenue Service with information on that change no later than 1 day before making that change. In addition, the organizer of a prize game (except for a promotional draw) must, within 2 days from the making of an amendment to the list and descriptions of the games provided for by subparagraph "f.b" of the same paragraph, place a notice on the making of that amendment on the website intended for the game (in the case of arranging the game by internet).

2<sup>1</sup>. (Deleted — 25.06.2020, No. 6487);

3. Before the completion of one stage of a promotional draw, it is not permitted to make amendments to the conditions (regulations) for arranging the promotional draw (except for a change in the number and numbering of the tickets). The organizer of the promotional draw shall be obliged to provide the Revenue Service with information on the making of that amendment no later than 1 day before making it.

4. It is not permitted to conduct two or more stages simultaneously under a permit for arranging a promotional draw.

5. The organizer of a promotional draw shall be obliged, in order to obtain consent for arranging each new stage of the draw, to submit to the Revenue Service the following documents:

- a) the conditions (regulations) for arranging the promotional draw;
- b) a sample of the ticket of the promotional draw (except for a game arranged in systemic-electronic form);
- c) a contract between the organizer of the promotional draw and the person that produces the tickets of the promotional draw (except for a game arranged in systemic-electronic form). That contract must indicate the number and numbering of the tickets to be produced. — Law of Georgia No. 2237 of 9 December 2005, LHG I, No. 54, 20.12.2005, Art. 357 — Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358 — Law of Georgia No. 3045 of 4 May 2010, LHG I, No. 24, 10.05.2010, Art. 164 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011 — Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020

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Article 14. (Deleted)

— Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358

## Article 15

The organizer of a lottery and a prize game shall conduct the draw also where the tickets have not been fully sold.

## Article 16

1. The organizer of a promotional draw shall be obliged to ensure the publicity of the conditions (regulations) for arranging the promotional draw and their unimpeded provision to players, as well as the creation of a commission that will ensure the drawing of the prize fund in compliance with, and in accordance with, the conditions (regulations) for arranging the promotional draw.
2. The organizer of a promotional draw shall be obliged to submit to the Revenue Service, within 2 days, information on the course and results of the draw. — Law of Georgia No. 5180 of 3 July 2007, LHG I, No. 28, 18.07.2007, Art. 277 — Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011

## Article 16<sup>1</sup>

1. The Government of Georgia shall be entitled to establish additional conditions for arranging prize games and for issuing permits, compliance with which is mandatory for a permit applicant/permit holder, and failure to comply with which shall be deemed a violation of the permit conditions. 2. The Minister of Finance of Georgia shall be entitled to establish/introduce into force the requirements/standards to be met by the critical products/services and/or any other device to be used/used in its activities by an

applicant for/holder of a permit for arranging prize games." Law of Georgia No. 6487 of 25 June 2020 — website, 02.07.2020

## **Article 17. (Deleted)**

— Law of Georgia No. 3774 of 1 December 2006, LHG I, No. 47, 18.12.2006, Art. 311 — Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358

## **Article 18 (Deleted)**

— Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358

## **Chapter III. Conditions for Arranging Games of Chance, for the Supply of Games of Chance and/or Prize Games, and for Issuing Permits — Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020**

### **Article 19**

1. In order to obtain a permit for arranging a casino, the permit applicant must submit to the Revenue Service, in addition to the documents provided for by Article 25 of the Law of Georgia "On Licences and Permits", the following documents:

- a) (deleted — 09.12.2011, No. 5448);
- b) the conditions (regulations) for arranging the casino. Those conditions (regulations) must indicate:
  - b.a) a list of the casino tables and/or the club table/club tables (the name, factory number, year of production, country of production and manufacturer of each table must be indicated);
  - b.b) the minimum and maximum bets at each casino table;
  - b.c) where a club table/club tables exist — the amount of the service commission at each club table;
  - b.d) a full list and detailed rules of the games taking place at the casino;
  - b.e) the operating hours and rules of the casino; the rules of conduct at the casino;
  - b.f) the time limit and place for the payment of winnings;
  - b.g) the procedure and time limit for examining a claim. The time limit for examining a claim must not exceed 30 calendar days from the arising of the claim;
  - b.h) if the permit applicant uses, when arranging the game, critical products/services supplied by another person — the number of the valid permit for the supply of games of chance and/or prize games issued to that person;
- c) samples of the gaming chips. The denomination (if any), ornament and colour must be clearly visible on those samples;

c<sup>1</sup>) a certificate of criminal record of the person with the authority of management and representation,

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the founder/partner (if any), and the beneficial owner of the permit applicant (except for an applicant for a permit for arranging a promotional draw). That certificate of criminal record must be issued by the relevant authorized body of the country of which the person with the authority of management and representation, the founder/partner (if any), or the beneficial owner of the permit applicant (except for an applicant for a permit for arranging a promotional draw) is a citizen;

c<sup>2</sup>) a document confirming the origin of the funds necessary for the payment of the permit fee (if any). The permit applicant shall bear responsibility for the accuracy of that document;

d) in the case of arranging a game of chance in systemic-electronic form:

d.a) the rules of the game arranged in systemic-electronic form. Those rules must indicate:

d.a.a) the actual address from which the game will be managed and organized;

d.a.b) a list and description of the games;

d.a.c) the procedure, place/places and final time limit for the payment of winnings (if the winnings are paid on the basis of paragraphs 2 and 3 of Article 28 of this Law — the address/addresses of the immovable property intended for arranging the cash desk), and the procedure and time limit for examining a claim;

d.a.d) in the case of arranging the game by internet — the address of the website intended for the game, the rules for the registration of a player, the rules for managing the deposit/balance. That website must indicate, in the Georgian language, the name of the game organizer, its legal address, telephone number, the number of the relevant permit, a list of the games, detailed rules of the games, information on the prohibition of participation in the game of citizens of Georgia under 25 years of age, of foreign citizens/stateless persons under 18 years of age, and of persons entered in the list of addicted persons and the list of prohibited persons;

d.a.e) in the case of arranging the game by telephone — a telephone number registered in Georgia;

d.a.f) if the permit applicant uses, when arranging the game, game(s) of chance and/or prize game(s) and/or critical products/services supplied by another person — the number of the valid permit for the supply of games of chance and/or prize games issued to that person;

d.a.g) the form and procedure for the registration/identification/verification of a player;

d.a.h) the procedure and technological description of the storage of a player's personal data;

d.a.i) a list of the protection mechanisms of the internet platform/system;

d.a.j) a description of the game management system;



d.a.k) a detailed description of the recording and storage of financial transactions;

d.a.l) any other information requested by the Revenue Service;

d.b) an authorization certificate confirming the compliance of the game/games arranged in systemic-electronic form indicated in the rules of the game arranged in systemic-electronic form with the technical standards;

d.c) an authorization certificate confirming the compliance of the critical products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;

d.d) technical documentation of the game management system;

e) in the case provided for by subparagraph "b.h" or "d.a.f" of this paragraph — a copy of the contract concluded with the supplier of the game/games of chance and/or prize game(s) and/or the critical products/services. Where an amendment is made to that contract, the permit applicant/permit holder shall be obliged, no later than 2 days from the making of that amendment, to notify the Revenue Service of that amendment and to submit a copy of the amendment document;

f) an authorization certificate confirming the compliance of the critical products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;

g) any other document/information that the Revenue Service requests when examining the permit applicant's application for the issuance of a permit and when taking the relevant decision.

1<sup>1</sup>. It is prohibited to issue a permit for arranging a casino to a person whose person with the authority of management and representation, founder/partner (if any), or beneficial owner has been convicted of, or has a criminal record for, an intentional economic crime, including a crime in the field of financial activities, or an intentional grave or particularly grave crime, and whose criminal record has not been expunged or cancelled.

1<sup>2</sup>. It is prohibited for the person with the authority of management and representation,

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the founder/partner (if any), or the beneficial owner of the holder of a permit for arranging a casino to have been convicted of, or to have a criminal record for, an intentional economic crime, including a crime in the field of financial activities, or an intentional grave or particularly grave crime, where the criminal record has not been expunged or cancelled. 2. It is prohibited to conduct at a casino a game that is not provided for by the conditions (regulations) for arranging the casino, and, in the case of arranging a game of chance in systemic-electronic form — by the rules of the systemic-electronic game.

3. The holder of a permit for arranging a casino and the holder of a permit for arranging a gambling club shall be obliged to carry out their activities in accordance with the procedure established by a normative act of the Minister of Finance of Georgia, by means of the accounting forms developed by him/her. — Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011 — Law of Georgia No. 6052 of 24 April 2012,

website, 27.04.2012 — Law of Georgia No. 4083 of 22 July 2015, website, 31.07.2015 — Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020 — Law of Georgia No. 1185 of 22 December 2021, website, 28.12.2021

## Article 19<sup>1</sup>

1. In order to obtain a permit for arranging a gambling club, the permit applicant must submit to the Revenue Service, in addition to the documents provided for by Article 25 of the Law of Georgia "On Licences and Permits", the following documents:

- a) the conditions (regulations) for arranging the gambling club. Those conditions (regulations) must indicate: a list of the club tables available at the gambling club (the name, factory number, year of production and country of production of each table must be indicated); the amount of the service percentage/commission at a club table; the operating rules of the gambling club; the rules of conduct at the gambling club; the rules of the games taking place at the gambling club; samples of the gaming chips (if any). If the permit applicant uses, when arranging the game, critical products/services supplied by another person — the number of the valid permit for the supply of games of chance and/or prize games issued to that person;
- b) an authorization certificate confirming the compliance of the critical products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;
- c) a copy of the contract concluded with the supplier of games of chance and/or prize games. Where an amendment is made to that contract, the permit applicant/permit holder shall be obliged, no later than 2 days from the making of that amendment, to notify the Revenue Service of that amendment and to submit a copy of the amendment document.

2. It is prohibited to conduct at a gambling club a game that is not provided for by the conditions (regulations) for arranging the gambling club. — Law of Georgia No. 6052 of 24 April 2012, website, 27.04.2012 — Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020

## Article 20

1. In order to obtain a permit for arranging a gaming machine salon, the permit applicant must submit to the Revenue Service, in addition to the documents provided for by Article 25 of the Law of Georgia "On Licences and Permits", the following documents:

- a) the conditions (regulations) for arranging the gaming machine salon. Those conditions (regulations) must indicate:
  - a.a) the time limit and place for conducting the games of chance;
  - a.b) a list of the gaming machines (the name, modification, factory number, year of production, country of production and manufacturer of each gaming machine must be indicated);
  - a.c) the minimum and maximum bets to be placed on each gaming machine and the maximum amount of winnings;
  - a.d) a list and detailed rules of the games taking place at the gaming machine salon;

a.e) the procedure and time limit for examining a claim. The time limit for examining a claim must not exceed 30 calendar days from the arising of the claim;

a.f) if the permit applicant uses, when arranging the game, game(s) of chance and/or prize game(s) and/or critical products/services supplied by another person — the number of the valid permit for the supply of games of chance and/or prize games issued to that person;

a<sup>1</sup>) an authorization certificate confirming the compliance of the critical products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;

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- a<sup>2</sup>) in accordance with the conditions (regulations) for arranging the gaming machine salon, an authorization certificate for the content of the specific game available in each gaming machine;
  - b) in the case of arranging a game of chance in systemic-electronic form:
    - b.a) the rules of the game arranged in systemic-electronic form. Those rules must indicate:
      - b.a.a) the actual address from which the game will be managed and organized;
      - b.a.b) a list and description of the games;
    - b.a.c) the procedure, place/places and final time limit for the payment of winnings (if the winnings are paid on the basis of paragraphs 2 and 3 of Article 28 of this Law — the address/addresses of the immovable property intended for arranging the cash desk); the procedure and time limit for examining a claim;

b.a.d) in the case of arranging the game by internet — the address of the website intended for the game, the rules for the registration of a player, the rules for managing the deposit/balance, a telephone number registered in Georgia. That website must indicate, in the Georgian language, the name of the game organizer, its legal address, telephone number, the number of the relevant permit, a list of the games, detailed rules of the games, information on the prohibition of participation in the game of citizens of Georgia under 25 years of age, of foreign citizens/stateless persons under 18 years of age, and of persons entered in the list of addicted persons and the list of prohibited persons;

- b.a.e) in the case of arranging the game by telephone — a telephone
- number registered in Georgia;

b.a.f) if the permit applicant uses, when arranging the game, game(s) of chance and/or prize game(s) and/or critical products/services supplied by another person — the number of the valid permit for the supply of games of chance and/or prize games issued to that person;

- b.a.g) the form and procedure for the registration/identification/verification of a player;
- b.a.h) the procedure and technological description of the storage of a player's personal data;

- b.a.i) a list of the protection mechanisms of the internet platform/system;
- b.a.j) a description of the game management system;
- b.a.k) a detailed description of the recording and storage of financial transactions;
- b.a.l) any other information requested by the Revenue Service;

b.b) an authorization certificate confirming the compliance of the critical products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;

b.c) technical documentation of the game management system;

c) a certificate of criminal record of the person with the authority of management and representation, the founder/partner (if any), and the beneficial owner of the permit applicant. That certificate of criminal record must be issued by the relevant authorized body of the country of which the person with the authority of management and representation, the founder/partner (if any), or the beneficial owner of the permit applicant is a citizen;

d) a document confirming the origin of the funds necessary for the payment of the permit fee. The permit applicant shall bear responsibility for the accuracy of that document; e) in the case provided for by subparagraph "a.f" or "b.a.f" of this paragraph — a copy of the contract concluded with the supplier of the game/games and/or the critical products/services. Where an amendment is made to that contract, the permit applicant/permit holder shall be obliged to immediately notify the Revenue Service of that amendment and to submit a copy of the amendment document;

f) any other document/information that the Revenue Service requests when examining the permit applicant's application for the issuance of a permit and when taking the relevant decision.

2. It is prohibited to conduct at a gaming machine salon a game that is not provided for by the conditions (regulations) for arranging the gaming machine salon, and, in the case of arranging a game of chance in systemic-electronic form — by the rules of the systemic-electronic game. — Law of Georgia No. 2237 of 9 December 2005, LHG I, No. 54, 20.12.2005, Art. 357 — Law of Georgia No. 5180 of 3 July 2007, LHG I, No. 28, 18.07.2007, Art. 277 — Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011 — Law of Georgia No. 6052 of 24 April 2012, website, 27.04.2012 — Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020 — Law of Georgia No. 1185 of 22 December 2021, website, 28.12.2021

## Article 20<sup>1</sup>

1. In the case of arranging a game of chance in systemic-electronic form, the holder of a permit for arranging a casino shall submit

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to the Revenue Service, in order to obtain its consent, the rules of the game arranged in systemic-electronic form and the documents/information provided for by subparagraph "d" of paragraph 1 of Article 19 of this Law.

2. In the case of conducting a gambling tournament, the holder of a permit for arranging a casino shall, 2 working days before arranging the gambling tournament, submit to the Revenue Service, by way of information, the conditions for arranging and conducting the gambling tournament, in which it shall also indicate the start and end dates of the gambling tournament and the number of club tables.

2<sup>1</sup>. In the case of conducting a gambling tournament, the holder of a permit for arranging a gambling club shall, no later than 2 working days before arranging the gambling tournament, provide the Revenue Service with information on the conditions for arranging and conducting the gambling tournament, in which it shall also indicate the place of conducting the gambling tournament, the start and end dates of the gambling tournament, the number of club tables, and the amount of the fee for participation in the gambling tournament and/or the amount of the service commission (if any). 3. In the case of arranging a game of chance in systemic-electronic form, the holder of a permit for arranging a gaming machine salon shall submit to the Revenue Service, in order to obtain its consent, the rules of the game arranged in systemic-electronic form and the documents/information provided for by subparagraph "b" of paragraph 1 of Article 20 of this Law. 4. In the case of arranging a cash desk provided for by paragraphs 2 and 3 of Article 28 of this Law, the holder of a permit for arranging a casino and/or a gaming machine salon shall, 2 working days before making an amendment to the conditions (regulations) for arranging the casino/gaming machine salon, submit to the Revenue Service information on the address (addresses) of the immovable property intended for arranging the cash desk. 5. In the case of organizing a game of chance in systemic-electronic form, the holder of a permit for arranging a casino and/or the holder of a permit for arranging a gaming machine salon shall be obliged, where the critical products/services to be used/used by it are changed, to notify the Revenue Service of that change no later than 2 days before making that change and to submit an authorization certificate (in the case of the replacement and/or addition of critical products/services).

6. The holder of a permit for arranging a gaming machine salon shall be obliged, where the critical products/services to be used/used by it are changed, to notify the Revenue Service of that change no later than 2 days before making that change and to submit an authorization certificate (in the case of the replacement and/or addition of critical products/services), and, where gaming machines are changed — an authorization certificate for the content of the specific game available in each gaming machine.

— [Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011](#) — [Law of Georgia No. 6052 of 24 April 2012, website, 27.04.2012](#) — [Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020](#)

## Article 21

1. Where the location of a casino, a gaming machine salon or a gambling club is changed, the organizer of the game of chance must submit to the Revenue Service the conditions (regulations) for arranging the relevant game.
2. The organizer of a game of chance shall be obliged (including in the case of arranging a game in systemic-electronic form), where an amendment is made to the rules of a game taking place at a casino, a gaming machine salon or a gambling club, or to the list and description of the games, to apply

to the Revenue Service before making the relevant amendment in order to obtain the consent of the Revenue Service, and, where another change is made — to provide the Revenue Service with information on that change no later than 1 day before making that change. In addition, in the case of a game organized in systemic-electronic form, the organizer of the game of chance must, within 2 days from the making of the change, place a notice on the making of that change on the website intended for the game (in the case of arranging the game by internet).

3. (Deleted — 25.06.2020, No. 6487).

— Law of Georgia No. 2237 of 9 December 2005, LHG I, No. 54, 20.12.2005, Art. 357 — Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358 — Law of Georgia No. 3045 of 4 May 2010, LHG I, No. 24, 10.05.2010, Art. 164 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011 — Law of Georgia No. 6052 of 24 April 2012, website, 27.04.2012 — Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020

## **Article 22. (Deleted)**

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— Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358

## **Article 23**

Gaming machines must provide for winnings of at least 80 percent of the bet placed.

## **Article 24**

1. At least seven casino tables must be installed and functioning at a casino, one of them — for playing at a gaming wheel (roulette).
2. A casino must consist of a customer service zone and a service premises zone. There must be a separate entrance for each zone. 3. The cash desk for carrying out cash settlements with customers must be equipped with an armoured window and an alarm signal connecting it to the relevant security service, and must meet the requirements established by the legislation of Georgia.
3. The service premises zone must include a safe. — Law of Georgia No. 2237 of 9 December 2005, LHG I, No. 54, 20.12.2005, Art. 357 — Law of Georgia No. 5180 of 3 July 2007, LHG I, No. 28, 18.07.2007, Art. 277 — Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358 — Law of Georgia No. 6052 of 24 April 2012, website, 27.04.2012

## **Article 24<sup>1</sup>**

1. In order to obtain a permit for the supply of games of chance and/or prize games, the permit applicant must submit to the Revenue Service, in addition to the documents provided for by Article 25 of the Law of Georgia "On Licences and Permits", the following documents:

- a) a list and detailed description of the games and/or critical products/services to be supplied;
- b) an authorization certificate confirming the compliance of the critical products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;
- c) a certificate of criminal record of the person with the authority of management and representation, the founder/partner (if any), and the beneficial owner of the permit applicant. That certificate of criminal record must be issued by the relevant authorized body of the country of which the person with the authority of management and representation, the founder/partner (if any), or the beneficial owner of the permit applicant is a citizen;
- d) a document confirming the origin of the funds necessary for the payment of the permit fee. The permit applicant shall bear responsibility for the accuracy of that document;
- e) any other document/information that the Revenue Service requests when examining the permit applicant's application for the issuance of a permit and when taking the relevant decision.

2. If a game and/or critical products/services supplied by a permit holder change materially (including where the rule for paying out the jackpot changes, or any type of change is made to existing games, or new games are added), it shall be obliged, in order to obtain the consent of the Revenue Service, to notify it of the relevant change and to submit an authorization certificate. Where such consent is not obtained, the permit holder shall be prohibited from supplying the materially changed game and/or critical products/services. The material change defined by this paragraph covers various changes, including changes that may affect:

- a) the bet placed by a player;
- b) the amount of winnings;
- c) the architecture of the game;
- d) the combination lines of the game;
- e) the random number generation platform (RNG);
- f) the jackpot payout system.

3. A supplier of games of chance and/or prize games shall be obliged to submit to the Revenue Service a copy of the contract concluded with the holder of a permit for arranging a game of chance and/or a prize game no later than 3 days from its conclusion. Where an amendment is made to that contract, the permit holder shall be obliged, no later than 2 days from the making of that amendment, to notify the Revenue Service of that amendment and to submit a copy of the amendment document.

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4. A supplier of games of chance and/or prize games shall be obliged to pay in a timely manner the fee/fees payable to the selected person. — Law of Georgia No. 6487 of 25 June 2020, website,



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## **Article 24<sup>2</sup>**

1. The Government of Georgia shall be entitled to establish additional conditions for arranging games of chance, for the supply of games of chance and/or prize games, and for issuing permits. The permit applicant/permit holder shall be obliged to comply with these conditions. Failure to comply with them shall be deemed a violation of the permit conditions.
2. The Minister of Finance of Georgia shall be entitled to establish/introduce into force the requirements/standards to be met by the critical products/services and/or any other device to be used/used in its activities by an applicant for/holder of a permit for arranging games of chance or a permit for the supply of games of chance and/or prize games. — Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020

## **Article 25. (Deleted)**

— Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358

Chapter IV. Rights and Obligations of the Lottery Organizer, the Game Organizer, and the Supplier of Games of Chance and/or Prize Games — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011 — Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020

Article 26. (Deleted) — Law of Georgia No. 2237 of 9 December 2005, LHG I, No. 54, 20.12.2005, Art. 357

## **Article 27**

The rules of the game must be displayed at the place where the game is conducted and must be presented to the player upon his/her first request.

## **Article 28**

1. When arranging a game in systemic-electronic form, the organizer of a game of chance and/or a prize game has the right to use the cash desks available at facilities organized under a permit for arranging a casino, a gambling club, a gaming machine salon and/or a totalizator issued in its own name.
2. When arranging a game in systemic-electronic form, the organizer of a game of chance and/or a prize game has the right to arrange cash desks at facilities organized under a permit for arranging a casino, a gambling club, a gaming machine salon and/or a totalizator issued to other persons.
3. When arranging a game in systemic-electronic form, the organizer of a game of chance and/or a prize game has the right, where the gambling business fee is paid, to arrange the cash desk provided for by subparagraph "v" of Article 3 of this Law. — Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011 — Law of Georgia No. 6052 of 24 April 2012, website, 27.04.2012



## Article 29

1. The game organizer shall be obliged to:

- a) ensure public order and safety at the place where the games are arranged, as well as the protection of the lawful rights and interests of players and other persons;
  - b) carry out the registration of the winnings paid out, create an electronic database and submit the relevant information to the Legal Entity of Public Law — the Financial Monitoring Service of Georgia — in accordance with the procedure established by the legislation of Georgia;
  - c) conduct the game and pay out winnings in accordance with the submitted conditions (regulations) for arranging the game and/or the rules of the systemic-electronic game;
  - d) upon request, provide the player with a written certificate on the receipt of the winnings;
  - e) take a decision on a player's claim within the time limit provided for by the conditions (regulations) of arrangement;
  - f) keep confidential the data on the amounts won or lost by a player and disclose information about them only in the cases provided for by law;
  - g) pay in a timely manner the fees and taxes established by the legislation of Georgia for arranging the game;
  - h) pay in a timely manner the fee/fees payable to the selected person;
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- i) not allow the imposition of additional conditions on a winning player when paying out winnings, except in the cases provided for by the legislation of Georgia;
  - i<sup>1</sup>) not allow a player to transfer/move funds to the gaming accounts of other players;
  - j) perform the obligations defined for it by this Law and by other normative acts;
  - k) notify the Revenue Service in writing of the cessation/resumption of its activities before ceasing/resuming the activity of a game of chance and/or a prize game;
  - l) carry out operations for the transportation of funds and other valuables by means of specialized cash collection services, if its monthly income exceeds GEL 10,000;
  - m) during an inspection of the fulfilment of the permit conditions, create appropriate working conditions for the inspector and, immediately upon request, submit the necessary documents and information relating to the permit conditions (except for the lottery organizer);
  - n) for the purpose of implementing and/or operating the electronic control system, create appropriate working conditions for the Revenue Service and/or the selected person, provide the requested

documents/information and ensure their admission to the place where the games of chance and/or prize games are arranged, as well as to each and every device to be used/used for arranging games and/or for the supply of games of chance and/or prize games; upon request, have the devices necessary for electronic control connected to the devices owned/used by it that are to be used/used for arranging games and/or for the supply of games of chance and/or prize games, and make available to it the information contained in the critical products/services used by it;

o) provide the casino, the gambling club, the gaming machine salon, and the building/structure specially arranged for the totalizator, lotto or bingo with a permanent power source, and equip them with automatic video equipment installed in the hall, at the cash desk, at the entrance and on the external perimeter. This video equipment must comply with the requirements defined by a resolution of the Government of Georgia. Video recording in the gaming hall, at the cash desk and at the entrance must take place throughout the entire period of operation of the casino, the gambling club, the gaming machine salon, the totalizator, lotto and bingo, and on the external perimeter — permanently. The electronic media obtained as a result of video recording, with the relevant recordings, must be stored in a properly protected place for not less than 30 days and, in the case of a substantiated request, must be submitted immediately upon request to the Ministry of Internal Affairs of Georgia and/or other authorized bodies. The cash desk must be equipped with an armoured window and an alarm signal connecting it to the relevant security service;

p) in the case of arranging a lottery, a game of chance and/or a prize game in systemic-electronic form, ensure the registration, identification and verification (checking) of each player according to the person's identification data, in accordance with the procedure established by legislation;

q) in the case of arranging a game of chance and/or a prize game in systemic-electronic form, ensure the protection of the database;

r) conduct the game and pay out winnings in accordance with the submitted rules of the systemic-electronic game;

s) in the case of conducting a gambling tournament, ensure public order and safety, as well as the protection of the interests of players;

t) ensure a person's admission to the place where games of chance and/or prize games are arranged and/or participation in a game only where an identity document or another document confirming the person's identity and identification data issued in accordance with legislation is presented;

t<sup>1</sup>) not allow citizens of Georgia under 25 years of age, foreign citizens/stateless persons under 18 years of age, and persons entered in the list of addicted persons and the list of prohibited persons to play at the place where games of chance and/or prize games (except for promotional draws) are arranged, including in the case of arranging them in systemic-electronic form;

t<sup>2</sup>) in the case of arranging games of chance and/or prize games (except for promotional draws) in systemic-electronic form, carry out the re-verification of the person annually from the date of the player's verification;

u) perform the obligations defined by the Law of Georgia "On Facilitating the Prevention of Money Laundering and the Financing of Terrorism" and/or by the subordinate normative acts issued on the basis of

that Law, and submit the relevant information to the Legal Entity of Public Law — the Financial Monitoring Service of Georgia — in accordance with the procedure established by the legislation of Georgia;

v) in the case of arranging a lottery, a game of chance and/or a prize game in systemic-electronic form, ensure the depositing of funds into an account and the withdrawal of funds from an account in accordance with the procedure established by the Minister of Finance of Georgia;

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v<sup>1</sup>) ensure the recording of information on the persons who have entered the place where the game is arranged in accordance with the procedure established by the Minister of Finance of Georgia;

w) take a decision on a player's claim in accordance with the procedure and within the time limits for examining a claim provided for by the conditions (regulations) of arrangement and/or by the rules of the systemic-electronic game.

1<sup>1</sup>. The holder of a permit for arranging a totalizator (except for a permit for a game organized in systemic-electronic form) shall be obliged to arrange/organize the game with a POS terminal supplied by the selected person and authorized by the Revenue Service. The procedure for the authorization of a POS terminal shall be established by a legal act of the Minister of Finance of Georgia.

1<sup>2</sup>. The obligations provided for by subparagraphs "a"—"g", "i"—"j", "l", "p", "r", "u", "v" and "w" of paragraph 1 of this Article shall extend to the lottery organizer.

1<sup>3</sup>. The obligations provided for by subparagraphs "g", "h", "j"—"n" and "u" of paragraph 1 of this Article shall extend to a supplier of games of chance and/or prize games.

1<sup>4</sup>. A supplier of games of chance and/or prize games shall be obliged to pay the service fee of the Revenue Service. The amount of that fee and the procedure for its payment shall be determined by a resolution of the Government of Georgia.

2. The lottery organizer, the game organizer, and a supplier of games of chance and/or prize games are prohibited from granting a loan to a player for the purpose of placing (making) a bet. 3. The lottery organizer, the game organizer, and a supplier of games of chance and/or prize games are prohibited from concluding an employment contract with a minor under which that person is required to work at the place where the game is conducted, as well as to control the organization or conduct of the game. 4. A game organizer that receives games of chance and/or prize games and/or critical products/services from a supplier of games of chance and/or prize games shall be obliged, before receiving those games and/or critical products/services, to request from the supplier of games of chance and/or prize games the permit for the supply of games of chance and/or prize games issued in accordance with the Law of Georgia "On Licences and Permits", and not to allow the use in its activities of such games of chance and/or prize games and/or critical products/services that have not been supplied by a supplier of games of chance and/or prize games holding that permit.

3. The permit holder shall be obliged to perform the obligations provided for by this Law and by the subordinate legal acts issued on the basis of this Law. Failure to perform these obligations shall be deemed a violation of the permit conditions. — Law of Georgia No. 2237 of 9 December 2005, LHG I, No. 54, 20.12.2005, Art. 357 — Law of Georgia No. 5180 of 3 July 2007, LHG I, No. 28, 18.07.2007, Art. 277 — Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011 — Law of Georgia No. 6052 of 24 April 2012, website, 27.04.2012 — Law of Georgia No. 5385 of 8 June 2016, website, 17.06.2016 — Law of Georgia No. 5616 of 19 December 2019, website, 24.12.2019 — Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020 — Law of Georgia No. 1083 of 14 December 2021, website, 24.12.2021 — Law of Georgia No. 1185 of 22 December 2021, website, 28.12.2021

## Article 30

1. The organizer of lotteries, games of chance and prize games shall not be obliged to verify the authority of the person presenting a gaming chip or a lottery and/or prize game ticket, unless this is defined by the conditions (regulations) of arrangement.
2. If a player loses a gaming chip or a lottery and/or prize game ticket, he/she shall not have the right to submit a claim to the organizer of lotteries, games of chance and prize games, unless otherwise provided for by the conditions (regulations) of arrangement.
3. Claims relating to the organization of games shall be accepted within the time limits provided for by the conditions (regulations) of arrangement and/or by the rules of the systemic-electronic game. — Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011

## Article 31

1. The lottery organizer shall be obliged, in order to obtain consent for arranging a game, to apply to the Revenue Service 2 weeks before arranging it and to submit to it the following documents: a) for arranging a draw lottery:

a.a) the conditions (regulations) for arranging the draw lottery, which must include: the general rules of the game, the start date of the lottery, the final time limit and place for the payment of winnings, the price of a ticket, the procedure and time limit for examining a claim, and the number and numbering of the tickets to be printed;

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a.b) a contract between the lottery organizer and the person that produces the tickets of the draw lottery, indicating the number and numbering of the tickets to be produced, except where the tickets of the draw lottery are produced by the lottery organizer;

a.c) a sample of the ticket of the draw lottery;

b) for arranging an instant lottery:

b.a) the conditions (regulations) for arranging the instant lottery, which must include: the general rules of the game, the start date of the lottery, the final time limit and place for the payment of winnings, the price of a ticket, the procedure and time limit for examining a claim, the number and numbering of the tickets to be printed, the amount of the prize fund, and a list, the number and the unit value of the prizes;

b.b) a contract between the lottery organizer and the person that produces the tickets of the instant lottery, indicating the number and numbering of the tickets to be produced, except where the tickets of the instant lottery are produced by the lottery organizer;

b.c) a sample of the ticket of the instant lottery.

2. The lottery organizer shall be obliged to notify the Revenue Service in writing 3 days in advance of any other change (change of director or legal address, printing of an additional number of tickets, and others) that does not entail a material change to the game.
3. The lottery organizer shall be obliged to ensure the publicity of the rules of the game and their unimpeded provision to players, as well as the creation of a commission that will ensure the drawing of the prize fund in compliance with, and in accordance with, the conditions (regulations) of arrangement. That commission must consist of not less than 3 invited members independent of the lottery organizer.
4. The lottery organizer shall be obliged to submit to the Revenue Service, within 5 working days, information on the course and results of the draw.
5. An instant lottery may be arranged for a period of not more than 2 years. — Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358 — Law of Georgia No. 5169 of 28 October 2011, website, 11.11.2011 — Law of Georgia No. 5385 of 8 June 2016, website, 17.06.2016

## Article 31<sup>1</sup>

1. For the purpose of examining issues relating to lotteries and taking the relevant recommendatory decision, a Council for Examining Issues Relating to Lotteries (hereinafter — the Council) shall be created at the Ministry of Finance of Georgia, the composition and regulations of which shall be approved by an individual administrative-legal act of the Minister of Finance of Georgia.
2. The regulations of the Council shall define the procedures for the examination of an issue by the Council, including the measures to be carried out in preparation for the Council's sessions, the replacement of Council members, the conduct of the Council's sessions, voting, and other matters.
3. The composition of the Council must include employees of the systems of the Ministry of Finance of Georgia, the Ministry of Justice of Georgia, the Ministry of Economy and Sustainable Development of Georgia and the Ministry of Culture, Sport and Youth of Georgia, as well as, by decision of the Minister of Finance of Georgia — other persons. — Law of Georgia No. 3045 of 4 May 2010, LHG I, No. 24, 10.05.2010, Art. 164 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011 — Law of Georgia No. 6052 of 24 April 2012, website, 27.04.2012 — Law of Georgia No. 4554 of 25 November 2015, website, 08.12.2015 — Law of Georgia No. 1638 of 7 December 2017, website, 14.12.2017 —

## Article 32

1. It is prohibited for citizens of Georgia under 25 years of age and foreign citizens/stateless persons under 18 years of age to enter a place where a game of chance and/or a prize game (except for a promotional draw) is arranged in order to play, and/or to participate in the game (including in a game of chance and/or a prize game arranged in systemic-electronic form). The game organizer shall be obliged to request from a person who has entered the place where a game of chance and/or a prize game is arranged a copy, in material or electronic form, of an identity document or another document confirming the person's identity and identification data issued in accordance with legislation, and, by means of that document, to ensure the verification of the age of the person who has entered the place where the game of chance and/or prize game is arranged.

1<sup>1</sup>. It is prohibited to admit persons entered in the list of addicted persons and the list of prohibited persons to a place where a game of chance and/or a prize game (except for a promotional draw) is arranged in order to play and/or to participate in the game (including in a game of chance or a prize game arranged in systemic-electronic form).

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1. Personal data on persons entered in the list of addicted persons and the list of prohibited persons shall be processed by the Revenue Service. For the purposes of paragraph 1<sup>1</sup> of this Article, the Revenue Service shall provide the game organizer, on the basis of its request, with information only on the prohibition of participation in the game in respect of each specific person wishing to participate in the game.
2. It is prohibited to sell and/or otherwise distribute a lottery ticket to a person under 18 years of age and to pay out winnings to such a person. 3. Information obtained on the basis of this Article shall be stored, in accordance with the legislation of Georgia, for 5 years in a specially created electronic database/archive. This information is confidential and its transfer to a third party is permitted only in the cases provided for by the legislation of Georgia. — Law of Georgia No. 5180 of 3 July 2007, LHG I, No. 28, 18.07.2007, Art. 277 — Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358 — Law of Georgia No. 4127 of 17 December 2010, LHG I, No. 75, 27.12.2010, Art. 487 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011 — Law of Georgia No. 6052 of 24 April 2012, website, 27.04.2012 — Law of Georgia No. 5385 of 8 June 2016, website, 17.06.2016 — Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020 — Law of Georgia No. 1185 of 22 December 2021, website, 28.12.2021

## Article 33

1. Casino tables, club tables, gaming machines and other gaming equipment used for a game may be owned or used by the organizer of the game of chance.
2. The use of a casino table or a club table for a game is permitted only where a distinguishing marking (factory number) exists on that table.
3. The use of a gaming machine for a game is permitted only where a distinguishing marking (factory number) and the device necessary for carrying out control electronically exist on that machine. — [Law of Georgia No. 2237 of 9 December 2005, LHG I, No. 54, 20.12.2005, Art. 357](#) — [Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358](#) — [Law of Georgia No. 6052 of 24 April 2012, website, 27.04.2012](#) — [Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020](#)

## Article 34

The taxation and accounting of the activities of lotteries, games of chance and prize games shall be carried out in accordance with the legislation of Georgia. — [Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011](#)

## Article 35

1. It is not permitted to arrange lotteries, games of chance and prize games (except for promotional draws), or to sell/distribute tickets of lotteries, games of chance and prize games (except for promotional draw tickets), in children's, medical and educational institutions, religious buildings, children's sanatoriums, libraries, museums, the administrative buildings of state authorities and municipal bodies, and also in places (territorial zones, buildings/structures) prohibited by a decision of the relevant municipal body. 2. The relevant municipal body shall be entitled to define those places (territorial zones, buildings/structures) where the arranging of games of chance and prize games (except for promotional draws) is possible, other than the places (territorial zones, buildings/structures) provided for by paragraph 1 of this Article. — [Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358](#) — [Law of Georgia No. 4127 of 17 December 2010, LHG I, No. 75, 27.12.2010, Art. 487](#) — [Law of Georgia No. 6963 of 15 July 2020, website, 28.07.2020](#)

## Article 36

The Ministry of Finance of Georgia shall be obliged to establish control over the fulfilment of the requirements of all paragraphs of this Law and of the rules (regulations) of the draws. — [Law of Georgia No. 2237 of 9 December 2005, LHG I, No. 54, 20.12.2005, Art. 357](#)

Chapter IV<sup>1</sup>. The Selected Person

— [Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020](#)



Article 36<sup>1</sup>

1. On the basis of the contract concluded between the Revenue Service and the selected person, the selected person shall be obliged to implement the electronic system for the control of the gambling business and to ensure its operation, in accordance with the procedure established by the Minister of Finance of Georgia.
2. The electronic system for the control of the gambling business provided for by paragraph 1 of this Article shall control the fulfilment of the permit conditions and of the requirements of the legislation of Georgia by the organizer of a gaming machine, the organizer of a game of chance and/or a prize game arranged in systemic-electronic form (except for a promotional draw), and the organizer of a totalizator.
3. The contract provided for by paragraph 1 of this Article shall be concluded for a period of not more than 15 years.
4. The rights and obligations of the Revenue Service and the selected person shall be defined by the contract concluded between them.
5. The selected person's server must be located on the territory of Georgia.
6. The Minister of Finance of Georgia shall establish the requirements for the electronic system for the control of the gambling business.
7. The Government of Georgia shall be entitled to establish additional requirements/obligations for a game organizer and a supplier of games of chance and/or prize games for the purpose of implementing and operating the electronic control system. Failure by the game organizer or the supplier of games of chance and/or prize games to comply with these requirements/obligations shall be deemed a violation of the permit conditions.
8. If, in the case of arranging/organizing a totalizator in systemic-electronic form, the permit applicant/permit holder uses for its activities a system created with its own resources, the selected person must inspect this system and must issue an authorization certificate, in accordance with the standards/requirements introduced/established by a legal act of the Minister of Finance of Georgia.
9. The rule and conditions for the issuance of an authorization certificate shall be established by a legal act of the Minister of Finance of Georgia.
10. The permit applicant/permit holder shall be obliged to pay the fee/fees for the initial research (inspection) by the selected person of the online gaming system of the permit applicant, the game organizer, or the supplier of games of chance and/or prize games and for the issuance of the relevant authorization certificate; for the device/equipment and the control/monitoring system to be placed at the game organizer and/or the supplier of games of chance and/or prize games and at its contractor/agent, as well as for its installation; for the operation of the electronic control system (operating fee); and for the supply of a POS terminal to the organizer of a totalizator.



11. The types and amounts of the fee/fees payable to the selected person, and the periodicity and procedure of payment, shall be determined by a legal act of the Government of Georgia. — Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020

## Chapter V. Liability for Violation of This Law

### Article 37

1. Liability for violation of this Law shall be determined by the legislation of Georgia.
2. Failure by persons arranging games of chance and/or prize games or supplying games of chance and/or prize games to comply with the requirements established by this Law constitutes a violation of the permit conditions and shall result in the imposition of liability on them in accordance with Article 34 of the Law of Georgia "On Licences and Permits".
3. The counterfeiting of lottery tickets or of other documents confirming participation in prize games shall be punishable under the legislation of Georgia. — Law of Georgia No. 2237 of 9 December 2005, LHG I, No. 54, 20.12.2005, Art. 357 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011 — Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020

### Article 37<sup>1</sup>

For failure by a permit holder to comply with the permit conditions provided for by this Law, the amount of the fine provided for by Article 34 of the Law of Georgia "On Licences and Permits", according to the types of permit, shall be: a) in respect of persons holding a permit for arranging a casino — GEL 7,000; b) in respect of persons holding a permit for arranging a casino, where the time limit for the payment of the permit fee is violated — GEL 20,000;

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- c) in respect of persons holding a permit for arranging a totalizator — GEL 2,000;
- d) in respect of persons holding a permit for arranging a totalizator, where the time limit for the payment of the permit fee is violated — GEL 10,000;
- e) in respect of persons holding a permit for arranging a gaming machine salon — GEL 1,000; f) in respect of persons holding a permit for arranging a gaming machine salon, where the time limit for the payment of the permit fee is violated — GEL 10,000;
- g) in respect of persons holding a permit for arranging lotto — GEL 1,000;
- h) in respect of persons holding a permit for arranging lotto, where the time limit for the payment of the permit fee is violated — GEL 2,000;
- i) in respect of persons holding a permit for arranging bingo — GEL 1,000;

- j) in respect of persons holding a permit for arranging bingo, where the time limit for the payment of the permit fee is violated — GEL 2,000;
- k) in respect of persons holding a permit for arranging a promotional draw — GEL 1,000;
- l) in respect of the lottery organizer and the game organizer, where the obligation provided for by subparagraph "l" of paragraph 1 of Article 29 of this Law is violated — GEL 1,000;
- m) in respect of persons holding a permit for arranging a gambling club — GEL 2,000;
- n) in respect of the holder of a permit for arranging a gambling club, where it violates the time limit for the payment of the permit fee — GEL 10,000;
- o) in respect of the holder of a permit for the supply of games of chance and/or prize games — GEL 2,000;
- p) in respect of the holder of a permit for the supply of games of chance and/or prize games, where it violates the time limit for the payment of the permit fee — GEL 10,000. — Law of Georgia No. 2237 of 9 December 2005, LHG I, No. 54, 20.12.2005, Art. 357 — Law of Georgia No. 5180 of 3 July 2007, LHG I, No. 28, 18.07.2007, Art. 277 — Law of Georgia No. 4933 of 24 June 2011, website, 30.06.2011 — Law of Georgia No. 5246 of 8 November 2011, website, 22.11.2011 — Law of Georgia No. 5448 of 9 December 2011, website, 22.12.2011 — Law of Georgia No. 6052 of 24 April 2012, website, 27.04.2012 — Law of Georgia No. 6487 of 25 June 2020, website, 02.07.2020

## Article 37<sup>2</sup>

1. The Revenue Service shall be entitled to establish control over the fulfilment of the conditions defined by the contract by the person that has won a tender organized by the Ministry of Finance of Georgia in accordance with this Law — the person holding the exclusive right to organize and conduct a lottery. For this purpose, the state of fulfilment of the conditions defined by this Law, by other normative acts and by the contract concluded with the Ministry of Finance of Georgia may be inspected at any time. The procedure for inspection shall be determined by a normative act of the Minister of Finance of Georgia.
- 1<sup>1</sup>. The lottery organizer shall be obliged to ensure the provision to the Revenue Service of the information necessary for carrying out control.
2. The organization and/or arranging of a lottery by an unauthorized person shall result in a fine of GEL 50,000 being imposed on it.
3. Each subsequent organization and/or arranging of a lottery by an unauthorized person shall result in a fine of GEL 150,000 being imposed on it. — Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358 — Law of Georgia No. 5385 of 8 June 2016, website, 17.06.2016

## Article 37<sup>3</sup>

1. An unauthorized person shall be fined by the Revenue Service for the acts provided for by paragraphs 2 and 3 of Article 37<sup>2</sup> of this Law.

2. The procedure and conditions for detecting the organization and/or arranging of a lottery by an unauthorized person and for imposing a fine on it shall be determined by an order of the Minister of Finance of Georgia. — Law of Georgia No. 2332 of 15 December 2009, LHG I, No. 47, 28.12.2009, Art. 358

## Chapter VI. Transitional Provisions

### Article 38

#### 1. (Deleted).

2. Licences issued on the basis of legislation before the entry into force of this Law (except for casinos and lotteries) shall be subject to conversion into permits within 3 months from the entry into force of this Law, while licences and permits issued for arranging casinos shall be valid until 1 January 2006, after which permits for arranging a casino shall be issued in accordance with this Law and paragraph 10 of Article 7 of the Law of Georgia "On Licence and

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Permit Fees"; the holders of licences and permits issued for organizing lotteries shall retain the right to conduct a lottery for two months from the sending of the notification by the Ministry of Finance of Georgia on the identification of the winner of the tender.

3. A licence holder (except for casinos and lotteries) shall be obliged to submit to the Ministry of Finance of Georgia, within the period established by paragraph 2 of this Article, an application for the conversion of the licence into a permit, the licence, as well as the additional documentation established by this Law and an updated version of those documents whose period of validity has expired.
4. The Ministry of Finance of Georgia shall examine the documentation in connection with the obligation established by paragraph 2 of this Article and shall issue a permit (except for casinos and lotteries), taking into account the requirements of this Law. In this case, the licence holder shall be obliged to pay only the difference between the amount of the fee paid when obtaining the licence and the amount of the fee established by law for obtaining a permit for that activity.
5. Where the requirements provided for by paragraphs 2, 3 and 4 of this Article are not fulfilled, licences issued before the entry into force of this Law shall be deemed invalid.
6. The period of validity of permits issued before the entry into force of this Law (except for casinos and lotteries) shall be determined as 1 year from the issuance of the permit. 7. Before 1 September 2007, the Ministry of Finance of Georgia shall ensure that the organizers of lotteries, games of chance and other prize games are informed of the additional permit conditions established by this Law.
7. Before 1 September 2007, the Ministry of Internal Affairs of Georgia shall ensure the determination of video surveillance systems for the places and external perimeters of games of chance and other prize games (except for promotional draws) and of the procedure for their installation and operation.

8. The holder of a permit for arranging a casino issued before the entry into force of this paragraph shall be obliged, no later than 1 month from the entry into force of this paragraph, to ensure the fulfilment of the requirement established by paragraph 1<sup>2</sup> of Article 19 of this Law. — Law of Georgia No. 2610 of 28 December 2005, LHG I, No. 59, 31.12.2005, Art. 450 — Law of Georgia No. 5180 of 3 July 2007, LHG I, No. 28, 18.07.2007, Art. 277 — Law of Georgia No. 1126 of 24 March 2009, LHG I, No. 6, 26.03.2009, Art. 22 — Law of Georgia No. 4083 of 22 July 2015, website, 31.07.2015

## **Article 39**

Control over the fulfilment of the legislative norms of Georgia by the holders of licences, as well as permits, issued for organizing lotteries, games of chance and prize games before the entry into force of this Law shall be carried out, within the scope of its competence, by the Ministry of Finance of Georgia.

## **Article 39<sup>1</sup>**

The Minister of Finance of Georgia shall ensure the creation of the Council provided for by Article 31<sup>1</sup> of this Law and the approval of its regulations no later than 1 June 2010. — Law of Georgia No. 3045 of 4 May 2010, LHG I, No. 24, 10.05.2010, Art. 164

## **Article 39<sup>2</sup>**

The Minister of Finance of Georgia shall determine the procedure for the refund of the service fee provided for by paragraph 6 of Article 11<sup>1</sup> of this Law no later than 1 January 2011. — Law of Georgia No. 4063 of 15 December 2010, LHG I, No. 74, 24.12.2010, Art. 455

## **Chapter VII. Final Provisions**

### **Article 40**

This Law shall enter into force upon its publication.

**President of Georgia M. Saakashvili — Tbilisi,**

25 March 2005. No. 1180-Is

040.170.310.05.001.001.755

<http://www.matsne.gov.ge>

Of the Government of Georgia

## **Resolution No. 69**

**15 February 2022**

Tbilisi

# On Approving the List of Critical Products and Services

## Article 1

In accordance with subparagraph "cc" of Article 3 of the Law of Georgia "On Arranging Lotteries, Games of Chance and Prize Games" and paragraph 1 of Article 2 of the Law of Georgia No. 1083-VIms-Xmp of 14 December 2021 "On Amending the Law of Georgia 'On Arranging Lotteries, Games of Chance and Prize Games'", the attached "List of Critical Products and Services" shall be approved.

## Article 2

The Resolution shall enter into force upon its publication and shall extend to relations arising from 1 February 2022.

### Prime Minister

Irakli Garibashvili

## List of Critical Products and Services

1. Critical products/services are:

- a) a game of chance arranged in systemic-electronic form;
- b) a prize game arranged in systemic-electronic form;
- c) a game used in gaming machines;
- d) a random number generation platform;
- e) a management system and each of the following functional components (modules) thereof:
  - e.a) User Management;
  - e.b) Data Protection;
  - e.c) Gaming Equipment Management;
  - e.d) Data Exchange with Gaming Equipment;
  - e.e) Data Storage and Data Processing/Composing of Reports;
  - e.f) User Interface;
  - e.g) Reliability Measures;
  - e.h) Progressive Module;

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- e.i) Player Management;
- e.j) Card Management;
- e.k) TiTo Handling (management of vouchers issued and received);
- e.l) Prize Management;
- e.m) Additional Promo-actions;
- e.n) Cash Desk Management;
- e.o) Registration and Control;
- e.p) Features — Floor Monitor, Event Analysis, Real Time Report, the so-called Slip Printer;
- e.q) Management Reports;
- e.r) CRM (receptionist assistant);
- e.s) CashDesk Assistant;
- e.t) Pit/Management Assistant;
- e.u) HR (human resources management assistant);
- f) a systemic-electronic gaming platform and each of its components:
  - f.a) the main system (Core system);
  - f.b) the internal control panel (CORE back office);
  - f.c) Casino Engine;
  - f.d) the payment methods system;
  - f.e) the reporting system;
  - f.f) the integration module;
- g) a remote gaming server;
- h) a remote gaming system/platform;
- i) a totalizator system;
- j) the server(s) to be used/used in operational activities by a game organizer for the purpose of arranging a game of chance and/or a prize game and/or of supporting the activities carried out/to be carried out within the framework of the permit;

k) the server(s) to be used/used by a supplier of games of chance and/or prize games for the purposes of supplying games of chance and/or prize games and/or critical products/services to a game organizer and/or to a person outside the territory of Georgia, on the basis of a permit for the supply of games of chance and/or prize games issued in accordance with the Law of Georgia "On Licences and Permits";

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l) servers on which the outcome of a game of chance and/or a prize game is determined;

m) a gaming machine and each of the following critical components thereof:

m.a) the gaming machine cabinet;

m.b) the jackpot platform;

m.c) the Game Authentication Terminal (GAT) protocol;

m.d) the logic board;

m.e) the central processing unit (CPU);

m.f) random access memory (RAM);

m.g) the graphics processing unit (GPU);

m.h) the data storage medium (EPROM);

m.i) the hard disk;

m.j) the memory card (SD card);

m.k) controllers;

m.l) peripheral devices;

n) electronic table games;

o) a physical device intended for connecting to a gaming machine and for changing protocols/for managing the gaming machine and/or the information/configuration obtained by using it (the so-called eBox);

p) the architecture of the game;

## **q) the combination lines of the game;**

r) the supply of a website intended for organizing and/or supplying a game of chance and/or a prize game and/or critical products services, web hosting, and remote technical servicing of programs and devices;

s) software intended for organizing and/or supplying a game of chance and/or a prize game and/or critical products services, and the relevant updates; t) the organization of the arranging of a game of chance and/or

a prize game, which means the supply of images, texts and/or information of games of chance and/or prize games (including in real time (live broadcast)) and/or the supply of any critical products/services in any direct and/or indirect form, which in any form may influence and/or does influence the outcomes of games of chance and/or prize games with or without the participation of the supplier of games of chance and/or prize games;

u) the transfer of patents, licences, copyright or other similar intangible assets concerning the organization and/or supply of a game of chance and/or a prize game and/or critical products services;

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v) services accompanying and auxiliary to the service of organizing and/or supplying a game of chance and/or a prize game and/or critical products services, including the operation of servers and devices;

w) remote administration of the system for the purposes of the service of organizing and/or supplying a game of chance and/or a prize game and/or critical products services.

2. Critical products/services shall also include a device/installation/service having content and functional purpose identical to those described for the critical products/services listed in paragraph 1 of this List, irrespective of the name/information indicated by the manufacturer and/or the permit holder/applicant.

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## **GLI STANDARD SERIES**

### **GLI-19:**

## **STANDARDS FOR INTERACTIVE GAMING SYSTEMS**

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**VERSION: 3.0**

**REVISION DATE: JULY 17, 2020**



## About This Standard

**Gaming Laboratories International, LLC (GLI)** has developed this technical standard for the purpose of providing independent technical analysis and/or certifications to gaming industry stakeholders indicating the state of compliance for gaming operations and systems with the requirements set forth herein.

Operators and suppliers are expected to provide documentation, credentials, and associated access to a production equivalent test environment with a request to the independent testing laboratory that it be evaluated in accordance with this technical standard. Upon the successful completion of testing, the independent testing laboratory will provide a certificate of compliance evidencing the certification to this standard.

GLI-19 should be viewed as a living document that will be tailored periodically to align with this developing industry over time as gaming implementations and operations evolve.



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## Chapter 1: Introduction to Interactive Gaming Systems

### 1.1 Introduction

#### 1.1.1 General Statement

**Gaming Laboratories International, LLC (GLI)** has been testing gaming equipment since 1989. Over the years, GLI has developed numerous technical standards utilized by jurisdictions all over the world. This document, *GLI-19*, sets forth the technical standards for Interactive Gaming Systems.

#### 1.1.2 Document History

This document is a compilation based upon many standards documents from around the world. Some were written by GLI; others were written by industry regulators with input from independent test laboratories and Interactive Gaming System operators, developers, and suppliers. GLI has taken each of the standards documents and merged the unique rules, eliminated some rules and updated others, to reflect both the change in technology and the purpose of maintaining an objective standard that achieves common regulatory objectives without unnecessarily impeding technological innovation. GLI lists below, and gives credit to, agencies whose documents were reviewed prior to writing this Standard. It is the policy of GLI to update this document as often as warranted to reflect changes in technology and/or testing methods. This document will be distributed without charge and may be obtained by downloading it from the GLI website at [www.gaminglabs.com](http://www.gaminglabs.com) or by contacting GLI at:

**Gaming Laboratories International, LLC.**

600 Airport Road  
Lakewood, NJ 08701  
Phone: (732) 942-3999  
Fax: (732) 942-0043

### 1.2 Acknowledgment of Other Standards Reviewed

#### 1.2.1 General Statement

This technical standard has been developed by reviewing and using portions of documents from the following organizations. GLI acknowledges and thanks the regulators and other industry participants who have assembled these documents:

- a) Nevada Gaming Commission and Gaming Control Board.
- b) British Columbia Gaming Policy and Enforcement Branch (GPEB).
- c) Tasmanian Liquor and Gaming Commission.
- d) Danish Gambling Authority.
- e) Spanish Directorate General for the Regulation of Gambling (DGOJ).
- f) Alderney Gambling Control Commission.

- g) Lottery and Gaming Authority, Malta.
- h) United Kingdom Gambling Commission.
- i) World Lottery Association (WLA).

## **1.3 Purpose of Technical Standards**

### **1.3.1 General Statement**

The purpose of this technical standard is as follows:

- a) To eliminate subjective criteria in analyzing and certifying Interactive Gaming Systems.
- b) To test the criteria that impact the credibility and integrity of Interactive Gaming Systems from both the revenue collection and player's perspective.
- c) To create a standard that will ensure interactive gaming is fair, secure, and able to be audited and operated correctly.
- d) To distinguish between local public policy and Independent Test Laboratory criteria. It is up to each local jurisdiction to set its own public policy with respect to gaming.
- e) To recognize that the evaluation of internal control systems (such as Anti-Money Laundering, Financial and Business processes) employed by the operators of the Interactive Gaming System should not be incorporated into the laboratory testing of the standard but instead be included within the operational audit performed for local jurisdictions.
- f) To construct a standard that can be easily revised to allow for new technology.
- g) To construct a standard that does not specify any particular design, method, or algorithm. The intent is to allow a wide range of methods to be used to conform to the standards, while at the same time encourage new methods to be developed.

### **1.3.2 No Limitation of Technology**

One should be cautioned that this document shall not be read in such a way that limits the use of future technology. This document should not be interpreted to mean that if the technology is not mentioned, then it is not allowed. To the contrary, GLI will review this standard and make changes to incorporate minimum standards for any new and related technology.

### **1.3.3 Adoption and Observance**

This technical standard can be adopted in whole or in part by any regulatory body that wishes to implement a comprehensive set of requirements for Interactive Gaming Systems.

## **1.4 Other Documents That May Apply**

### **1.4.1 Other GLI Standards**

This technical standard covers the requirements for Interactive Gaming Systems. Depending on the technology utilized by a system, additional GLI technical standards may also apply.

**NOTE:** The entire family of GLI Standards is available free of charge at [www.gaminglabs.com](http://www.gaminglabs.com).

### 1.4.2 Minimum Internal Control Standards (MICS)

The implementation of an Interactive Gaming System is a complex task, and as such will require the development of internal processes and procedures to ensure that the system is configured and operated with the necessary level of security and control. To that end, it is expected that a set of Minimum Internal Control Standards (MICS) will be established to define the internal processes for the management and handling of games as well as the requirements for internal control of any system or component software and hardware, and their associated accounts.

## 1.5 Interpretation of this Document

### 1.5.1 General Statement

This technical standard applies to systems that support interactive gaming and is intended to be general in nature and not limit or authorize specific game types and functionalities. The intent is to provide a framework to cover those currently known and permitted by law. This document is not intended to define which parties are responsible for meeting the requirements of this technical standard. It is the responsibility of the stakeholders of each operator to determine how to best meet the requirements laid out in this document.

**NOTE:** This technical standard does NOT apply to systems that support wagering on sports, competitions, matches, and other event types using an Event Wagering System. For detailed standards applicable to these systems, please reference the *GLI-33 Standards for Event Wagering Systems*.

### 1.5.2 Software Suppliers and Operators

The components of an Interactive Gaming System, although they may be constructed in a modular fashion, are designed to work seamlessly together. In addition, Interactive Gaming Systems may be developed to have configurable features; the final configuration of which depends on the options chosen by the operator. From a testing perspective, it might not be possible to test all of the configurable features of an Interactive Gaming System submitted by a software supplier in the absence of the final configuration chosen by the operator; however, the configuration that will be utilized in the production environment shall be communicated to the independent test laboratory to facilitate creating a functionally equivalent test environment. Because of the integrated nature of an Interactive Gaming System, there are several requirements in this document which may apply to both operators and suppliers. In these cases, where testing is requested for a “white-label” version of the system, a specific configuration will be tested and reported.

## 1.6 Testing and Auditing

### 1.6.1 Laboratory Testing

The independent test laboratory will test and certify the components of the Interactive Gaming System in accordance with the chapters of this technical standard within a controlled test environment, as applicable. Any of these requirements which necessitate additional operational



procedures to meet the intent of the requirement shall be documented within the evaluation report and used to supplement the scope of the operational audit.

### 1.6.2 Operational Audit

The integrity and accuracy of the operation of an Interactive Gaming System is highly dependent upon operational procedures, configurations, and the production environment's network infrastructure. As such, an operational audit is an essential addition to the testing and certification of an Interactive Gaming System. The operational audit, outlined within the following appendices of this technical standard, shall be performed at a frequency specified by the regulatory body:

- a) Appendix A: Operational Audit for Gaming Procedures and Practices. This includes, but is not limited to, review of the internal controls, procedures and practices for gaming operations, including, but not limited to establishing gaming rules, managing games, handling various gaming and financial transactions, creating and managing progressive jackpots, creating and managing incrementing jackpots, player account management, fundamental practices relevant to the limitation of risks, and any other objectives established by the regulatory body.
- b) Appendix B: Operational Audit for Technical Security Controls. This includes, but is not limited to, a review of the operational processes that are critical to compliance, penetration testing focused on the external and internal infrastructure as well as the applications transferring, storing and/or processing of personally identifiable information (PII) and/or other sensitive information, and any other objectives established by the regulatory body.
- c) Appendix C: Operational Audit for Service Providers. This includes the assessment of providers of particular services, which may be offered directly by the operator or involve the use of third-party service providers, including, but not limited to evaluation of information security services, cloud services, payment services (financial institutions, payment processors, etc.), location services, live game services, and any other services which may be offered directly by the operator or involve the use of third-party service providers.



## Chapter 2: Platform/System Requirements

### 2.1 Introduction

#### 2.1.1 General Statement

If the Interactive Gaming System is comprised of multiple computer systems at various sites, the system as a whole and all communication between its components shall conform to the applicable technical requirements within this document.

### 2.2 System Clock Requirements

#### 2.2.1 System Clock

The Interactive Gaming System shall maintain an internal clock that reflects the current date and time that shall be used to provide for the following:

- a) Time stamping of all transactions and games;
- b) Time stamping of significant events; and
- c) Reference clock for reporting.

#### 2.2.2 Time Synchronization

The Interactive Gaming System shall be equipped with a mechanism to ensure the time and dates between all components that comprise the system are synchronized and set correctly.

### 2.3 Control Program Requirements

#### 2.3.1 General Statement

In addition to the requirements contained within this section, the “Verification Procedures” section of this document shall also be met.

#### 2.3.2 Control Program Self-Verification

The Interactive Gaming System shall be capable of verifying that all critical control program components contained on the system are authentic copies of the approved components of the system, at least once every twenty-four hours and on demand using a method approved by the regulatory body. The critical control program authentication mechanism shall:

- a) Employ a cryptographic hash algorithm which produces a message digest of at least 128 bits. Other test methodologies shall be reviewed on a case-by-case basis;
- b) Include all critical control program components which may affect gaming operations, including but not limited to executables, libraries, gaming or system configurations, operating system files, components that control required system reporting, and database elements that affect

- system operations; and
- c) Provide an indication of the authentication failure if any critical control program component is determined to be invalid.

### **2.3.3 Control Program Independent Verification**

Each critical control program component of the Interactive Gaming System shall have a method to be verified via an independent third-party verification procedure. The third-party verification process shall operate independently of any process or security software within the system. The independent test laboratory, prior to system approval, shall evaluate the integrity check method.

## **2.4 Gaming Management**

### **2.4.1 Gaming Management**

The Interactive Gaming System shall be able to disable the following on demand:

- a) All gaming activity;
- b) Individual game themes/paytables or versions (e.g., desktop, mobile, tablet, etc.); and
- c) Individual player logins.

### **2.4.2 Changes to Jackpot Parameters**

The following requirements apply to modifying progressive jackpot or incrementing jackpot parameter values once the current jackpot's payoff has already had player contributions to it and without requiring it to be decommissioned:

- a) For jackpots with a configurable increment rate which affects the return to player (RTP) of the game(s), changes to the increment rate may not take effect until the current jackpot is won;
- b) For jackpots with a configurable ceiling which does not affect the RTP of the game(s), changes to the ceiling may only be to a value greater than the current payoff. Alternatively, changes to the ceiling may not take effect until the current jackpot is won;
- c) Changes to the parameters shall not affect the probabilities of triggering the current jackpot;
- d) For mystery-triggered jackpots which use a hidden trigger amount to determine the jackpot win:
  - i. The hidden trigger amount shall be reselected when modifying any parameters that could result in an immediate trigger due to the modification; and
  - ii. The reselected amount shall be in the range of the current payoff to the ceiling and shall not result in a trigger without any contribution after the modification.

### **2.4.3 Jackpot Modifications**

The Interactive Gaming System shall contain a secure means for transferring or combining contributions from a decommissioned jackpot (and any overflow or diversion pools specific to that jackpot), correcting errors with a jackpot, or any other reasons required by the regulatory body.

## 2.5 Player Account Management

### 2.5.1 General Statement

Player account registration and verification are required by the Interactive Gaming System for a player to participate in interactive gaming. In addition to the requirements contained within this section, the “Player Account Controls” section of this document shall also be met.

### 2.5.2 Registration and Verification

There shall be a method to collect player’s personally identifiable information (PII) prior to the registration of a player account. Where player account registration and verification are supported by the Interactive Gaming System either directly by the system or in conjunction with a third-party service provider’s software, the following requirements shall be met:

- a) Only players of the legal gaming age for the jurisdiction may register for a player account. During the registration process, the player shall:
  - i. Be denied the ability to register for a player account if they submit a birth date which indicates that they are underage;
  - ii. Be informed on the registration form which information fields are “required”, which are not, and what will be the consequences of not filling in the required fields;
  - iii. Agree to the terms and conditions and privacy policy;
  - iv. Acknowledge that they are prohibited from allowing any unauthorized person to access or use their player account;
  - v. Consent to the monitoring and recording of the use of their player account by the operator and the regulatory body; and
  - vi. Affirm that the PII the player is providing to open the player account is accurate.
- b) Identity verification shall be undertaken before a player is allowed to play a game. Third-party identity verification service providers may be used for identity verification as allowed by the regulatory body.
  - i. Identity verification shall authenticate the legal name, residential address, and date of birth of the individual at a minimum as required by the regulatory body.
  - ii. Identity verification shall also confirm that the player is not on any exclusion lists held by the operator or the regulatory body or prohibited from establishing or maintaining an account for any other reason.
  - iii. Details of identity verification shall be kept in a secure manner.
- c) The player account can only become active once age and identity verification are successfully completed, the player is determined to not be on any exclusion lists or prohibited from establishing or maintaining an account for any other reason, the player has acknowledged the necessary terms and conditions and privacy policy, and the player account registration is complete.
- d) A player shall only be permitted to have one active player account at a time unless specifically authorized by the regulatory body.
- e) The system shall allow the ability to update authentication credentials, registration information and the account used for financial transactions for each player. A multi-factor authentication process shall be employed for these purposes.

### 2.5.3 Player Access

A player accesses their player account using authentication credentials, such as a username (or similar) and a password or a secure alternative means, for the player to perform authentication to log in to the Interactive Gaming System from a specific Remote Player Device. Allowable authentication credentials are subject to the discretion of the regulatory body as necessary. The requirement does not prohibit the option for more than one method of authentication being available for a player to access their account.

- a) If the system does not recognize the authentication credentials when entered, an explanatory message shall be displayed to the player which prompts the player to try again. The error message shall be the same regardless of which authentication credential is incorrect.
- b) Where a player has forgotten their authentication credentials, a multi-factor authentication process shall be employed for the retrieval or reset of their forgotten authentication credentials.
- c) Current account balance information, including any incentive credits, and transaction options shall be available to the player once authenticated. All restricted incentive credits and incentive credits that have a possible expiration shall be indicated separately.
- d) The system shall support a mechanism that allows for an account to be locked in the event that suspicious activity is detected, such as three consecutive failed access attempts in a thirty-minute period. A multi-factor authentication process shall be employed for the account to be unlocked.

**NOTE:** Where passwords are used as an authentication credential, it is recommended that they are at least eight characters in length.

### 2.5.4 Player Inactivity

After thirty minutes of inactivity on that Remote Player Device, or a period determined by the regulatory body, the player shall be required to re-authenticate to access their player account.

- a) No further games or financial transactions on that device are permitted until the player has been re-authenticated.
- b) A simpler means may be offered for a player to re-authenticate on that device, such as operating system-level authentication (e.g., biometrics) or a Personal Identification Number (PIN). Each means for re-authentication will be evaluated on a case-by-case basis by the independent test laboratory.
  - i. This functionality may be disabled based on preference of the player and/or regulatory body.
  - ii. Once every thirty days, or a period specified by the regulatory body, the player will be required to provide full authentication on that device.

### 2.5.5 Limitations and Exclusions

The Interactive Gaming System shall be able to correctly implement any limitations and/or exclusions put in place by the player and/or operator as required by the regulatory body:

- a) Where the system provides the ability to directly manage limitations and/or exclusions, the applicable requirements within the “Limitations” and “Exclusions” sections of this document shall be evaluated;
- b) The self-imposed limitations set by a player shall not override more restrictive operator-imposed limitations. The more restrictive limitations shall take priority; and
- c) Limitations shall not be compromised by internal status events, such as self-imposed exclusion orders and revocations.

### **2.5.6 Financial Transactions**

Where financial transactions can be performed automatically by the Interactive Gaming System the following requirements shall be met:

- a) The system shall provide confirmation/denial of every financial transaction initiated, including
  - i. The type of transaction (deposit/withdrawal);
  - ii. The transaction value; and
  - iii. For denied transactions, a descriptive message as to why the transaction did not complete as initiated.
- b) A deposit into a player account may be made via a debit instrument transaction, credit card transaction, or other methods which can produce a sufficient audit trail.
- c) Funds shall not be available for wagering until they are received from the issuer or the issuer provides an authorization number indicating that the funds are authorized. The authorization number is to be maintained in an audit log.
- d) Payments from an account are to be paid (including funds transfer) directly to an account with a financial institution in the name of the player or made payable to the player and forwarded to the player’s address using a secure delivery service or through another method that is not prohibited by the regulatory body. The name and address are to be the same as held in player registration details.
- e) If a player initiates a financial transaction and that transaction would exceed limits put in place by the operator and/or regulatory body, this transaction may only be processed provided that the player is clearly notified that they have withdrawn or deposited less than requested.
- f) It shall not be possible to transfer funds between two player accounts.

### **2.5.7 Transaction Log or Account Statement**

The Interactive Gaming System shall be able to provide a transaction log or account statement history to a player upon request. The information provided shall include sufficient information to allow the player to reconcile the statement or log against their own financial records. Information to be provided shall include at a minimum, details on the following types of transactions within the past year or other time period as requested by the player or as required by the regulatory body:

- a) Financial Transactions (time stamped with a unique transaction ID):
  - i. Deposits to the player account;

- ii. Withdrawals from the player account;
- iii. Incentive credits added to/removed from the player account (outside of credits won in a game);
- iv. Manual adjustments or modifications to the player account (e.g., due to refunds);
- v. Any non-wager purchases (if applicable);
- b) Game History (by game theme);
  - i. The name of the game theme and game type (reel, blackjack, poker, table, etc.);
  - ii. Total amount wagered, including any incentive credits (if applicable); and
  - iii. Total amount won for completed games, including, any incentive credits and/or prizes, and any progressive jackpots and/or incrementing jackpots (if applicable).

### 2.5.8 Player Loyalty Programs

Player loyalty programs are any programs that provide incentive awards for players, typically based on the volume of play or revenue received from a player. If player loyalty programs are supported by the Interactive Gaming System, the following principles shall apply:

- a) All awards shall be equally available to all players who achieve the defined level of qualification for player loyalty points;
- b) Redemption of player loyalty points earned shall be a secure transaction that automatically debits the points balance for the value of the prize redeemed; and
- c) All player loyalty points transactions shall be recorded by the system.

## 2.6 Player Software

### 2.6.1 General Statement

Player Software is used to take part in games and financial transactions with the Interactive Gaming System which, based on design, is downloaded to or installed on the Remote Player Device, run from the Interactive Gaming System which is accessed by the Remote Player Device, or a combination of the two.

### 2.6.2 Software Identification

Player Software shall contain sufficient information to identify the software and its version.

### 2.6.3 Software Validation

For Player Software installed locally on the Remote Player Device, it shall be possible to authenticate that all critical software components are valid each time the software is loaded for use, and where supported by the system, on demand as required by the regulatory body. Critical software components may include, but are not limited to, gaming rules, pay table information, elements that control the communications between the Remote Player Device and the Interactive Gaming System, or other software components that are needed to ensure proper operation of the software. In the event of a failed authentication (i.e., program mismatch or authentication failure), the software shall prevent gaming operations and display an appropriate error message.



**NOTE:** Program verification mechanisms will be evaluated on a case-by-case basis and approved by the regulatory body and the independent test laboratory based on industry-standard security practices.

#### **2.6.4 Communications**

Player Software shall be designed or programmed such that it may only communicate with authorized components through secure communications. If communication between the Interactive Gaming System and the Remote Player Device is lost, the software shall prevent further gaming operations and display an appropriate error message. It is permissible for the software to detect this error when the device tries to communicate with the system.

#### **2.6.5 Client-Server Interactions**

The player may obtain/download an application or software package containing the Player Software or access the software via a browser to take part in gaming and financial transactions with the Interactive Gaming System.

- a) Players shall not be able to use the software to transfer data to one another, other than chat functions (e.g., text, voice, video, etc.) and approved files (e.g., user profile pictures, photos, etc.);
- b) The software shall not automatically disable any virus scanners and/or detection programs or alter any device-specified firewall rules to open ports that are blocked by either a hardware or software firewall;
- c) The software shall not access any TCP/UDP ports (either automatically or by prompting the user to manually access) which are not necessary for the communication between the Remote Player Device and the server;
- d) If the software includes additional non-gaming related functionality, this additional functionality shall not alter the software's integrity in any way;
- e) The software shall not possess the ability to override the volume settings of the Remote Player Device;
- f) The software shall not be used to store sensitive information. It is recommended that auto complete, password caching, or other methods that will fill in the password field are disabled by default for the software; and
- g) The software shall not contain any logic utilized to generate the result of any game. All critical functions including the generation of any game outcome shall be generated by the Gaming Platform and be independent of the Remote Player Device.

#### **2.6.6 Compatibility Verification**

During any installation or initialization and prior to commencing gaming operations, the Player Software used in conjunction with the Interactive Gaming System shall detect any incompatibilities or resource limitations with the Remote Player Device that would prevent proper operation of the software (e.g., software version, minimum specifications not met, browser type, browser version, plug-in version, etc.). If any incompatibilities or resource limitations are detected the software shall prevent gaming operations and display an appropriate error message.

### 2.6.7 Software Content

Player Software shall not contain any malicious code or functionality deemed to be malicious in nature by the regulatory body. This includes, but is not limited to, unauthorized file extraction/transfers, unauthorized device modifications, unauthorized access to any locally stored personal information (e.g., contacts, calendar, etc.) and malware.

### 2.6.8 Cookies

Where cookies are used, players shall be informed of the cookie use upon Player Software installation or during player registration. When cookies are required for gaming, gaming cannot occur if they are not accepted by the Remote Player Device. All cookies used shall contain no malicious code.

### 2.6.9 Information Access

In addition to the “Game Requirements” within this document, the Player Software shall be able to display, either directly from the player interface or from a page accessible to the player, the items specified in the following sections of this document:

- a) “Gaming Rules and Content”;
- b) “Player Protection Information”;
- c) “Terms and Conditions”; and
- d) “Privacy Policy”.

## 2.7 Location Requirements

### 2.7.1 General Statement

The requirements within this section shall apply for player location detection. In addition to the requirements contained within this section, the operator or third-party service provider maintaining these components, services and/or applications shall meet the operational procedures and controls indicated in the “Location Services” section of this document.

### 2.7.2 Location Fraud Prevention

The Interactive Gaming System shall incorporate a mechanism to detect the use of remote desktop software, rootkits, virtualization, and/or any other programs identified as having the ability to circumvent location detection. This shall follow best practice security measures to:

- a) Detect and block location data fraud (e.g., fake location apps, virtual machines, remote desktop programs, etc.) prior to initiating each game;
- b) Examine the IP Address upon each Remote Player Device connection to a network to ensure a known Virtual Private Network (VPN) or proxy service is not in use;
- c) Detect and block devices which indicate system-level tampering (e.g., rooting, jailbreaking, etc.);
- d) Stop “Man-In-The-Middle” attacks or similar hacking techniques and prevent code



- manipulation; and
- e) Utilize detection and blocking mechanisms verifiable to an application level.

### **2.7.3 Location Detection on a Private Network**

Where interactive gaming occurs over a private network, such as a Wireless Local Area Network (WLAN), the Interactive Gaming System shall incorporate one of the following methods that can track the locations of all players connected to the network:

- a) A location detection service or application in which each player shall pass a location check prior to initiating each game. This service or application shall meet the requirements specified in the next section for “Location Detection on a Public Network”; or
- b) A location detection component that detects in real-time when any players are no longer in the permitted boundary and prevent further games from being played. This can be accomplished with the use of specific IT hardware such as directional antennas, Bluetooth sensors or other methods to be evaluated on a case-by-case basis by the independent test laboratory.

### **2.7.4 Location Detection on a Public Network**

Where interactive gaming occurs over a public network, such as the internet, the Interactive Gaming System shall incorporate a location detection service or application to reasonably detect and dynamically monitor the location of a player attempting to play a game; and to monitor and enable the blocking of unauthorized attempts to play a game.

- a) Each player shall pass a location check prior to initiating the first game after logging in on a specific Remote Player Device. Subsequent location checks on that device shall occur prior to initiating games after detection of a change to the player’s IP Address, after a period of thirty minutes since the previous location check, or as otherwise specified by the regulatory body:
  - i. If the location check indicates the player is outside the permitted boundary or cannot successfully locate the player, the game shall not initiate, and the player shall be notified of this.
  - ii. An entry shall be recorded in a time stamped log any time a location violation is detected, including the unique player ID and the detected location.
- b) A geolocation method shall be used to provide a player’s physical location and an associated confidence radius. The confidence radius shall be entirely located within the permitted boundary.
- c) Accurate location data sources (Wi-Fi, GSM, GPS, etc.) shall be utilized by the geolocation method to confirm the player’s location. If a Remote Player Device’s only available location data source is an IP Address, the location data of a mobile device registered to the player account may be used as a supporting location data source under the following conditions:
  - i. The Remote Player Device (where the game is being played) and the mobile device shall be determined to be near one another.
  - ii. If allowed by the regulatory body, carrier-based location data of a mobile device may be used if no other location data sources other than IP Addresses are available.
- d) The geolocation method shall possess the ability to control whether the accuracy radius of the location data source is permitted to overlap or exceed defined buffer zones or the permitted

- boundary.
- e) To mitigate and account for discrepancies between mapping sources and variances in geospatial data, boundary polygons based on audited maps approved by the regulatory body as well as overlay location data onto these boundary polygons shall be utilized.
  - f) The geolocation method shall monitor and flag for investigation any games played by a single player account from geographically inconsistent locations (e.g., successive player locations were identified that would be impossible to travel between in the time reported).

## **2.8 Information to be Maintained**

### **2.8.1 Data Retention and Time Stamping**

The Interactive Gaming System shall be capable of maintaining and backing up all recorded data as discussed within this section:

- a) The system clock shall be used for all time stamping.
- b) The system shall provide a mechanism to export the data for the purposes of data analysis and auditing/verification (e.g., CSV, XLS).

### **2.8.2 Game Play Information**

For each individual game played by the player, the information to be maintained and backed up by the Interactive Gaming System shall include, as applicable:

- a) The date and time the game was played;
- b) The denomination played for the game, if a multi-denomination game type;
- c) The display associated with the final outcome of the game, either graphically or via a clear text description;
- d) The funds available for wagering at the start of play and/or at the end of play;
- e) Total amount wagered, including any incentive credits;
- f) Total amount won, including:
  - i. Any incentive credits and/or prizes; and
  - ii. Any progressive jackpots or incrementing jackpots;
- g) Any non-wager purchase that occurred between the start of play and the end of play;
- h) Rake, commission, or fees collected;
- i) The results of any player choices involved in the game outcome;
- j) The results of any intermediate game phases, such as double-up/gamble or bonus/feature games;
- k) If a progressive jackpot and/or incrementing jackpot was won, an indication that the jackpot was awarded;
- l) Any player advice that is offered to the player for games with skill;
- m) Contributions to progressive jackpots or incrementing jackpots;
- n) Relevant location information;
- o) The current status of the game (in progress, complete, interrupted, cancelled, etc.);
- p) Unique game cycle ID and/or gaming session ID (if different);
- q) Unique game theme/paytable ID; and

- r) Unique player ID.

**NOTE:** For individual games with multiple players, such information shall be recorded for each player.

### 2.8.3 Game Theme/Paytable Information

For each individual game theme and paytable available for play, the information to be maintained and backed up by the Interactive Gaming System shall include, as applicable:

- a) Unique game theme/paytable ID;
- b) Game configuration data (e.g., denominations, wager categories, etc.);
- c) The date and time the game theme/paytable was made available for play;
- d) Theoretical return to player (RTP) percentage;
- e) The number of games played;
- f) Total value of all wagers, not including:
  - i. Any incentive credits wagered; and
  - ii. Subsequent wagers of intermediate winnings accumulated during game play such as those acquired from double-up/gamble features;
- g) Total value paid as a result of winning wagers, not including:
  - i. Any incentive credits and/or prizes won; and
  - ii. Any progressive jackpots and/or incrementing jackpots won;
- h) Total value paid as a result of progressive jackpots and/or incrementing jackpots won;
- i) Total amount of incentive credits wagered;
- j) Total amount of incentive credits and/or prizes won;
- k) Total amount of wagers voided or cancelled, including any incentive credits;
- l) Total amount of non-wager purchases made in relation to the game;
- m) The number of times each jackpot is awarded;
- n) For games which support double-up/gamble features:
  - i. Total double-up/gamble amount wagered;
  - ii. Total double-up/gamble amount won;
  - iii. Number of double-up/gamble games played;
  - iv. Number of double-up/gamble games won;
- o) Total rake, commission, or fees collected;
- p) The current status of the game theme/paytable (active, disabled, decommissioned, etc.); and
- q) The date and time the game theme/paytable was or is scheduled to be decommissioned (blank until known).

### 2.8.4 Contest/Tournament Information

For Interactive Gaming Systems which support contests/tournaments, the information to be maintained and backed up by the Interactive Gaming System shall include for each contest/tournament, as applicable:

- a) Name or identification of the contest/tournament;
- b) The date and time the contest/tournament occurred or will occur (if known);
- c) Participating game theme/paytable ID(s);

- d) For each registered player:
  - i. Unique player ID;
  - ii. Amount of entry fee collected, including any incentive credits, and the date collected;
  - iii. Player scorings/rankings;
  - iv. Amount of winnings paid, including any incentive credits, and the date paid;
- e) Total amount of entry fees collected, including any incentive credits;
- f) Total amount of winnings paid to players, including any incentive credits;
- g) Total rake, commission, or fees collected; and
- h) The current status of the contest/tournament (in progress, complete, interrupted, cancelled, etc.).

### 2.8.5 Player Account Information

For each player account, the information to be maintained and backed up by the Interactive Gaming System shall include:

- a) Unique player ID and username (if different);
- b) Personally identifiable information (PII) of the player, such as:
  - i. The information collected by the operator to register a player and create the account, including, the legal name, residential address, and date of birth;
  - ii. Encrypted PII, including the government identification number (social security number, taxpayer identification number, passport number, or equivalent), authentication credential (password, PIN, etc.), and personal financial information (debit instrument numbers, credit card numbers, bank account numbers, etc.);
- c) The date and method of identity verification, including, where applicable, a description of the identification credential provided by a player to confirm their identity and its date of expiration;
- d) The date of player agreement to the operator's terms and conditions and privacy policy;
- e) Account details and current balance, including any incentive credits. All restricted incentive credits and incentive credits that have a possible expiration shall be maintained separately;
- f) Previous accounts, if any, and reason for de-activation;
- g) The date and method from which the account was registered (e.g., remote vs. on-site);
- h) The date and time of account is accessed by any person (player or operator), including IP Address;
- i) Exclusions/limitations information as required by the regulatory body:
  - i. The date and time of the request (if applicable);
  - ii. Description and reason of exclusion/limitation;
  - iii. Type of exclusion/limitation (e.g., operator-imposed exclusion, self-imposed deposit limitation);
  - iv. The date exclusion/limitation commenced;
  - v. The date exclusion/limitation ended (if applicable);
- j) Financial transaction information:
  - i. Type of transaction (e.g., deposit, withdrawal, adjustment, non-wager purchase);
  - ii. The date and time of the transaction;
  - iii. Unique transaction ID;
  - iv. Amount of transaction;
  - v. Total account balance before/after transaction;

- vi. Total amount of fees paid for transaction (if applicable);
- vii. User identification which handled the transaction (if applicable);
- viii. Transaction status (pending, complete, etc.);
- ix. Method of deposit/withdrawal (e.g., cash, personal check, cashier's check, wire transfer, money order, debit instrument, credit card, electronic funds transfer, etc.);
- x. Deposit authorization number;
- xi. Relevant location information.
- k) Persistence game information, if supported by the Interactive Gaming System:
  - i. Unique game theme/paytable ID, if tied to a particular game theme or payable;
  - ii. Game achievements, capabilities earned, or similar;
  - iii. Last save point, if play from save is supported;
- l) Identifier information, if supported by the Interactive Gaming System:
  - i. Unique game theme/paytable ID, if tied to a particular game theme or payable;
  - ii. The date and time of the transaction;
  - iii. Unique transaction ID;
  - iv. The criteria for the use of the identifier (skill level of player, subscriptions, account memberships, player tracking information, skill requirements of the game, etc.);
  - v. Type of action taken, or alteration made to the game (e.g., game rule change, payable change, or other configuration change related to game outcome); and
- m) The current status of the player account (e.g., active, inactive, closed, excluded, etc.).

### 2.8.6 Incentive Information

For Interactive Gaming Systems which support incentive awards that are redeemable for cash, wagering credits, or merchandise, the information to be maintained and backed up by the Interactive Gaming System for each incentive offered shall include, as applicable:

- a) Unique incentive offer ID;
- b) The date and time the incentive was made available;
- c) Current balance for incentive awards;
- d) Total amount of incentive awards issued;
- e) Total amount of incentive awards redeemed;
- f) Total amount of incentive awards expired;
- g) Total amount of incentive award adjustments;
- h) The current status of the incentive (active, disabled, decommissioned, etc.); and
- i) The date and time the incentive was or is scheduled to be decommissioned (blank until known).

### 2.8.7 Jackpot Information

For Interactive Gaming Systems which support progressive jackpots or incrementing jackpots, the information to be maintained and backed up by the Interactive Gaming System for each jackpot offered shall include, as applicable:

- a) Unique jackpot ID (if jackpot is not tied to a particular game theme, payable, or player);
- b) The date and time the jackpot was made available;
- c) The participating game theme/paytable ID(s);

- d) Unique Player ID(s), if the jackpot is tied to particular player(s);
- e) Current value of the jackpot (payoff);
- f) Any other pools containing jackpot contributions, as applicable:
  - i. Current value of amount exceeding ceiling, where required by the regulatory body (overflow);
  - ii. Current value of the Jackpot Diversion Scheme (diversion pool);
- g) Reset value of the current jackpot if different from startup value (reset value);
- h) Where such parameters are configurable after initial setup:
  - i. Initial value of the jackpot (startup value);
  - ii. Percentage increment rate (increment);
  - iii. Jackpot limit value (ceiling);
  - iv. Percentage increment rate after ceiling is reached (secondary increment);
  - v. Percentage increment rate for diversion pool (hidden increment);
  - vi. Diversion pool limit value (diversion limit);
  - vii. The odds of triggering the jackpot (odds);
  - viii. Any parameters which indicate time periods the jackpot is available for triggering (time limit);
  - ix. Any additional information needed to properly reconcile the jackpot;
- i) The current status of the jackpot (active, disabled, decommissioned, etc.); and
- j) The date and time the jackpot was or is scheduled to be decommissioned (blank until known).

**NOTE:** It is expected that for non-configurable parameters not maintained or backed up by the Interactive Gaming System, there will be documentation available to the operator indicating such static values.

## 2.8.8 Significant Event Information

Significant event information to be maintained and backed up by the Interactive Gaming System shall include, as applicable:

- a) Failed account access attempts, including IP Address;
- b) Program error or authentication mismatch;
- c) Significant periods of unavailability of any critical component of the system (any length of time game play is halted for all players, and/or transactions cannot be successfully completed for any user);
- d) Large wins (single and aggregate over defined time period) in excess of a value specified by the regulatory body, including game play information;
- e) Large wagers (single and aggregate over defined time period) in excess of a value specified by the regulatory body, including game play information;
- f) System voids, overrides, and corrections;
- g) Changes to live data files occurring outside of normal program and operating system execution;
- h) Changes that are made to the download data library, including the addition, changing or deletion of software, where supported;
- i) Changes to policies and parameters for operating systems, databases, networks, and applications (e.g., audit settings, password complexity settings, system security levels, manual updates to databases, etc.);
- j) Changes to date/time on master time server;



- k) Changes to game theme parameters (e.g., game rules, payout schedules, rake percentage, paytables, etc.);
- l) Changes to progressive jackpot or incrementing jackpot parameters;
- m) Changes to incentive parameters (e.g., start/end, value, eligibility, restrictions, etc.);
- n) Player Account Management:
  - i. Adjustments to a player account balance;
  - ii. Changes made to PII and other sensitive information recorded in a player account;
  - iii. Deactivation of a player account;
  - iv. Large financial transactions (single and aggregate over defined time period) in excess of a value specified by the regulatory body, including transaction information;
  - v. Negative player account balance (due to adjustments and/or chargebacks);
- o) Irrecoverable loss of PII and other sensitive information;
- p) Any other activity requiring user intervention and occurring outside of the normal scope of system operation; and
- q) Other significant or unusual events as deemed applicable by the regulatory body.

### 2.8.9 User Access Information

For each user account, the information to be maintained and backed up by the Interactive Gaming System shall include:

- a) Employee name and title or position;
- b) User identification;
- c) Full list and description of functions that each group or user account may execute;
- d) The date and time the account was created;
- e) The date and time of last access, including IP Address;
- f) The date and time of last password change;
- g) The date and time the account was disabled/deactivated;
- h) Group membership of user account (if applicable); and
- i) The current status of the user account (e.g., active, inactive, closed, suspended, etc.).

## 2.9 Reporting Requirements

### 2.9.1 General Reporting Requirements

The Interactive Gaming System shall be capable of generating the information needed to compile reports as required by the regulatory body. In addition to meeting the requirements in the section above for “Data Retention and Time Stamping”, the following requirements shall apply for required reports:

- a) The system shall be able to provide the reporting information on demand, on a daily basis, and for other intervals required by the regulatory body (e.g., month-to-date (MTD), year-to-date (YTD), life-to-date (LTD), etc.).
- b) Each required report shall contain:
  - i. The operator’s name (or other identifier), the title of report, the selected interval and the date/time the report was generated;

- ii. An indication of “No Activity” or similar message if no information appears for the period specified; and
- iii. Labeled fields which can be clearly understood in accordance with their function.

**NOTE:** In addition to the reports outlined in this section, the regulatory body may also require other reports utilizing the information stored under the “Information to be Maintained” section of this document.

### 2.9.2 Game Performance Reports

The Interactive Gaming System shall be able to provide the following information needed to compile one or more reports on game performance for each game theme or payable, as applicable:

- a) The name of the game theme and game type (reel, blackjack, poker, table, etc.);
- b) The date and time the game theme/paytable was made available for play;
- c) For house-banked games:
  - i. Theoretical RTP percentage;
  - ii. Actual RTP percentage;
- d) The number of games played;
- e) Total amount of wagers collected, including separate amounts for incentive credits;
- f) Total amount of winnings paid to players, including separate amounts for incentive credits and/or prizes;
- g) Total amount of wagers voided or cancelled, including separate amounts for incentive credits;
- h) Total rake, commission, and fees collected;
- i) Total funds remaining in interrupted games, including separate amounts for incentive credits;
- j) Game theme/paytable ID; and
- k) The current status of the game theme/paytable (active, disabled, decommissioned, etc.).

### 2.9.3 Operator Liability Reports

The Interactive Gaming System shall be able to provide the following information needed to compile one or more reports on operator liability, as applicable:

- a) Total amount held by the operator for the player accounts; and
- b) Any operational funds used to cover all other operator liability if defined by the regulatory body.

### 2.9.4 Large Jackpot Payout Reports

For Interactive Gaming Systems which support progressive jackpots or incrementing jackpots, the Interactive Gaming System shall be able to provide the following information needed to compile one or more reports on jackpot payouts which exceed a particular value as defined by the regulatory body, as applicable:

- a) Unique jackpot ID (if jackpot is not tied to a particular game theme, payable, or player);
- b) Winning player ID;
- c) Winning game theme/paytable ID;



- d) Winning game cycle ID and/or gaming session ID (if different);
- e) The date and time of jackpot trigger;
- f) Jackpot hit and payoff amount; and
- g) Identification of user(s) who processed and/or confirmed the win.

### **2.9.5 Significant Events and Alterations Reports**

The Interactive Gaming System shall be able to provide the following information needed to compile one or more reports for each significant event or alteration, as applicable:

- a) The date and time of the significant event or alteration;
- b) Event/component identification;
- c) Identification of user(s) who performed and/or authorized the significant event or alteration;
- d) Reason/description of the significant event or alteration, including data or parameter altered;
- e) Data or parameter value before alteration; and
- f) Data or parameter value after alteration.

## Chapter 3: Random Number Generator (RNG) Requirements

### 3.1 Introduction

#### 3.1.1 General Statement

This chapter sets forth the technical requirements for a Random Number Generator (RNG). The types of RNGs include the following:

- a) Software-based RNGs do not use hardware devices and derive their randomness principally and primarily from a computer-based or software-driven algorithm. They do not incorporate hardware randomness in a significant way.
- b) Hardware-based RNGs derive their randomness from small-scale physical events (e.g., electric circuit feedback, thermal noise, radioactive decay, photon spin, etc.).
- c) Mechanical RNGs generate game outcomes mechanically, employing the laws of physics (e.g., wheels, tumblers, blowers, shufflers, etc.).

**NOTE:** See also related requirements found in “Game Outcome Using a Random Number Generator” section as contained in the “Game Requirements” chapter of this standard.

### 3.2 General RNG Requirements

#### 3.2.1 Source Code Review

The independent test laboratory shall review the source code pertaining to any and all core randomness algorithms, scaling algorithms, shuffling algorithms, and other algorithms or functions that play a critical role in the final random outcome selected for use by a game. This review shall include comparison to published references, where applicable, and an examination for sources of bias, errors in implementation, malicious code, code with the potential to corrupt behavior, or undisclosed switches or parameters having a possible influence on randomness and fair play.

#### 3.2.2 Statistical Analysis

The independent test laboratory shall employ statistical tests to assess the outcomes produced by the RNG, after scaling, shuffling, or other mapping (hereafter referred to as “final outcome output”). The independent test laboratory shall choose appropriate tests on a case-by-case basis, depending on the RNG under review and its usage within the game. The tests shall be selected to assure conformance to intended distribution of values, statistical independence between draws, and, if applicable, statistical independence between multiple values within a single draw. The applied tests shall be evaluated, collectively, at a 99% confidence level. The amount of data tested shall be such that significant deviations from applicable RNG testing criteria can be detected with high frequency. In the case of an RNG intended for variable usage, it is the responsibility of the independent test laboratory to select and test a representative set of usages as test cases. Statistical tests may include any one or more of the following:

- a) Total Distribution or Chi-square test;
- b) Overlaps test;
- c) Coupon Collector's test;
- d) Runs test;
- e) Interplay Correlation test;
- f) Serial Correlation test; and
- g) Duplicates test.

### 3.2.3 Distribution

Each possible RNG selection shall be equally likely to be chosen. Where the game design specifies a non-uniform distribution, the final outcome shall conform to the intended distribution.

- a) All scaling, mapping, and shuffling algorithms used shall be unbiased, as verified by source code review. The discard of RNG values is permissible in this context and may be necessary to eliminate bias.
- b) The final outcome output shall be tested against intended distribution using appropriate statistical tests (e.g., Total Distribution test).

### 3.2.4 Independence

Knowledge of the numbers chosen in one draw shall not provide information on the numbers that may be chosen in a future draw. If the RNG selects multiple values within the context of a single draw, knowing one or more values shall not provide information on the other values within the draw, unless provided for by the game design.

- a) As verified by source code review, the RNG shall not discard or modify selections based on previous selections, except where intended by game design (e.g., without-replacement functionality).
- b) The final outcome output shall be tested for independence between draws and, as applicable, independence within a draw, using appropriate statistical tests (e.g., Serial or Interplay Correlation tests, and Runs test).

### 3.2.5 Available Outcomes

As verified by source code review, the set of possible outcomes produced by the RNG solution (i.e., the RNG period), taken as a whole, shall be sufficiently large to ensure that all outcomes shall be available on every draw with the appropriate likelihood, independent of previously produced outcomes, except where specified by the game design.

## 3.3 RNG Strength and Monitoring

### 3.3.1 RNG Strength for Outcome Determination

The RNG used in the determination of game outcomes in a Gaming Platform shall be cryptographically strong. "Cryptographically strong" means that the RNG is resistant to attack or

compromise by an intelligent attacker with modern computational resources, and who may have knowledge of the source code of the RNG.

### 3.3.2 Cryptographic RNG Attacks

A cryptographic RNG cannot be feasibly compromised by a skilled attacker with knowledge of the source code. At a minimum, cryptographic RNGs shall be resistant to the following types of attack:

- a) Direct Cryptanalytic Attack: Given a sequence of past values produced by the RNG, it shall be computationally infeasible to predict or estimate future RNG values. This shall be ensured through the appropriate use of a recognized cryptographic algorithm (RNG algorithm, hash, cipher, etc.). Note that a hardware-based RNG or a mechanical RNGs may potentially qualify as a cryptographic algorithm, provided it passes statistical testing;
- b) Known Input Attack: It shall be infeasible to computationally determine or reasonably estimate the state of the RNG after initial seeding. In particular, the RNG shall not be seeded from a time value alone. The manufacturer shall ensure that games will not have the same initial seed. Seeding methods shall not compromise the cryptographic strength of the RNG; and
- c) State Compromise Extension Attack: The RNG shall periodically modify its state, through the use of external entropy, limiting the effective duration of any potential exploit by a successful attacker.

**NOTE:** Because of continuous computational improvements and advances in cryptographic research, compliance to this criterion shall be re-evaluated as required by the regulatory body.

### 3.3.3 Dynamic Output Monitoring for Hardware-Based RNGs

Due to their physical nature, the performance of hardware-based RNGs may deteriorate over time or otherwise malfunction, independent of the Gaming Platform. The failure of a hardware-based RNG could have serious consequences for the intended usage of the RNG. For this reason, if a hardware-based RNG is used, there shall be dynamic monitoring of the output by statistical testing. This monitoring process shall disable game play when malfunction or degradation is detected.

## 3.4 Mechanical RNG (Physical Randomness Device)

### 3.4.1 General Statement

The requirements defined within this section apply to mechanical RNGs or “physical randomness devices”. While software may be a part of the device, the software is primarily limited to operating machinery and/or reading and recording game outcome data (the software does not play a deterministic role in determining the game outcome).

**NOTE:** Devices which faithfully and mechanically create or display a game outcome selected by a computer RNG are not considered physical randomness devices and shall be tested as RNGs once the faithful reproduction of RNG selected outcome has been assured. Physical randomness devices may incorporate RNGs in secondary roles (e.g., rotation speed). Such secondary RNGs need not be evaluated against the RNG requirements contained herein, as they do not directly select the game outcome. Rather, the physical

randomness device shall be tested as a whole as described in this section.

**NOTE:** The approved components of a physical randomness devices cannot be swapped out or replaced with unapproved components, as they are integral to the behavior and performance of the physical randomness devices. The “approved components” in this context include those physical items that produce the random behavior – e.g., balls in a mixer, cards in a shuffler, etc. As one example, a shuffler certified by the independent test laboratory to utilize plastic cards cannot be viewed as an approved equivalent to the same mechanical shuffler using paper cards.

### 3.4.2 Data Collection

To provide best assurance of random behavior, the independent test laboratory shall collect game outcome data for at least 10,000 game outcomes. The data collection shall be accomplished in a fashion reasonably similar to the intended use of the device in the field. In particular, the recommended setup and calibration shall be executed initially, and the device and components (cards, balls, etc.) shall be replaced or serviced during the collection period as recommended by the manufacturer.

**NOTE:** Due to feasibility concerns associated with reasonable data collection on some devices, the regulatory body may elect to accept testing results from a smaller collection amount on a case-by-case basis. Equally possible, a larger data collection sample may be required. Regardless, the independent test laboratory will clearly state in the applicable certification, the amount of data used for testing. When less than 10,000 games are used, a statement on the statistical limitations of reduced testing will be clearly denoted within the certification report.

### 3.4.3 Durability

All mechanical pieces shall be constructed of materials to prevent degradation of any component over its intended lifespan.

**NOTE:** The independent test laboratory may recommend a stricter replacement schedule than that suggested by the manufacturer of the device to comply with the ‘Durability’ requirement stated above. In addition, the independent test laboratory may recommend periodic inspection of the device to ensure and maintain its integrity.

### 3.4.4 Tampering

The players and/or gaming attendants (e.g., dealers, croupiers, etc.) used in live games shall not have the ability to manipulate or influence the physical randomness devices in a physical manner with respect to the production of game outcome data, except as intended by game design.

## Chapter 4: Game Requirements

### 4.1 Introduction

#### 4.1.1 General Statement

This chapter sets forth the technical requirements for the player interface, rules of play, game fairness, game selection, game outcome, related player displays and artwork, payout percentages and odds, bonus/feature games, progressive jackpots, incrementing jackpots game recall, game modes, common features, games with skill, tournaments, and other game requirements.

**NOTE:** Please reference the “Games with Skill” section of this technical standard for specific and supplemental requirements for games containing one or more skill elements.

### 4.2 Player Interface

#### 4.2.1 General Statement

The player interface is defined as an interface application or program through which the user views and/or interacts with the Player Software, including the touch screen(s), keyboard, mouse, or other forms of player interaction devices.

#### 4.2.2 Player Interface Requirements

The player interface shall meet the following requirements:

- a) Any resizing or overlay of the player interface screen shall be mapped accurately to reflect the revised display and touch/click points.
- b) All player-selectable touch/click points or buttons represented on the player interface that impact game play and/or the integrity or outcome of the game shall be clearly labeled according to their function and shall operate in accordance with applicable game rules.
- c) There shall be no hidden or undocumented touch/click points or buttons anywhere on the player interface that affect game play and/or that impact the integrity or outcome of the game, except as provided for by the game rules.
- d) The display of the instructions and information shall be adapted to the player interface. For example, where a device uses technologies with a smaller display screen, it is permissible to present an abridged version of the game information accessible directly from within the game screen and make available the full/complete version of the game information via another method, such as a secondary screen, help screen, or other interface that is easily identified on the visual game screen.
- e) Where multiple items of instructions and information are displayed on the player interface, it is acceptable to have this information displayed in an alternating fashion provided that, the rate at which information alternates permits a player a reasonable opportunity to read each item.

#### 4.2.3 Simultaneous Inputs

Simultaneous or sequential activation of various player interaction devices comprising a player interface shall not cause game malfunctions and shall not lead to results that are contrary to a game's design intent.

### 4.3 Gaming Session Requirements

#### 4.3.1 General Statement

A gaming session is defined as the period of time commencing, at minimum, when a player initiates a game or series of games on a Gaming Platform for a particular game theme by committing a wager and ending at the time of a final game outcome for that game or series of games and coincident with the opportunity for the player to exit the game.

**NOTE:** This standard is not intended to preclude or prohibit designs that allow the simultaneous play of multiple games themes on a Gaming Platform. Where multiple game themes are accessible simultaneously, players may play more than one game at a time in separate gaming sessions. However, in such a case, metering and applicable limits shall be enforced against each available game, as it is played, and all other requirements within this chapter shall continue to apply to these multiple game-in-play designs.

#### 4.3.2 Selection of Game

The following requirements apply to the selection of a specific game on the player interface:

- a) The Gaming Platform shall clearly inform the player of all games available for play.
- b) The player shall be made aware of which game theme has been selected for play and is being played.
- c) The player shall not be forced to play a game just by selecting a game theme, unless the game screen clearly indicates the game selection is unchangeable. If not disclosed, the player shall be able to return to the main menu or game chooser screen prior to committing a wager.
- d) The default game display upon entering game play mode from a main menu or game chooser screen, shall not correspond to the highest advertised award (unless that was the outcome of the player's last game play). This applies to the primary game only and not to any secondary bonuses/features.

#### 4.3.3 Game Play Requirements

The following requirements apply to game play within a gaming session:

- a) A game cycle consists of all player actions and game play activity that occur from wager to wager. Game cycle initiation shall occur after the player:
  - i. Places a wager or commits a bet; and/or
  - ii. Presses a "play" button or performs a similar action to initiate a game in accordance with the rules of the game.
- b) Amounts wagered or committed at any point at the start of, or within the course of a game cycle



shall be subtracted from the player's credit meter or player account balance. A wager shall not be accepted that could cause the player to have a negative balance.

- c) The following game elements shall be considered to be part of a single game cycle:
  - i. Games that trigger a free game bonus/feature and any subsequent free games;
  - ii. "Second screen" bonuses/features;
  - iii. Games with player choice (e.g., draw poker or blackjack);
  - iv. Games where the rules permit wagering of additional credits (e.g., blackjack insurance, or the second part of a two-part keno game); and
  - v. Double-up/gamble features.
- d) A game cycle shall be considered complete when all funds wagered are lost or when the final transfer to the player's credit meter or player account balance takes place. The value of every award at the end of a game cycle is added to the player's credit meter or player account balance, except for merchandise and large payouts where required by the regulatory body.
- e) It shall not be possible to start a new game within the same gaming session before the current game cycle is completed and the funds available for wagering and the game history have been updated, including the game elements listed above, unless the action to start a new game terminates the current game in an orderly manner. Some exceptions may be granted in instances where, for example, if the operator elects to conduct offline, manual consideration of large payouts, or if a player chooses to continue gaming while a large payout is pending.

#### 4.3.4 Information to be Displayed

A player interface shall display the following information within a gaming session, with the exception of when the player is viewing an informational screen such as a menu or help screen:

- a) Current funds available for wagering;
- b) Denomination being played (if applicable);
- c) Current wager amount and placement of all active wagers, or sufficient display information to otherwise derive these parameters;
- d) Any player wager options that occur prior to game initiation, or during the course of game play;
- e) For the last completed game, the following information until the next game starts, wager options are modified, or the player exits the game;
  - i. Accurate representation of the game outcome;
  - ii. Amount won; and
  - iii. Any player wager options in effect.

**NOTE:** It is acceptable for the information for the last completed game to be cleared before the above-mentioned conditions occur as long as the same information is clearly available to the player under the "Game Recall" section of this document.

#### 4.3.5 Credit Meter

Depending on the implementation within the Gaming Platform, funds may be transferred from the player account balance to a credit meter for the gaming session. This may be automatic where the player account balance is automatically transferred to the credit meter or the Gaming Platform presents transfer options to the player, which require selection before occurring. Such options



would include how much the player wishes to transfer to the session's credit meter. Once play is complete the player shall have the option to transfer some or all of their funds back to their player account balance. Exiting a gaming session shall cause all funds to be automatically transferred back to their player account balance. Additionally, the credit meter, shall conform to the following requirements when in use:

- a) The credit meter shall be visible to the player at any time a wager may be placed, at any time a transfer to or from the player account balance is allowed, or at any time the meter is actively being incremented or decremented.
- b) The credit meter shall be displayed in credits or local currency format. If the game's credit meter allows for toggling between credits and currency, this functionality shall be easily understood by the player. The credit meter shall clearly indicate whether credits or currency are currently being displayed.
- c) If the current local currency amount is not an even multiple of the denomination for a game, or the credit amount has a fractional value, the credits displayed for that game may be displayed and played as a truncated amount, (i.e., fractional part removed). However, the fractional credit amount shall be made available to the player when the truncated credit balance is zero.
- d) If restricted incentive credits and unrestricted player funds are combined on one credit meter, restricted credits shall be wagered first, as allowed by the rules of the game, before any unrestricted player funds are wagered.

## **4.4 Game Information and Rules of Play**

### **4.4.1 Game Information and Rules of Play**

The following requirements apply to the game information, artwork, paytables, and help screens including any written, graphical, and auditory information provided to the player either directly from the player interface or from a page accessible to the player:

- a) Player interface and player interaction device usage instructions, payable information, and rules of play shall be complete and unambiguous and shall not be misleading or unfair to the player.
- b) Help screen information shall be accessible by a player without the need for funds deposited or commitment of a wager. This information shall include descriptions of unique game bonuses/features, extended play, free spins, double-up, autoplay, countdown timers, symbol transformations, community bonuses, progressive jackpots, incrementing jackpots, etc.).
- c) Minimum, maximum, and other available wagers shall be stated within, or be able to be deduced from, the artwork, with adequate instruction for any available wager option.
- d) Paytable information shall include all possible winning outcomes and combinations, along with their corresponding payouts, for any available modifiers and/or wager options.
- e) The artwork shall clearly indicate whether awards are designated in credits, currency, or some other unit.
- f) For artwork that contains game instructions explicitly advertising a credit award or merchandise prize, it shall be possible to win the advertised award/prize from a single game, or series of games enabled by an initiating game, when including bonuses/features, or other game options, or the artwork shall clearly specify the criteria necessary to win the advertised

award/prize.

- g) The game shall reflect any change in award value, which may occur during the course of play. This may be accomplished with a digital display in a conspicuous location of the player interface. The game shall clearly state the criteria for which any award value is modified.
- h) Game instructions that are presented aurally shall also be presented in written form within the artwork.
- i) Game instructions shall be rendered in a color that contrasts with the background color to ensure that all instructions are clearly visible/readable.
- j) The artwork shall clearly state the rules for payments of awards. If a specific winning combination is paid where multiple wins are possible, then the payment method shall be described.
  - i. The artwork shall clearly communicate the treatment of coinciding game outcomes. For example, whether or not a straight flush is construed as both a flush and a straight, or if 3/4/5 of a kind can be construed as paying all of kind or just the highest. Where a payline may be interpreted to have more than one such winning combination, there shall be a statement if only the highest winning combination is paid per line.
  - ii. Where the same symbol can qualify for a line pay and scatter pay simultaneously or where line and scatter pays occur simultaneously on the same line, the artwork shall indicate if the player will be paid for both wins, or the greater of the two.
  - iii. The artwork shall clearly communicate the treatment of coinciding scattered wins with respect to other possible scattered wins. For example, the artwork shall state whether combinations of scattered symbols pay all possible awards or only the highest award.
- k) Where multiplier instructions are displayed in artwork, it shall be clear what the multiplier does and does not apply to.
- l) All game symbols/objects shall be clearly displayed to the player and shall not be misleading.
  - i. Game instructions that specifically correspond to one or more symbols/awards, shall be clearly associated with those symbols/awards. For example, this may be achieved with appropriate framing or boxing. Additional wording such as “these symbols” may also be used.
  - ii. If game instructions refer to a particular symbol, and the written name for the symbol may be mistaken for another symbol, or may imply other characteristics, then the visual display of the instructions shall clearly indicate to which symbol the instruction refers.
  - iii. Game symbols and objects shall retain their shape throughout all artwork, except while animation is in progress. Any symbol that changes shape or color during an animation process shall not appear in a way that can be misinterpreted to be some other symbol defined in the payable.
  - iv. If the function of a symbol changes (e.g., a non-substitute symbol becomes a substitute symbol during a feature), or the symbol’s appearance changes, the artwork shall clearly indicate this change of function or appearance and any special conditions that apply to it.
  - v. If limitations exist with respect to the location and/or appearance of any symbol, the limitation shall be disclosed in the artwork. For example, if a symbol is only available in a bonus game, or on a specific reel strip, then the artwork shall disclose this.
- m) The artwork shall clearly state which symbols/objects may act as a substitute or wild, and in which winning combinations the substitute or wild may be applied; this description shall address any/all phases of game play where a wild or substitute symbol operates.
- n) The artwork shall clearly state which symbols/objects may act as a scatter and in which

winning combinations the scatter may be applied.

- o) The artwork shall contain textual and/or graphical information to clearly explain the order in which symbols are to appear, in order for an award to be issued or a feature to be triggered, including numbers to indicate how many correct symbols/objects each pattern corresponds to.
- p) The game shall not advertise ‘upcoming wins’, for example, “three times pay coming soon”, unless the advertisement is accurate and mathematically demonstrable, or unless the player has a direct advertisement of the current progress to that win (e.g., they have two of four tokens collected that are required to win an award).
- q) The game artwork shall clearly explain to the player any non-wager purchase option and its value in credits or local currency.
- r) The artwork shall disclose any restrictive features of game play, such as any play duration limits, maximum win values, etc. which are implemented as an element of game design.
- s) There shall be sufficient information regarding any award payout adjustments such as a rake, commission, or fee taken by the operator, as applicable.

#### 4.4.2 Multi-Wager Games

The following requirements shall apply, as relevant to the specific game design, to games where multiple, independent wagers can simultaneously be applied towards advertised awards:

- a) Each individual wager placed shall be clearly indicated so that the player is in no doubt as to which wagers have been made and the credits bet per wager;
- b) The winning amount for each separate wager, and total winning amount, shall be displayed on the game screen; and
- c) Each winning award obtained shall be displayed to the player in a way that clearly associates the award to the appropriate wager. Where there are wins associated with multiple wagers, each winning wager may be indicated in turn. In cases where there is a multitude of wager information to convey, a summary screen may suffice. Any exceptions will be reviewed by the independent test laboratory on a case-by-case basis.

#### 4.4.3 Line Games

The following requirements apply, as relevant to the specific game design, to line games:

- a) For multi-line games, the game shall provide a summary display of the paylines that are available to form winning combinations;
- b) Each individual line to be played shall be clearly indicated by the game so that the player is in no doubt as to which lines are being wagered upon. Displaying the number of wagered lines shall be sufficient to meet this requirement;
- c) For games that permit multiple credits to be wagered on selected lines, the artwork shall:
  - i. For linear pays, clearly state that the win(s) for each selected line will be multiplied by the bet multiplier; or
  - ii. For non-linear pays, convey all possible wagers and their awards;
- d) The bet multiplier shall be shown. It is acceptable if this may be easily derived from other displayed information;
- e) The artwork shall indicate any rules and/or limitations which pertain to how pays are

evaluated, including an indication of:

- i. How line wins are evaluated (i.e., left to right, right to left, or both ways);
  - ii. How individual symbols are evaluated (i.e., whether pays are awarded on adjacent reels only, or as scatter pays); and
- f) Winning paylines shall be clearly discernible to the player. Where there are wins on multiple lines, each winning payline shall be indicated in turn. This requirement shall not preclude other intuitive methods of displaying line wins such as the grouping of common win types, nor shall it prohibit a player option to bypass a detailed outcome display of line wins, where supported.

#### **4.4.4 Card Games**

The following requirements apply, as relevant to the specific game design, to games depicting cards being drawn from one or more card decks:

- a) At the start of each game and/or hand, the cards shall be drawn from a randomly shuffled deck(s). It is acceptable to draw random numbers for replacement cards at the time of the first hand's random number draw, provided that the replacement cards are sequentially used as needed, and so long as any stored RNG values are encrypted;
- b) Cards once removed from the deck(s) shall not be returned to the deck(s) except as provided by the rules of the game;
- c) The deck(s) shall not be reshuffled except as provided by the rules of the game;
- d) The game shall alert the player as to the number of cards in a deck and the number of decks in play;
- e) Card faces shall clearly display the card value and the suit; and
- f) Jokers and wild cards shall be distinguishable from all other cards.

#### **4.4.5 Poker Games**

The following requirements apply, as relevant to the specific game design, to simulations of poker games:

- a) The artwork shall provide clear indication of what variant of poker is being played and the rules that apply;
- b) Wild card rules shall be clearly explained in the help screens; and
- c) Held and non-held cards, including recommended holds where allowed, shall be clearly marked on the screen. The method for changing a selected card state shall be clearly displayed to the player.

#### **4.4.6 Blackjack Games**

The following requirements apply, as relevant to the specific game design, to simulations of blackjack games:

- a) Insurance rules shall be clearly explained, if insurance is available;
- b) Pair split rules shall be explained to include:
  - i. Split aces have only one card dealt to each ace, if this is the game rule;

- ii. Further splits, if available;
- iii. Double-down after splits, if available;
- c) Double-down rules shall be clearly explained, including limitations of which totals may allow a double-down to be selected;
- d) Any limits on the number of cards that may be drawn by player and/or dealer shall be explained, including winners declared (if any) when the limit is reached (e.g., five under wins);
- e) Surrender rules, if any, shall be explained;
- f) If pair splits have occurred, the results for each hand shall be shown (e.g., total points, resultant win or loss category, amount won, amount wagered);
- g) Special rules, if any, shall be clearly explained; and
- h) All player options that are available at any point in time shall be shown in the artwork.

#### **4.4.7 Roulette Games**

The following requirements apply, as relevant to the specific game design, to simulations of roulette games:

- a) The method of selecting individual wagers shall be explained by the game rules;
- b) The wager(s) already selected by the player shall be displayed on the screen; and
- c) The result of each spin of the roulette wheel shall be clearly shown to the player.

#### **4.4.8 Dice Games**

The following requirements apply, as relevant to the specific game design, to simulations of dice games:

- a) Each die face shall clearly show the number of spots or other indication of the face value;
- b) It shall be obvious which is the up face on each die, after the dice are thrown; and
- c) The result of each die shall be clearly visible or displayed.

#### **4.4.9 Sports/Racing Games**

The following requirements apply, as relevant to the specific game design, to simulations of sports or racing games:

- a) Each participant in a game shall be unique in appearance, where applicable to the wager;
- b) The results of a game shall be clear and not open to misinterpretation by the player;
- c) If awards are to be paid for combinations involving participants other than solely the first-place finisher, the order of the participants that can be involved with these awards shall be clearly shown on the screen (e.g., result 8-4-7); and
- d) The rules for any exotic wagering options (e.g., perfecta, trifecta, quinella, etc.), and the expected payouts, shall be clearly explained in the artwork.

#### **4.4.10 Ball/Number Drawing Games**

The following requirements apply, as relevant to the specific game design, to games depicting balls

or numbers being drawn from a pool:

- a) Simulated balls/numbers shall be drawn from a randomly mixed pool consisting of the full set of balls/numbers applicable to the game rules;
- b) At the start of each game, only the balls/numbers applicable to the game are to be depicted. For games with bonuses/features and additional balls/numbers that are selected, they shall be chosen from the original selection unless otherwise allowed for by the game rules;
- c) The pool shall not be re-mixed except as provided by the rules of the game depicted; and
- d) All balls/numbers drawn shall be clearly displayed to the player.

#### **4.4.11 Keno/Bingo/Lottery Games**

The following requirements apply, as relevant to the specific game design, to simulations of keno, bingo, or lottery games, where balls or numbers are drawn, and a player tries to pick in advance which of the balls/numbers will be selected:

- a) All of the player's selections shall be clearly identified directly on the game screen. Where the game uses multiple player cards, it is acceptable for the player's selections to be accessible by flipping or switching through the cards;
- b) The drawn numbers shall be clearly identified on the screen;
- c) The game shall highlight numbers drawn which match the player's selections;
- d) Special hits, if any, shall be clearly identified;
- e) The screen shall provide clear indication of how many spots were selected and how many hits were achieved; and
- f) Rules for purchase of additional features of the game, if any, shall be explained.

#### **4.4.12 Scratch Ticket Games**

The following requirements apply, as relevant to the specific game design, to simulations of scratch ticket games, where an electronic scratch ticket is purchased by the player:

- a) Electronic scratch ticket games shall rely on randomness as opposed to player skill;
- b) A precise definition of which player choices are required to complete the game shall be shown on the artwork;
- c) For games that leverage popular real-life themes (cards, dice, etc.), but do not mirror actual game play and probabilities a disclaimer shall be added to the artwork that states outcomes are not distributed with the probabilities that would typically be expected from this game; and
- d) After the player purchases an electronic scratch ticket, the outcome and prize of the game shall be revealed to the player. The player may or may not have to interact with the electronic scratch ticket to reveal the win/loss results, as required by the regulatory body.

#### **4.4.13 Multi-Player Games**

The following requirements apply, as relevant to the specific game design, to multi-player games:

- a) The multi-player game shall be designed such that the actions of or results obtained by any one



player do not affect the outcome(s) of any other player, unless otherwise denoted by the game rules; and

- b) There shall be a method provided by a multi-player game for each player to know when the next game will begin.

**NOTE:** Please reference the “Peer-to-Peer (P2P) Gaming Sessions” section of this chapter for specific and supplemental requirements for multi-player games where players compete against one another.

## 4.5 Game Outcome Using a Random Number Generator (RNG)

### 4.5.1 RNG and Evaluation of Game Outcome

The evaluation of game outcome using an RNG shall comply with the following rules:

- a) Where more than one RNG is used to determine different game outcomes, each RNG shall be separately evaluated; and
- b) Where each instance of an RNG is identical, but involves a different implementation within the game, each implementation shall be separately evaluated.

### 4.5.2 Game Selection Process

Determination of events of chance that result in a monetary award shall not be influenced, affected, or controlled by anything other than the values selected by an approved RNG, in accordance with the following requirements:

- a) When making calls to the RNG, the game shall not limit the outcomes available for selection, except as provided for by game design;
- b) The game shall not modify or discard outcomes selected by the RNG due to adaptive behavior. Additionally, outcomes shall be used as directed by the rules of the game;
- c) After selection of the game outcome, the game shall not display a “near miss” where it makes a variable secondary decision which affects the result shown to the player. For example, if the RNG chooses a losing outcome, the game shall not substitute a different losing outcome to show to the player than that originally selected;
- d) Except as provided for by the rules of the game, events of chance shall be independent and shall not correlate with any other events within the same game, or events within previous games:
  - i. A game shall not adjust the likelihood of a bonus/feature occurring, based on the history of awards obtained in previous games;
  - ii. A game shall not adapt its theoretical return to the player based on past payouts;
- e) Any associated equipment used in conjunction with a Gaming Platform shall not influence or modify the behaviors of the game’s RNG and/or random selection process, except as authorized, or intended by design; and
- f) Events of chance shall not be affected by the effective bandwidth, link utilization, bit error rate or other characteristic of the communications channel between the Gaming Platform and the Remote Player Device. The player shall be informed where these characteristics may have, or appear to have, any other effect on the game, such as in decision making where speed is a factor, the update of the jackpot displays, or disconnection from multi-player games.

## 4.6 Game Fairness

### 4.6.1 Game Fairness

The following requirements shall apply to the fairness of the game:

- a) Games that are designed to give a player the perception that they have control over the outcome of the game due to skill or dexterity, when they actually do not (i.e., the game outcome is random, and the illusion of skill is for entertainment value only), shall fully disclose this fact within the game help screens. This does not apply to games that have no basis for skill and/or where no strategy applies. An example would be a simple pick-a-bonus game, where it is obvious to the player that the outcome is chance-based;
- b) Games shall not include any hidden source code that can be leveraged by a player to circumvent the rules of play and/or the intended behaviors of game design; this requirement shall not preclude reasonably identifiable “discovery features” offered by a game which are intentional from a design perspective, but which may be undocumented or unknown to the player; and
- c) The final outcome of each game shall be displayed for a sufficient length of time that permits a player a reasonable opportunity to verify the outcome of the game; this requirement shall not preclude an option for the player to bypass the outcome display.

### 4.6.2 Simulation of Physical Objects

Where a game incorporates a graphical representation or simulation of a physical object that is used to determine game outcome, the behaviors portrayed by the simulation shall be consistent with the real-world object, unless otherwise denoted by the game artwork. This requirement does not apply to graphical representations or simulations that are utilized for entertainment purposes only. The following shall apply to the simulation:

- a) The probability of any event occurring in the simulation that affects the outcome of the game shall be analogous to the properties of the physical object, unless otherwise disclosed to the player;
- b) Where the game simulates multiple physical objects that would normally be expected to be independent of one another based on the rules of the game, each simulation shall be independent of any other simulations; and
- c) Where the game simulates physical objects that have no memory of previous events, the behavior of the simulated objects shall be independent of their previous behavior, so as to be non-adaptive and non-predictable, unless otherwise disclosed to the player.

### 4.6.3 Physics Engine

Games may utilize a “physics engine” which is specialized software that approximates or simulates a physical environment, including behaviors such as motion, gravity, speed, acceleration, inertia, trajectory, etc. A physics engine shall be designed to maintain consistent play behaviors and game play environment unless an indication is otherwise provided to the player by the game artwork. A physics engine may utilize the random properties of an RNG to impact game outcome, in which



case, the “Random Number Generator (RNG) Requirements” shall apply.

**NOTE:** Implementations of a physics engine in a game will be evaluated on a case-by-case basis by the independent test laboratory.

#### **4.6.4 Live Game Correlation**

Unless otherwise denoted in the game artwork, where the Gaming Platform offers a game that is recognizable as a simulation of a live casino game such as poker, blackjack, roulette, etc., the same probabilities associated with the live game shall be evident in the simulated game. For example, the odds of getting any particular number in roulette where there is a single zero (0) and a double zero (00) on the wheel, shall be 1 in 38; the odds of drawing a specific card or cards in poker shall be the same as in the live game.

#### **4.6.5 Random Event Probability**

For games that incorporate a random event or an element of chance that affects the outcome, the mathematical probability of any chance event occurring for a paid game shall be constant, unless otherwise denoted by the game artwork.

### **4.7 Game Payout Percentages, Odds, and Non-Cash Awards**

#### **4.7.1 Software Requirements for Percentage Payout**

Each house-banked game shall theoretically payout a minimum of seventy-five percent (75%) during the expected lifetime of the game unless otherwise specified by the regulatory body. Progressive jackpots, incrementing jackpots, incentive awards, merchandise, etc. shall not be included in the percentage payout if they are external to the game, unless required for operation.

- a) The minimum percentage requirement shall be met for all wagering configurations. If a game is continuously played at any single bet level, line configuration, etc. for the life of the game, the minimum percentage requirement shall be satisfied.
- b) Games that may be affected by player skill shall meet the minimum percentage requirement when using an optimal method of play that provides the greatest return to the player over a period of continuous play.
- c) For progressive jackpots and incrementing jackpots used in the return to player (RTP) calculations for the game, the minimum percentage requirement shall be met using the lowest available parameters for the jackpot during the expected lifetime of the game.
- d) Where allowed by the regulatory body for games in which the above minimum percentage requirements are not met (e.g., electronic scratch ticket games or lottery games), the minimum RTP of the game shall be displayed to the player and shall meet the “Return to Player (RTP) Display” requirements.

**NOTE:** At the discretion of the regulatory body, the independent test laboratory can apply an alternative approach to return percentage calculations.

#### 4.7.2 Return to Player (RTP) Display

At its discretion, a regulatory body may elect to require the artwork to contain the RTP for each house-banked game. If the RTP is displayed, the following requirements shall be met:

- a) The artwork shall fully explain how the displayed RTP was determined (i.e., minimum, maximum, average, etc.) and thus how the player may realize it (i.e., wager requirements).
- b) For games that may be affected by player skill, the displayed RTP shall be based on a strategy specifically advertised in the game rules or an optimal strategy that is derivable from the game rules.
- c) For games that offer progressive jackpots or incrementing jackpots, limited time awards, or other bonuses/features, the variable contribution of such awards to the displayed RTP shall be clearly disclosed.
- d) For games that offer bonus/feature games which require extra credits to be wagered, the displayed RTP shall consider that an additional wager was placed unless otherwise advertised.
- e) If the displayed RTP represents the actual RTP, the number of game plays associated with that calculation shall be advertised along with the period with which the game plays took place.

#### 4.7.3 Odds

The odds of achieving the highest advertised award that is based solely upon chance shall occur at least once in one hundred million (100,000,000) games, unless the game artwork prominently displays the actual odds of that award to the player. This does not apply to multiple awards won together on the same game where the aggregate prize is not advertised. This odds rule shall not apply to games which make it possible for a player to win the highest advertised award multiple times through the use of a bonus/feature. This rule shall apply to all wager categories that can win the highest advertised award. If the highest advertised award can occur within a bonus/feature, the odds calculation shall include the odds of obtaining the bonus/feature including the odds to achieve the award. This rule does not apply towards incentive awards.

#### 4.7.4 Limitations on Awards

Limitations on the award amounts in lieu of merchandise, annuities, or payment plans shall be clearly explained to the player on the game theme that is offering such a prize.

### 4.8 Bonus/Feature Requirements

#### 4.8.1 Bonus/Feature Games

Games which offer a bonus/feature shall meet the following requirements:

- a) A game which offers a bonus/feature, other than those that occur randomly, shall display to the player sufficient information to indicate the current status towards the triggering of the next bonus/feature;
- b) If a game requires obtaining several achievements towards the activation of a bonus/feature, or the issuance of an award, the number of achievements needed to trigger the bonus/feature, or

- win the award, shall be indicated, along with the number collected at any point;
- c) The game shall make it clear to the player that they are in a bonus/feature mode;
  - d) If a game offers a bonus/feature which allows the player to hold one or more reels/cards/symbols for the purpose of a re-spin or draw, then the held reels/cards/symbols shall be clearly indicated and the method for changing holds shall be clearly explained to the player;
  - e) If a bonus/feature is triggered after accruing a certain number of events/symbols or combination of events/symbols of a different kind over multiple games, the probability of obtaining like events/symbols shall not deteriorate as the bonus/feature progresses, unless otherwise disclosed to the player; and
  - f) If a bonus/feature consists of multiple events or spins, then a counter shall be maintained and displayed to the player to indicate the number of spins initially awarded and the number of spins remaining during bonus/feature play, or alternatively, the number of spins that have been played.

#### **4.8.2 Player Selection or Interaction in a Bonus/Feature**

Games which offer a bonus/feature which requires player selection or interaction are prohibited from automatically making selections or initiating the bonus/feature, unless the game meets one of the requirements listed below and explains the mechanism for automatic initiation or selection in the artwork:

- a) The player is presented with a choice and specifically acknowledges their intent to have the game auto-initiate the bonus/feature by means of a button press or another player interaction;
- b) The bonus/feature provides only one choice to the player, i.e., press button to spin wheel. In this case, the bonus/feature may auto-initiate after a time out period of at least two minutes; or
- c) The bonus/feature is offered as part of a community bonus that involves two or more players and where the delay of an offered selection or game initiation will directly impact the ability for other players to continue their bonus/feature. Prior to automatically making selections or initiating a community bonus the player shall be made aware of the time remaining in which they shall make their selection or initiate play.

#### **4.8.3 Extra Credits Wagered During a Bonus/Feature**

If a bonus/feature in progress requires extra funds to be wagered in order to continue, the player shall be provided an opportunity not to participate. If all winnings from the game in progress are accumulated to a temporary “win” meter, rather than directly to the credit meter or player account balance, the game shall:

- a) Provide a means where winnings on the temporary “win” meter can be wagered (i.e., add funds to the credit meter or player account balance) to allow for instances where the player has an insufficient amount of funds available to complete the bonus/feature, or allow the player to add funds to the credit meter or player account balance; and
- b) Transfer all funds on the temporary “win” meter to the credit meter or player account balance upon completion of the bonus/feature.

#### 4.8.4 Community Bonuses

Community bonuses, where players collaborate and/or compete for a shared award, shall:

- a) Contain an appropriate description of the rules governing each community bonus, each payout and any conditions regarding player eligibility for the community bonus award(s);
- b) Continuously and conspicuously display the player's eligibility for a community bonus, regardless of the number of credits on the game. For example, if the player has thirty seconds of eligibility time remaining but has run out of credits, the game will continue to display and count down the seconds remaining; and
- c) For community bonuses not dependent on the number of credits available, alert the player of their continued eligibility regardless of whether the player has credits remaining on the game.

#### 4.8.5 Double-Up/Gamble Features

The following requirements apply to games which offer some form of a double-up/gamble feature. Such games may use alternative terminology such as "Triple-Up" or "Take-or-Risk" to describe a double-up/gamble feature:

- a) All double-up/gamble feature instructions shall be fully disclosed in the game's artwork and shall be accessible without committing to the feature;
- b) Entry to a double-up/gamble feature shall only occur upon completion of a winning primary game;
- c) The player shall have a choice as to whether or not they want to participate in the double-up/gamble feature;
- d) The double-up/gamble feature shall have a theoretical return to the player of one hundred percent (100%);
- e) The maximum number of double-ups/gambles available shall be clearly stated, or as a suitable alternative, the award limit for double-up/gamble shall be disclosed to the player;
- f) Only credits won on the primary game shall be available for wagering on a double-up/gamble feature (i.e., it is not possible to wager any funds from the credit meter or player account balance on double-up/gamble);
- g) When the double-up/gamble feature is discontinued automatically before reaching the maximum number of double-ups/gambles available, the reason shall be clearly stated;
- h) Any game conditions during which the double-up/gamble feature is not available shall be specified;
- i) If a double-up/gamble feature offers a choice of multipliers, it shall be clear to the player what the range of choices and payouts are; and
- j) If the player selects a multiplier for a double-up/gamble feature, it shall be clearly stated on the screen which multiplier has been selected.

#### 4.8.6 Mystery Award Features

A mystery award is an award paid by a game that is not associated with a specific payable combination. It is acceptable for games to offer a mystery award; however, the game artwork shall indicate the minimum and maximum amounts that the player could potentially win. If the minimum

amount that could potentially be awarded is zero, then it is not required to be explicitly displayed. If the value of the mystery award depends on credits wagered, or any other factors, the conditions shall be clearly stated.

## 4.9 Alternative Game Modes

### 4.9.1 Free Play Mode

Free play mode allows a player to participate in a game without placing a wager. If the game supports a free play mode of operation, the following requirements apply:

- a) Free play games shall accurately represent the normal operation of a paid game. Games played in free play mode shall not mislead the player about the likelihood of winning any awards available in the wagered version of the game;
- b) Free play mode shall be prominently displayed so a player knows at all times if/when this mode is active;
- c) Free play mode shall not increment the credit meter or the player account balance. Specific meters are permissible for this mode provided the meters clearly indicate as such;
- d) Free play mode shall be terminated whenever the player opts to exit this mode, or when the free play game(s) are concluded; and
- e) When free play mode is exited, the game shall return to its previous state.

**NOTE:** Paid games which may be played with credits received from an incentive award are not considered free play games.

### 4.9.2 Autoplay Mode

Autoplay mode allows a game to place wagers automatically without player interaction, once a denomination, wager, and other play attributes have been selected by the player. If the game supports an autoplay mode, the following rules apply:

- a) Autoplay mode shall be securely controlled using a function that either allows or disallows the feature, reflective of jurisdictional preference;
- b) Autoplay mode may allow the player to choose the individual game wager, the number of autoplay wagers, and/or the total amount to be wagered;
  - i. All player-defined thresholds shall remain in effect for the duration of autoplay;
  - ii. The game shall display the number of autoplay wagers remaining or the number used, reflective of a player-defined threshold;
  - iii. Autoplay mode shall end automatically and return to manual game play when player-defined thresholds are reached;
- c) Autoplay mode shall offer the player an option to terminate autoplay mode at the completion of a current game, regardless of how many autoplay wagers they initially chose or how many remain; and
- d) If player options are supported for autoplay mode, these options shall default to the manual mode of game play.

### 4.9.3 Tournament Mode

Tournament mode allows a player to engage in competitive play against other players in an organized, measured event. Play during tournament mode may be in-revenue or out-of-revenue. If the game supports a specific tournament mode, which is separate from regular game play, the following requirements apply:

- a) All of the rules within the “Contests/Tournaments” section of this document shall be disclosed to the player;
- b) The player shall be provided with an option on whether or not to participate. If/when opting in, the player shall be able to complete their non-tournament game prior to entering the tournament mode of play, unless the Gaming Platform supports simultaneous tournament and non-tournament modes of play;
- c) A message shall be prominently displayed on the game informing the player that it is operating in a tournament mode;
- d) For out-of-revenue tournaments, the game shall not accept real money from any source, nor pay out real money in any way. The tournament mode shall utilize tournament-specific credits, points, or chips which shall have no cash value;
- e) For time-based tournaments, a timer shall be displayed to players to indicate the remaining period of play. If a tournament is based on some extended duration of play or is initiated or concluded based upon the occurrence of a specific event, then this information shall be disclosed to the players;
- f) At the conclusion of the tournament, the player rankings shall be displayed, and the winner(s) notified;
- g) When exiting tournament mode, the game shall return to the original state it was in prior to entering the tournament mode; and
- h) Any tournament-specific game meters displayed to the player on the game shall be automatically cleared when the tournament mode is exited.

## 4.10 Games with Skill

### 4.10.1 General Statement

A game with skill contains one or more elements in its design which can be leveraged by a player to impact the return percentage. Skill means the human attributes of a player such as knowledge, dexterity, visual recognition, logic, memory, reaction, strength, agility, athleticism, hand-to-eye coordination, numerical and/or lexical ability, or any other ability or expertise relevant to game play. The requirements defined within this section shall apply to games with skill to ensure player fairness and clarity with respect to player notification.

**NOTE:** This technical standard is not intended to classify a game as a “skill game” or to serve as a legal basis for game classification within the context of skill. Such classifications will be subject to interpretation by the regulatory body.

### 4.10.2 Display for Games with Skill



A game with skill shall conform to the applicable display requirements found in related sections of this standard for “Game Information and Rules of Play”, “Information to be Displayed”, and “Game Fairness”. In addition, any game with skill other than traditional casino games (e.g., poker, blackjack, etc.) shall prominently disclose that the outcome is affected by player skill. This disclosure shall be prominently displayed on the game prior to committing a wager.

#### **4.10.3 Virtual Opponent**

A game with skill may offer a player the opportunity to compete against a virtual opponent provided that the Gaming Platform:

- a) Clearly and prominently discloses when a virtual opponent is participating; and
- b) Prevents the virtual opponent from utilizing privileged information of the live player upon which a decision is made, unless otherwise disclosed to the player.

#### **4.10.4 Outcome for Games with Skill**

Except as otherwise disclosed to the player, once a game with skill is initiated, no function of the game related to game outcome shall be altered during play. Additionally, in the event that available paytables or rules of play change between games, notice of the change shall be prominently displayed to the player through the game artwork and shall provide adequate information so a player can make an informed decision. An example of the latter case might be the use of an identifier to change the paytables available to the player during the course of play.

#### **4.10.5 Odds for Skill-Based Awards**

If the highest advertised award is a skill-based award, it shall be available to be achieved by a player. If this skill-based award incorporates an element of chance, the opportunity to achieve the award shall meet the “Odds” requirement specified earlier in this chapter.

#### **4.10.6 Player Advice Features**

A game with skill may support a feature that offers advice, hints, or suggestions to a player. An illustrative example might be a trivia game that provides hints, clues, or other player assistance in making a selection. A game with skill may support player advice features provided that it conforms to the following requirements:

- a) The player advice feature shall clearly describe to the player that it is available and what options exist for selection;
- b) Any player advice that is offered to the player for purchase shall clearly disclose the cost and benefit;
- c) The player advice shall not be misleading or inaccurate, and shall reflect the rules of play for the game, while noting that the game rules may change as a function of the advice offered, providing any such changes are disclosed to the player prior to acceptance of the advice;
- d) The game design shall prevent access to any “information store” such that data related to the skill element is not readily available through software tampering (for example, a trivia game

- shall prevent access to an answers database);
- e) The player advice feature shall allow the player the option of accepting the advice, and shall not force the player to accept the assistance unless it reflects the only possible option for the player to pursue at the time; and
  - f) The availability and content of player advice shall remain consistent unless otherwise disclosed and shall not adapt in a way that disadvantages the player based upon prior game play or game events.

**NOTE:** It is recommended that the Gaming Platform support a secure option to enable or disable player advice to accommodate regulatory bodies that may either allow or prohibit this type of feature.

#### **4.10.7 Player Interaction Devices Used with Games Containing Skill**

If unique player interaction devices (e.g., joysticks, game controllers, camera systems, sound systems, motion sensors, image sensors, accelerometers, etc.) are employed by the game to support skill, then the game with skill shall provide adequate and clear instruction on their purpose, usage, and effect. If there are multiple player interaction devices able to affect the same player action involving skill, then all such options shall be clearly explained to the player.

### **4.11 Peer-to-Peer (P2P) Gaming**

#### **4.11.1 P2P Gaming Sessions**

Peer-to-Peer (P2P) gaming sessions are environments which offer players the opportunity to play with and against each other. In these environments, the operator usually does not engage in the P2P gaming session as a party (e.g., house-banked gaming), but usually provides the environment for use by its players, and may take a rake, commission, or fee for the service. The following requirements apply:

- a) Players shall be prevented from occupying more than one position in any P2P gaming session unless authorized by the rules of the game;
- b) Players shall be provided with the option to join a P2P gaming session where all players have been selected at random;
- c) Any players that are playing with house money (shills) or are proposition players shall be clearly indicated to all other players in that P2P gaming session; and
- d) Players shall be provided with warnings where the use of bots or other unauthorized player software can affect play so that they can make an informed decision whether to participate.

#### **4.11.2 P2P Advantage Feature**

A P2P gaming session may contain a feature that allows a player or players to gain an advantage over other players provided that the game:

- a) Clearly describes to all players that the feature is available and the advantage it offers;
- b) Discloses the method for obtaining the feature, including any required wager; and
- c) Provides players with sufficient information to make an informed decision, prior to game play,



as to whether or not to compete against other player(s) who may possess such a feature.

#### 4.11.3 “Away from Play” Status

The Gaming Platform shall support an “Away from Play” status which can be triggered either by player request or upon a period of inactivity, which shall be disclosed to the player and be less than or equal to the inactivity timeout period specified under the “Player Inactivity” section of this document. This status shall be fully described in the help screens or applicable gaming rules.

- a) The player shall be informed when the “Away from Play” status is triggered.
- b) The “Away from Play” status shall disallow all play and cause the player’s turn to be automatically skipped during any round of play which takes place while this status is active.
- c) If the “Away from Play” status is triggered during the middle of a game, that game shall be treated as an interrupted game and meet the requirements under the section entitled “Completion of Interrupted Games”.
- d) If a player performs any game sensitive action while in an “Away from Play” status (i.e., selecting an amount to wager, etc.), the status shall be removed, and the player will be enrolled into the next game. Non-game sensitive actions, such as accessing the help menu do not require this status to be removed.
- e) If a player has been in “Away from Play” status for more than a period of time disclosed to the player, the player shall be automatically removed from the P2P gaming session they are currently enrolled in.

### 4.12 Persistence Games

#### 4.12.1 General Statement

A persistence game is associated with a unique attribute (e.g., player ID, game theme/paytable ID, etc.) and incorporates a feature that enables progress towards the award of game play enhancements and/or bonuses through the achievement of some designated game outcome. These additional offerings become available when the player has achieved specific thresholds defined for game play. Each designated outcome advances the state of the persistence game. Multiple plays of a game are usually necessary to trigger the persistence award.

#### 4.12.2 Persistence Game Thresholds

A persistence game shall recognize a particular attribute for the purpose of restoring previously earned thresholds during each subsequent visit to a game. A persistence game shall contain in its help screens, a clear description of each persistence game-related feature and/or function, and the requirements for achieving persistence game thresholds, as well as information regarding how the player restores previously earned thresholds. Additionally, players shall be notified each time a persistence game threshold has been achieved.

#### 4.12.3 Play from Save

Play from save is a feature utilized in some persistence game designs where complexity increases,

or additional elements are added to the game, as play continues. Additionally, play from save allows the player to save a persistence game at critical points (i.e., save points), typically after some accomplishment or goal has been achieved. The player can resume game play from that point at a later date and continue on to the next goal. The following requirements apply to play from save:

- a) Awards issued or made available for reaching a save point shall be clearly defined and displayed to the player prior to placing any wager. If a random type award may be won, the details and all possible payouts shall be displayed to the player;
- b) The game shall provide a suitable notification to the player whenever a designated save point is reached during play;
- c) If game rules or awards change as different levels are reached during play from save activity, these changes shall be clearly displayed to the player; and
- d) If the play from save state is not indefinitely maintained, then the game shall provide an indication to the player of any limitation and/or expiration of saved data that is stored for use in supporting game play at a later period in time.

## 4.13 Progressive Jackpots and Incrementing Jackpots

### 4.13.1 General Statement

This section applies to monetary jackpot awards or “payoffs” which increase based on game play as follows:

- a) Progressive jackpots awards increase according to the credits wagered in the game.
- b) Incrementing jackpots awards behave identically as progressive jackpots, except they increase based on the occurrence of one or more specific conditions (defined events) established by the rules of the game instead of, or in addition to, increases based on credits wagered.

**NOTE:** This section does not apply to awards of restrictive incentive credits, bonuses/features which offer awards which may increase over a single game cycle or, static awards whose probabilities of triggering change as the game is played. This section also does not apply to persistence game features which increase as the game is played (e.g., number of free games, multipliers, several achievements towards the activation of a bonus/feature or the issuance of an award, etc.) or “levels” of static awards available to be won based on player experience and/or achievements.

### 4.13.2 Jackpot Display

The jackpot display is used to indicate the current jackpot award amount or “payoff” for each jackpot in credits or the local currency format to all players who are playing a game which may potentially trigger the jackpot. If the jackpot offers a “mystery payoff” where the actual payoff is not displayed to the player, the “Mystery Award Features” shall apply.

- a) As games are played, the current payoff for each jackpot shall be updated on the jackpot display at least every thirty seconds from the incrementing game event to reasonably reflect the actual size of the payoff. The use of odometer and other “paced” updating displays are allowed.
- b) Where the jackpot display has a maximum display limitation (i.e., it could only display a certain

number of digits), a maximum payoff limit or “ceiling” shall be required and shall meet the requirements for “Maximum Payoff Limits”.

**NOTE:** The payoff(s) shall be displayed as accurately as possible within the constraints of communication delays and latencies.

#### 4.13.3 Maximum Payoff Limits

If a maximum payoff limit or “ceiling” is supported by the jackpot, once the payoff reaches its ceiling, it shall remain at that value until awarded to a player.

- a) Where required by the regulatory body, all additional contributions shall be credited to an overflow or diversion pool.
- b) Where disclosed to the player in the artwork, the displayed ceiling amount shall be accurate.

#### 4.13.4 Linked Odds

For jackpots linked to multiple game themes, unless otherwise clearly disclosed to the player, the probability of winning the linked jackpot shall be proportional to the player’s monetary wager.

**NOTE:** For the purposes of this requirement, a variance is acceptable of no greater than five percent (5%) for probability and no greater than a one percent (1%) tolerance on the expected RTP calculation.

#### 4.13.5 Jackpot Diversion

Where allowed by the regulatory body, a Jackpot Diversion Scheme may be used, where a portion of the jackpot contributions are diverted to another pool or “diversion pool” to be used as needed by the design of the jackpot (e.g., the diversion pool may be added to the reset value of the next jackpot or be used to pay simultaneous wins of a jackpot).

- a) A Jackpot Diversion Scheme shall be able to be implemented such that it does not have a mathematical expectation of infinity.
- b) Diversion pools shall not be truncated. Diverted contributions once that diversion pool has reached its upper limit shall be accounted for.
- c) Where a diversion pool is used to fund the reset value of a jackpot, the reset value shall assume an empty diversion pool for the purposes of RTP calculations.

#### 4.13.6 Jackpot Wins

Jackpots may be awarded based on obtaining winning symbols, or by other criteria, such as mystery-triggered jackpots, bad-beat jackpots, etc. When a jackpot is triggered:

- a) A winning player shall be notified of a jackpot win, and its payoff, by the end of the game in play.
- b) Contributions toward the jackpot shall not be lost. Jackpot payoffs when awarded shall not be rounded down or truncated unless carried over to the reset amount.
- c) When in use, the jackpot payoff may be added to the player’s credit meter if either:

- i. The credit meter is maintained in the local currency amount format;
  - ii. The jackpot payoff is incremented in whole credit amounts; or
  - iii. The jackpot payoff in local currency amount format is converted properly to credits upon transfer to the credit meter in a manner that does not mislead the player.
- d) The jackpot payoff shall update to the reset value and continue normal operations.

**NOTE:** A jackpot may be disabled or decommissioned concurrent with the winning of the jackpot if the game was configured to automatically disable or establish in its place an award which does not increment.

#### **4.13.7 Swapping Jackpot Levels**

For jackpots offering multiple levels of awards, when a single winning combination may be evaluated as more than one of the available payable combinations, unless otherwise explicitly defined in the game rules, the player shall always be paid the highest possible value based on all combinations to which the outcome may correlate (e.g., if “Jackpot A” is awarded for five aces on a payline and “Jackpot B” is awarded for four aces on a payline, and “Jackpot B” has a larger award than “Jackpot A”, the player shall be awarded the payoff for “Jackpot B” if the player obtains an outcome of five aces on a payline).

#### **4.13.8 Mystery-Triggered Jackpots**

For mystery-triggered jackpots which use a hidden trigger amount to determine the when the jackpot is awarded:

- a) The hidden trigger amount shall be set randomly upon each jackpot reset and shall remain unknown at all times; and
- b) It shall not be possible to gain access to or knowledge of the hidden trigger amount at any time.

#### **4.13.9 Jackpot Triggers for Multiple Players**

The Gaming Platform shall be designed to accurately identify and record the order of triggers when multiple players trigger at nearly the same time, such that the full amount of the displayed payoff can be awarded to winning player who triggered first. When this is not possible or if it's possible that multiple players trigger at the exact same time (e.g., in a multi-player game), one of the following shall occur:

- a) The full amount of the displayed payoff shall be awarded to each winning player; or
- b) Accurate information on how the payoff is distributed shall be disclosed to the player.

### **4.14 Game Recall**

#### **4.14.1 Player Facing Recall**

A ‘game recall’ facility shall be provided to the player, either as a re-enactment or by description. The ‘game recall’ facility shall clearly indicate that it is a replay of the previous game.

#### 4.14.2 Last Play Information Required

Game recall shall consist of graphical, textual, or video content, or some combination of these options, or other means (e.g., “flight recorder” mechanism), so long as the full and accurate reconstruction of game outcome and/or player actions is possible. It is allowable to display values in currency in place of credits. Game recall shall display the following information as applicable:

- a) The date and time the game was played;
- b) The denomination played for the game, if a multi-denomination game type;
- c) The display associated with the final outcome of the game, either graphically or via a clear text description;
- d) The funds available for wagering at the start of play and/or at the end of play;
- e) Total amount wagered, including any incentive credits;
- f) Total amount won, including:
  - i. Any incentive credits and/or prizes;
  - ii. Any progressive jackpots and/or incrementing jackpots;
- g) Any non-wager purchase that occurred between the start of play and the end of play;
- h) Rake, commission, or fees collected;
- i) The results of any player choices involved in the game outcome;
- j) The results of any intermediate game phases, such as double-up/gamble or bonus/feature games;
- k) If a progressive jackpot and/or incrementing jackpot was won, an indication that the jackpot was awarded; and
- l) Any player advice that is offered to the player for games with skill.

#### 4.14.3 Bonus/Feature Game Recall

Game recall shall reflect at least the last fifty events of completed bonus/feature games. If a bonus/feature game consists of 'x number of events,' each with separate outcomes, each of the 'x events', up to fifty, shall be displayed with its corresponding outcome, regardless of whether the result was a win or loss.

### 4.15 Disable Requirements

#### 4.15.1 Game Disable

When a game or gaming activity is disabled by the Gaming Platform while a game is in progress, all players playing that game shall be permitted to conclude their current game in play (i.e., bonus rounds, double-up/gamble and other game features related to the wager shall be fully concluded right away or the next time that game becomes available to the player). Once the game has fully concluded it shall no longer be accessible to a player.

#### 4.15.2 Jackpot Disable

For cases where a progressive jackpot or incrementing jackpot is disabled (e.g., operator intervention, error condition, time limit has expired, etc.), the following requirements shall apply:

- a) An indication shall be displayed when the jackpot is not available;
- b) It shall not be possible for the jackpot to be incremented or won while in this state; and
- c) Upon resumption of the jackpot from the disabled state, it shall be possible to return the jackpot with the identical parameters as before the disable, including the payoff. The hidden trigger amount, if used to determine jackpot win for a mystery-triggered jackpot, may only be reselected if the reselected amount is in the range of the current payoff to the ceiling.

**NOTE:** For house-banked games, it is recommended that if the minimum percentage requirement as specified within the "Software Requirements for Percentage Payout" section is no longer met when the jackpot is not available, the participating games shall also be disabled.

## 4.16 Interrupted Games

### 4.16.1 Interrupted Games

A game is considered interrupted when the game outcome remains unresolved or the outcome cannot be properly conveyed to the player. Interrupted games may result from the following occurring during game play:

- a) Loss of communications between the Gaming Platform and the Remote Player Device;
- b) A Gaming Platform restart;
- c) A Remote Player Device restart or malfunction;
- d) Abnormal termination of the Player Software; or
- e) A game-disable command by the Gaming Platform.

### 4.16.2 Wagers in Interrupted Games

Wagers associated with an interrupted game that can be continued shall be held by the Gaming Platform until the game completes. Player accounts shall reflect any funds held in interrupted games.

### 4.16.3 Completion of Interrupted Games

The Gaming Platform shall provide a mechanism for a player to complete an interrupted game. An interrupted game shall be resolved before a player is permitted to participate in another instance of the same game.

- a) Where no player input is required to complete the game, it is acceptable for the game to return to a game completion state, provided the game history and the credit meter or player account balance reflects a completed game.
- b) For single-player games, where player input is required to complete the game, the game shall return the player to the game state immediately prior to the interruption and allow the player to complete the game, unless any superseding game rules and/or terms and conditions for game recovery is disclosed to the player.
- c) For multi-player games, where player input is required to complete the game and the player



cannot complete an action required of them to allow a game to continue within the allotted time:

- i. The Gaming Platform shall complete the game on behalf of the player in accordance with the game rules and/or terms and conditions;
- ii. The game history and credit meters or player account balances shall be updated accordingly;
- iii. The results of the game shall be available to the player and shall indicate which decisions, if any, were made by the Gaming Platform on behalf of the player; and
- iv. The Gaming Platform shall be designed such that one player not completing an action in the required time shall not impact any other players in the same gaming session with regards to completing the game and being credited for wins or debited for losses.

## 4.17 Virtual Event Wagering

### 4.17.1 General Statement

Virtual event wagering allows for the placement of wagers on simulations of sporting events, contests, and races whose results are based solely on the output of an approved Random Number Generator (RNG) as allowed by the regulatory body. Gaming Platforms which support virtual event wagering shall meet the requirements specified for “Virtual Event Wagering” within the *GLI-33 Standards for Event Wagering Systems*. In addition, the RNG utilized for virtual event wagering shall comply with applicable “Random Number Generator (RNG) Requirements” of this document.

## 4.18 Live Game Requirements

### 4.18.1 General Statement

Where authorized by a regulatory body, the following requirements apply where wagers are placed through a Gaming Platform on live games conducted by a gaming attendant (e.g., dealer, croupier, etc.) and/or other gaming equipment (e.g., automated roulette wheel, ball blower, gaming device, etc.) in a live game environment. This includes, but is not limited to live drawings, live card games, live table games, live keno games, live bingo games, and live play of gaming devices or other games as allowed by the regulatory body.

- a) The entire process is viewed by all players through real-time remote audio and video feed using streaming, narrowcast, broadcast or other technology and a graphical interface.
- b) The Gaming Platform receives instructions from each player through the player interface or another communication channel to facilitate player decisions where required.
- c) In addition to the requirements contained within this section, the operator or third-party service provider maintaining these components, services and/or applications shall meet the operational procedures and controls indicated in the “Live Game Services” section of this document.

**NOTE:** Where authorized by a regulatory body, a live game service provider may utilize a surrogate to place wagers on behalf of a player instead of directly through a system. Such implementations, when used in conjunction with a Gaming Platform, will be reviewed on a case by case basis.

#### 4.18.2 Live Game Information

A live game shall conform to the applicable display requirements found in related sections of this standard for “Game Information and Rules of Play”, “Information to be Displayed”, and “Game Fairness”. In addition, the following display requirements apply:

- a) The Gaming Platform shall provide information to the player which:
  - i. Describes procedures in place to deal with live game interruptions caused by the discontinuity of data flow, video and voice from the network server during a game (e.g., internet connection outage, simulcast control server malfunction, etc.);
  - ii. Indicates the possibility of human error by the gaming attendant and system error by the specialized device and how errors are resolved; and
  - iii. Identifies any correlation between the player’s wager selection through the Gaming Platform and what will be displayed in the video feed, such as physical player chips and their values.
- b) The Gaming Platform may not provide any real time information, for the current live game being played, that can be used to aid in:
  - i. Projecting or predicting the outcome of a game;
  - ii. For card games, tracking the cards played and cards remaining to be played;
  - iii. Analyzing the probability of the occurrence of an event relating to a game; or
  - iv. Analyzing the strategy for playing or wagering to be used in a game, unless allowed by the rules of the game.
- c) Players shall be informed for any live game relying on ‘live’ monitoring of an event (e.g., bingo) that ‘live’ transmissions may be subject to delay or interruption. Where a delay is apparent or created by the Gaming Platform, the scale of the delay shall be displayed to the player.

#### 4.18.3 Player Fairness in Live Games

The following rules apply when players participate in games through the Gaming Platform with in-person players, who are playing at the actual game in a gaming venue (e.g., casino, bingo hall, card room, etc.):

- a) The rules, artwork and functionality of the live game, as made available to the player through the Gaming Platform, shall include no more or no less information than that which is made available to an in-person player, where applicable; and
- b) Players who are playing through a Gaming Platform shall be no more or no less eligible to win the game than in-person players.

**NOTE:** Nothing herein may preclude the possibility of implementing specific incentive awards only for in-person players or players who are playing through a Gaming Platform.

#### 4.18.4 Game Outcome Data

Game outcome data refers to any result generated or detected by specialized devices during the live game up to and including the result of the player’s wager including any intermediate phases that



impact the result, as determined by the Gaming Platform. Game outcome data shall be transmitted to the player immediately following its generation or detection (subject to the natural limitations of system processing and Internet communication delays). If allowed by the regulatory body, game outcome data may be automatically registered by specialized devices, provided that the software used for automated recognition shall:

- a) Ensure a very high degree of accuracy in identifying and reporting the game outcome data to the Gaming Platform. The rules of the game shall be programmed into the Gaming Platform;
- b) Not provide any information that may be used to compromise the device and its components (e.g., cards contained in the current shuffle or dealing shoe);
- c) Not interfere with or modify the device's behavior beyond what functionality is associated with that software; and
- d) Include a manual operation mode to allow for corrections of an erroneous result (where the device misreads a card, the position of the ball, etc.) if such corrections are not done directly on the Gaming Platform. The player shall be made aware that the manual operation mode is in use.

#### **4.18.5 Physical Randomness Devices**

Live games may utilize physical randomness devices, as described within the “Mechanical RNG (Physical Randomness Device)” section of this document, to generate game outcomes.

- a) Physical randomness device outcomes shall be digitized into game outcome data and securely transmitted to the Gaming Platform via specialized devices for processing without alterations unless approved by the regulatory body.
- b) Game outcome data shall be recorded by the Gaming Platform and made available to the player for review immediately following its generation (subject to the natural limitations of system processing and network communication delays).
- c) Except for a human error or an error correctable with a manual override, at any time during the game the game outcome data shall match the outcome generated by the physical randomness device. Where a discrepancy between the physical randomness device and the game outcome data exists, the physical randomness device's outcome shall be considered correct.

## Appendix A: Operational Audit for Gaming Procedures and Practices

### A.1 Introduction

#### A.1.1 General Statement

This appendix sets forth procedures and practices for gaming operations which will be reviewed in an operational audit as a part of the Interactive Gaming System evaluation, including, but not limited to establishing gaming rules, managing games, monitoring games and Random Number Generator (RNG) output, handling various gaming and financial transactions, creating and managing progressive jackpots and incrementing jackpots, player account management, fundamental practices relevant to the limitation of risks, and any other objectives established by the regulatory body.

**NOTE:** It is also recognized that additional procedures and practices which are not specifically included within this standard will be relevant and required for an operational audit as determined by the operator and/or regulatory body within their rules, regulations, and Minimum Internal Control Standards (MICS).

### A.2 Internal Control Procedures

#### A.2.1 Internal Control Procedures

The operator shall establish, maintain, implement and comply with internal control procedures for gaming operations, including performing gaming and financial transactions.

#### A.2.2 Information Management

The operator's internal controls shall include the processes for maintaining the recorded information specified under the section entitled "Information to be Maintained" for a period of five years or as otherwise specified by the regulatory body.

#### A.2.3 Risk Management

The operator's internal controls shall contain details on its risk management framework, including but not limited to:

- a) Automated and manual risk management procedures;
- b) Employee management, including access controls and segregation of duties;
- c) Information regarding identifying and reporting fraud and suspicious conduct;
- d) Controls ensuring regulatory compliance;
- e) Description of Anti-Money Laundering (AML) compliance standards, including procedures for detecting structuring to avoid reporting requirements;
- f) Description of all software applications that comprise the Interactive Gaming System;
- g) Description of all types of games available to be offered by the operator;
- h) Description of the method to prevent collusion for peer-to-peer games;

- i) Description of all integrated third-party service providers; and
- j) Any other information required by the regulatory body.

#### **A.2.4 Restricted Players**

The operator's internal controls shall describe the method to prevent game play from people identified as employees, subcontractors, directors, owners, and officers of an operator, as well as those within the same household as required by the regulatory body.

#### **A.2.5 Test Accounts**

The operator may establish test accounts to be used to test or have tested the various components and operation of an Interactive Gaming System in accordance with internal controls adopted by the operator, which, at a minimum, shall address the following procedures:

- a) The procedures for authorizing testing activity and assigning each test account for use;
- b) The procedures for the issuance of funds used for testing, including the identification of who is authorized to issue the funds and the maximum amount of funds that may be issued;
- c) The maintenance of a record for all test accounts, to include when they are active and to whom they are issued; and
- d) The procedures for the auditing of testing activity to ensure the accountability of funds used for testing and proper adjustments to reports and records.

### **A.3 Player Account Controls**

#### **A.3.1 Registration and Verification**

Where player account registration is done manually by the operator, procedures shall be in place to satisfy the requirements for "Registration and Verification" as indicated within this document.

#### **A.3.2 Fraudulent Accounts**

The operator shall have a documented public policy for the treatment of player accounts discovered to being used in a fraudulent manner, including but not limited to:

- a) The maintenance of information about any account's activity, such that if fraudulent activity is detected, the operator has the necessary information to take appropriate action;
- b) The suspension of any account discovered to be engaged in fraudulent activity, such as a player providing access to underage persons; and
- c) The handling of deposits, wagers, and wins associated with a fraudulent account.

#### **A.3.3 Terms and Conditions**

A set of terms and conditions shall be available to the player. During the registration process and when any terms and conditions are materially updated (i.e., beyond any grammatical or other minor changes), the player shall agree to the terms and conditions. The terms and conditions shall:

- a) State that only individuals legally permitted by their respective jurisdiction can participate in gaming;
- b) Advise the player to keep their authentication credentials (e.g., password and username) secure;
- c) Disclose all processes for dealing with lost authentication credentials, forced password changes, password strength and other related items as required by the regulatory body;
- d) Specify the conditions under which an account is declared inactive and explain what actions will be undertaken on the account once this declaration is made;
- e) Clearly define what happens to the player's wagers placed but remaining undecided in interrupted games prior to any self-imposed or operator-imposed exclusion, including the return of all wagers, or settling all wagers, as appropriate;
- f) Contain information about timeframes and limits regarding deposits to and/or withdrawals from the player account, including a clear and concise explanation of all fees (if applicable);
- g) State that the operator has the right to:
  - i. Refuse to establish a player account for what it deems good and sufficient reason;
  - ii. Refuse deposits to and/or withdrawals from player accounts for what it deems good and sufficient reason; and
  - iii. Unless there is a pending investigation or player dispute, suspend or close any player account at any time pursuant to the terms and conditions between the operator and the player.

#### A.3.4 Privacy Policy

A privacy policy shall be available to the player. During the registration process and when the privacy policy is materially updated (i.e., beyond any grammatical or other minor changes), the player shall agree to the privacy policy. The privacy policy shall state:

- a) The personally identifiable information (PII) required to be collected;
- b) The purpose and legal basis for PII collection and of every processing activity for which consent is being sought including, where required by the regulatory body, the "legitimate interest" pursued by the operator (or third-party service provider(s)) if this is the legal basis chosen (i.e., identification of the specific interest in question);
- c) The period in which the PII is stored, or, if no period can be possibly set, the criteria used to set this. It is not sufficient for the operator to state that the PII will be kept for as long as necessary for the legitimate purposes of the processing;
- d) The conditions under which PII may be disclosed;
- e) An affirmation that measures are in place to prevent the unauthorized or unnecessary disclosure of the PII;
- f) The identity and contact details on the operator who is seeking the consent, including any third-party service provider(s) which may access and or use this PII;
- g) Where required by the regulatory body, that the player has a right to:
  - i. Access, export, or transfer their PII;
  - ii. Rectify, erase, or restrict access to their PII;
  - iii. Object to the PII processing;
  - iv. To withdraw consent, if the processing is based on consent;

- h) The rights and possibility of a player to file a complaint to the regulatory body;
- i) For PII collected directly from the player, whether there is a legal or contractual obligation to provide the PII and the consequences of not providing that PII;
- j) Where applicable and required by the regulatory body, information on the operator's use of automated decision-making, including profiling, and at least in those cases, without hindering compliance with other legal obligations:
  - i. Sufficient insight into the logic of the automated decision-making;
  - ii. The significance and the envisaged consequences of such processing for the player; and
  - iii. Safeguards in place around solely automated decision-making, including information for a player on how to contest the decision and to require direct human review or intervention.

### A.3.5 Personally Identifiable Information (PII) Security

Any information obtained in respect to the player account, including personally identifiable information (PII) and authentication credentials, shall be done in compliance with the privacy policy and local privacy regulations and standards observed by the regulatory body. Both PII and the player funds shall be considered as critical assets for the purposes of risk assessment.

- a) Any PII which is not subject to disclosure pursuant to the privacy policy shall be kept confidential, except where the release of that information is required by law. This includes, but is not limited to:
  - i. The amount of money credited to, debited from, or present in any particular player account;
  - ii. The amount of money wagered by a particular player on any game;
  - iii. The account number and authentication credentials that identify the player; and
  - iv. The name, address, and other information in the possession of the operator that would identify the player to anyone other than the regulatory body or the operator.
- b) There shall be procedures in place for the security and sharing of PII, funds in a player account and other sensitive information as required by the regulatory body, including, but not limited to:
  - i. The designation and identification of one or more employees having primary responsibility for the design, implementation and ongoing evaluation of such procedures and practices;
  - ii. The procedures to be used to determine the nature and scope of all information collected, the locations in which such information is stored, and the storage devices on which such information may be recorded for purposes of storage or transfer;
  - iii. The measures to be utilized to protect information from unauthorized access; and
  - iv. The procedures to be used in the event the operator determines that a breach of data security has occurred, including required notification to the regulatory body.
- c) Where required by the regulatory body, players shall be provided with a method to request:
  - i. Confirmation that their PII is being processed;
  - ii. Access to a copy of their PII as well as any other information about the PII processing;
  - iii. Updates to their PII; and
  - iv. Their PII erased and/or to impose restrictions on processing of PII.
- d) There shall be procedures in place to record and process such requests from players, including maintaining records of such requests and providing reasons to the player when such requests are denied or rejected. The player shall be given a reason when the operator does not intend to comply with the request and also provided with the necessary information on the possibility to

- file a complaint with the regulatory body.
- e) Where required by the regulatory body and upon player's request, the operator shall forward to the players the PII which they have received from the same player, in a structured, commonly used and machine-readable format and transmit those data to another operator, where it is technically feasible to do so. This only applies to:
    - i. PII which the player has provided to the operator or PII which is processed by automated means (i.e., this would exclude any paper records); and
    - ii. Cases where the basis for processing is PII consent, or that the data is being processed to fulfil a contract or steps preparatory to a contract.
  - f) Where required by the regulatory body, the player has the right to object to PII processing:
    - i. Based on legitimate interests or the performance of a task in the public interest or in the exercise of official authority;
    - ii. Used in direct marketing, including profiling to the extent that it is related to such marketing activities; and
    - iii. For scientific or historical research purposes or for the purpose of statistics.
  - g) There shall be procedures in place for the operator to comply with requests from players to have PII erased and/or to prevent or restrict processing of PII, including, in the following circumstances:
    - i. Where the PII is no longer necessary in relation to the purpose for which it was originally collected/processed;
    - ii. When the player withdraws consent;
    - iii. When the player objects to the PII processing and there is no overriding legitimate interest for continuing the processing;
    - iv. The PII was unlawfully processed; or
    - v. The PII has to be erased in order to comply with a legal obligation.
  - h) Where prohibited by the regulatory body, the operator may not utilize solely automated decision-making which:
    - i. Produces legal effects the player such as those which result in the player being subjected to surveillance by a competent authority; or
    - ii. Significantly affects the player in a similar manner (e.g., it has the potential to influence the circumstances, behavior or choices of the player).

### A.3.6 Player Funds Maintenance

Procedures shall be in place to ensure all financial transactions are conducted in accordance with local commerce regulations and requirements mandated by the regulatory body.

- a) Where financial transactions cannot be performed automatically by the Interactive Gaming System, procedures shall be in place to satisfy the requirements for "Financial Transactions" as indicated within this document.
- b) Where financial transactions are allowed through Electronic Funds Transfers (EFT), the operator shall have security measures and controls to prevent EFT fraud. A failed EFT attempt may not be considered fraudulent if the player has successfully performed an EFT on a previous occasion with no outstanding chargebacks. Otherwise, the operator shall do all of the following:
  - i. Temporarily block the player account for investigation of fraud after five consecutive failed EFT attempts within a ten-minute time period or a period to be determined by the



- regulatory body. If there is no evidence of fraud, the block may be removed; and
- ii. Suspend the player account after five additional consecutive failed EFT attempts within a ten-minute period or a period to be determined by the regulatory body.
  - c) Positive player identification or authentication shall be completed before the withdrawal of any funds can be made by the player.
  - d) The operator shall not allow a player account to be overdrawn unless caused by payment processing issues outside the control of the operator.
  - e) A player's request for withdrawal of funds (i.e., deposited and cleared funds and wagers won) shall be completed by the operator within a reasonable amount of time, unless there is a pending unresolved player complaint/dispute or investigation. Such investigation shall be documented by the operator and available for review by the regulatory body.
  - f) The operator shall have security or authorization procedures in place to ensure that only authorized adjustments can be made to player accounts, and these changes are auditable.

### A.3.7 Limitations

Players shall be provided with a method to impose limitations for gaming parameters including, but not limited to deposits and wagers as required by the regulatory body. In addition, there shall be a method for the operator to impose any limitations for gaming parameters as required by the regulatory body.

- a) Once established by a player and implemented by the operator, it shall only be possible to reduce the severity of self-imposed limitations upon twenty-four hours' notice, or as required by the regulatory body.
- b) Players shall be notified in advance of any operator-imposed limits and their effective dates. Once updated, operator-imposed limits shall be consistent with what is disclosed to the player.
- c) Upon receiving any self-imposed or operator-imposed limitation order, the operator shall ensure that all specified limits are correctly implemented immediately or at the point in time (e.g., next login, next day) clearly indicated to the player.

### A.3.8 Exclusions

Players shall be provided with a method to exclude themselves from gaming for a specified period or indefinitely, as required by the regulatory body. In addition, there shall be a method for the operator to exclude a player from gaming as required by the regulatory body.

- a) Players shall be given a notification containing exclusion status and general instructions for resolution where possible.
- b) Immediately upon receiving the exclusion order, no new wagers or deposits are accepted from that player, until the exclusion has been removed.
- c) While excluded, the player shall not be prevented from withdrawing any or all of their account balance, provided that the operator acknowledges that the funds have cleared, and that the reason(s) for exclusion would not prohibit a withdrawal.
- d) All advertising or marketing material shall not specifically target players that have been excluded from play.

### **A.3.9 Inactive Accounts**

A player account is considered to be inactive under the conditions as specified in the terms and conditions. Procedures shall be in place to:

- a) Allow access by player to their inactive account only after performing additional identity verification;
- b) Protect inactive player accounts that contain funds from unauthorized access, changes or removal; and
- c) Deal with unclaimed funds from inactive player accounts, including returning any remaining funds to the player where possible.

### **A.3.10 Account Closure**

Players shall be provided with a method to close their player account at any time unless the operator has temporarily excluded a player from gaming. Any balance remaining in a player account shall be refunded to the player, provided that the operator acknowledges that the funds have cleared.

## **A.4 General Operating Procedures**

### **A.4.1 Operator Reserves**

The operator shall have processes in place for maintaining and protecting adequate cash reserves, as determined by the regulatory body, including segregated accounts of funds held for player accounts and any operational funds used to cover all other operator liability if defined by the regulatory body.

### **A.4.2 Protection of Player Funds**

The operator shall have processes in place to ensure funds in an operator account are either to be held in trust for the player in a segregated account or in a special purpose segregated account that is maintained and controlled by a properly constituted corporate entity that is not the operator and whose governing board includes one or more corporate directors who are independent of the operator and of any corporation related to or controlled by the operator. In addition, the operator shall have procedures that are reasonably designed to:

- a) Ensure that funds generated from gaming are safeguarded and accounted for;
- b) Make clear that the funds in the segregated account do not belong to the operator and are not available to creditors other than the player whose funds are being held; and
- c) Prevent commingling of funds in the segregated account with other funds including, without limitation, funds of the operator.

### **A.4.3 Taxation**

The operator shall have a process in place to identify all wins that are subject to taxation (single



wins or aggregate wins over a defined period as required) and provide the necessary information in accordance with each regulatory body's taxation requirements.

**NOTE:** Amounts won that exceed any jurisdictional specified limit shall require the appropriate documentation to be completed before the winning player is paid.

#### **A.4.4 Complaint/Dispute Process**

The operator shall provide a method for a player to make a complaint/dispute, and to enable the player to notify the regulatory body if such complaint/dispute has not been or cannot be addressed by the operator, or under other circumstances as specified by the law of the regulatory body.

- a) Players shall be able to log complaints/disputes on a 24/7 basis.
- b) Records of all correspondence relating to a complaint/dispute shall be maintained for a period of five years or as otherwise specified by the regulatory body.
- c) A documented process shall exist between the operator and the regulatory body on the complaint/dispute reporting and resolution process.

#### **A.4.5 Player Protection Information**

Player protection information shall be available to the player. The player protection information shall contain at a minimum:

- a) Information about potential risks associated with excessive gaming, and where to get help for a gambling problem;
- b) A statement that no underage persons are permitted to participate in gaming;
- c) A list of the available player protection measures that can be invoked by the player, such as self-imposed exclusion, and information on how to invoke those measures;
- d) Mechanisms in place which can be used to detect unauthorized use of their account, such as reviewing financial statements against known deposits;
- e) Contact information or other means for reporting a complaint/dispute; and
- f) Contact information for the regulatory body and/or a link to their website.

**NOTE:** All links to problem gambling services provided by third parties are to be regularly tested by the operator. Interactive gaming may not occur where the links used to supply information on player protection are not displayed or are not operational. Where the link is no longer available or not available for a significant period of time, the operator shall provide an alternative support service.

#### **A.4.6 Responsible Gaming**

The operator shall have policies and procedures in place which facilitate interaction with players whenever their gaming behavior indicates a risk of the development of a gambling problem. Employees interacting directly with players shall be trained to ensure they understand problem gambling issues and know how to respond to them.

#### A.4.7 Chat Features

A defined procedure shall exist for cases where the operator provides for the use of chat features which allow the player to communicate directly with the operator and/or other players, including maintaining chat logs for a period of ninety days or as required by the regulatory body. In addition, email correspondence between the player and the operator shall also be maintained for the same amount of time.

### A.5 Gaming Rules and Content

#### A.5.1 Gaming Rules

Gaming rules refers to any written, graphical, and auditory information provided to the public regarding gaming operations. The operator shall adopt and adhere to comprehensive gaming rules which shall be approved by the regulatory body.

- a) Gaming rules shall be complete, unambiguous, and not misleading or unfair to the player.
- b) Gaming rules that are presented aurally (via sound or voice) shall also be displayed in written form.
- c) Gaming rules shall be rendered in a color that contrasts with the background color to ensure that all information is clearly visible/readable.
- d) The operator shall keep a log of any changes to the gaming rules relating to playing games.
- e) Where gaming rules are altered for games being offered, all rule changes shall be time and date stamped showing the rule applicable in each period. If multiple rules apply to a game, the operator shall apply the rules that were in place when the wager was accepted.

#### A.5.2 Gaming Rules Content

The following information shall be made available to the player. The functionality to display the information required by this section shall be displayed by the player interface or from a page accessible to the player:

- a) The methods of funding a player account (e.g., cash, personal check, cashier's check, wire transfer, money order, debit instrument, credit card, electronic funds transfer, etc.), including a clear and concise explanation of all fees (if applicable);
- b) As allowed by the regulatory body, any prizes that are offered in the form of merchandise, annuities, lump sum payments, or payment plans instead of cash payouts for each game that is offering such a prize;
- c) The procedures by which any unrecoverable malfunctions of hardware/software are addressed including if this process results in the voiding of any pays or plays;
- d) The procedures to deal with interruptions caused by player disconnection from the Gaming Platform where the result of a game is affected by the time to respond to a game event;
- e) What happens to the player's wagers placed but remaining undecided in interrupted games including how they are handled when they remain undecided beyond the specified time period;
- f) A description on restricted players, including any applicable limitations on participation for them;

- g) For each progressive jackpot or incrementing jackpot:
  - i. The imperfections of the communications medium for the game, and how it may affect players in relation to the jackpot;
  - ii. Any maximum payoff limit or “ceiling” and/or time limit which is supported by the jackpot;
  - iii. How the jackpot is funded and determined; and
  - iv. Any planned or unplanned decommissions of the jackpot, including how any outstanding contribution amounts are dealt with in order to ensure player fairness.

### **A.5.3 Incentive Award Offers**

An operator may offer incentive awards, which are credits and/or prizes not included in the payable of a game and are based upon predetermined events or criteria established by the parameters of the Interactive Gaming System.

- a) Players shall be able to access clear and unambiguous terms in the gaming rules pertaining to any available incentive award offers, which shall include the following at a minimum:
  - i. The date and time presented;
  - ii. The date and time the offer is active and expires;
  - iii. Player eligibility, including any limitations on participation;
  - iv. Any restriction or terms on withdrawals of funds;
  - v. Wagering requirements and limitations by type of game, game theme and/or payable;
  - vi. How the player is notified when they have received an incentive award;
  - vii. The order in which funds are used for wagers; and
  - viii. Rules regarding cancellation.
- b) An operator shall provide a clear and conspicuous method for a player to cancel their participation in an incentive award offer that utilizes restricted incentive credits.
  - i. Upon request for cancellation, the operator shall inform the player of the amount of unrestricted player funds that will be returned upon cancellation and the value of restricted incentive credits that will be removed from the player account.
  - ii. If the player elects to proceed with cancellation, unrestricted player funds remaining in a player account shall be returned in accordance with the terms of the offer.
- c) Once a player has met the terms of an incentive award offer, the operator shall not limit winnings earned while participating in the offer (i.e., the restricted incentive credits of the offer will become unrestricted incentive credits).

### **A.5.4 Contests/Tournaments**

A contest/tournament, which permits a player to either purchase or be awarded the opportunity to engage in competitive gaming against other players, may be permitted provided the following rules are met:

- a) Rules shall be made available to a player for review in the gaming rules prior to contest/tournament registration. The rules shall include at a minimum:
  - i. All conditions registered players shall meet to qualify for entry and advancement through, the contest/tournament;
  - ii. Specific information pertaining to any single contest/tournament, including the available

- prizes or awards and distribution of funds based on specific outcomes; and
- iii. The name of the organization (or persons) that conducted the contest/tournament on behalf of, or in conjunction with, the operator, if applicable.
- b) Procedures shall be in place to record the results of each contest/tournament and make publicly available for the registered players to review for a reasonable period of time. Subsequent to being posted publicly, the results of each contest/tournament shall be made available upon request. The results include the following:
- i. Name of the contest/tournament;
  - ii. Date(s)/times(s) of the contest/tournament;
  - iii. Total number of entries;
  - iv. Amount of entry fees;
  - v. Total prize pool; and
  - vi. Amount paid for each winning category.

**NOTE:** For free contests/tournaments (i.e., registered player does not pay an entry fee), the information required by the above shall be recorded except for the number of entries, amount of entry fees and total prize pool.

## **A.6 Gaming Procedures and Controls**

### **A.6.1 Evaluating Theoretical and Actual Return to Player Percentages**

The operator shall maintain accurate and current documentation (e.g., PAR sheets) indicating the theoretical return to player (RTP) percentages for each house-banked game based on adequate levels of credits wagered, as well as the number of credits that may be played, the payout schedule and other information descriptive of the particular type of game. In addition:

- a) Records shall be maintained for each game indicating the initial theoretical RTP percentage, dates and type of changes made affecting the game's theoretical RTP percentage, and the recalculation of theoretical RTP percentage because of the changes.
- b) Each change to a game's theoretical RTP percentage, including adding and/or changing progressive jackpot or incrementing jackpot increments, shall result in that game being treated as new for all reports and records.
- c) If incentive awards are included in the reports and records for the game, it shall be in a manner that prevents distorting the actual RTP percentages of the affected paytables.
- d) The operator shall have procedures in place to periodically compare the theoretical and actual RTP percentage to identify, investigate, and resolve large variances between these two values.

### **A.6.2 Monitoring Game and RNG Output**

The operator shall have procedures in place for monitoring the game and RNG output on a defined periodic or volume basis as required by the regulatory body. The purpose of monitoring is early detection of abnormal behavior enabling timely appropriate remedial action. Any abnormalities (e.g., the actual RTP percentage for the period falling outside the expected range) shall result in an error being logged and escalated for investigation. Best practice monitoring will include independent mapping between RNG output and game symbols should verify game symbol usage.

RNG output game symbols logs may be maintained and verified as a monitoring exercise.

### **A.6.3 Disabling Gaming**

There shall be established procedures for disabling a game or gaming activity. When a game or gaming activity is disabled, an entry shall be made in an audit log that includes the date and time of disable and its reason.

### **A.6.4 Interrupted Game Handling**

There shall be established procedures for the handling of interrupted games. If a game cannot be continued due to an Interactive Gaming System action, the operator shall:

- a) Return all wagers to the player(s) of that game;
- b) Update the credit meter(s) or player account balance(s) and game history accordingly;
- c) Inform the regulatory body of the circumstances of the incident; and
- d) Disable the game if the game is likely to be affected by the same failure.

### **A.6.5 Progressive Jackpot and Incrementing Jackpot Procedures**

The operator shall establish, maintain, implement and comply with internal control procedures for jackpot operations, including the following:

- a) Where jackpot contributions are part of the RTP calculations, ensuring the contributions are not assimilated into revenue.
- b) Jackpot adjustments and transfers, as supported.
- c) For large jackpot awards exceeding a particular value as defined by the regulatory body:
  - i. Jackpot verification and payment procedures, including independent reconciliation and operator signoff;
  - ii. Payment when multiple jackpot triggers occur and there is no definitive way of knowing which trigger occurred first (unless it's handled automatically by the Interactive Gaming System); and
  - iii. Disbursement options for jackpot awards, including information for periodic payments.
- d) For jackpots with parameters which are configurable after initial setup, performing independent reconciliation of jackpot contributions and awards to ensure that all jackpot increments deducted:
  - i. Have been paid to players as jackpot payoffs;
  - ii. Are displayed as part of jackpot payoffs; or
  - iii. Are held in separate accounts, which can be demonstrated to be paid to players as part of future jackpot payoffs.
- e) Jackpot decommissioning procedures, including procedures for distribution of contributions to another jackpot.

## **A.7 Procedures and Controls for Peer-to-Peer (P2P) Gaming Sessions**

### **A.7.1 Shills and Proposition Players**

The operator shall have processes to ensure the player is not disadvantaged by players that are playing with house money (shills) or proposition players participating in a P2P gaming session. The following risks are expected to be mitigated:

- a) The shills and proposition players shall be clearly indicated to all other players for that P2P gaming session;
- b) The operator's controls shall mitigate the conflict between the role of the shill or proposition player and the role of the gaming attendant who has access to the operational environment (both physically and virtually) to be able to manipulate the games or have information not available to all the other players and be able to take advantage of it;
- c) The operator shall not profit from the play (beyond the rake);
- d) If the shill or proposition player's wager is funded by the operator, neither the operator nor the shill or proposition player may profit from the play, the funds may not be withdrawn, and so shall ultimately be lost/played; and
- e) Procedures shall be in place to address the risk that the shill or proposition player is motivated to protect personal wagers beyond the assignment of stimulating play. If the shill or proposition player risks private wagers, then the shill or proposition player shall not have any knowledge of software or other PII (the shill or proposition player is a bona fide independent contractor with no prior relationship with the operator).

### **A.7.2 P2P Gaming Session Tracking**

The operator shall have a process to keep track of all P2P gaming sessions for each player, including tracking:

- a) The "Game Play Information" recorded for each game, including their opposing players; and
- b) The player's choice of P2P gaming session, as well as instances where the player repeatedly enters and exits P2P gaming sessions without playing until they arrive at their preferred P2P gaming session.

### **A.7.3 Reporting Suspicious Players**

The operator shall provide a method for a player to report suspected cheating, collusion, or usage of bots or other unauthorized player software by others to create an unfair advantage during the P2P gaming session.

## **A.8 Monitoring Procedures**

### **A.8.1 Monitoring for Collusion and Fraud**

The operator shall take measures designed to reduce the risk of collusion or fraud, including having procedures for:

- a) Identifying and/or refusing to accept suspicious wagers which may indicate cheating,



manipulation, interference with the regular conduct of a game, or violations of the integrity of any game on which wagers were made.

- b) Reasonably detecting irregular patterns or series of wagers to prevent player collusion in P2P gaming sessions, including the following:
  - i. Chip Dumping – Two or more players help each other to stay in the game, leading to losses and therefore to an exchange of chips even with certainly winning combinations;
  - ii. Soft-Play – One or more players renounce to play against another player in situations where such behavior is unreasonable in accordance with normal practices of play (e.g., a player leaves the game even if the win is secure);
  - iii. Best Hand Play – Between two or more players only the one who has the best score always plays, while the other player(s) leave the game; and
  - iv. Chat Collusion – The collusion is achieved through the exchange of relevant information related to the current game or series of games.
- c) Reasonably detecting and preventing situations where players in games may be using bots or other unauthorized player software to create an unfair advantage during game play, such as:
  - i. Projecting or predicting the outcome of a game;
  - ii. For card games, tracking the cards played and cards remaining to be played;
  - iii. Analyzing the probability of the occurrence of an event relating to a game; or
  - iv. Analyzing the strategy for playing or wagering to be used in a game, unless allowed by the rules of the game.

### **A.8.2 Anti-Money Laundering (AML) Monitoring**

The operator is required to develop and implement AML procedures and policies that adequately address the risks posed by interactive gaming for the potential of money laundering and terrorist financing. At a minimum, the AML procedures and policies shall provide for:

- a) A system of internal controls to assure ongoing compliance with the local AML regulations and standards observed by the regulatory body;
- b) Up to date training of employees in the identification of unusual or suspicious transactions;
- c) Assigning an individual or individuals to be responsible for all areas of AML by the operator including reporting unusual or suspicious transactions;
- d) Monitoring player accounts for opening and closing in short time frames and for deposits and withdrawals without associated game play;
- e) Ensuring that aggregate transactions over a defined period may require further due diligence checks and may be reportable to the relevant organization(s) if they exceed the threshold prescribed by the regulatory body;
- f) Use of any automated data processing systems to aid in assuring compliance; and
- g) Periodic independent tests for compliance with a scope and frequency as required by the regulatory body. Logs of all tests shall be maintained.



## Appendix B: Operational Audit for Technical Security Controls

### B.1 Introduction

#### B.1.1 General Statement

This appendix sets forth technical security controls which will be reviewed in an operational audit as a part of the Interactive Gaming System evaluation, including, but not limited to, a review of the operational processes that are critical to compliance, penetration testing focused on the external and internal infrastructure as well as the applications transferring, storing and/or processing personally identifiable information (PII) and/or other sensitive information, and any other objectives established by the regulatory body. The security controls outlined in this appendix apply to the following critical components of the system:

- a) Components which record, store, process, share, transmit or retrieve PII and other sensitive information (e.g., validation numbers, authentication credentials, etc.);
- b) Components which generate, transmit, or process random numbers used to determine the outcome of games;
- c) Components which store results of the current state of a player's wager;
- d) Points of entry to and exit from the above components (other systems which communicate directly with core critical systems); and
- e) Communication networks which transmit PII and other sensitive information.

**NOTE:** It is also recognized that additional technical security controls which are not specifically included within this standard will be relevant and required for an operational audit as determined by the operator and/or regulatory body within their rules, regulations, and Minimum Internal Control Standards (MICS).

### B.2 System Operation & Security

#### B.2.1 System Procedures

The operator shall be responsible for documenting and following the relevant Interactive Gaming System procedures and security standards, as required by the regulatory body, including procedures to:

- a) Monitor the critical components and the transmission of data of the entire system, including communication, data packets, networks, as well as the components and data transmissions of any third-party services involved, with the objective of ensuring integrity, reliability and accessibility;
- b) Maintain all aspects of security of the system to ensure secure and reliable communications, including protection from hacking or tampering;
- c) Define, monitor, and document, as well as report, investigate, respond to, and resolve security incidents, including detected breaches and suspected or actual hacking or tampering with the system;
- d) Monitor and adjust resource consumption and maintain a log of the system performance,

- including a function to compile performance reports;
- e) Investigate, document, and resolve malfunctions, which address the following:
    - i. Determination of the cause of the malfunction;
    - ii. Review of relevant records, reports, logs, and surveillance records;
    - iii. Repair or replacement of the critical component;
    - iv. Verification of the integrity of the critical component before restoring it to operation;
    - v. Filing an incident report with the regulatory body and documenting the date, time and reason for the malfunction along with the date and time the system is restored; and
    - vi. Voiding plays and pays if a full recovery is not possible.

### **B.2.2 Physical Location of Servers**

The Interactive Gaming System server(s) shall be housed in one or more secure location(s) which may be located locally, within a single venue, or may be remotely located outside of the venue as allowed by the regulatory body. In addition, secure location(s) shall:

- a) Have sufficient protection against alteration, tampering or unauthorized access;
- b) Be equipped with a surveillance system that shall meet the procedures put in place by the regulatory body;
- c) Be protected by security perimeters and appropriate entry controls to ensure that access is restricted to only authorized personnel;
  - i. Physical access shall have a multi-factor authentication process unless the location is staffed at all times;
  - ii. Any attempts at physical access are recorded in a secure log; and
- d) Be equipped with controls to provide physical protection against damage from fire, flood, and other forms of natural or manmade disaster (e.g., hurricane, earthquake, etc.).

### **B.2.3 Logical Access Control**

The Interactive Gaming System shall be logically secured against unauthorized access by authentication credentials allowed by the regulatory body, such as passwords, multi-factor authentication, digital certificates, PINs, biometrics, and other access methods (e.g., magnetic swipe, proximity cards, embedded chip cards).

- a) Each user account shall have their own individual authentication credential whose provision shall be controlled through a formal process, which shall include periodic review of access rights and privileges. The use of generic accounts shall be limited, and where used the reasons for their use shall be formally documented.
- b) Authentication credential records for secret information shall be maintained either manually or by systems that automatically record authentication changes and force authentication credential changes.
- c) Any authentication credentials stored on the system shall be either encrypted or hashed to the cryptographic algorithms that meet current industry accepted standards, such as ISO/IEC 19790, FIPS 140-2, or equivalent.
- d) A fallback method for resetting authentication credentials (e.g., forgotten passwords) shall be at least as strong as the primary method. A multi-factor authentication process shall be employed

for these purposes.

- e) Lost or compromised authentication credentials and authentication credentials of terminated users shall be deactivated, secured or destroyed as soon as reasonably possible.
- f) The system shall have multiple security access levels to control and restrict different classes of access to the server, including viewing, changing or deleting critical files and directories. Procedures shall be in place to assign, review, modify, and remove access rights and privileges to each user, including:
  - i. Allowing the administration of user accounts to provide an adequate separation of duties.
  - ii. Limiting the users who have the requisite permissions to adjust critical system parameters.
  - iii. The enforcement of adequate authentication credential parameters such as minimum length, and expiration intervals.
- g) Procedures shall be in place to identify and flag suspect accounts to prevent their unauthorized use, which includes:
  - i. Having system administrator notification and user lockout or audit trail entry, after a maximum number of three incorrect attempts at authentication;
  - ii. Flagging of suspect accounts where authentication credentials may have been stolen; and
  - iii. Invalidating accounts and transferring critical stored account information into a new account.
- h) Any logical access attempts to the system applications or operating systems shall be recorded in a secure log.
- i) The use of utility programs which can override application or operating system controls shall be restricted and tightly controlled.
- j) Restrictions on connection times such as but not necessarily limited to session timeouts shall be used to provide additional security for high-risk applications, such as remote access.

**NOTE:** Where passwords are used as an authentication credential, it is recommended that they are at least eight characters in length.

#### **B.2.4 User Authorization**

The Interactive Gaming System shall implement the following user authorization requirements:

- a) A secure and controlled mechanism shall be employed that can verify that the critical component is being accessed by authorized personnel on demand and on a regular basis as required by the regulatory body.
- b) When used, automated equipment identification methods to authenticate connections from specific locations and equipment shall be documented and shall be included in the review of access rights and privileges.
- c) Any authorization information communicated by the system for identification purposes shall be obtained at the time of the request from the system and not be stored on the system component.
- d) Where user sessions are tracked for authorization, the user session authorization information shall always be created randomly, in memory, and shall be removed after the user's session has ended.

### **B.2.5 Server Programming**

The Interactive Gaming System shall be sufficiently secure to prevent any user-initiated programming capabilities on the server that may result in modifications to the database. However, it is acceptable for network or system administrators to perform authorized network infrastructure maintenance or application troubleshooting with sufficient access rights. The server shall also be protected from the unauthorized execution of mobile code.

### **B.2.6 Verification Procedures**

There shall be procedures in place for verifying that the critical control program components of the Interactive Gaming System in the production environment are identical to those approved by the regulatory body.

- a) Signatures of the critical control program components shall be gathered from the production environment through a process to be approved by the regulatory body, and shall be performed:
  - i. Upon installation/updates of components;
  - ii. Upon power up or recovery from a shutdown state;
  - iii. At least once every 24 hours; and
  - iv. On demand.
- b) The process shall include one or more analytical steps to compare the current signatures of the critical control program components in the production environment with the signatures of the current approved versions of the critical control program components.
- c) The output of the process shall include the current and expected signature results and be stored in an unalterable format, which detail the verification results for each critical control program authentication and:
  - i. Be recorded in a system log or report which shall be retained for a period of ninety days or as otherwise specified by the regulatory body;
  - ii. Be accessible by the regulatory body in a format which will permit analysis of the verification records by the regulatory body; and
  - iii. Comprise part of the system records which shall be recovered in the event of a disaster or equipment or software failure.
- d) Any failure of verification of any component of the system shall require a notification of the authentication failure being communicated to the operator and regulatory body as required.
- e) There shall be a process in place for responding to authentication failures, including determining the cause of the failure and performing the associated corrections or reinstallations needed in a timely manner.

### **B.2.7 Electronic Document Retention System**

Reports listed under the “Reporting Requirements” within this standard and required by the regulatory body may be stored in an electronic document retention system provided that the system:

- a) Is properly configured to maintain the original version along with all subsequent versions reflecting all changes to the report for reports that are stored in an alterable format;

- b) Maintains a unique signature for each version of the report, including the original;
- c) Retains and reports a complete log of changes to all reports including who (user identification) performed the changes and when (date and time);
- d) Provides a method of complete indexing for easily locating and identifying the report including at least the following (which may be input by the user):
  - i. Date and time report was generated;
  - ii. Application or system generating the report;
  - iii. Title and description of the report;
  - iv. User identification of who is generating the report;
  - v. Any other information that may be useful in identifying the report and its purpose;
- e) Is configured to limit access to modify or add reports to the system through logical security of specific user accounts;
- f) Is configured to provide a complete audit trail of all administrative user account activity;
- g) Is properly secured through use of logical security measures (user accounts with appropriate access, proper levels of event logging, and document the version control, etc.);
- h) Is physically secured with all other critical components of the Interactive Gaming System; and
- i) Is equipped to prevent disruption of report availability and loss of data through hardware and software redundancy best practices, and backup processes.

### **B.2.8 Asset Management**

All physical or logical assets housing, processing or communicating sensitive information, including those comprising the operating environment of the Interactive Gaming System and/or its components, shall be accounted for.

- a) Procedures shall exist for adding new assets and removing assets from service.
- b) Assets shall be disposed of securely and safely using documented procedures.
- c) A policy shall be included on the acceptable use of assets associated with the system and its operating environment.
- d) The designated “owner” of each asset is responsible for:
  - i. Ensuring that information and assets are appropriately classified in terms of their confidentiality, integrity, accountability, and availability; and
  - ii. Defining and periodically reviewing access restrictions and classifications.
- e) A procedure shall exist to ensure that recorded accountability for assets is compared with actual assets at least annually or at intervals required by the regulatory body and appropriate action is taken with respect to discrepancies.
- f) Copy protection to prevent unauthorized duplication or modification of licensed software may be implemented provided that:
  - i. The method of copy protection is fully documented and provided to the independent test laboratory, to verify that the protection works as described; or
  - ii. The program or component involved in enforcing the copy protection can be individually verified by the methodology approved by the regulatory body.
- g) Prior to disposal or re-use, assets containing storage media shall be checked to ensure that any licensed software, as well as PII and other sensitive information has been removed or securely overwritten (i.e., not just deleted).

### B.2.9 Critical Asset Register (CAR)

A Critical Asset Register (CAR) shall be maintained for any assets that affect the functionality of the Interactive Gaming System or has an influence on how PII and other sensitive information is stored/handled by the system. The structure of the CAR shall include hardware and software components and the inter-relationships and dependencies of the components. The following minimum items shall be documented for each asset:

- a) The name/definition of each asset;
- b) A unique ID that is assigned to each individual asset;
- c) A version number of the asset listed;
- d) Identifying asset characteristics (e.g., system component, database, virtual machine, hardware);
- e) The “owner” responsible for the asset;
- f) The geographical location of hardware assets;
- g) Relevance codes on the asset’s role in achieving or ensuring the following classification criteria:
  - i. Confidentiality of PII and other sensitive information (e.g., identification and transaction information);
  - ii. Integrity of the system, specifically any asset that affects the functionality of the system and/or has an influence on how PII and other sensitive information is stored and/or handled;
  - iii. Availability of PII and other sensitive information; and
  - iv. Accountability of user activity, and how much influence the asset has on the user activity.

**NOTE:** For each of the above classification criteria a relevance code of 1, meaning no relevance (the asset can have no negative impact on the criteria), 2, meaning some relevance (the asset can have an impact on the criteria); or 3, meaning substantial relevance (the criteria are related to or dependent on the asset) shall be assigned.

## B.3 Data Integrity

### B.3.1 Data Security

The operator shall provide a layered approach to security within the production environment to ensure secure storage and processing of data. The Interactive Gaming System shall provide a logical means for securing PII and other sensitive information, including accounting, reporting, significant event, or other player and gaming data, against alteration, tampering, or unauthorized access.

- a) Appropriate data handling methods shall be implemented, including validation of input and rejection of corrupt data.
- b) The number of workstations where critical applications or associated databases may be accessed shall be limited.
- c) Encryption or password protection or equivalent security shall be used for files and directories containing data. If encryption is not used, the operator shall restrict users from viewing the contents of such files and directories, which at a minimum shall provide for the segregation of system duties and responsibilities as well as the monitoring and recording of access by any person to such files and directories.



- d) The normal operation of any equipment that holds data shall not have any options or mechanisms that may compromise the data.
- e) No equipment may have a mechanism whereby an error will cause the data to automatically clear.
- f) Any equipment that holds data in its memory shall not allow removal of the information unless it has first transferred that information to the database or other secured component(s) of the system.
- g) PII and other sensitive information shall be stored in areas of the server that are encrypted and secured from unauthorized access, both external and internal.
- h) Production databases containing data shall reside on networks separated from the servers hosting any player interfaces.
- i) Data shall be maintained at all times regardless of whether the server is being supplied with power.
- j) Data shall be stored in such a way as to prevent the loss of the data when replacing parts or modules during normal maintenance.

### **B.3.2 Data Alteration**

The alteration of any accounting, reporting or significant event data shall not be permitted without supervised access controls. In the event any data is changed, the following information shall be documented or logged:

- a) Unique ID number for the alteration;
- b) Data element altered;
- c) Data element value prior to alteration;
- d) Data element value after alteration;
- e) Time and date of alteration; and
- f) Personnel that performed alteration (user identification).

### **B.3.3 Backup Frequency**

Backup scheme implementation shall occur at least once every day or as otherwise specified by the regulatory body, although all methods will be reviewed on a case-by-case basis.

### **B.3.4 Storage Medium Backup**

Audit logs, system databases, and any other PII or pertinent gaming data shall be stored using reasonable protection methods. The Interactive Gaming System shall be designed to protect the integrity of this data in the event of a failure. Redundant copies of this data shall be kept on the system with open support for backups and restoration, so that no single failure of any portion of the system would cause the loss or corruption of data.

- a) The backup shall be contained on a non-volatile physical medium, or an equivalent architectural implementation, so that should the primary storage medium fail, the functions of the system and the process of auditing those functions can continue with no critical data loss. If hard disk drives are used as backup media, data integrity shall be assured in the event of a disk failure.



- b) Upon completion of the backup process, the backup media is immediately transferred to a location physically separate from the location housing the servers and data being backed up (for temporary and permanent storage).
  - i. The storage location shall be secured to prevent unauthorized access and provides adequate protection to prevent the permanent loss of any data.
  - ii. Backup data files and data recovery components shall be managed with at least the same level of security and access controls as the system.
- c) Where the regulatory body allows for the use of cloud platforms, if the backup is stored in a cloud platform, another copy may be stored in a different cloud platform or region.

### **B.3.5 System Failure**

The Interactive Gaming System shall have sufficient redundancy and modularity so that if any single component or part of a component fails, the functions of the system and the process of auditing those functions can continue with no critical data loss. When two or more components are linked a procedure shall be in place for the Interactive Gaming System and components to be tested after installation but prior to use in a production environment to verify that:

- a) The process of all gaming operations between the components shall not be adversely affected by restart or recovery of either component (e.g., transactions are not to be lost or duplicated because of recovery of one component or the other); and
- b) Upon restart or recovery, the components shall immediately synchronize the status of all transactions, data, and configurations with one another.

### **B.3.6 Accounting of Master Resets**

The operator shall be able to identify and properly handle the situation where a master reset has occurred on any component which affects gaming operations.

### **B.3.7 Recovery Requirements**

In the event of a catastrophic failure when the Interactive Gaming System cannot be restarted in any other way, it shall be possible to restore the system from the last backup point and fully recover. The contents of that backup shall contain the following critical information including, but not limited to:

- a) The recorded information specified under the section entitled “Information to be Maintained”;
- b) Specific site or venue information such as configuration, security accounts, etc.;
- c) Current system encryption keys; and
- d) Any other system parameters, modifications, reconfiguration (including participating sites or venues), additions, merges, deletions, adjustments and parameter changes.

### **B.3.8 Uninterruptible Power Supply (UPS) Support**

All system components shall be provided with adequate primary power. Where the server is a stand-alone application, it shall have an Uninterruptible Power Supply (UPS) connected and shall have sufficient capacity to permit a graceful shut-down and that retains all PII and other sensitive information during a power loss. It is acceptable that the system may be a component of a network that is supported by a network-wide UPS provided that the server is included as a device protected by the UPS. There shall be a surge protection system in use if not incorporated into the UPS itself.

### **B.3.9 Business Continuity and Disaster Recovery Plan**

A business continuity and disaster recovery plan shall be in place to recover gaming operations if the Interactive Gaming System's production environment is rendered inoperable. Such plan shall consider disasters including, but not limited to, those caused by weather, water, flood, fire, environmental spills and accidents, malicious destruction, acts of terrorism or war, and contingencies such as strikes, epidemics, pandemics, etc. The business continuity and disaster recovery plan shall:

- a) Address the method of storing PII and other sensitive information, including gaming data, to minimize loss. If asynchronous replication is used, the method for recovering information shall be described or the potential loss of information shall be documented;
- b) Delineate the circumstances under which it will be invoked;
- c) Address the establishment of a recovery site physically separated from the production site. Utilization of cloud platforms for this purpose will be evaluated on a case-by-case basis;
- d) Contain recovery guides detailing the technical steps required to re-establish gaming functionality at the recovery site; and
- e) Address the processes required to resume administrative operations of gaming activities after the activation of the recovered system for a range of scenarios appropriate for the operational context of the system.

**NOTE:** The distance between the two locations should be determined based on potential environmental threats and hazards, power failures, and other disruptions but should also consider the potential difficulty of data replication as well as being able to access the recovery site within a reasonable time (Recovery Time Objective).

## **B.4 Communications**

### **B.4.1 General Statement**

This section will discuss the various wired and wireless communication methods, including communications performed across the internet or a public or third-party network, as allowed by the regulatory body.

### **B.4.2 Connectivity**

Only authorized devices shall be permitted to establish communications between any critical components of the system. The Interactive Gaming System shall provide a method to:

- a) Enroll and un-enroll critical components;
- b) Enable and disable specific critical components;
- c) Ensure that only enrolled and enabled critical components can participate in gaming operations; and
- d) Ensure that the default condition for critical components shall be un-enrolled and disabled.

### **B.4.3 Communication Protocol**

Each component of the Interactive Gaming System shall function as indicated by a documented secure communication protocol.

- a) All protocols shall use communication techniques that have proper error detection and recovery mechanisms, which are designed to prevent intrusion, interference, eavesdropping and tampering. Any alternative implementations will be reviewed on a case-by-case basis and approved by the regulatory body.
- b) All data communications critical to gaming or player account management shall employ encryption and authentication.
- c) Communications on the secure network shall only be possible between approved critical components that have been enrolled and authenticated as valid on the network. No unauthorized communications to components and/or access points shall be allowed.
- d) Communications shall be hardened in order to be immune to all possible malformed message attacks.
- e) After a system interruption or shutdown, communication with all components necessary for system operation shall not be established and authenticated until the program resumption routine, including any self-tests, are completed successfully.

### **B.4.4 Communications Over Internet/Public Networks**

Communications between any system components, including Remote Player Devices, which takes place over internet/public networks, shall be secure by encrypting the data packets or by utilizing a secure communications protocol to ensure the integrity and confidentiality of the transmission. PII, sensitive information, wagers, results, financial information, and player transaction information shall always be encrypted over the internet/public network and protected from incomplete transmissions, misrouting, unauthorized message modification, disclosure, duplication or replay.

### **B.4.5 Wireless Local Area Network (WLAN) Communications**

Wireless Local Area Network (WLAN) communications, as allowed by the regulatory body, shall adhere to the applicable jurisdictional requirements specified for wireless devices and network security. In the absence of specific jurisdictional standards, the “Wireless Device Requirements” and “Wireless Network Security Requirements” of the *GLI-26 Standards for Wireless Systems* shall be used as applicable.

**NOTE:** It is imperative for operators to review and update internal control policies and procedures to ensure the network is secure and threats and vulnerabilities are addressed accordingly. Periodic inspection and verification of the integrity of the WLAN is recommended.

#### B.4.6 Network Security Management

Networks shall be logically separated such that there should be no network traffic on a network link which cannot be serviced by hosts on that link. The following requirements apply:

- a) All network management functions shall authenticate all users on the network and encrypt all network management communications.
- b) The failure of any single item shall not result in a denial of service.
- c) An Intrusion Detection System/Intrusion Prevention System (IDS/IPS) shall be installed which includes one or more components that can listen to both internal and external communications as well as detect or prevent:
  - i. Distributed Denial of Service (DDOS) attacks;
  - ii. Shellcode from traversing the network;
  - iii. Address Resolution Protocol (ARP) spoofing; and
  - iv. Other "Man-In-The-Middle" attack indicators and sever communications immediately if detected.
- d) In addition to the requirements in (c), an IDS/IPS installed on a WLAN shall be able to:
  - i. Scan the network for any unauthorized or rogue access points or devices connected to any access point on the network at least quarterly or if defined by the regulatory body;
  - ii. Automatically disable any unauthorized or rogue devices connected to the system; and
  - iii. Maintain a history log of all wireless access for at least the previous ninety days or as otherwise specified by the regulatory body. This log shall contain complete and comprehensive information about all wireless devices involved and shall be able to be reconciled with all other networking devices within the site or venue.
- e) Network Communication Equipment (NCE) shall meet the following requirements:
  - i. NCE shall be constructed in such a way as to be resistant to physical damage to the hardware or corruption of the contained firmware/software by normal usage;
  - ii. NCE shall be physically secured from unauthorized access;
  - iii. System communications via NCE shall be logically secured from unauthorized access; and
  - iv. NCE with limited onboard storage shall, if the audit log becomes full, disable all communication or offload logs to a dedicated log server.
- f) All entry and exit points to the network shall be identified, managed, controlled, and monitored on a 24/7 basis. In addition:
  - i. All network hubs, services and connection ports shall be secured to prevent unauthorized access to the network; and
  - ii. Unused services and non-essential ports shall be either physically blocked or software disabled whenever possible.
- g) In cloud and virtualized environments, redundant server instances shall not run under the same hypervisor. In addition:
  - i. Each server instance may perform only one function; and
  - ii. Alternative equivalently secure mechanisms will be considered as technology advances.
- h) Stateless protocols, such as UDP (User Datagram Protocol), shall not be used for sensitive information without stateful transport. Note that although HTTP (Hypertext Transport Protocol) is technically stateless, if it runs on TCP (Transmission Control Protocol) which is stateful, this is allowed.

- i) All changes to network infrastructure (e.g., network communication equipment configuration) shall be logged.
- j) Virus scanners and/or detection programs shall be installed on the system. These programs shall be updated regularly to scan for new strains of viruses.
- k) The operator shall monitor the system and network in order to prevent, detect, mitigate, and respond to cyberattacks.

#### **B.4.7 Active and Passive Attacks**

Appropriate measures shall be in place to detect, prevent, mitigate, and respond to common active and passive technical attacks. The operator shall have an established procedure to gather cyber threat intelligence and act on it appropriately.

#### **B.4.8 Mobile Computing and Communications**

A formal policy shall be in place, and appropriate security measures shall be adopted to protect against the risks of using mobile computing and communication facilities. Telecommuting shall not be permitted except under circumstances where the security of the endpoint can be guaranteed.

### **B.5 Third-Party Service Providers**

#### **B.5.1 Third-Party Communications**

Where communications with third-party service providers are implemented, such as for player loyalty programs, payment services (financial institutions, payment processors, etc.), location services, information security services, cloud services, live game services, and identity verification services, the following requirements apply:

- a) The Interactive Gaming System shall be capable of securely communicating with third-party service providers using encryption and strong authentication.
- b) All login events involving third-party service providers shall be recorded to an audit file.
- c) Communication with third-party service providers shall not interfere or degrade normal Interactive Gaming System functions.
  - i. Third-party service provider data shall not affect player communications.
  - ii. Third-party service providers shall be on a segmented network separate from network segments hosting player connections.
  - iii. Gaming shall be disabled on all network connections except for those within the production environment.
  - iv. The system shall not route data packets from third-party service providers directly to the production environment and vice-versa.
  - v. The system shall not act as IP routers between the production environment and third-party service providers.

#### **B.5.2 Third-Party Services**

The security roles and responsibilities of third-party service providers shall be defined and

documented as required by the regulatory body. The operator shall have policies and procedures for managing them and monitoring their adherence to relevant security requirements.

- a) Agreements with third-party service providers involving accessing, processing, communicating or managing the system and/or its components, or adding products or services to the system and/or its components shall cover all relevant security requirements.
- b) The services, reports and records provided by the third-party service providers shall be monitored and reviewed annually or as required by the regulatory body.
- c) Changes to the provision of third-party service providers, including maintaining and improving existing security policies, procedures and controls, shall be managed, taking account of the criticality of systems and processes involved and re-assessment of risks.
- d) The access rights of third-party service providers to the system and/or its components shall be removed upon termination of their contract or agreement or adjusted upon change.

### **B.5.3 Third-Party Data Processing**

Unauthorized third-party service providers shall be prevented from viewing or altering PII and other sensitive information. Where PII and other sensitive information is shared with third-party service providers, formal data processing agreements shall be in place that states the rights and obligations of each party concerning the protection of the PII and other sensitive information. Each data processing agreement shall set out:

- a) The subject matter and duration of the processing;
- b) The nature and purpose of the processing;
- c) The type of data to be processed;
- d) How the data is stored;
- e) The detail of the security surrounding the data;
- f) The means used to transfer the data from one organization to another;
- g) The means used to retrieve data about certain individuals;
- h) The method for ensuring a retention schedule is adhered to;
- i) The means used to delete or dispose of the data; and
- j) The categories of data.

## **B.6 Technical Controls**

### **B.6.1 Domain Name Service (DNS) Requirements**

The following requirements apply to the servers used to resolve public or external Domain Name Service (DNS) queries used in association with the Interactive Gaming System.

- a) The operator shall utilize a secure primary DNS server and a secure secondary DNS server which are logically and physically separate from one another.
- b) The primary DNS server shall be physically located in a secure data center or a virtualized host in an appropriately secured hypervisor or equivalent.
- c) Logical and physical access to the DNS server(s) shall be restricted to authorized personnel.
- d) Zone transfers to arbitrary hosts shall be disallowed.



- e) A method to prevent cache poisoning, such as DNS Security Extensions (DNSSEC), is required.
- f) Multi-factor authentication shall be in place.
- g) Registry lock shall be in place, so any request to change DNS server(s) will need to be verified manually.

### **B.6.2 Cryptographic Controls**

A policy on the use of cryptographic controls for protection of information shall be developed and implemented.

- a) PII and other sensitive information shall be encrypted if it traverses a network with a lower level of trust. Encryption shall also be applied for such PII and other sensitive information stored on portable computer systems (e.g., laptops, USB devices, etc.).
- b) Data that is not required to be hidden but shall be authenticated shall use some form of message authentication technique.
- c) Authentication shall use a security certificate from an approved organization, containing information about whom it belongs to, who it was issued by, valid dates, a unique serial number or other unique identification that can be used to verify the contents of the certificate.
- d) The grade of encryption used shall be appropriate to the sensitivity of the data.
- e) The use of encryption algorithms shall be reviewed periodically to verify that the current encryption algorithms are secure.
- f) The encryption method shall include the use of different encryption keys so that encryption algorithms can be changed or replaced to correct weaknesses as soon as practical. Other methodologies shall be reviewed on a case-by-case basis.
- g) Encryption keys shall be stored on a secure and redundant storage medium after being encrypted themselves through a different encryption method and/or by using a different encryption key.

### **B.6.3 Encryption Key Management**

The management of encryption keys shall follow defined processes established by the operator and/or regulatory body, which shall cover the following:

- a) Obtaining or generating encryption keys and securely storing them in a way which limits access;
- b) Managing the expiry of encryption keys, where applicable;
- c) Revoking encryption keys;
- d) Securely changing the current encryption keyset; and
- e) Recovering data encrypted with a revoked or expired encryption key for a defined period after the encryption key becomes invalid.

### **B.6.4 Critical Component Hardening**

Configuration procedures for critical components shall address all known security vulnerabilities and be consistent with industry-accepted best practices for system hardening. The appropriateness and effectiveness of steps taken to harden critical components shall be regularly assessed and, if



appropriate, changes shall be made to improve the hardening. These configuration procedures shall include the following:

- a) All default or standard configuration parameters shall be removed from all components where a security risk is presented;
- b) Only one primary function shall be implemented per server to prevent functions that require different security levels from co-existing on the same server;
- c) Additional security features shall be implemented for any required services, protocols or daemons that are considered to be insecure;
- d) System security parameters shall be configured to prevent misuse; and
- e) All unnecessary functionality shall be removed, such as scripts, drivers, features, subsystems, file systems, and unnecessary web servers.

### **B.6.5 Generation and Storage of Logs**

There shall be procedures in place to centrally monitor and manage user activities, exceptions, and information security events. Logs recording these items shall be:

- a) Generated on each critical component of the system in order to monitor and rectify anomalies, flaws and alerts;
- b) Stored for an appropriate period to assist in future investigations and access control monitoring;
- c) Protected against tampering and unauthorized access; and
- d) Reviewed periodically using a documented process. A record of each review shall be maintained.

## **B.7 Remote Access and Firewalls**

### **B.7.1 Remote Access Security**

Remote access is defined as any access from outside the system or system network including any access from other networks within the same site or venue. Remote access shall only be allowed if authorized by the regulatory body and shall:

- a) Be performed via a secured method, such as a multi-factor authentication process;
- b) Have the option to be disabled;
- c) Accept only the remote connections permissible by the firewall application and system settings;
- d) Be limited to only the application functions necessary for users to perform their job duties:
  - i. No unauthorized remote user administration functionality (adding users, changing permissions, etc.) is permitted; and
  - ii. Unauthorized access to the operating system or to any database other than information retrieval using existing functions is prohibited.

**NOTE:** Remote access security will be reviewed on a case-by-case basis, in conjunction with the implementation of the current technology and approval from the regulatory body.

### **B.7.2 Remote Access Procedures by Suppliers**

A procedure for strictly controlled remote access shall be established. It is acknowledged that the supplier may, as needed, access the system and its associated components remotely for product and user support or updates/upgrades, as permitted by the regulatory body and the operator. This remote access shall use user accounts reserved for this purpose which are:

- a) Continuously monitored by the operator;
- b) Disabled when not in use; and
- c) Restricted through logical security controls to access only the necessary application(s) and/or database(s) for the product and user support or providing updates/upgrades.

### **B.7.3 Remote Access Activity Log**

The remote access application shall maintain an activity log which updates automatically depicting all remote access information, to include:

- a) Identification of user(s) who performed and/or authorized the remote access;
- b) Remote IP Addresses, Port Numbers, Protocols, and where possible, MAC Addresses;
- c) Time and date the connection was made and duration of connection; and
- d) Activity while logged in, including the specific areas accessed and changes made.

**NOTE:** This activity log shall be regularly reviewed as required by the operator and/or the regulatory body.

### **B.7.4 Firewalls**

All communications, including remote access, shall pass through at least one approved application-level firewall. This includes connections to and from any non-system hosts used by the operator.

- a) The firewall shall be located at the boundary of any two dissimilar security domains.
- b) A device in the same broadcast domain as the system host shall not have a facility that allows an alternate network path to be established that bypasses the firewall.
- c) Any alternate network path existing for redundancy purposes shall also pass through at least one application-level firewall.
- d) Only firewall-related applications may reside on the firewall.
- e) Only a limited number of user accounts may be present on the firewall (e.g., network or system administrators only).
- f) The firewall shall reject all connections except those that have been specifically approved.
- g) The firewall shall reject all connections from destinations which cannot reside on the network from which the message originated (e.g., RFC1918 addresses on the public side of an internet firewall).
- h) The firewall shall only allow remote access using encryption that meets current industry accepted standards, such as ISO/IEC 19790, FIPS 140-2, or equivalent.

### **B.7.5 Firewall Audit Logs**

Firewalls used to protect the production environment shall be able to log audit information in a manner to preserve and secure the information from loss or alteration. This information includes the following:

- a) All changes to configuration of the firewall;
- b) All successful and unsuccessful connection attempts through the firewall; and
- c) The source and destination IP Addresses, Port Numbers, Protocols, and where possible, MAC Addresses.

**NOTE:** A configurable parameter 'unsuccessful connection attempts' may be utilized to deny further connection requests should the predefined threshold be exceeded. The system administrator shall also be notified.

## **B.8 Change Management**

### **B.8.1 General Statement**

A change management policy (CMP) is selected by the regulatory body for handling updates to the Interactive Gaming System and its components based on the propensity for frequent system upgrades and chosen risk tolerance. For systems that require frequent updates, a risk-based change management program may be utilized to afford greater efficiency in deploying updates. Risk-based CMPs typically include a categorization of proposed changes based on regulatory impact and define associated certification procedures for each category. The independent test laboratory will evaluate the system and future modifications in accordance with the CMP selected by the regulatory body.

### **B.8.2 Program Change Control Procedures**

Program change control procedures shall be adequate to ensure that only authorized versions of programs are implemented on the production environment. These change controls shall include:

- a) An appropriate software version control or mechanism for all software components, source code, and binary controls;
- b) Records kept of all new installations and/or modifications to the system, including:
  - i. The date of the installation or modification;
  - ii. Details of the reason or nature of the installation or change such as new software, server repair, significant configuration modifications;
  - iii. The component(s) to be changed including the unique identification number from the CAR, version information, and if the component being changed is hardware, the physical location of this component;
  - iv. The identity of the user(s) performing the installation or modification;
  - v. The identity of the user(s) responsible for authorizing the installation or modification;
- c) A strategy to cover the potential for an unsuccessful install or a field issue with one or more changes implemented under the CMP:
  - i. Where an outside party such as an App store is a stakeholder in the release process, this strategy shall cover managing releases through the outside party. This strategy may take into account the severity of the issue;

- ii. Otherwise, this strategy shall cover reverting back to the last implementation (rollback plan), including complete backups of previous versions of software and a test of the rollback plan prior to implementation to the production environment;
- d) A policy addressing emergency change procedures;
- e) Procedures for testing and migration of changes, including the identification of authorized personnel for signoff prior to release;
- f) Segregation of duties within the release process; and
- g) Procedures to ensure that technical and user documentation is updated as a result of a change.

### **B.8.3 System Development Life Cycle**

The acquisition and development of new software shall follow defined processes established by the operator and/or regulatory body.

- a) The production environment shall be logically and physically separated from the development and test environments. When cloud platforms are used, no direct connection may exist between the production environment and any other environment.
- b) The delegation of responsibilities between the operator and/or supplier shall be established where applicable.
- c) There shall be a documented method to develop software securely:
  - i. Following industry standards and/or best practices for coding; and
  - ii. Incorporating information security throughout the life cycle.
- d) The documented test methodology shall include provisions to:
  - i. Verify that test software is not deployed to the production environment; and
  - ii. Prevent the use in testing of actual PII and other sensitive information, or other raw production data.
- e) All documentation relating to software and application development shall be available and retained for the duration of its life cycle.

### **B.8.4 Patches**

The operator shall have patching policies agreed upon with the regulatory body, whether developed and supported by the operator or by a third-party service provider. All patches should be tested whenever possible on a development and test environment configured identically to the target production environment. Under circumstances where patch testing cannot be thoroughly conducted in time to meet the timelines for the severity level of the alert and if authorized by the regulatory body, then patch testing should be risk managed, either by isolating or removing the untested component from the network or applying the patch and testing after the fact.

## **B.9 Technical Security Testing**

### **B.9.1 Periodic Security Testing**

On an annual basis, or as required by the regulatory body, technical security tests on the production environment shall be performed to guarantee that no vulnerabilities putting at risk the security and operation of the Interactive Gaming System exist.

- a) These tests shall consist of a method of evaluation of security by means of an attack simulation by a third-party following a known methodology, and the analysis of vulnerabilities will consist in the identification and passive quantification of the potential risks of the system.
- b) Unauthorized access attempts shall be carried out up to the highest level of access possible and shall be completed with and without available authentication credentials (white box/black box type testing). These allow assessments to be made regarding operating systems and hardware configurations, including but not limited to:
  - i. UDP/TCP port scanning;
  - ii. Stack fingerprinting and TCP sequence prediction to identify operating systems and services;
  - iii. Public Service Banner grabbing;
  - iv. Web scanning using HTTP and HTTPS vulnerability scanners; and
  - v. Scanning routers using BGP (Border Gateway Protocol), BGMP (Border Gateway Multicast Protocol) and SNMP (Simple Network Management Protocol).
- c) Once completed, a report on the assessments shall be provided to the operator and/or regulatory body, which shall include:
  - i. Scope of review;
  - ii. Name and company affiliation of the individual(s) who conducted the assessment;
  - iii. Date of the assessment;
  - iv. Findings;
  - v. Recommended corrective action, if applicable; and
  - vi. The operator's response to the findings and recommended corrective action.

### **B.9.2 Vulnerability Assessment**

The purpose of the vulnerability assessment is to identify vulnerabilities, which could be later exploited during penetration testing by making basic queries relating to services running on the systems concerned. The vulnerability assessment shall include at least the following activities:

- a) External Vulnerability Assessment – The targets are the network devices and servers which are accessible by a third-party (both a person and a company), by means of a public IP (publicly exposed), related to the system from which is possible to access PII and other sensitive information.
- b) Internal Vulnerability Assessment – The targets are the internal facing servers (within the DMZ, or within the LAN if there is no DMZ) related to the system from which is possible to access PII and other sensitive information. Testing of each security domain on the internal network shall be undertaken separately.

### **B.9.3 Penetration Testing**

The purpose of the penetration testing is to exploit any weaknesses uncovered during the vulnerability assessment on any publicly exposed applications or systems hosting applications processing, transmitting and/or storing PII and other sensitive information. The penetration testing shall include at least the following activities:

- a) Network Layer Penetration Test – The test mimics the actions of an actual attacker exploiting weaknesses in the network security examining systems for any weakness that could be used by an external attacker to disrupt the confidentiality, availability and/or integrity of the network.
- b) Application Layer Penetration Test – The test uses tools to identify weaknesses in the applications with both authenticated and unauthenticated scans, analysis of the results to remove false positives, and manual testing to confirm the results from the tools and to identify the impact of the weaknesses.

#### **B.9.4 Firewall Rules Review**

If required by the regulatory body, the firewall rules shall be periodically reviewed to verify the operating condition of the firewall and the effectiveness of its security configuration and rule sets and shall be performed on all the perimeter firewalls and the internal firewalls.

## Appendix C: Operational Audit for Service Providers

### C.1 Introduction

#### C.1.1 General Statement

This appendix sets forth procedures and practices for the assessment of providers of particular services, which will be reviewed in an operational audit as a part of the Interactive Gaming System evaluation, including, but not limited to evaluation of information security services, cloud services, payment services (financial institutions, payment processors, etc.), location services, live game services, and any other services which may be offered directly by the operator or involve the use of third-party service providers.

**NOTE:** It is also recognized that additional procedures and practices which are not specifically included within this standard will be relevant and required for an operational audit as determined by the operator and/or regulatory body within their rules, regulations, and Minimum Internal Control Standards (MICS).

### C.2 Information Security Services

#### C.2.1 Information Security Management System (ISMS) Audit

The operator or a third-party information security service provider used to provide management, support, security, or disaster recovery services for the system shall undergo a specific audit as required by the regulatory body. Their Information Security Management System (ISMS) will be reviewed against common information security principles in relation to confidentiality, integrity and availability, as covered within the appendix for “Operational Audit for Technical Security Controls”, and this section. If allowed by the regulatory body for completing this audit, it is acceptable to leverage the results of prior audits conducted by appropriately accredited vendors and qualified individuals, within the current audit period (e.g., within the past year), against standards such as ISO/IEC 27001, the NIST Cybersecurity Framework (CSF), or equivalent. Such leveraging will be noted in the audit report.

#### C.2.2 Information Security Policy

An information security policy shall be in effect to describe the ISMS’s approach to managing information security and its implementation. The information security policy shall:

- a) Have a provision requiring review at planned intervals and when changes occur to the Interactive Gaming System or the operator’s processes which alter the risk profile of the system;
- b) Be approved by management and communicated to all operator employees and relevant third-party service provider employees; and
- c) Delineate the security roles and responsibilities of operator employees and relevant third-party service provider employees for the operation, service and maintenance of the Interactive Gaming System and/or its components;



### C.2.3 Access Control Policy

An access control policy shall be established and documented within the ISMS which shall be periodically reviewed based on business and security requirements for physical and logical access to the Interactive Gaming System and/or its components.

- a) A formal user registration and de-registration procedure shall be in place for granting and revoking access to the Interactive Gaming System and/or its components.
- b) The allocation of access privileges shall be restricted and controlled based on business requirements and the principle of least privilege.
- c) Employees shall only be provided with access to the services or facilities that they have been specifically authorized to use.
- d) Employees shall receive appropriate security awareness training and regular updates in organizational policies and procedures as needed for their job function.
- e) Management shall review user access rights at regular intervals using a formal process.
- f) The access rights of employees to the Interactive Gaming System and/or its components shall be removed upon termination of their employment, contract or agreement, or adjusted upon change.

### C.2.4 Allocation of Security Responsibilities

Security responsibilities shall be effectively documented and implemented within the ISMS.

- a) A security forum comprised of management shall be formally established to monitor and review the ISMS to ensure its continuing suitability, adequacy and effectiveness, maintain formal minutes of meetings, and convene periodically as required by the regulatory body.
- b) A security department shall exist that will be responsible to develop and implement security strategies and action plans. The security department shall:
  - i. Be involved in and review all processes regarding security aspects of the operator, including, but not be limited to, the protection of information, communications, physical infrastructure, and game processes;
  - ii. Report to no lower than executive level management and not reside within or report to the IT department; and
  - iii. Have the competences and be sufficiently empowered and have access to all necessary resources to enable the adequate assessment, management, and reduction of risk.
- c) The head of the security department shall be a member of the security forum and be responsible for recommending security policies and changes.

### C.2.5 Incident Management

A process for reporting information security incidents and the management response shall be documented and implemented within the ISMS in accordance with the information security policy. The incident management process shall:

- a) Include a definition of what constitutes an information security incident;

- b) Document how information security incidents are reported through appropriate management channels;
- c) Address management responsibilities and procedures to ensure a rapid, effective and orderly response to information security incidents, including:
  - i. Procedures to handle different types of information security incident;
  - ii. Procedures for the analysis and identification of the cause of the incident;
  - iii. Communication with those affected by the incident;
  - iv. Reporting of the incident to the appropriate authority;
  - v. Forensic evidence collection; and
  - vi. Controlled recovery from information security incidents.

### **C.3 Cloud Services**

#### **C.3.1 Cloud Service Provider Audit**

An operator making use of a cloud service provider, as allowed by the regulatory body, to store, transmit or process PII and other sensitive information shall undergo a specific audit as required by the regulatory body. The cloud service provider's operations will be reviewed against common information security principles in relation to the provision and use of cloud services, as covered within the appendix for "Operational Audit for Technical Security Controls", and this section. If allowed by the regulatory body for completing this audit, it is acceptable to leverage the results of prior audits conducted by appropriately accredited vendors and qualified individuals, within the current audit period (e.g., within the past year), against standards such as ISO/IEC 27017 and ISO/IEC 27018 or equivalent. Such leveraging will be noted in the audit report.

#### **C.3.2 Cloud Service Provider Relationship**

Cloud security is a shared responsibility between the cloud service provider and the operator.

- a) If PII and other sensitive information is stored, processed or transmitted in a cloud environment, the applicable requirements will apply to that environment, and will typically involve validation of both the cloud service provider's infrastructure and the operator's usage of that environment.
- b) The allocation of responsibility between the cloud service provider and the operator for managing security controls does not exempt an operator from the responsibility of ensuring that PII and other sensitive information is properly secured according to the applicable requirements.
- c) Clear policies and procedures shall be agreed between the cloud service provider and the operator for all security requirements, and responsibilities for operation, management and reporting shall be clearly defined and understood for each applicable requirement.

### **C.4 Payment Services**

#### **C.4.1 Payment Service Provider Audit**

The operator or a third-party payment service provider used to conduct transactions with financial institutions shall undergo a specific audit as required by the regulatory body. The payment service provider's operations will be reviewed against common information security principles in relation to the provision and use of payment services, as covered within the appendix for "Operational Audit for Technical Security Controls", and this section. If allowed by the regulatory body for completing this audit, it is acceptable to leverage the results of prior audits conducted by appropriately accredited vendors and qualified individuals, within the current audit period (e.g., within the past year), against standards such as the Payment Card Industry Data Security Standards (PCI-DSS) or equivalent. Such leveraging will be noted in the audit report.

#### **C.4.2 Securing Payments**

The payment service provider shall protect payment types used in the system from fraudulent use.

- a) Collection of PII and other sensitive information directly related to financial transactions shall be limited to only the information strictly needed for the transaction.
- b) There shall be processes in place for verifying the payment service provider's protection of the PII or other sensitive information directly related to each financial transaction.
- c) Any communication channels between the operator and the payment service provider conveying payment details shall be encrypted and protected against interception.
- d) All financial transactions shall be reconciled between the operator and the payment service provider daily or as otherwise specified by the regulatory body. There shall be established procedures for:
  - i. In calculating amounts paid to or received from a player, considering all payments used by the player or operator; and
  - ii. Assuring the match of ownership between the payment type holder and the player account holder.

### **C.5 Location Services**

#### **C.5.1 Location Service Provider Audit**

The operator or a third-party location service provider used to provide information for the identification of and the geographic location of players as authorized by the regulatory body shall undergo a specific audit as required by the regulatory body to assess and measure its continued ability to detect and mitigate existing and emerging location fraud risks, including the controls within this section.

#### **C.5.2 Location Service Reporting and Analytics**

Given that location fraud shall be assessed on a single location check, as well as cumulative player locations over time, the location service provider shall:

- a) Have procedures to maintain a real-time data feed of all location checks and an up-to-date list of potential location fraud risks (e.g., fake location apps, virtual machines, remote desktop programs, etc.);

- b) Offer an alert system to identify unauthorized or improper access; and
- c) Facilitate routine, recurrent delivery of supplemental fraud reports pertaining to suspicious or unusual activities, account sharing, malicious players and devices, as well as other high-risk transactional data.

### **C.5.3 Location Service Maintenance**

To maintain the overall integrity of the location service, the location service provider shall ensure the location detection service or application used for location detection:

- a) Utilizes closed-source databases (IP, proxy, VPN, etc.) that are frequently updated and periodically tested for accuracy and reliability; and
- b) Undergoes frequent updates to maintain cutting-edge data collection, device compatibility, and fraud prevention capabilities against location fraud risks.

## **C.6 Live Game Services**

### **C.6.1 Live Game Service Provider Audit**

The live game service provider shall be required to meet the applicable aspects of the appropriate policy and/or procedure documents as determined by the operator in consultation with the regulatory body, including the controls within this section. To maintain the integrity of the game outcome determination process, live game services may be subject to an additional verification audit, as required by the regulatory body.

### **C.6.2 Live Game Environment Security**

The live game environment shall be defined and have appropriate physical security controls. Secure areas, consumables, and live game equipment shall be protected by appropriate entry controls and security procedures to ensure that only authorized members of staff are allowed access according to the following guidelines:

- a) In case the live games occur in a gaming venue (e.g., casino, bingo hall, card room, etc.), where the gaming area is opened for game play by in-person players, according to the laws and standards of the regulatory body, the live game environment shall be controlled with the same rules and controls as the gaming venue, including, but not necessarily restricted to:
  - i. The security systems of the perimeters of those areas where the live games occur; and
  - ii. The controls on the accesses to those areas, to ensure that only authorized members of staff could reach them, and controls on the whole area near to the live game equipment to ensure the players correctness.
- b) In the case the live games occur in a gaming venue, during the public opening hours, in a gaming area not opened for game play by in-person players:
  - i. The areas where the live games occur and the whole of the area near the live game equipment and the related accesses, shall be at least protected by delimitation and alert barriers and supervised by the security staff; and
  - ii. The live game equipment shall be subject to access controls as though these were in a

- gaming venue.
- c) In the case the live games occur in a private gaming studio or in a gaming venue during public closure hours or in a gaming area not opened to game play for the in-person players and not supervised by the security staff:
    - i. The areas where the live games occur and the whole of the area near the live game equipment and the related accesses, shall be protected by physical barriers and the related accesses protected through access security systems; and
    - ii. Access points such as delivery and loading areas and other points where unauthorized persons may enter the areas where the live games occur shall be controlled and, if possible, isolated from operations areas to avoid unauthorized access.

### C.6.3 Surveillance and Recording

The live game service provider will be required to install, maintain, and operate a surveillance system that has the capability to monitor and record continuous unobstructed views of all live game play.

- a) A continuous recording shall be made of all the games played so that:
  - i. The information necessary to adequately reconstruct each game, consistent with the applicable recall requirements stated within the section entitled “Last Play Information Required” which are not displayed by the Gaming Platform itself, is identifiable and distinguishable;
  - ii. The date and time of each game can be determined to an accuracy of one second relative to the clock used by the system; and
  - iii. The sequence of games relative to each other can be determined.
- b) Procedures shall be in place to ensure that the recording:
  - i. Covers the defined live game environment with sufficient detail to confirm whether the game rules and procedures were followed and to identify discrepancies;
  - ii. Is captured in such a way that precludes interference or deletion;
  - iii. Can be reviewed by the operator and/or regulatory body in the event of a player complaint/dispute; and
  - iv. Is kept for at least ninety days or as required by the regulatory body.

### C.6.4 Simulcast Control Servers

The live game service provider shall utilize simulcast control servers for recording all gaming activity and results. The live game service provider may use their own surveillance camera and split live feed to simulcast control server, or there may be a separate network of video involved. The simulcast control servers shall:

- a) Provide the player with real-time audio/visual access to the live game being played, including:
  - i. Any information found in the sections entitled “Game Information and Rules of Play” and “Information to be Displayed” which are not displayed by the Gaming Platform itself;
  - ii. The actions of the gaming attendant and, where applicable, other players;
  - iii. Date and time at the gaming venue; and
  - iv. Game identification/table number and location.

- b) Provide each player with an equivalent quality video/audio feed.
  - i. This equivalence shall be measured and verified whenever communications are initiated, including reconnection due to signal interruptions or re-initiation when the signal was severed.
  - ii. A minimum signal connection requirement shall be established, enforced and disclosed to the player.
- c) Prevent anyone from accessing the live game outcome prior to finalizing a wager.
- d) Record game results before posting to the Gaming Platform.
- e) Be equipped with a mechanism for an authorized employee to void game results, if necessary.

### C.6.5 Live Game Equipment

The live game service provider shall provide a secure location for the placement, operation, and usage of live game equipment, including simulcast control servers, gaming servers and communications equipment. Security policies and procedures shall be in place and reviewed periodically to ensure that risks are identified, mitigated and underwritten by contingency plans. In addition, live game equipment shall meet minimum standards as determined by the regulatory body as well as the following requirements:

- a) Live game equipment shall be installed according to a defined plan and records of all installed live game equipment shall be maintained.
- b) Live game equipment shall be sited or protected to reduce the risks from:
  - i. Environmental threats and hazards;
  - ii. Opportunities for unauthorized access;
  - iii. Power failures; and
  - iv. Other disruptions caused by failures in supporting utilities.
- c) Access to the live game equipment by the gaming attendant shall be controlled by a secure logon procedure or other secure process approved by the regulatory body to ensure that only authorized gaming attendants are allowed access. It shall not be possible to modify the configuration settings of the live game equipment without an authorized secure process.
- d) A user session, where supported by live game equipment, is initiated by the gaming attendant logging in to their user account using their secure username and password or an alternative means for the gaming attendant to provide identification information as allowed by the regulatory body.
  - i. All available options presented to the gaming attendant shall be tied to their user account.
  - ii. If the live game equipment does not receive input from the gaming attendant within five minutes, or a period specified by the regulatory body, the user session shall time out or lock up, requiring the gaming attendant to re-establish their login in order to continue.
- e) To ensure its continued availability and integrity, live game equipment shall be correctly maintained, inspected and serviced at regular intervals by designated staff to ensure that it is free from defects or mechanisms that could interfere with its operation.
- f) Prior to disposal or re-use, live game equipment containing storage media shall be checked to ensure that any licensed software and other sensitive information has been removed or securely overwritten (i.e., not just deleted).



### C.6.6 Live Game Consumables

Consumables used by live game services shall meet minimum standards as determined by the regulatory body as well as the following requirements:

- a) Procedures shall be implemented for tracking the inventory of consumables from receipt, through storage, installation, use, retirement, and destruction. All consumables shall have an associated audit trail which shows which designated staff had access to the consumables at any given time for any given operation;
- b) Periodic random inspections shall be performed on the consumables in use, from disbursement to retirement; and
- c) Used consumables shall be destroyed in a manner which prevents their accidental re-use in live games, and which puts them permanently beyond use.

### C.6.7 Physical Player Chips

The following controls apply to physical player chips used in live games. For instance, in a live poker game involving both in-person players and players who are playing through a Gaming Platform, physical player chips may be placed on the table to indicate the player's wager to the other players.

- a) All chips shall have identical physical characteristics except for specific differences in denomination.
- b) The chips of all possible denominations shall be shown (as per the game denomination) so that unavailability of chips of smaller denominations will not force players to bet more.
- c) Each chip shall be designed so that the specific denomination of each chip can be determined when placed in a stack of chips of various denominations.
- d) The chips used shall be unique for each denomination they are representing, and the denomination shall be clearly visible on any chip.

### C.6.8 Live Game Procedures

The following procedures shall be in place for live game service providers. These procedures shall be reviewed periodically to ensure that risks are identified, mitigated and underwritten by contingency plans.

- a) Procedures shall be in place to enable a suitable response to any security issue within the live game services.
- b) Procedures shall be in place to prevent any person from tampering with or interfering with the operation of any live game or live game equipment.
- c) Separate procedures shall exist for each game and new games shall have their procedures in place before being offered to players.
- d) The following procedures shall be in place for the staff of the live game service provider, including game attendants, as required by the regulatory body:
  - i. Procedures shall be in place to perform periodic background checks on staff;
  - ii. Staff shall undergo adequate training to provide live game in a fair way according to



- documented procedures and game rules. Evidence of training and periodic refresher training shall be maintained;
- iii. Staff shall be trained in, and regularly reminded of, any physical behavior which is prohibited or mandated (including hand signals, talking, the handling of the cards, etc.);
  - iv. Policies and procedures concerning rotations, shift patterns and allocation shall be documented, including how game attendants are allocated to tables/games (i.e., without prior knowledge of which tables/games they will be serving and with their time-on-game set at a level to deter harmful relationships being developed), and changes in game attendants during exceptional circumstances;
  - v. A method to reasonably detect players who reject tables/games and re-apply for another within the same game type on a consistent basis until they arrive at their preferred table/game;
  - vi. The retention of documentation shall be robust, allowing staff records to be audited and investigations to be performed where staff members are either involved directly or where their presence in a particular place and/or time, is crucial to understanding a chain of events;
  - vii. Procedures for the hiring and termination of staff shall be documented;
  - viii. A supervisory employee shall always be present when live games are taking place;
  - ix. Staffing logs shall be maintained for each table/game; and
- e) Procedures shall be in place to inform in-person players that they are being filmed as part of a live feed.
  - f) Procedures regarding anomalous events which may occur during live games shall be documented and understood by staff, including, but not limited to:
    - i. Specialized device or physical randomness device malfunctions, including incorrect outcome detection;
    - ii. Dropped cards;
    - iii. Misdeals;
    - iv. Re-spins;
    - v. Aborted games; and
    - vi. Table/game closure.
  - g) Consistent card shuffling procedures, including a verification of the card count, frequency of shuffling, and cases for reshuffling, shall be in place. The shuffling of cards shall be logged.
  - h) A defined procedure shall exist for the accounting of the physical player chips.
  - i) Procedures shall be in place to demonstrate that a single member of staff would not be able to undertake all duties concerning game management and that there is segregation of responsibilities prior to play, during play and after play.
  - j) Procedures shall be in place to deal with player disconnection or any video, voice, or data stream disruptions during a live game.
  - k) Procedures shall be in place to ensure that for wagers placed on live games:
    - i. When wagers are placed by verbal instruction, the content of the wager is communicated back and acknowledged by the player before the wager is confirmed;
    - ii. When a game attendant is receiving wagers indicated by the player, a clear indication or notification if the wager has been accepted or rejected (in full or in part) is provided to the player; and
    - iii. The winning player is notified of their win, including the amount won, after the completion of the game and that their account balance is updated either immediately or once they exit

the game.

- l) Variations in the operation of card shufflers and shoes, roulette wheels, ball blowers, dice shakers or other live game equipment shall be incorporated into the game procedures to maintain randomness. This equipment shall have a level of randomness consistent with that seen in gaming venues to ensure their fairness and integrity.
- m) Procedures shall be in place to ensure card shoes and similar specialized devices and physical randomness devices are tamper-proof once they have been loaded to preclude interference prior to and during play.
- n) To ensure and maintain their integrity, any specialized devices and physical randomness devices shall be periodically inspected and tested for reliability. In addition:
  - i. All consumables or live game equipment that will be subjected to this hardware shall be checked against it for defects prior to processing, to prevent play being disrupted; and
  - ii. Logs of all tests shall be maintained.
- o) There shall be procedures in place to inform the player when the manual operation mode of the specialized device is activated, and tracking shall be enabled to allow for further review.
- p) Policies and procedures shall be in place to identify and replace specialized devices and physical randomness devices which show an unacceptable level of errors.
- q) Procedures shall be in place to maintain game logs and collate game events into statistics which can be analyzed for trends relating to game performance, staff and/or locations in the live game environment, including those for supervisors, shifts, procedure violations, as well as other incidents, irregularities, and errors.

## Glossary of Key Terms

**Access Control** – The process of granting or denying specific requests for obtaining and using sensitive information and related services specific to a system; and to enter specific physical facilities which houses critical network or system infrastructure.

**Advertised Award** – An award that can be awarded by a game and which is explicitly advertised to the player in the game artwork.

**Algorithm** – A finite set of unambiguous instructions performed in a prescribed sequence to achieve a goal, especially a mathematical rule or procedure used to compute a desired result. Algorithms are the basis for most computer programming.

**Alternative Game Mode** – Any mode of gaming other than the normal mode of game play. This includes modes such as autoplay, tournament, and free play.

**ARP, Address Resolution Protocol** – The protocol used to translate IP addresses into MAC addresses to support communication on a wireless or wired local area network.

**Artwork** – The graphics, thematic art, help screens, and other textual information that is shown to a player by the player interface.

**Audit Trail** – A record showing who has accessed a system and what operations the user has performed during a given period.

**Authentication** – Verifying the identity of a user, process, software package, or device, often as a prerequisite to allowing access to resources in a system.

**Automated Decision-Making** – The ability to make decisions by technological means based on PII or data provided directly by players; data observed about players; derived or inferred data (e.g., risk rating). For any type of processing to be classed as automated rather than solely automated, there shall be meaningful human involvement in the process (for example through review or filtering) and that human involvement shall take place prior to the final decision.

**Autoplay Mode** – A player-selectable mode of a game that allows a player to place wagers automatically without any manual interaction, once a denomination, wager, and other play attributes have been selected for game play.

**Backup** – A copy of files and programs made to facilitate recovery if necessary.

**Best-Hand Play** – A collusion method where between two or more players only the one who has the best score always plays, while the other or others leave the game.

**Biometrics** – A biological identification input, such as fingerprints or retina patterns.

**Bonusing Award** – An incentive award based on a game event or some external trigger which do not include triggers based upon specific player account activity. Examples include multiplied awards, whereby the game multiplies all wins within a specified range by a specified value or an nth coin award is won when a percentage of play on participating games reaches a randomly selected value.

**Cache Poisoning** – An attack where the attacker inserts corrupt data into the cache database of the Domain Name Service (DNS).

**Chip Dumping** – A collusion method where two or more players help each other to stay in the game, leading to losses and therefore to an exchange of chips even with certainly winning combinations.

**Communications Technology** – Any method used, and the components employed, to facilitate the transmission and receipt of information, including transmission and reception by systems using wire, wireless, cable, radio, microwave, light, fiber optics, satellite or computer data networks, including the Internet and intranets.

**Community Bonus** – A type of bonus/feature play where players collaborate and/or compete for a shared award.

**Contributions** – The financial method by which progressive jackpot or incrementing jackpot pools are funded.

**Contingency Plan** – Management policy and procedures designed to maintain or restore gaming operations, possibly at an alternate location, in the event of emergencies, system failures, or disaster.

**Credit Meter** – A meter which maintains the player funds available to the player for the commitment of a wager which is transferred to and from the player account balance.

**Critical Component** – Any sub-system for which failure or compromise can lead to loss of player entitlements, government revenue or unauthorized access to data used for generating reports for the regulatory body. Examples of critical components include: Components which record, store, process, share, transmit or retrieve PII and other sensitive information (e.g., validation numbers, authentication credentials, etc.); Components which generate, transmit, or process random numbers used to determine the outcome of games; Components which store results of the current state of a player's wager; Points of entry to and exit from the above components (other systems which communicate directly with core critical systems); and Communication networks which transmit PII and other sensitive information.

**Critical Control Program** – A software program that controls behaviors relative to any applicable technical standard and/or regulatory requirement.

**Cryptographic RNG** – A Random Number Generator (RNG) which is resistant to attack or compromise by an intelligent attacker with modern computational resources who has knowledge of

the source code of the RNG and/or its algorithm. Cryptographic RNGs cannot be feasibly ‘broken’ to predict future values.

**Data Integrity** – The property that data is both accurate and consistent and has not been altered in an unauthorized manner in storage, during processing, and while in transit.

**DDOS, Distributed Denial of Service** – A type of attack where multiple compromised systems, usually infected with a destructive software program, are used to target a single system. Victims of a DDOS attack consist of both the end targeted system and all systems maliciously used and controlled by the hacker in the distributed attack.

**Debit Instrument** – A card, code, or other device with which a person may initiate an electronic funds transfer. The term includes, without limitation, a prepaid access instrument.

**Direct Cryptanalytic Attack** – An RNG attack whereby the attacker, given a sequence of past values produced by an RNG, is able to predict or estimate future RNG values.

**Diversion Pool** – The monies collected pursuant to a contribution schedule that are intended to be used for the funding of future progressive jackpots and incrementing jackpots or for other purposes.

**DNS, Domain Name Service** – The globally distributed internet database which (amongst other things) maps machine names to IP numbers and vice-versa.

**Domain** – A group of computers and devices on a network that are administered as a unit with common rules and procedures.

**Double-Up** (aka “Gamble”) – An extended game play feature available to a player to double or risk current winnings.

**DRP, Disaster Recovery Plan** – A plan for processing critical applications and preventing loss of data in the event of a major hardware or software failure or destruction of facilities.

**Effective Bandwidth** – The amount of data that actually can be transferred across a network per unit of time. The effective bandwidth through the Internet is usually considerably lower than the bandwidth of any of the constituent links.

**EFT, Electronic Funds Transfer** (aka “ECT”, “Electronic Credits Transfer”) – An electronic transfer of funds from an independent financial institution to a player account using a payment service provider. This includes Automated Clearing House (ACH) transfers.

**Encryption** – The conversion of data into a form, called a ciphertext, which cannot be easily understood by unauthorized people.

**Encryption Key** – A cryptographic key that has been encrypted in order to disguise the value of the underlying plaintext.

**Firewall** – A component of a computer system or network that is designed to block unauthorized access or traffic while still permitting outward communication.

**Flight Recorder** – Game recall functionality that records various player physical actions and correlates them in time to other game inputs such as touch screen activations, button presses, etc. in order to more fully reconstruct the outcome of game play. When used in conjunction with a game containing a physical skill element, such functionality may be especially useful for recording/documenting aspects of game history specific to a player's physicality, dexterity, motions, or gestures.

**Free Play Mode** – A game mode that allows a player to participate in a game without placing any wager, principally for the purpose of learning or understanding game play mechanics.

**Game Cycle** – A game cycle is defined as “wager to wager”. The cycle is the period from an initial wager to the point of the final transfer to the player's credit meter or player account balance, or when all funds wagered are lost.

**Game Theme** (aka “Personality Program”) – The concept, subject matter, and methodology of design in which a game is built around, including artwork, game graphics, one or more paytables, sound effects, and music.

**Game with Skill** – A wagered game in which the skill of the player, rather than pure chance, is a factor in affecting the outcome of the game as determined over a period of continuous play. A game with skill contains one or more elements of skill in its design which can be leveraged by a player to impact the return percentage.

**Gaming Platform** – The Interactive Gaming System hardware and software which drives the which may drive the features common to game offerings, game configurations, RNGs, reporting, etc.

**Gaming Rules** (aka “House Rules”) – Any written, graphical, and auditory information compiled by the operator for the purpose of summarizing portions of the internal controls and certain other information necessary to inform the public of the functionality of the interactive gaming operations.

**Gaming Session** – The period of time commencing, at minimum, when a player initiates a game or series of games on a Gaming Platform for a particular game theme by committing a wager and ending at the time of a final game outcome for that game or series of games and coincident with the opportunity for the player to exit the game.

**Geolocation** – Identifying the real-world geographic location of an internet connected Remote Player Device.

**Group Membership** – A method of organizing user accounts into a single unit (by job position) whereby access to system functions may be modified at the unit level and the changes take effect for all user accounts assigned to the unit.



**Hardware-Based RNG** – An RNG that derives its randomness from small-scale physical events such as electric circuit feedback, thermal noise, radioactive decay, photon spin, etc.

**Hash Algorithm** – A function that converts a data string into an alpha-numeric string output of fixed length.

**HTTP, Hypertext Transport Protocol** – The underlying protocol used to define how messages are formatted and transmitted, and what actions servers and browsers shall take in response to various commands.

**Identifier** – Any specific and verifiable fact concerning a player or group of players which is based upon objective criteria relating to the player or group of players and which may be utilized to affect some prescribed change to a game configuration.

**Identity Verification Service Provider** – An entity who verifies, or provides information for the verification of, the identification of individuals.

**IDS/IPS, Intrusion Detection System/Intrusion Prevention System** – A system that inspects all inbound and outbound network activity and identifies suspicious patterns that may indicate a network or system attack from someone attempting to break into or compromise a system. Used in computer security, intrusion detection refers to the process of monitoring computer and network activities and analyzing those events to look for signs of intrusion in your system.

**Incentive Credits and/or Prizes** (aka “Incentive Awards”) – Credits and/or prizes that are not described in the payable of a game, that is based upon predetermined events or criteria established by the parameters of the Interactive Gaming System. An incentive award may be a promotional award or a bonusing award.

**Increment Rate** – The configurable or hardcoded value used to increment the progressive jackpot or incrementing jackpot.

**Incrementing Jackpot** – A monetary award or “payoff” which increases on the occurrence of one or more specific conditions (defined events) established by the rules of the game. In addition to the defined event(s), it is acceptable for incrementing jackpots to also increase according to the credits wagered in the game. An example of this would be an incrementing jackpot which increases every time you get a specific win in a bonus.

**Information Security** – Protecting information and information systems from unauthorized access, use, disclosure, disruption, modification, or destruction in order to provide integrity, confidentiality, and availability

**Information Security Service Provider** – An entity who provides management, support, security, or disaster recovery services for regulated hardware or software.

**Interactive Gaming** – Gaming, conducted through the use of communications technology, which uses an element of chance, skill, or strategy, or some combination of these elements in the



determination of awards, contain some form of activation to initiate the selection process, and makes use of a suitable methodology for delivery of the determined outcome to the Remote Player Device.

**Interactive Gaming System** – The hardware, software, firmware, communications technology, other equipment, as well as operator procedures implemented in order to allow player participation in gaming, and, if supported, the corresponding equipment related to the display of the game outcomes, and other similar information necessary to facilitate player participation. The system provides the player with the means to play games. The system provides the operator with the means to review player accounts, disable games, generate various gaming/financial transaction and account reports, input outcomes for live games, and set any configurable parameters.

**Internet** – An interconnected system of networks that connects computers around the world via TCP/IP.

**IP Address, Internet Protocol Address** – A unique number for a computer that is used to determine where messages transmitted on the Internet should be delivered. The IP address is analogous to a house number for ordinary postal mail.

**ISMS, Information Security Management System** – A defined, documented management system that consists of a set of policies, processes, and systems to manage risks to organizational data, with the objective of ensuring acceptable levels of information security risk.

**Jackpot Display** – A display which is used to indicate the progressive jackpot or incrementing jackpot information.

**Jackpot Diversion Scheme** – A portion of the jackpot contributions are diverted to another pool or “diversion pool” to be used as needed by the design of the progressive jackpot or incrementing jackpot (e.g., the diversion pool may be added to the reset value of the next jackpot or be used to pay simultaneous wins of a jackpot)

**Jailbreaking** – Modifying a smartphone or other electronic device to remove restrictions imposed by the manufacturer or operator to allow the installation of unauthorized software.

**Key** – A value used to control cryptographic operations, such as decryption, encryption, signature generation or signature verification.

**Key Management** – Activities involving the handling of cryptographic keys and other related security parameters (e.g., passwords) during the entire life cycle of the keys, including their generation, storage, establishment, entry and output, and zeroization.

**Known Input Attack** – An RNG attack whereby the attacker is able to compromise an RNG by determining or estimating the state of the RNG after initial seeding.

**Link Utilization** – The percentage time that a communications link is engaged in transmitting data.

**Live Event Wagering** – The wagering on live sports, competitions, matches, and other live event types approved by the regulatory body where the player places wagers on markets within a live event.

**Live Game** – A game conducted by a gaming attendant (e.g., dealer, croupier, etc.) and/or other gaming equipment (e.g., automated roulette wheel, ball blower, gaming device, etc.) in a live game environment in which players have the ability to review game play and communicate game decisions through the Gaming Platform. Live games include, but are not limited to, live drawings, live card games, live table games, live keno games, live bingo games, and live play of gaming devices or other games as allowed by the regulatory body.

**Live Game Environment** – A physical location that utilizes live video streaming technology to provide live games to a Remote Player Device that permits the player to participate in live streamed games, interact with game attendants, and interact with fellow players.

**Location Service Provider** – An entity who identifies, or provides information for the identification of, the geographic location of individuals.

**MAC, Message Authentication Code** – A cryptographic checksum on data that uses a symmetric key to detect both accidental and intentional modifications of the data.

**Malware** – A program that is inserted into a system, usually covertly, with the intent of compromising the confidentiality, integrity, or availability of the victim's data, applications, or operating system or of otherwise annoying or disrupting the victim.

**"Man-In-The-Middle" Attack** – An attack where the attacker secretly relays and possibly alters the communication between two parties who believe they are directly communicating with each other.

**Mapping Algorithm** – An algorithm or method by which a value is associated to a symbol or object that is usable and applicable to the current game (e.g.: the value 51 might be mapped to an ace of spades).

**Mechanical RNG** (aka "Physical Randomness Device") – An RNG that generates outcomes mechanically, employing the laws of physics. Live game implementations include, but are not limited to, mechanical wheels, tumblers, blowers, shufflers, etc.

**Message Authentication** – A security measure designed to establish the authenticity of a message by means of an authenticator within the transmission derived from certain predetermined elements of the message itself.

**Mobile Code** – Executable code that moves from computer to computer, including both legitimate code and malicious code such as computer viruses.

**Multi-Factor Authentication** – A type of authentication which uses two or more of the following to verify a user's identity: Information known only to the user (e.g., a password, pattern or answers to challenge questions); An item possessed by a user (e.g., an electronic token, physical token or an

identification card); A user's biometric data (e.g., fingerprints, facial or voice recognition).

**Multi-Wager Game** – A game where multiple, independent wagers can simultaneously be applied towards advertised awards.

**Mystery Award** – An award paid by a game that is not associated with a specific payable combination.

**NCE, *Network Communication Equipment*** – One or more devices that controls data communication in a system including, but not limited to, cables, switches, hubs, routers, wireless access points, and telephones

**Near Miss** – Showing a top award winning combination above or below an active payline.

**Non-Wager Purchase** – A purchase made by the player that debits the credit meter or player account balance and which is used for entertainment purposes only. A non-wager purchase does not influence the outcome of the game. An example might be the purchase of an artistic attribute of a game.

**Operator** – A person or entity that operates an Interactive Gaming System, using both the technological capabilities of the Interactive Gaming System as well as their own internal procedures.

**Overflow** – Pool containing the contributions which exceed the progressive jackpot or incrementing jackpot ceiling.

**P2P Gaming Sessions, *Peer-to-Peer Gaming Sessions*** – Environments which offer players the opportunity to play with and against each other. In these environments, the operator usually does not engage in the gaming session as a party (e.g., house-banked gaming), but usually provides the environment for use by its players, and takes a rake, commission, or fee for the service.

**PAR Sheet** – A specification sheet for a game that provides the theoretical return to player, hit frequency, symbol combination, number of reels, number of credits that can be accepted, and reel strip listing as applicable.

**Password** – A string of characters (letters, numbers, and other symbols) used to authenticate an identity or to verify access authorization.

**Payment Service Provider** – An entity who directly facilitates the depositing of funds into or withdrawing of funds from player accounts.

**Paytable** (aka "Variation") – The mathematical behavior of a game based upon the data from the manufacturer's PAR sheet, inclusive of the return percentage, and reflective of all possible payouts/awards.

**Perfecta** (aka "Exacta") – A wager in which the player picks the first and second place finishers in a

competition in the correct order.

**Persistence Game** – A game that is associated with a unique attribute (e.g., player ID, game theme/paytable ID, etc.) and incorporates a feature that enables progress towards the award of game play enhancements and/or bonuses through the achievement of some designated game outcome.

**Physics Engine** – Specialized software that approximates the laws of physics, including behaviors such as motion, gravity, speed, acceleration, mass, etc. for a game's elements or objects. The physics engine is utilized to place game elements/objects into the context of the physical world when rendering computer graphics or video simulations.

**PII, Personally identifiable information** – Sensitive information that could potentially be used to identify a particular player. Examples include a legal name, date of birth, place of birth, social security number (or equivalent government identification number), driver's license number, passport number, residential address, phone number, email address, debit instrument number, credit card number, bank account number, or other personal information if defined by the regulatory body.

**PIN, Personal Identification Number** – A numerical code associated with an individual and which allows secure access to a domain, account, network, system, etc.

**Play from Save** – A feature utilized in some persistence game designs where complexity increases, or additional elements are added to the game, as play continues. A player is able to save their progress and resume from the saved point of game play.

**Player Account** (aka "Wagering Account") – An account maintained for a player where information relative to gaming and financial transactions are recorded on behalf of the player including, but not limited to, deposits, withdrawals, wagers, winnings, and balance adjustments. The term does not include an account used solely by an operator to track incentive points or credits or similar benefits issued by an operator to a player which may be redeemed for merchandise and/or services.

**Player Interaction Device** – An internal or external device that connects to a machine and that registers various types of player inputs allowing the player to interact with the machine. Several examples include touch screens, joysticks, handheld controllers, camera systems, etc. The player interaction device may be hard-wired or wireless. A "smart" player interaction device supports two-way communications with the Gaming Platform. For the purpose of this technical standard, a traditional keyboard is excluded from this definition unless it is used to affect the outcome for a game.

**Player Interface** – An interface application or program through which the user views and/or interacts with the Player Software to communicate their actions to the Interactive Gaming System.

**Player Loyalty Program** – A program that provides incentive awards for players based on the volume of play or revenue received from a player.

**Player Software** – The software used to take part in gaming and financial transactions with the Interactive Gaming System which, based on design, is downloaded to or installed on the Remote Player Device, run from the Interactive Gaming System which is accessed by the Remote Player Device, or a combination of the two. Examples of Player Software include proprietary download software packages, html, flash, etc.

**Pool** – An accumulated reservoir of progressive jackpot or incrementing jackpot monetary contributions.

**Port** – A physical entry or exit point of a module that provides access to the module for physical signals, represented by logical information flows (physically separated ports do not share the same physical pin or wire).

**Prepaid Access Instrument** – A card, code, electronic serial number, mobile identification number, personal identification number or similar device used in conjunction with an Interactive Gaming System that allows player access to funds that have been paid in advance and can be retrieved or transferred at some point in the future through such a device.

**Profiling** – Any form of automated processing of PII consisting of the use of PII gathered from various sources to evaluate certain personal aspects relating to a natural person, in particular to analyze or predict aspects concerning that natural person's economic situation, personal preferences, interests, reliability, behavior, location, etc.

**Proxy** – An application that “breaks” the connection between client and server. The proxy accepts certain types of traffic entering or leaving a network and processes it and forwards it. This effectively closes the straight path between the internal and external networks. Making it more difficult for an attacker to obtain internal addresses and other details of the internal network.

**Progressive Jackpot** – A monetary award or “payoff” that increases according to the credits wagered in the game.

**Promotional Award** – An incentive award based on predefined player activity criteria that are tied to a specific player account, which generally recur. Examples include earning restricted credits which match their first deposit, awarding points for a certain amount of credits played on a game; awarding credits for wagering more than a certain amount of credits within a specific time period.

**Proposition Player** – A player that has been hired to participate in a game and wagers personal funds.

**Protocol** – A set of rules and conventions that specifies information exchange between devices, through a network or other media.

**Quinella** – A wager in which the first two places in a competition shall be predicted, but not necessarily in the finishing order.

**Rake, Commission, or Fee** – An amount retained and not distributed by the operator from the

total amount wagered on a game.

**Remote Access** – Any access from outside the system or system network including any access from other networks within the same site or venue.

**Remote Player Device** – A player-owned device that at a minimum will be used for the execution of game play. Examples of a Remote Player Device include a personal computer, mobile phone, tablet, etc.

**Reset Value** – The amount of a progressive jackpot or incrementing jackpot payoff initially offered before it increases.

**Restricted Incentive Credits** (aka “Non-Cashable Incentive Credits”) – Incentive awards that either have no cash redemption value or cannot be cashed out until a wagering requirement or other restrictions associated with the credits is met.

**Restricted Player Funds** – Player funds that are not redeemable for cash, including restricted incentive credits.

**Risk** – The likelihood of a threat being successful in its attack against a network or system.

**RNG, Random Number Generator** – A computational or physical device, algorithm, or system designed to produce numbers in a manner indistinguishable from random selection.

**RNG Period** – The length of the ordered sequence of raw numbers output by the RNG. When the RNG is cyclic, it has a finite period. Otherwise, the RNG is said to have an infinite period.

**RNG State** – The state defined by one or more variables in computer memory and represents a specific point within the cycle of the RNG. RNG state may be modified by replacing one or more of these variables with new values, or otherwise mixing the values with new data.

**Rooting** – Attaining root access to the operating system code to modify the software code on the mobile phone or other Remote Player Device or install software that the manufacturer would not allow to be installed.

**RTP, Return to Player** – A ratio of the ‘total amount won’ to the ‘total amount wagered’ by a player. Such a return may be “theoretical” (based on mathematical calculations or simulations) or “actual” (based on the metering supported by an enabled game).

**Scaling Algorithm** – An algorithm or method by which the numbers selected by an RNG are scaled or mapped from a greater range to a lesser range for use in the game.

**Secure Communication Protocol** – A communication protocol that provides the appropriate confidentiality, authentication and content integrity protection.

**Security Certificate** – Information, often stored as a text file that is used by the Transport Socket



Layer (TSL) Protocol to establish a secure connection. In order for an TSL connection to be created, both sides shall have a valid Security Certificate.

**Security Policy** – A document that delineates the security management structure and clearly assigns security responsibilities and lays the foundation necessary to reliably measure progress and compliance

**Seeding / Seed** – The initialization of the state variables of an RNG. The source value or values used for initialization is the seed.

**Sensitive Information** – Information such as PII, gaming data, validation numbers, authentication credentials, PINs, passwords, secure seeds and keys, and other data that shall be handled in a secure manner.

**Server** – A running instance of software that is capable of accepting requests from clients, and the computer that executes such software. Servers operate within a Client-Server Architecture, in which “servers” are computer programs running to serve the requests of other programs (“clients”). In this case the “server” would be the Interactive Gaming System and the “clients” would be the Remote Player Devices.

**Shellcode** – A small piece of code used as a payload in the exploitation of security. Shellcode exploits vulnerability and allows an attacker the ability to reduce a system’s information assurance.

**Shill** – A player that has been hired to participate in a game and wagers funds on behalf of the operator.

**Shuffling Algorithm** – An algorithm or method by which RNG output is used to produce without replacement data, or, equivalently, to randomize the order of multiple objects. All possible orderings are intended to be equally likely.

**Soft-Play** – A collusion method where one or more players renounce to play against another player in situations where such behavior is unreasonable in accordance with normal practices of play (for example, a player leaves the game even if the win is secure).

**Software RNG** – An RNG that derives its randomness from a computer-based or software-driven algorithm.

**Source Code** – A text listing of commands to be compiled or assembled into an executable computer program.

**Startup Value** – The initial progressive jackpot or incrementing jackpot value (does not include values from overflow or diversion pools).

**State Compromise Extension Attack** – An RNG attack in which an attacker compromises a single state of the RNG and penetrates past or future outputs of the RNG using this information. Usually this attack is executed using the seed state or a vulnerable state in which insufficient entropy is



available.

**Stateless Protocol** – A communications scheme that treats each request as an independent transaction that is unrelated to any previous request so that the communication consists of independent pairs of requests and responses.

**Surrender** – An option available in some card games where the player can forfeit half of their wager rather than play out their active hand of cards. There are two types of surrender: early and late. These terms refer to whether or not a dealer checks to see if she/he has a blackjack (when an Ace or 10 is showing) before the player makes the surrender decision.

**System Administrator** – The individual(s) responsible for maintaining the stable operation of the Interactive Gaming System (including software and hardware infrastructure and application software).

**TCP/IP, Transmission Control Protocol/Internet Protocol** – The suite of communications protocols used to connect hosts on the Internet.

**Third-Party Service Provider** – An entity who acts on behalf of an operator to provide services used for the overall conduct of interactive gaming.

**Threat** – Any circumstance or event with the potential to adversely impact network operations (including mission, functions, image, or reputation), assets, or individuals through a system via unauthorized access, destruction, disclosure, modification of information, and/or denial of service. Also, the potential for a threat-source to successfully exploit a system vulnerability.

**Time Stamp** – A record of the current value of the Interactive Gaming System date and time which is added to a message at the time the message is created.

**Touch Screen** – A video display device that also acts as a player input device by using electrical touch point locations on the display screen.

**Tournament** (aka “Contest/Tournament”) – An organized, measured event that permits a player to engage in competitive play against other players. An out-of-revenue tournament involves only non-wagered play using tournament credits or points that have no cash value. In contrast, an in-revenue tournament allows for wagered play in conjunction with the operation of the tournament.

**Trifecta** – A wager in which a player wins by selecting the first three finishers of a competition in the correct order of finish.

**Unauthorized Access** – A person gains logical or physical access without permission to a network, system, application, data, or other resource.

**Unrestricted Incentive Credits** (aka “Cashable Incentive Credits”) – Incentive awards that are redeemable for cash.

**Unrestricted Player Funds** – Player funds that are redeemable for cash, including unrestricted incentive credits.

**Version Control** – The method by which an evolving approved Interactive Gaming System is verified to be operating in an approved state.

**Virtual Event Wagering** – A form of wagering that allows for the placement of wagers on sports, contests, and matches whose results are determined solely by an approved Random Number Generator (RNG).

**Virtual Opponent** – A computer-based player that participates in a game with skill and effectively mimics the actions of a live player.

**Virus** – A self-replicating program, typically with malicious intent, that runs and spreads by modifying other programs or files.

**Virus Scanner** – Software used to prevent, detect and remove computer viruses, including malware, worms and Trojan horses.

**VPN, *Virtual Private Network*** – A logical network that is established over an existing physical network and which typically does not include every node present on the physical network.

**Vulnerability** – Software, hardware, or other weaknesses in a network or system that can provide a “door” to introducing a threat.

**Wager** – Any commitment of credits or money by the player which has an impact on game outcome.

**Wi-Fi** – The standard wireless local area network (WLAN) technology for connecting computers and electronic devices to each other and/or to the internet.

# About the organization of lotteries, gambling and profitable games

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Law of Georgia

About the organization of lotteries, gambling and profitable games

*Law of Georgia of December 9, 2011 No. 5448 - website, 22.12.2011*

Chapter I. General Provisions

## Article 1

This law establishes the legal basis for the organization and conduct of lotteries, gambling and winning games, as well as the provision of gambling and/or winning games in Georgia.

## Article 2

The purpose of this law is the state regulation of the field of lotteries, gambling and profitable games in Georgia, ensuring the protection of the legal interests of citizens and the rights of consumers in accordance with the Law of Georgia "On Licenses and Permits".

## Article 3

The terms used in this law have the following meanings:

a) Games of chance – games whose outcome depends entirely or partially on chance. They are played using cards, dice (except backgammon), roulette, slot machines, sorority tables, club tables and/or other gaming equipment, and participation in them provides the opportunity to win money. Organization of gambling games (except gambling tournament) is allowed only in casino, gaming machine salon and/or gambling club;

A1) Gambling tournament - a game conducted by the Samorin and/or through the club table of the holder of the license to set up a gambling club. If the holder of the Samorine arrangement permit uses the club table only for holding a gambling tournament and does not pay the gambling business fee set for the club table by the Law of Georgia "On Gaming Business Fee", he has no right to receive income from the gambling tournament. The organization of the gambling tournament is allowed both at the facility organized with the permission of the Samorine and/or the gambling club, and outside it;

b) Player – a person who participates in the game in order to make a profit;

c) Samorine - a specially arranged building/structure or part of a building/structure, where the organizer of the game conducts games of chance and monetary winnings through a game wheel (roulette), cards, a Samorin table, a club table, dice and/or other gaming equipment (except for a gaming machine);

d) Samorin's table – a specially arranged table on which gambling takes place between the representative of the Samorin and the player/players through the game wheel (roulette), cards, dice and/or other game equipment. For the purposes of this law, a hybrid electromechanical gaming wheel (roulette) that is mechanically actuated is also considered a Samorin table. A Samorin table, on which two or more games between two or more representatives of the Samorin and player/players are being played at the same time, is considered a Samorin table, as many Samorin representatives are being played with;

d1) Club table - a specially arranged table, on which the game between players takes place through cards. Playing cards may be distributed by the representative of the gambling organizer (except for the gaming machine salon);

e) Gaming hall - a specially arranged building/structure or part of a building/structure in which a totalizer, bingo, lotto is organized/conducted, and in Samorine, a gaming machine salon, a gambling club - a special place where gambling games are held. The gaming hall should not be visible from the outside of the building/structure; f) Gaming machine parlor – a specially equipped building/structure or a part of a building/structure, where the gaming organizer conducts gambling through gaming machines;

g) Gaming machine – an electronic, mechanical or electromechanical device or other specialized device that has a special program and/or mechanism that allows monetary gain or determination of monetary gain. A gaming machine on which one and/or several games are played, on which several players can play at the same time and which consists of several playing places, is considered a gaming machine as many playing places as it consists of (except for the electronic gaming wheel (roulette), through which the game is played with one type of roulette and/or several types of roulette);

1. Gambling club - a specially arranged building/structure or part of a building/structure, where the organizer of the game plays card games through the club table/club tables;

h) Lottery – a voluntary group or mass game, during which the lottery organizer draws the prize pool in accordance with the publicly published, established rules and conditions. The coincidence of winnings on any lottery ticket does not depend on the will and action of the lottery organizer or any other entity, is random and cannot be specially arranged. Lottery types are:

T.a) circulation lottery – lottery, the process of which is divided into circulations, separate complete cycles, from the production and sale of the ticket, including the drawing of the prize fund. The owner of the lottery ticket determines the profitability of the ticket only after the draw;

t.b) instant lottery - lottery, the result of which is determined by checking the ticket on the spot or by holding a draw directly on the ticket;

T.C) (removed - 08.06.2016, No. 5385);

T.D) (Removed - 08.06.2016, No. 5385);

T.E) (Removed - 08.06.2016, No. 5385);

i) Lottery and/or winning game ticket - a card prepared for sale or distribution, a document confirming participation in the game, an item, a personal identification code (number) and/or other carrier of information,

which responds to the law and the conditions (regulations) of a specific lottery or winning game and, in case of winning, confirms the fact of winning;

k) Prize fund - the amount recognized as a firm liability before entry for the benefit of a third party (owner of the winning ticket), trustee or principal and is intended to be transferred to him, in the amount of profit stipulated by the terms of the arrangement (regulations). In accordance with the terms and conditions (regulations) of a particular game, the winnings can be presented in cash, in the form of goods or in another form, and it is issued on the ticket won in the game. It is forbidden to load the prize fund with any other obligations, except for the obligations with the participants of the draw. The prize fund cannot be used in whole or in part for financial, commercial, production or other turnover. The restrictions specified in this paragraph do not apply to the benefits obtained by placing the prize fund in a banking institution;

k) drawing of the prize fund - a procedure during which the fact of coincidence of winnings on a lottery and/or winning game ticket is confirmed; The owner of the item has the right to receive the item or its corresponding amount, if this is established by the terms of the arrangement (regulations);m) provision of the prize fund – a financial mechanism by which, in the event of a win, the interests of the bookmaker's players are secured and the existence of which is confirmed by a bank guarantee or a financial risk insurance policy;

n) Lottery volume – the number of tickets intended for a specific draw multiplied by the retail value of the tickets;

n) Profitable games are:

OA) Lotto – a group game, the participant of which chooses combinations of numbers or symbols, and in which the profit depends on the total or partial coincidence of the combinations of numbers or symbols, and the profit is determined from the amount of the prize pool. Lotto is held in a specially equipped building and the maximum number of its participants is determined by the number of playing places in the building;

OB) Bingo - a group game in which the winnings are fixed by means of numerical cards or an electronic scoreboard by matching the numerical combinations from a special device, and the winnings are determined from the amount of the prize pool. Bingo is held in a specially equipped building and the maximum number of its participants is determined by the number of playing places in the building;

OG) Bookmaker – a game that is played by players by placing bets on the prediction of the course of the competition, the game, the outcome of any event (events), and the profit depends on the amount of the bet and the result. It is prohibited to set up a bookmaker in cases where the result may be known in advance to one or both parties. The totalizer is held in a specially designed building or part of a building;

OD) Incentive drawing - a game during which the organizer draws the prize fund in accordance with the publicly published, established rules and conditions. The coincidence of winnings on any ticket does not depend on the will and action of the organizer or any other entity, is random and cannot be specially arranged. Incentive raffle is held in order to quickly and effectively sell specific types of products (services), as well as in cases determined by the Government of Georgia. Incentive raffle tickets are issued free of charge. The permission to organize an incentive raffle is issued to the manufacturer of specific types of products (services) or his representative, except for the cases established by the Government of Georgia. It is not allowed to impose a fee in any form for participation in an incentive raffle;

p) Gaming organizer - holder of a permit to organize gambling and/or profitable games;

p) Samorin's safe - a specially arranged, windowless room with one entrance door and where the Samorin's reserve money is kept (on each Samorin's table - in the amount of at least 10,000 GEL), the Samorin's game equipment, which is not stationary installed (balls for roulette, playing tokens, stacks of cards, carabiners for dealing cards, dice and other);

r) Lottery organizer - the winner of the tender organized by the Ministry of Finance of Georgia in accordance with this law - the person holding the exclusive right to organize and conduct the lottery, who carries out the activity in accordance with the conditions stipulated by the same law and the agreement;

s) Incentive drawing stage – the process that starts with the production and sale of tickets and ends with the drawing of the prize fund;t) Agent – a person who provides sales services to the lottery organizer and delivers lottery tickets to a retailer or other agent for their further sale. The agent has the right to perform the function of a retail seller himself;

u) Retailer – a person who provides sales services to lottery organizers or agents for the purpose of selling lottery tickets to players;

f) sales services - services that include sale of lottery tickets by the agent (retailer) of the lottery organizer (including using the lottery terminal), awarding of winnings to players according to the rules established by the lottery organizer, providing them with promotional goods of the lottery organizer free of charge, etc.

k) Gambling and/or profitable gaming cash desk, located outside the facility organized on the basis of a permit for the organization of gambling and/or profitable games, arranged in a system-electronic form - a specially arranged place (except for a commercial bank, microfinance organization, payment service provider), where money is deposited into the deposit opened for the player and/or withdrawn from this deposit through the cashier;

g) Permit seeker - a person defined by subsection "h" of Article 3 of the Law of Georgia "On Licenses and Permits", who intends to carry out any activity in the field of gambling and/or profitable games, including the provision of gambling and/or profitable games;

k) Permit holder - a person defined by Article 3, subparagraph "ჟ" of the Law of Georgia "On Licenses and Permits", who carries out any activity in the field of gambling and/or profitable games, including the provision of gambling and/or profitable games;

k) selected person - a person selected for the purpose of implementation and operation of the electronic gaming business control system by the Revenue Service (hereinafter referred to as the Revenue Service), a legal entity under public law within the sphere of governance of the Ministry of Finance of Georgia;

c) POS terminal - a special electronic device that meets the requirements established by the Minister of Finance of Georgia and ensures that each ticket of the totalizer (except for games organized in a system-electronic form) is reflected in the electronic control system;

c) Supply of gambling and/or profitable games - supply of gambling and/or profitable games and/or essential products/services to the gaming organizer based on the permit for the supply of gambling and/or profitable

games issued in accordance with the Law of Georgia "On Licenses and Permits";

g) supplier of gambling and/or profitable games - a person who supplies gambling and/or profitable games and/or essential products/services to the organizer of the game based on the permit for the supply of gambling and/or profitable games issued in accordance with the Law of Georgia "On Licenses and Permits";g) essential products/services - such products and/or services that include gambling and/or profitable games (including games arranged in a system-electronic form), random number generation platform (RNG), jackpot platform, gaming platform (including server/servers on which the result of the game is revealed directly), player base, financial base/system, management system, gaming machines and/or other products and/or services provided for by this law, which are related to the full performance of the activity by the holder of the permit to arrange gambling and/or profitable games;

g) Jackpot platform - the highest category of the draw, the method of determining and distributing its initial and increasing amounts;

k) random number generation platform (RNG) - random number generation program;

j) electronic control system - a system implemented through a selected person on the basis of the Georgian legislation regulating gambling and/or profitable games, the purpose of which is to control the fulfillment of the permit conditions and the requirements established by the Georgian legislation by the permit holder;

h) Management system - the internal management and/or control system of the gaming organizer and gambling and/or winning games provider;

H1) gaming business - a lottery, gambling and/or profitable game organized by a person in accordance with the legislation of Georgia, the outcome of which is completely and/or partially dependent on chance and in which the player participates in order to obtain monetary profit and/or material profit, and the provision of gambling and/or profitable games;

H 2) Beneficial owner - natural person defined by Article 13 of the Law of Georgia "On Promotion of Preventing Money Laundering and Financing of Terrorism";

H3) Authorization certificate - a certificate issued by a selected person, which confirms the compliance of gambling and/or profitable games, as well as some essential products/services with the standards/requirements introduced/established by the Minister of Finance of Georgia.

#### Article 4

Lottery, gambling and winning games do not include games that are conducted using machines, devices, devices and other means and in which the element of chance is not considered. Their purpose is to test or demonstrate the special knowledge, intelligence, skill, dexterity or other special ability of the participants.

#### Article 5

1. Conducting all kinds of gambling and/or profitable games on the territory of Georgia, as well as providing gambling and/or profitable games on the territory of Georgia requires a permit in accordance with the Law of Georgia "On Licenses and Permits". Conducting gambling and/or winning games without permission, providing gambling and/or winning games, as well as non-fulfillment of permit conditions is considered a



violation of the law and leads to the imposition of responsibility defined by the legislation of Georgia, except for the case provided for in paragraph 3 of this article.

2. In Georgia, it is allowed only to organize lotteries, gambling and winning games and distribute their tickets provided by this law.<sup>21</sup> Issuing permission to organize an incentive raffle in order to quickly and efficiently sell tobacco products, tobacco accessories and/or devices intended for tobacco consumption is prohibited. It is also prohibited to use tobacco products, tobacco accessories and/or devices intended for tobacco use as prizes in incentive raffles and lotteries and/or distribution through lotteries, gambling and winning games.

3. The Government of Georgia is authorized to grant the authority to conduct incentive raffle to the Revenue Service. In this case, the government of Georgia establishes the rules and conditions of the incentive draw and determines the prize fund.

4. It is prohibited to provide services related to the mentioned activity for a person carrying out activities in the field of gaming business outside the territory of Georgia, except for the cases established by the Minister of Finance of Georgia.

#### Article 6

1. In Georgia, the lottery is organized and conducted by the winner of the tender held by the Ministry of Finance of Georgia. The winner of the tender is the person who meets the conditions of the tender and offers the highest amount to be paid to the state budget for obtaining the exclusive right to organize and conduct the lottery in Georgia, but not less than the amount determined by the Government of Georgia, which is determined taking into account the research conducted by a third party. The manner of payment of the mentioned amount to the state budget is determined by the resolution of the Government of Georgia.

2. The Government of Georgia approves the rules and conditions of the tender provided for in the first paragraph of this article.

3. It is obligatory for the tender documentation of the tender stipulated in this article to include bank guarantees for ensuring the performance of the tender proposal and the contract, the amounts and terms of use of which are determined by the resolution of the Government of Georgia. Amounts of bank guarantees are determined taking into account the research conducted by a third party.

4. The organizer of the lottery pays quarterly to the state budget a percentage of the total value of the tickets sold during the lottery, the amount of which and the manner of payment are determined by the resolution of the Government of Georgia. The percentage of the total value of tickets sold during the lottery provided for in this paragraph is determined by taking into account the research conducted by a third party.

5. The lottery organizer is granted the exclusive right to organize and conduct the lottery in Georgia for a period of 10 years. Based on the proposal of the Ministry of Finance of Georgia, by the decision of the Government of Georgia, it is possible to extend the term until the contract is signed with the winner of the new tender.

#### Article 7

1. Issuing and revoking the permission to organize gambling and/or profitable games and the permission to supply gambling and/or profitable games, making changes to them and keeping them in the departmental permit register "On Licenses and Permits" is carried out by the Revenue Service in accordance with the law of Georgia and this law.

2. The Revenue Service is authorized to verify the veracity of the documents submitted by the permit seeker to obtain a permit and their compliance with the requirements of Article 35 of this law, and in the case of the Samorin arrangement, their compliance with the requirements of Article 24 of the same law.3. The Revenue Service is authorized to control the fulfillment of permit conditions. For this purpose, at any time during the calendar year and without quantitative restrictions, the status of compliance with the requirements established by this law and other normative acts can be checked by the permit holder. The procedure for the mentioned inspection is established by the joint order of the Minister of Finance of Georgia and the Minister of Internal Affairs of Georgia.

31. In order to control the fulfillment of the permit conditions, the Revenue Service is authorized, through a selected person, to introduce an electronic control system in accordance with the legislation of Georgia and to control the fulfillment of the permit conditions both within the scope of inspection and in the ongoing mode, including, in the presence of the fact of violation of the permit conditions, to conduct an inspection of the fulfillment of the permit conditions for the period of the valid permit issued in accordance with the legislation of Georgia.

4. The revenue service or the Ministry of Internal Affairs of Georgia will fine the permit holder for violating the permit conditions stipulated by this law. The tax authority administers the payment of the fines imposed for the violation of permit conditions stipulated by this law and the fines stipulated by Article 372 of the same law according to the rules established by the Tax Code of Georgia.

5. The permit holder is obliged to pay the fine imposed for the violation of the permit conditions within 30 calendar days after the individual administrative-legal act on the imposition of the fine is handed over to him.

Article 8. (removed)

Article 9

1. The amount of the instant lottery prize fund must be at least 45 percent of the lottery volume.

2. The amount of the prize fund of the circulation lottery must be at least 45 percent of the total value of the tickets sold in each circulation. The lottery organizer is authorized to reserve no more than 20 percent of the prize fund, which will be drawn in the next draws.

3. The amount of the prize pool of the incentive draw is not limited. It is determined by the organizer. The amount of the prize fund is fixed in the conditions (regulations) of the incentive draw.

4. The amount of the lotto, bingo prize fund should be at least 45 percent of the total value of the tickets sold in the given draw.

5. As a result of drawing the lottery, the material profit must meet only one ticket.

Article 10. (removed)

## Article 11

1. Issuing of permission is subject to:

- a) arranging an incentive draw;
- b) arrangement of the Samorine;
- c) setting up a totalizer;
- d) arrangement of gaming machines cabin;
- e) arrangement of lotto;
- f) organizing bingo;
- g) arranging a gambling club;
- h) Providing gambling and/or winning games.

11. The permit provided for in the first paragraph of this article is issued only to an entrepreneurial entity registered in Georgia.

2. Lotteries and games established by subsections "a"- "d" of the first paragraph of this article can be held in a system-electronic form - using the Internet, telephone and specially arranged electronic means, only in compliance with the requirements established by this law.<sup>21</sup> Only the organizer of gambling with the permission of Samorin and/or the permission of setting up the gaming machine salon has the right to arrange gambling in a system-electronic form. A separate permit is not issued for the organization of gambling in a system-electronic form. In addition, it is allowed to organize a website under the name of only one Internet domain with one permit for the establishment of a casino and/or one permit for the establishment of a gaming machine salon.

22. Only the holder of the permit to set up the totalizer with this permission has the right to arrange the totalizer in a system-electronic form. A separate permit is not issued for setting up the totalizer in a system-electronic form. In addition, with one permission to set up a totalizer, it is allowed to organize only one website under the name of an Internet domain.

23. The permission to set up a gambling club is issued only to the person who holds the permission to set up a casino and/or gambling machine salon in Tbilisi City Municipality. The gambling club should be organized as a separate facility, independent of the casino hall and/or the gaming machine salon.

24. It is prohibited to arrange gambling and/or profitable games in a system-electronic form/game in the facility of providing services on the Internet.

25. It is prohibited to place a computer and/or other similar electronic device for participation in system-electronic gambling in an object intended for gambling and/or profitable gaming.

26. When the operation of a physically arranged object organized on the basis of a permit is stopped, gambling and/or profitable games can be held in system-electronic form during the current quarter, but

not more than 60 calendar days. In each subsequent quarter, it is possible to arrange/organize gambling and/or profitable games in a system-electronic form only in the case of renewal of the functioning of the physically arranged object for at least 30 days, organized on the basis of a permit.

3. A permit to organize an incentive raffle is issued for a period of 1 year, a permit to arrange a casino, bookmaker, gaming machine parlor, lotto or bingo, and a permit to provide gambling and/or winning games - for a period of 5 years, and a permit to organize a gambling club - for the remaining period of validity of the permit for the establishment of a casino or a permit for the establishment of a gambling machine parlor, on the basis of which A permission to set up a gambling club has been issued.

4. Zamorin, bookmaker, slot machine parlor, lotto, bingo and gambling club arrangement permits are issued for the operation of each facility. In addition, gambling and winning games should be carried out separately from each other.

5. It is not allowed to change the address of a casino, gaming machine salon, gambling club and/or totalizer by making changes in the departmental permit register, if a different fee rate is established for the new address by the Law of Georgia "On License and Permit Fees". In this case, in accordance with the legislation of Georgia, new permits must be issued for the establishment of a casino, gaming machine salon, gambling club and/or totalizer.

6. It is possible to change the location of lotto and bingo facilities by making changes to the departmental permit register. 7. The permission to organize gambling and/or winning games (except for the permission to organize incentive raffles) and the permission to supply gambling and/or winning games will not be issued in case of recognized tax debt.

8. It is prohibited to transfer the permits provided for in this article to another person.

9. It is prohibited to issue a permit to organize a samorini, bookmaker, gaming machine salon, lotto, bingo or gambling club and to provide gambling and/or winning games to a person whose management and representative, founder/partner (if any), beneficial owner is convicted or convicted of an intended economic crime, including, For a crime in the field of financial activity, or for an intended serious or particularly serious crime, and he has not had his conviction removed or overturned.

10. It is prohibited for a person with authority of direction and representation, founder/partner (if any), beneficial owner to be convicted or sentenced for an intended economic crime, including financial activity for a crime in the field, or for an intended serious or especially serious crime, and the conviction has not been removed or overturned.

11. It is not allowed to have the possibility of material gain while participating in gambling.

Chapter I1. (removed)

Article 111. (removed)

Chapter II. Conditions for arranging profitable games and issuing permits

Article 12

1. In order to obtain a permit to organize a profitable game, the permit seeker, in addition to the documents provided for in Article 25 of the Law of Georgia "On Licenses and Permits", must submit the following documents to the Revenue Service:

a) Agreement between the permit seeker and the person who prepares the tickets for the winning game (except for the game arranged in a system-electronic form). The number and numbering of the tickets to be produced must be specified in this contract;

b) Terms and conditions (regulations) for the arrangement of profitable games, which should include:

b.a) the term and place of holding the winning game;

bb) place, date and deadline for giving out winnings. The general deadline for issuing the winnings of a profitable game is 30 calendar days after the draw. The winnings must be issued no later than 6 days after the submission of the winning ticket;

b.c) The procedure and deadline for consideration of the claim. The term of consideration of the claim should not exceed 30 calendar days from the origin of the claim;

b.d) number and numbering of winning tickets;

b.d1) in case of setting up a totalizer - the number of POS terminals to be used. must indicate the credentials of the authorization certificate;

b.d2) if the permit seeker uses the game/games and/or essential products/services provided by another person when arranging a profitable game - the number of the valid gambling and/or profitable games supply permit issued to this person;

B.e) General rule of the game (in case of organizing an incentive raffle, the general rule of the game (reason and purpose of the game) submitted by the applicant for the permission to organize an incentive raffle must comply with the criteria established by the Minister of Finance of Georgia);b.f) in case of organizing a bookmaker, lotto or bingo - a list of winning games and a detailed description;

b.z) in case of organizing an incentive raffle - prize fund, date and address of prize fund raffle, list and number of prizes, unit value and order of raffle;

c) a sample ticket for a winning game (except for games arranged in a system-electronic form) with indications of anti-forgery signs. The specimen ticket must be signed by the permit seeker;

c1) in the case of issuing a permission to organize an incentive raffle to a representative of a product manufacturer or service provider - a document confirming the authority of the representative given by the product manufacturer or service provider to the permit seeker;

d) in case of setting up a totalizer:

d.a) a document confirming the provision of the prize fund in the amount of at least 10,000 GEL;

d.b) authorization certificate confirming the compliance of the POS terminal with the standards/requirements introduced/established by the Minister of Finance of Georgia;

e) (removed - 24.04.2012, No. 6052);

f) in case of setting up the totalizer in a system-electronic form - the rule of system-electronic playing, which must specify:

v.a) the actual address from which the winning games will be managed and organized;

v. b) list and descriptions of games;

v.c) place/places and time limit for giving profit (if profit is given on the basis of clauses 2 and 3 of Article 28 of this law - address/addresses of the real estate intended for arranging the cash register), rule and term for giving profit, rule and term for consideration of claims;

v.d) in case of arranging on the Internet - website address, rules of player registration; deposit/balance management rules; The name of the organizer, legal address, phone number, permit number, list of games, detailed rules of the game, information about the prohibition of participation in games for persons under 18 years of age should be indicated on the website in Georgian;

v. e) in case of arrangement by phone - phone number registered in Georgia;

f.f) if the permit seeker uses the game/games and/or essential products/services provided by another person when arranging the game - the number of the valid gambling and/or winning game supply permit issued to this person;

f.g) form and procedure of player registration/identification/verification;

v.t) the manner and technological description of the player's personal data storage;

v.i) list of internet platform/system protection mechanisms;

VK) description of the game management system;

v.l) detailed description of accounting and storage of financial transactions;

g) authorization certificate confirming compliance of essential products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;

h) In the case provided for in subsection "b.d2" or "v.v" of this clause - a copy of the contract signed with the provider of gambling and/or winning games. In case of making a change in the said contract, the permit seeker/permit holder is obliged to notify the Revenue Service about the said change and submit a copy of the change document no later than 2 days after the change is made;

i) technical documentation of the game management system;j) Notice of conviction of the person authorized to manage and represent the applicant, founder/partner (if any), beneficial owner of the permit (except for the permit to arrange an incentive draw). The notice of said conviction must be issued by the relevant authorized body of the country whose citizen is the person authorized to direct and represent the applicant for the permit (except for the permit to organize an incentive raffle), the founder/partner (if any), the beneficial owner;

k) a document confirming the origin of the funds required for the payment of the permit fee. The responsibility for the accuracy of this document rests with the permit seeker;

m) any other documents/information that the Revenue Service requires when reviewing the permit seeker's application and making the appropriate decision.

11. With the permission to organize a profitable game, it is prohibited to hold a game that is not provided for by the conditions (regulations) of the organization of a profitable game, and in the case of arranging the totalizer in a system-electronic form - according to the rules of system-electronic game.

2. The following requisites must be prominently mentioned on the winning game ticket sample:

a) name and surname, address, phone number of the permit seeker;

b) ticket price (except for bookmaker and incentive draws);

c) ticket number;

d) location of the permit number to be issued;

e) the term and place of holding the winning game;

f) in case of organizing an incentive draw - the date and time of the draw of the prize fund;

g) general rule of play;

h) The time limit and place for giving out winnings from profitable games.

3. If it is technologically impossible to reflect the requisites given on the winning game ticket, then the winning game organizer is obliged to ensure their publicity and unimpeded delivery of the conditions (regulations) of the winning game to the players.

4. The official Incentive Draw winnings table must be published no later than 3 calendar days after the draw.

### Article 13

1. In case of changing the location of the bookmaker, lotto and bingo facilities, the organizer of profitable games must submit the following documents to the Revenue Service:

a) (removed - 09.12.2011, No. 5448);

b) (removed - 09.12.2011, No. 5448);

c) Agreement between the owner of the permit and the person who prepares the tickets for the winning game (except for the game arranged in a system-electronic form). The number and numbering of the tickets to be produced must be specified in this contract;

d) the conditions for organizing a profitable game (regulations), and in the case of games organized in a system-electronic form - rules for games organized in a system-electronic form;

e) a sample of a ticket for a winning game (except for a game arranged in a system-electronic form);



f) Authorization certificate confirming compliance of essential products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia.

11. The holder of the permit to set up a totalizer, in case of setting up a totalizer in a system-electronic form, submits to the Revenue Service for approval the rules of play provided for by subparagraph "f" of the first paragraph of Article 12 of this law. 12. The owner of the permit to set up a totalizer, in the case of setting up a cash register provided for in clauses 2 and 3 of Article 28 of this law, shall submit to the Revenue Service information about the address (addresses) of the real estate intended for setting up the cash register, before making changes to the conditions (regulations) of the arrangement of profitable games.

12. In the case of a change in the number of POS terminals and/or essential products/services to be used, the holder of the totalizer arrangement permit shall inform the Revenue Service about the said change no later than 2 days before the implementation of this change and submit an authorization certificate (in case of replacement and/or addition of POS terminals and/or essential products/services).

2. The organizer of a profitable game (except the organizer of an incentive raffle) is obliged to apply to the Revenue Service for the consent of the Revenue Service in case of making changes in the general rules of the game, in the list and detailed description of the games or in the list and descriptions of the games provided for in Article 12, Paragraph 1, Sub-Clause "B.E", "B.V" or "V.B", and In case of implementation of another change - to provide information about the said change to the Revenue Service no later than 1 day before the implementation of this change. In addition, the organizer of a profitable game (except for an incentive raffle) must post a notice on making changes to the list and descriptions of the games provided for in subsection "V.B" of the same paragraph within 2 days of its submission on the website dedicated to the game (in the case of organizing the game over the Internet).

21. (Removed - 25.06.2020, No. 6487);

3. Before the end of one stage of the incentive raffle, it is not allowed to change the conditions (regulations) of the incentive raffle (except for the number and numbering of tickets). The organizer of the incentive raffle is obliged to provide information about the implementation of the said change to the Revenue Service no later than 1 day before the implementation of this change.

4. It is not allowed to hold two or more stages at the same time with the permission to organize an incentive draw.

5. The organizer of the incentive raffle is obliged to submit the following documents to the Revenue Service for approval for the organization of each new stage of the raffle:

a) terms and conditions for organizing an incentive raffle (regulations);

b) a sample ticket for an incentive draw (except for a system-electronic draw);

c) Agreement between the organizer of the incentive draw and the person who prepares the tickets for the incentive draw (except for games arranged in a system-electronic form). This agreement must specify the number and numbering of the tickets to be produced.

Article 14. (removed)

*Georgia Law No. 2332 of December 15, 2009 - SSM I, No. 47, 28.12.2009, Art. 358*

Article 15

The organizer of the lottery and winning games conducts the draw even if the tickets are not fully sold.

Article 16

1. The organizer of the incentive raffle is obliged to ensure the publicity of the conditions (regulations) of the incentive raffle and their unhindered delivery to the players, as well as the creation of a commission that ensures the drawing of the prize fund in compliance with the conditions (regulations) of the incentive raffle.2. The organizer of the incentive raffle is obliged to submit information on the progress and results of the raffle to the Revenue Service within 2 days.

Article 161

1. The Government of Georgia is authorized to establish additional conditions for the organization of profitable games and the issuance of a permit, the fulfillment of which is mandatory for the permit seeker/permit holder, and failure to comply with them is considered a violation of the permit conditions.
2. The Minister of Finance of Georgia is authorized to establish/implement the requirements/standards that must be met by the essential products/services and/or any other equipment to be used/used by the permit holder/permit seeker to organize profitable games. 02.07.2020\_

Article 17. (removed)

Article 18 (removed)

Article 19

1. In order to obtain a permit to arrange a samorine, a permit seeker, in addition to the documents provided for in Article 25 of the Law of Georgia "On Licenses and Permits", must submit the following documents to the Revenue Service:

- a) (removed - 09.12.2011, No. 5448);
- b) Conditions of Samorin arrangement (regulations). These conditions (regulations) must specify:
  - b.a) list of Samorin tables and/or club tables/club tables (name of each table, serial number, year of manufacture, country of manufacture and manufacturer must be indicated);
  - bb) minimum and maximum bets on each Samorin table;
  - b.c) in case of existence of club table/club tables - amount of service commission for each club table;
  - b.d) a complete list of current games in Samorin and detailed rules;
  - b.e) Samorin's working hours and rules; Rules of behavior in Samorin;

b.f) the term and place of profit distribution;

b.g) The procedure and deadline for consideration of the claim. The term of consideration of the claim should not exceed 30 calendar days from the origin of the claim;

b.t) if the permit seeker uses essential products/services provided by another person when arranging the game - the number of the valid gambling and/or winning game supply permit issued to this person;

c) Samples of playing tokens. These samples must clearly show the denomination (if any), ornament and color;

C.1) Notice of conviction of the person authorized to manage and represent the applicant, the founder/partner (if any), the beneficial owner of the permit (except for the permit to organize an incentive draw). The notice of said conviction must be issued by the relevant authorized body of the country whose citizen is the person authorized to direct and represent the applicant for the permit (except for the permit to organize an incentive raffle), the founder/partner (if any), the beneficial owner;

c2) a document confirming the origin of the funds required to pay the permit fee (if any). The responsibility for the accuracy of this document rests with the permit seeker;

d) in case of arranging gambling in a system-electronic form:

d.a) The rules of playing arranged in a system-electronic form. This rule must specify:

d.a.a) the actual address from which the game will be managed and organized;

d.a.b) list and description of games;d.a.g) the procedure, place/places, and time limit for issuing profit (if the profit is issued on the basis of clauses 2 and 3 of Article 28 of this law - the address/addresses of the real estate intended for the arrangement of the cash register), the procedure and deadline for considering the claim;

D.A.d) in case of arranging the game online - website address intended for the game, player registration rules, deposit/balance management rules. The name of the game organizer, legal address, phone number, relevant permit number, list of games, detailed rules of games, information about the prohibition of participation of persons under the age of 18 in games must be indicated on the mentioned website in Georgian;

D.A.e) in case of arranging the game by phone - phone number registered in Georgia;

d.a.f) if the permit seeker uses the gambling and/or profitable game/games and/or essential products/services provided by another person when arranging the game - the number of the valid gambling and/or profitable games supply permit issued to this person;

d.a.z) form and procedure of player registration/identification/verification;

D.A.T) the manner and technological description of player's personal data storage;

d.a.i) list of internet platform/system protection mechanisms;

D.A.K) description of the game management system;

d.a.l) detailed description of accounting and storage of financial transactions;

d.am) any other information required by the Revenue Service;

d.b) authorization certificate confirming compliance with the technical standards of the system-electronic game/games specified in the system-electronic game rules;

d.c) authorization certificate confirming compliance of essential products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;

dd) technical documentation of the game management system;

e) In the case provided for in subsection "B.T" or "D.A.V" of this clause - a copy of the contract signed with the supplier of gambling and/or profitable game/games and/or essential products/services. In case of making a change in the said contract, the permit seeker/permit holder is obliged to notify the Revenue Service about the said change and submit a copy of the change document no later than 2 days after the change is made;

f) authorization certificate confirming compliance of essential products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;

g) Any other document/information that the Revenue Service requires when considering the permit seeker's application and making the appropriate decision.

11. It is prohibited to issue a permit to organize Samorin to a person whose management and representative, founder/partner (if any), beneficial owner is convicted or sentenced for an intended economic crime, including a crime in the field of financial activity, or an intended serious or particularly serious crime, and the conviction has not been removed or overturned.12. It is prohibited for a person authorized to direct and represent the owner of the Samorin arrangement permit, founder/partner (if any), beneficial owner to be convicted or sentenced for an intended economic crime, including a crime in the field of financial activity, or for an intended serious or particularly serious crime, and the conviction has not been removed or overturned.

2. In Samorine, it is forbidden to hold games that are not provided for by the terms and conditions (regulations) of the Samorine organization, and in the case of arranging gambling games in a system-electronic form - according to the rule of system-electronic gaming.

3. The owner of the permit for the establishment of a casino, the owner of the permit for the establishment of a gambling club is obliged to carry out his activities in accordance with the rules established by the normative act of the Minister of Finance of Georgia, through the accounting forms developed by him.

*Georgia Law No. 2332 of December 15, 2009 - SSM I, No. 47, 28.12.2009, Art. 358*

*Law of Georgia of December 9, 2011 No. 5448 - website, 22.12.2011*

*Georgia Law No. 6052 of April 24, 2012 - website, 04/27/2012*

*Law of Georgia of July 22, 2015 No. 4083 – website, 31.07.2015*

Article 191

1. In order to obtain a permit to set up a gambling club, the permit seeker, in addition to the documents provided for in Article 25 of the Law of Georgia "On Licenses and Permits", must submit the following documents to the Revenue Service:

a) Conditions of gambling club arrangement (regulations). These conditions (regulations) must specify: the list of club tables in the gambling club (the name of each table, serial number, year of manufacture and country of manufacture must be specified); the amount of service interest/commission at the club table; rules of operation of the gambling club; Rules of behavior in gambling club; Rules of games in the gambling club; Specimens of playing tokens (if available). If the permit seeker uses essential products/services provided by another person when arranging the game - the number of the valid gambling and/or winning game supply permit issued to that person;

b) authorization certificate confirming the conformity of essential products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;

c) A copy of the contract signed with the supplier of gambling and/or winning games. In case of making a change in the said contract, the permit seeker/permit holder is obliged to notify the Revenue Service about the said change and submit a copy of the change document no later than 2 days after the change is made.

2. It is forbidden to hold games in the gambling club that are not provided for by the terms and conditions (regulations) of the gambling club.

*Georgia Law No. 6052 of April 24, 2012 - website, 04/27/2012*

*Law of Georgia of June 25, 2020 No. 6487 - website, 07.02.2020*

Article 20

1. In order to obtain a permit to set up a gaming machine salon, a permit seeker, in addition to the documents provided for in Article 25 of the Law of Georgia "On Licenses and Permits", must submit the following documents to the Revenue Service:

a) Terms and conditions for the arrangement of the gaming machine cabin (regulations). These conditions (regulations) must specify: A.a) term and place of gambling;

A.b) list of gaming machines (the name, modification, serial number, year of manufacture, country of manufacture and manufacturer of each gaming machine must be indicated);

A.C) minimum and maximum bets and maximum amount of profit to be placed on each gaming machine;

A.d) list and detailed rules of the games taking place in the gaming machine salon;

A.e) The manner and term of consideration of the claim. The term of consideration of the claim should not exceed 30 calendar days from the origin of the claim;

a.f) if the permit seeker uses the gambling and/or profitable game/games and/or essential products/services provided by another person when arranging the game - the number of the valid gambling and/or profitable games supply permit issued to this person;

A 1) authorization certificate confirming compliance of essential products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;

A2) in accordance with the conditions (regulations) for the arrangement of the gaming machine cabin, the authorization certificate of the content of the specific game in each gaming machine;

b) in the case of arranging gambling in a system-electronic form:

B.a) The rules of playing arranged in a system-electronic form. This rule must specify:

b.a.a) the actual address from which the game will be managed and organized;

B.A.B) list and description of games;

b.a.g) the manner, place/places, and time limit of profit distribution (if profit is distributed on the basis of clauses 2 and 3 of Article 28 of this law - address/addresses of the real estate intended for arranging the cash register); the manner and term of consideration of the claim;

B.A.d) in case of organizing the game online - the address of the website intended for the game, the rules of player registration, the rules of deposit/balance management; Phone number registered in Georgia. The name of the game organizer, legal address, phone number, relevant permit number, list of games, detailed rules of games, information about the prohibition of participation of persons under the age of 18 in games must be indicated on the mentioned website in Georgian;

UAE) in case of arranging the game by phone - phone number registered in Georgia;

b.f) if the permit seeker uses gambling and/or profitable game/games and/or essential products/services provided by another person when arranging the game - the number of the valid gambling and/or profitable games supply permit issued to this person;

b.a.z) form and procedure of player registration/identification/verification;

B.A.T) the manner and technological description of player's personal data storage;

BAI) list of internet platform/system protection mechanisms;

B.A.K) description of the game management system;

b.a.l) detailed description of accounting and storage of financial transactions;

BAM) any other information required by the Revenue Service;

bb) authorization certificate confirming compliance of essential products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;

BG) technical documentation of the game management system;c) Notice of conviction of the person authorized to lead and represent the permit seeker, the founder/partner (if any), the beneficial owner. The notice of said conviction must be issued by the relevant authorized body of the country whose citizen is the person authorized to manage and represent the permit seeker, founder/partner (if any), beneficial owner;

d) a document confirming the origin of the funds required to pay the permit fee. The responsibility for the accuracy of this document rests with the permit seeker;

e) In the case provided for in subsection "A.V" or "B.A.V" of this clause - a copy of the contract signed with the supplier of the game/games and/or essential products/services. In case of making a change in the said agreement, the permit seeker/permit holder is obliged to immediately inform the Revenue Service about this change and submit a copy of the change document;

f) Any other document/information that the Revenue Service requires when considering the application for the issuance of the permit of the permit seeker and making the appropriate decision.

2. It is prohibited to hold games in the gaming machine salon that are not provided for by the terms and conditions (regulations) of the gaming machine salon, and in the case of arranging gambling games in a system-electronic form - according to the rules of system-electronic gaming.

#### Article 201

1. In order to obtain the approval of the revenue service, the holder of the Samorin arrangement permit shall submit to it the rules and documents/information of the system-electronic gambling arranged in the first paragraph "d" of Article 19 of this law.

2. In the event of holding a gambling tournament, the holder of the Samorine's permit shall, 2 working days prior to the organization of the gambling tournament, submit to the Revenue Service the conditions for the organization and holding of the gambling tournament, in which it also indicates the start and end dates of the gambling tournament, and the number of club tables.

21. In the case of holding a gambling tournament, the holder of the gambling club's permit shall provide the Revenue Service with information on the conditions for organizing and holding the gambling tournament no later than 2 working days before the gambling tournament, including the location of the gambling tournament, the start and end dates of the gambling tournament, the number of club tables, the amount of the fee for participation in the gambling tournament and/or the service fee. (if any) amount.

3. In order to obtain the approval of the Revenue Service, the holder of the permission to set up a gaming machine salon, in the case of arranging gambling in a system-electronic form, shall submit to it the rules and documents/information for gambling arranged in a system-electronic form provided for in subsection "b" of the first paragraph of Article 20 of this law.

4. The holder of the permit for the arrangement of gambling machines and/or the arrangement of the salon of gaming machines, in the case of the arrangement of the cash register provided for in paragraphs 2 and 3 of Article 28 of this law, 2 working days before making changes to the conditions (regulations) of the arrangement of the salon of gambling machines/gaming machines, shall submit to the Revenue Service information about the address (addresses) of the real estate intended for the arrangement of the cash



register.5. In the case of a change in the essential products/services to be used by him/her, the holder of the permit for the arrangement of gambling machines and/or the holder of the permit for the arrangement of the gaming machine salon is obliged to inform the Revenue Service about the said change no later than 2 days before the implementation of this change and submit the authorization certificate (replacement and/or addition of the essential products/services) case).

6. In the event of a change in the essential products/services used by him/her, the holder of the permit for the arrangement of the gaming machine must inform the Revenue Service about the said change no later than 2 days before the implementation of this change and submit an authorization certificate (in case of replacement and/or addition of essential products/services), and in the case of a change in the gaming machines, a certificate of authorization of the content of the specific game in each gaming machine.

#### Article 21

1. In case of changing the location of the gambling hall, gaming machine salon or gambling club, the gambling organizer must submit the relevant gaming conditions (regulations) to the Revenue Service.

2. The gambling organizer is obliged (including in the case of system-electronic gambling) to apply to the Revenue Service for the approval of the revenue service in case of changes in the rules of the game, in the list and description of the games in Samorin, in the gaming machine salon or in the gambling club, before making the relevant change, and in the case of making another change - no later than 1 day before the change is made to the revenue service. to provide the service with information about the mentioned change. In addition, in the case of games organized in a system-electronic form, the organizer of the gambling game must post a notice of the change on the website dedicated to the game within 2 days of its implementation (if the game is organized over the Internet).

3. (Retrieved - 25.06.2020, No. 6487).

#### Article 22. (removed)

#### Article 23

On gaming machines, at least 80 percent of the bet must be taken into account.

#### Article 24

1. At least seven Samorine tables should be installed and functioning in Samorine, one of them - for playing on a gaming wheel (roulette).

2. Samorine should consist of a customer service area and an office storage area. There should be a separate entrance for each zone.

3. The cash desk for cash settlement with customers must be equipped with an armored window, an alarm signal connecting to the relevant security service and must meet the requirements established by the legislation of Georgia.

4. A safe should be included in the office storage area.

#### Article 241

1. In order to obtain a permit for the provision of gambling and/or winning games, the applicant for a permit, in addition to the documents provided for in Article 25 of the Law of Georgia "On Licenses and Permits", must submit the following documents to the Revenue Service:

- a) list and detailed description of games and/or essential products/services to be delivered;
- b) authorization certificate confirming the conformity of essential products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;c) Notice of conviction of the person authorized to lead and represent the permit seeker, the founder/partner (if any), the beneficial owner. The notice of said conviction must be issued by the relevant authorized body of the country whose citizen is the person authorized to manage and represent the permit seeker, founder/partner (if any), beneficial owner;
- d) a document confirming the origin of the funds required to pay the permit fee. The responsibility for the accuracy of this document rests with the permit seeker;
- e) Any other documents/information that the Revenue Service requires when reviewing the permit seeker's application and making the appropriate decision.

2. If the game and/or the essential products/services provided by the permit holder are substantially changed (including the manner in which the jackpot is awarded, any kind of change to the existing games or the addition of new games), it is obliged to notify the relevant change and submit an authorization certificate for the approval of the Revenue Service. In case of non-acceptance of said consent, the license holder is prohibited from providing substantially modified game and/or essential products/services. A material change as defined in this clause includes a variety of changes, including changes that may affect:

- a) on the bet placed by the player;
- b) on the amount of profit;
- c) game architecture;
- d) on the combination lines of the game;
- e) on the random number generation platform (RNG);
- f) on the jackpot distribution system.

3. The supplier of gambling and/or profitable games is obliged to submit to the Revenue Service a copy of the contract signed with the holder of the permission to organize gambling and/or profitable games no later than 3 days after its signing. In case of making a change in the mentioned contract, the permit holder is obliged to notify the Revenue Service about the said change and submit a copy of the change document no later than 2 days after the change is made.

4. The provider of gambling and/or winning games shall pay the fee/fees payable to the selected person in a timely manner.

1. The Government of Georgia is authorized to establish additional conditions for the organization of gambling, the provision of gambling and/or winning games, and the issuance of permits. The permit applicant/permit holder shall comply with these conditions. Failure to comply with them is considered a violation of permit conditions.

2. The Minister of Finance of Georgia is authorized to establish/implement the requirements/standards that must be met by the essential products/services and/or any other equipment to be used/used by the applicant/permit holder of the permit for the organization of gambling, the provision of gambling and/or profitable games.

Article 25. (removed)

#### **Chapter IV. Rights and obligations of lottery organizer, gaming organizer, provider of gambling and/or winning games**

*Law of Georgia of December 9, 2011 No. 5448 - website, 22.12.2011*

*Law of Georgia of June 25, 2020 No. 6487 - website, 07.02.2020*

Article 26. (removed)

Article 27

The rules of the game must be posted at the place where the game is played and must be presented to the player upon first request. Article 28

1. The organizer of a gambling and/or profitable game, when organizing the game in a system-electronic form, has the right to use the cash registers at the facilities organized with the permission of the Samorine, gambling club, gaming machine parlor and/or totalizer issued in his name.

2. The organizer of a gambling and/or profitable game, when organizing the game in a system-electronic form, has the right to set up cash registers at the objects organized with the permission of the Samorine, gambling club, gaming machine parlor and/or totalizer, issued to other persons.

3. The organizer of gambling and/or profitable games, when organizing the games in a system-electronic form, has the right to organize the cash desk provided for in subsection "q" of Article 3 of this law, upon payment of the gaming business fee.

Article 29

1. The organizer of the game is obliged to:

a) to ensure the protection of public order and safety, as well as the legal rights and interests of players and other persons at the venue of games;

b) to carry out the registration of the issued profits, to create an electronic database and to submit relevant information to the legal entity of public law - the Financial Monitoring Service of Georgia in the manner established by the legislation of Georgia;

- c) conduct the game and give out the winnings in accordance with the submitted game arrangement conditions (regulations) and/or system-electronic game rules;
- d) in case of request, to give the player a written notification about receiving the profit;
- e) to make a decision regarding the player's claim within the time limit provided by the terms of the arrangement (regulations);
- f) to keep secret the data on the amounts won or lost by the player and to give information about them only in the cases provided by law;
- g) to timely pay the fees and taxes established by the legislation of Georgia for the organization of the game;
- h) to pay the fee/fees payable to the selected person on time;
- i) not to allow the request of additional conditions when awarding the winnings to the winning player, except for the cases stipulated by the legislation of Georgia;
- j) perform the duties defined for him by this law and other normative acts;
- k) before terminating/resuming the activity of gambling and/or profitable gaming, to inform the Revenue Service in writing about the termination/resumption of this activity;
- m) carry out cash and other valuables transportation operations through specialized collection services, if his monthly income exceeds 10,000 GEL;
- n) When verifying the fulfillment of the permit conditions, the inspector shall create appropriate working conditions and upon request, immediately submit the necessary documents and information related to the permit conditions (except for the lottery organizer);n) In order to implement and/or operate the electronic control system, the revenue service and/or the selected person shall create the appropriate working conditions, provide the requested documents/information and ensure their admission to the place of gambling and/or profitable games, as well as any and all equipment used for the organization of games and/or the provision of gambling and/or profitable games, if requested, connect them for electronic control Necessary devices owned/used by him/her for arranging games and/or gambling and/or winning games to be used/used and to make available to him/her the information contained in the essential products/services used by him/her;
- p) To provide a building/facility specially designed for casino, gambling club, gaming machine salon, totalizer, lotto, bingo with a constant power source, equip with automatic video equipment installed in the hall, at the cash desk, at the entrance and on the outer perimeter. This video equipment must comply with the requirements defined by the decree of the Government of Georgia. Video recording in the gaming hall, at the cash register and at the entrance must be carried out during the entire period of operation of the Samorin, gambling club, gaming machine salon, totalizer, lotto, bingo, and on the outer perimeter - constantly. Electronic records obtained as a result of video recording must be kept in a properly protected place for at least 30 days and, in case of a justified request, must be submitted to the Ministry of Internal Affairs of Georgia and/or other authorized bodies upon request. The cash register must be equipped with an armored window and an alarm signal connecting to the relevant security service;

h) in case of organizing lottery, gambling and/or profitable games in a system-electronic form, ensure registration, identification and verification (verification) of each player according to the identification data of the person, in accordance with the law;

r) in case of arranging gambling and/or profitable games in a system-electronic form, to ensure the protection of the database;

s) to play games and give out winnings in accordance with the system-electronic playing rules presented;

t) in case of holding a gambling tournament, to ensure the protection of public order and safety, as well as the interests of the players;

u) To allow a person to enter the place where gambling and/or profitable games are organized and/or participate in games only in case of presentation of an identity document or other document confirming the person's identity and identification data, issued in accordance with the law;

f) to fulfill the duties defined by the Law of Georgia "On Promotion of Preventing Money Laundering and Financing of Terrorism" and/or the subordinate normative acts issued on the basis of the said Law and to submit relevant information to the legal entity of public law - the Financial Monitoring Service of Georgia in the manner established by the legislation of Georgia;

q) in case of organizing lottery, gambling and/or profitable games in a system-electronic form, to ensure depositing and withdrawing money from the account in accordance with the rules established by the Minister of Finance of Georgia;

gh) to make a decision regarding the player's claim in accordance with the terms and conditions of consideration of the claim provided by the conditions (regulations) and/or system-electronic gaming rules.<sup>11</sup> The owner of the permit to set up a totalizer (except for the permit to play organized in a system-electronic form) is obliged to arrange/organize the play with the POS terminal provided by the selected person and authorized by the Revenue Service. The procedure for authorization of the POS terminal is established by the legal act of the Minister of Finance of Georgia.

12. The obligations stipulated in subsections "a"- "z", "i", "k", "m", "z", "s" and "f"- "g" of the first paragraph of this article apply to the lottery organizer.

13. The obligations provided for in subparagraphs "g", "h", "k" - "o" and "f" of the first paragraph of this article apply to the supplier of gambling and/or profitable games.

2. The organizer of the lottery, the organizer of the game, the provider of gambling and/or winning games is forbidden to give a loan to the player for placing (placing) a bet.

3. Lottery organizer, game organizer, provider of gambling and/or winning games is prohibited from entering into an employment contract with a minor, which obligates this person to work at the place where the game is held, as well as to control the organization or conduct of the game.

4. The gaming organizer, who receives gambling and/or profitable games and/or essential products/services from the supplier of gambling and/or profitable games, is obliged to request from the supplier of gambling and/or profitable games a permit for the provision of gambling and/or profitable games issued in accordance

with the Law of Georgia "On Licenses and Permits" before receiving these games and/or essential products/services, and not to allow such activities Use of games of chance and/or games of chance and/or essential products/services not provided by the said licensee of games of chance and/or games of chance.

5. The holder of the permit is obliged to fulfill the obligations stipulated by this law and by-laws issued on the basis of this law. Failure to comply with these obligations is considered a violation of permit conditions.

#### Article 30

1. The organizer of lotteries, gambling and winning games is not obliged to check the authority of the representative of the playing token, lottery and/or winning games ticket, if this is not determined by the conditions (regulations) of the arrangement.

2. If a player has lost a game token, a lottery and/or winning game ticket, he has no right to submit a claim to the organizer of lotteries, gambling and winning games, unless otherwise stipulated by the terms and conditions (regulations) of the organization.

3. Complaints related to the organization of games are received within the terms provided by the terms of the organization (regulations) and/or the rules of system-electronic games.

#### Article 31

1. The organizer of the lottery is obliged to apply to the revenue service 2 weeks before the organization of the game and submit the following documents:

a) To organize a circulation lottery:

A.a) the conditions (regulations) of the circulation lottery arrangement, which should include: the general rules of the game, the date of the start of the lottery, the limit period and place of awarding the winnings, the price of the ticket, the procedure and deadline for consideration of the claim, the number and numbering of tickets to be printed;

A.b) the contract between the lottery organizer and the person who prepares the circulation lottery tickets, indicating the number and numbering of the tickets to be produced, except for the case when the circulation lottery tickets are prepared by the lottery organizer; A.c) a sample of a circulation lottery ticket;

b) To arrange instant lottery:

B.a) Instant lottery arrangement conditions (regulations), which should include: general rules of the game, lottery start date, deadline and place of winnings, ticket price, claim review procedure and term, number and numbering of tickets to be printed, amount of prize pool, list of prizes, quantity and unit value;

bb) the contract between the lottery organizer and the person who prepares the instant lottery tickets, specifying the number and numbering of the tickets to be produced, unless the lottery organizer prepares the instant lottery tickets;

b.c) Sample instant lottery ticket.

2. The organizer of the lottery is obliged to notify the Revenue Service in writing about any other change (change of director, legal address, printing of additional number of tickets, etc.) that does not lead to a substantial change of the game.
3. The organizer of the lottery is obliged to ensure the publicity of the rules of the game and their unhindered delivery to the players, as well as the creation of a commission that ensures the draw of the prize fund in compliance with the conditions (regulations) of the organization and in accordance with them. This commission must consist of at least 3 invited members independent of the lottery organizer.
4. The organizer of the lottery is obliged to submit information on the progress and results of the lottery to the Revenue Service within 5 working days.
5. Instant lottery can be organized for no more than 2 years.

#### Article 311

1. In order to discuss the issues related to the lottery and to make the relevant recommendation decision, the Review Council for the Issues related to the Lottery (hereinafter - the Council) is established in the Ministry of Finance of Georgia, the composition and regulations of which are approved by the individual administrative-legal act of the Minister of Finance of Georgia.
2. The regulations of the Council determine the procedures for consideration of the issue by the Council, including the measures to be taken in preparation for the Council meetings, the replacement of Council members, the course of Council meetings, voting and other issues.
3. The council should include the employees of the systems of the Ministry of Finance of Georgia, the Ministry of Justice of Georgia, the Ministry of Economy and Sustainable Development of Georgia, and the Ministry of Culture, Sports and Youth of Georgia, as well as other persons by the decision of the Minister of Finance of Georgia.

#### Article 32

1. It is prohibited for a person under the age of 21 to enter a casino and/or gambling club, and for a person under the age of 18 - to enter a gaming machine salon and a place where profitable games (except incentive draws) are arranged and/or participate in games (including system-electronic gambling). The organizer of the game is obliged to demand from the person entering the place of gambling and/or profitable games a copy of the identity document or other document confirming the person's identity and identification data, issued in accordance with the law, in physical or electronic form, and through this document to ensure age verification of the person entering the place of gambling and/or profitable games.
2. It is prohibited to sell and/or otherwise distribute lottery tickets to persons under 18 years of age.
3. In accordance with the legislation of Georgia, the information obtained on the basis of this article is stored in a specially created electronic database/archive for 5 years. This information is confidential and its transfer to a third party is permitted only in the cases provided for by the legislation of Georgia.

#### Article 33



1. Samorine tables, club tables, gaming machines and other gaming equipment used for gaming may be owned or used by the gambling organizer.
2. The use of a Samorin table, a club table for playing is allowed only if there is a distinguishing mark (factory number) on this table.
3. The use of the gaming machine for playing is allowed only in the presence of a distinctive marking (factory number) and a device necessary for electronic control.

#### Article 34

Taxation and accounting of activities of lotteries, gambling and profitable games are carried out in accordance with the legislation of Georgia.

#### Article 35

1. It is not allowed to organize lotteries, gambling and winning games (except incentive draws), as well as sale/distribution of lottery, gambling and winning games tickets (except incentive draw tickets) in children's, medical and educational institutions, cult buildings, children's sanatoriums, libraries, museums, administrative buildings of state government bodies and municipal bodies, as well as In places prohibited by the decision of the relevant authority of the municipality (territorial zones, buildings).
2. The relevant body of the municipality is authorized to determine the places (territorial zones, buildings) where it is possible to arrange gambling and profitable games (except incentive raffles), except for the places (territorial zones, buildings) provided for in the first paragraph of this article.

#### Article 36

The Ministry of Finance of Georgia is obliged to establish control over the fulfillment of the requirements of this law and the rules (regulations) of the lottery.

#### Chapter IV1. selected person

##### Article 361

1. On the basis of the contract concluded between the revenue service and the selected person, the selected person is obliged to implement the electronic system of gaming business control and ensure its operation in accordance with the rules established by the Minister of Finance of Georgia.
2. The electronic gaming business control system provided for in the first paragraph of this article controls the fulfillment of the permit conditions and the requirements of the Georgian legislation by the organizer of the gaming machine, system-electronic gambling and/or profitable games (except for incentive draws) and the organizer of the bookmaker.
3. The contract provided for in the first paragraph of this article is concluded for a period of no more than 15 years.
4. The contract between the Revenue Service and the selected person defines their rights and duties.

5. The server of the selected person must be located on the territory of Georgia.
6. The Minister of Finance of Georgia establishes requirements for the electronic control system of gambling business.
7. The Government of Georgia is authorized to establish additional requirements/obligations for the gaming organizer, provider of gambling and/or profitable games for the purpose of implementation and functioning of the electronic control system. Failure to comply with the mentioned requirements/obligations by the gaming organizer, provider of gambling and/or winning games is considered a violation of the permit conditions.
8. If in the case of arranging/organizing the totalizer in a system-electronic form, the permit seeker/permit holder uses a system created with his own resources for his activities, in accordance with the standards/requirements introduced/established by the legal act of the Minister of Finance of Georgia, the selected person must check this system and must issue an authorization certificate.
9. The procedure and conditions for issuing the authorization certificate are established by the legal act of the Minister of Finance of Georgia.
10. The permit seeker/permit holder is obliged to pay the fee/fees selected by the person selected for the initial survey (inspection) of the online gaming system of the permit seeker, gaming organizer, gambling and/or gaming provider, and for the issuance of the corresponding authorization certificate, for the device/equipment to be placed with the gaming organizer and/or gambling and/or gaming provider and its contractor/agent, and For the control/monitoring system, as well as its installation, for the operation of the electronic control system (operating fee), for the delivery of the POS terminal to the totalizer organizer.
11. The types, amounts, frequency of payment and manner of fees/fees to be paid to the selected person are determined by the legal act of the Government of Georgia.

## CHAPTER V. RESPONSIBILITY FOR VIOLATION OF THIS LAW

### Article 37

1. Liability for violation of this law is determined by the legislation of Georgia.
2. Non-fulfillment of the requirements established by this law by persons organizing gambling and/or profitable games, providing gambling and/or profitable games is a violation of permit conditions and will result in their being held responsible in accordance with Article 34 of the Law of Georgia "On Licenses and Permits".
3. Falsification of lottery tickets or other documents confirming participation in winning games is punishable by Georgian legislation.

### Article 37.1

For non-fulfillment of the permit conditions stipulated by this law by the permit holder, according to the types of permit, the amount of the fine stipulated in Article 34 of the Law of Georgia "On Licenses and Permits" amounts to:

- a) For persons who have a permit to organize a samourine - 7,000 GEL;

- b) In case of violation of the term of payment of the permit fee to the holders of the permit for the arrangement of the Samorine - 20,000 GEL;
- c) To persons who have a permit to set up a totalizer - 2,000 GEL;
- d) in case of violation of the deadline for payment of the permit fee to persons who have a permit to set up a totalizer - 10,000 GEL;
- e) for the persons who have the permission to set up the gaming machine salon - 1,000 GEL;
- f) In case of violation of the deadline for the payment of the permit fee to the persons who have the permission to set up the gaming machine salon - 10,000 GEL;
- g) for the holders of a lotto arrangement permit - 1,000 GEL;
- h) In case of violation of the deadline for payment of the permit fee to the holders of the lotto arrangement permit - 2,000 GEL;i) for persons holding a bingo arrangement permit - 1,000 GEL;
- k) in case of violation of the term of payment of the permit fee to the holders of the bingo arrangement permit - 2,000 GEL;
- k) For persons holding a permit to organize an incentive raffle - 1000 GEL;
- m) in case of violation of the obligation stipulated by sub-paragraph "m" of the first paragraph of Article 29 of this law towards the organizer of the lottery, the organizer of the game - 1,000 GEL;
- n) for the persons who have the permission to set up a gambling club - 2,000 GEL;
- n) To the holder of the permission to set up a gambling club, in case of violation of the deadline for the payment of the permission fee by him - 10,000 GEL;
- p) to the holder of the permit for the supply of gambling and/or winning games - 2,000 GEL;
- p) To the holder of the permit for the supply of gambling and/or profitable games, in case of violation of the term of payment of the permit fee by him - 10,000 GEL.

#### Article 372

1. The Revenue Service is authorized to establish control in accordance with this law on the fulfillment of the conditions defined by the contract by the winner of the tender organized by the Ministry of Finance of Georgia - the person who holds the exclusive right to organize and conduct the lottery. For this purpose, it is possible to check at any time the status of fulfillment of the conditions defined by this law, other normative acts and the agreement signed with the Ministry of Finance of Georgia. The inspection procedure is determined by the normative act of the Minister of Finance of Georgia.

11. The organizer of the lottery is obliged to provide the necessary information for the control of the Revenue Service.

2. Organization and/or arrangement of the lottery by an unauthorized person results in a fine of 50,000 GEL.

3. Every subsequent organization and/or arrangement of the lottery by an unauthorized person causes him to be fined 150,000 GEL.

#### Article 373

1. The revenue service fines an unauthorized person for the actions provided for in clauses 2 and 3 of Article 372 of this law.

2. The rules and conditions for detection of the organization and/or arrangement of the lottery by an unauthorized person and his fines are determined by the order of the Minister of Finance of Georgia.

#### Chapter VI. Transitional provisions

#### Article 38

1. (removed).

2. Licenses issued on the basis of the legislation before the entry into force of this law (except samorines and lotteries) are subject to being issued as permits within 3 months after the enactment of this law, while licenses and permits issued for the organization of samorines are valid until January 1, 2006, after which permits for the organization of samorines are issued in accordance with this law and the Law of Georgia "On License and Permit Fees" in accordance with paragraph 10 of Article 7; Holders of licenses and permits issued for the organization of lotteries shall retain the right to hold the lottery within two months after the Ministry of Finance of Georgia sends a notification on the identification of the winner of the tender.

3. The owner of the license (except for samourines and lotteries) is obliged to submit an application to the Ministry of Finance of Georgia regarding the transformation of the license into a permit, the license, as well as the additional documentation established by this law and the updated version of the documents that have expired, within the period established by the second paragraph of this article.4. The Ministry of Finance of Georgia examines the documentation related to the obligation established by the second paragraph of this article and issues a permit (except for lottery and lottery games) taking into account the requirements of this law. In this case, the license holder is obliged to pay only the difference between the amount of the fee paid at the time of obtaining the license and the amount of the fee established by law for obtaining permission for this activity.

5. In case of non-fulfilment of the requirements stipulated in paragraphs 2, 3 and 4 of this article, the licenses issued before the entry into force of this law shall be considered invalid.

6. The period of validity of the permits issued before the implementation of this law (except for lottery tickets and lotteries) is determined by the period of 1 year after the issuance of the permit.

7. Until September 1, 2007, the Ministry of Finance of Georgia shall ensure that the organizers of lotteries, gambling and other profitable games are informed about the additional permit conditions established by this law.

8. Until September 1, 2007, the Ministry of Internal Affairs of Georgia shall ensure the definition of video surveillance systems and their installation-operation rules at the places and external perimeters of gambling and other profitable games (except incentive draws).

9. The holder of the Samorine arrangement permit issued before the entry into force of this clause is obliged to ensure the fulfillment of the requirements established by clause 12 of Article 19 of this law no later than 1 month after the entry into force of this clause.

#### Article 39

The Ministry of Finance of Georgia, within the scope of its competence, controls the fulfillment of Georgian legislative norms by the holders of licenses and permits issued before the entry into force of this law on the organization of lotteries, gambling and profitable games.

#### Article 391

The Minister of Finance of Georgia shall ensure the establishment of the Council provided for in Article 311 of this Law and the approval of its regulations no later than June 1, 2010.

#### Article 392

The Minister of Finance of Georgia shall determine the procedure for the return of the service fee provided for in Clause 6 of Article 111 of this Law no later than January 1, 2011.

### Chapter VII. Final Provisions

#### Article 40

This law shall come into force immediately after its publication.

**President of Georgia M. Saakashvili**

**Tbilisi,**

**March 25, 2005.**

**No. 1180-I**

# About licenses and permits

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Law of Georgia

About licenses and permits

## **Door I. General Provisions**

### Chapter I. Scope of Law Regulation. Definition of terms

#### Article 1. Scope of regulation of the law

1. This law regulates such organized activity or action that concerns an indefinite circle of persons, is characterized by an increased threat to human life or health, involves particularly important state or public

interests, or is related to the use of state resources. In cases established by law, the effect of this law may also be extended to unorganized activities or actions. This law also regulates the sphere regulated by licenses and permits, determines the exhaustive list of types of licenses and permits, establishes the rules for issuing licenses and permits, making changes to them and canceling them.<sup>2</sup> The effect of this law (with the exception of clauses 72-72 5 of Article 6 and clauses 23-24 1 and 54 of Article 24 of this law) does not apply to the activity or action provided for by the same law, if it is carried out by the Ministry defined by the Law of Georgia "On the Structure, Powers and Procedures of the Government of Georgia" or by the state sub-departmental institution under its governance, as well as the internal affairs of Georgia. The legal entity under public law operating in the sphere of governance of the state sub-departmental institution - Emergency Situations Management Service - Agency of State Reserves and Civil Security Services, included in the sphere of governance of the Ministry of Affairs, and the sphere regulated by the Law of Georgia "On Oil and Gas" shall not be subject to Article 3, Sub-Clause "AA" and Chapters IV and V of this Law. The effect of this law does not apply to the state-expert institution, if it carries out the activities provided for by clauses 72-72 5 of Article 6 and clause 54 of Article 24 of this law, to a legal entity under public law - L. Sakvarelidze National Center for Disease Control and Public Health, if it carries out the activities provided for in Article 6, Clause 72, 4 of this law, and the public law legal entity included in the system of the Ministry of Environment and Agriculture of Georgia - Nuclear and Radiation Safety Agency, if it carries out the activities provided for in Article 6, Clause 3 and Article 24, Clauses 9-10 of this Law. the activities provided for in clauses.

21. (Removed - 20.07.2018, No. 3218).

22. (Removed - 20.07.2018, No. 3218).

23. The relations related to the issuance of permits defined by clauses 171-175 and 27-274 of Article 24 of this law are regulated by this law and the Law of Georgia "On Control of Military and Dual Purpose Products".

24. The operation of this law does not apply to deposit insurance activities provided for by the Law of Georgia "On Deposit Insurance System".

25. The effect of this law does not apply to the activity determined by the license provided for in the first paragraph of Article 7 of the same law, when the extraction of minerals - fresh underground water is carried out by the Tbilisi municipality/a legal entity established by the Tbilisi municipality within the administrative boundaries of the Tbilisi municipality.

26. The effect of this law does not apply to the activities of the legal entity of public law - the pension agency provided for by the law of Georgia "On Accumulated Pension";

27. The validity of this law does not apply to the activity determined by the license provided for in Article 7, Clause 2 of the same law, when the underground space is used by "Tbilisi Transport Company" LLC, founded with 100% equity participation of Tbilisi Municipality.<sup>28</sup> The effect of this law does not apply to the activities determined by the permits provided for in clauses 50 and 51 of Article 24 of the same law, if they are carried out in the area of the city-building event defined by Article 56 of the Code of Spatial Planning, Architectural and Construction Activities of Georgia or in the cultural heritage defined by Article 46 of the Law of Georgia "On Cultural Heritage". in the heritage rehabilitation area and they are

implemented by the state body of Georgia, the body of the autonomous republic or the municipality or a legal entity created/established by it. In this case, the procedure for issuing permits and permit conditions provided for in clauses 50 and 51 of Article 24 of this law shall be established by the Government of Georgia.

28. The effect of this law does not apply to the activities determined by the permits provided for in clauses 23 and 24 of Article 24 of the same law, if they are carried out by the City Hall of Tbilisi Municipality or a legal entity established by Tbilisi Municipality. During the implementation of the activities determined by the permits provided for in this paragraph, the rules for production and agreement of construction documentation shall be established by the City Council of Tbilisi Municipality.

3. Relations related to the issuance of preliminary licenses and permits are regulated by the Law of Georgia "On State Support of Investments".

## Article 2. Principles of license and permit issuance

1. State regulation of an activity or action with a license or permit is carried out only if this activity or action is directly related to an increased threat to human life or health or areas of state or public interest. State regulation is carried out only if, by issuing a license or permit, it is actually possible to reduce the mentioned danger or take into account the state or public interests.

2. Taking into account the first paragraph of this article, the purpose and basic principles of regulation of activity or action with a license or permit are:

- a) ensuring and protecting the safety of human life and health;
- b) ensuring and protecting the safety of human living and cultural environment;
- c) protection of state and public interests.

3. Activities or actions that are not directly related to public risk are exempted from regulation or only partially regulated by the state.

4. It is possible for a license or permit issued by a foreign country to be recognized by an international agreement or law and to be given the same legal status as a license or permit issued on the basis of Georgian legislation.

## Article 3. Definition of terms

The terms used in this law have the following meanings:

a) License – the right to carry out specified activities granted by an administrative body to a person on the basis of an administrative act based on the fulfillment of the conditions established by law:

A.a) Usage license – a type of license that gives a person the right to use the state resources defined by this law. The usage license is issued by auction, except for cases stipulated by this Law and the Law of Georgia "On Electronic Communications", and is connected to the object. The license holder has the right to divide the usage license and/or transfer all or part of it to another person, including by inheritance; A.b) Activity license – a type of license that gives a person the right to carry out activities defined by this law. An activity



license is issued by the applicant after meeting the conditions established by law and is linked to the entity. It is not allowed to transfer the activity license by inheritance or in any other way;

b) General license – the right when a person can carry out similar types of activities on the basis of a single general license and is not obliged to obtain a license for each activity separately;

c) Special license – the right when a person can carry out any narrow activity from the general type of licensable activity and is obliged to present only the factual circumstances that satisfy the special license conditions. A license seeker can carry out activities permitted by a special license without obtaining a license regulating a wider range of activities;

d) license certificate – a document confirming possession of a license;

e) Permit – the right to perform an action provided for by this law, for a specified or indefinite period, which is related to the object and confirms the compliance of this intention with the conditions established by the law. It is possible to transfer the permit to another person, if this is not prohibited by law or the permit is not substantially related to its owner;

f) permit certificate – a document confirming possession of a permit;

g) license seeker – a person wishing to obtain a license;

h) Permit seeker – a person wishing to obtain a permit;

i) License issuer – an administrative body that issues a license in accordance with the law;

j) Permit issuer – an administrative body that issues a permit in accordance with the law;

k) Other administrative body – an administrative body which, according to the legislation, is obliged to determine the factual circumstances that satisfy the additional license and permit conditions defined by the legislation. The rules and principles established by this law for issuing licenses and permits apply to the determination procedure;

m) One window principle – the rule of administrative proceedings, when the license or permit issuer himself ensures the confirmation of additional license or permit conditions by another administrative body. Confirmation of additional license or permit conditions shall be related to the administrative proceedings for issuing the license or permit. Obtaining factual circumstances confirming these conditions must directly serve the purpose of obtaining a license or permit;

n) departmental license register – a systematic set of data on the issue of licenses, their amendments and their cancellation;

n) Departmental Permit Register – a systematic set of data on the issuance of permits, changes in them and their cancellation;

p) license holder - a person who, based on an administrative act, has been granted the right to carry out the activity defined by the license, to use the resource, or has been transferred by the holder of another license to carry out the licensable activity;

p) Permit holder – a person who, on the basis of an administrative act, has been granted the right to perform an action specified by the permit, or has been transferred by the holder of another permit to perform a permissive action; r) License fee – a one-time mandatory payment to the central budget of Georgia, which the license seeker pays in the amount established by law, for granting him the right to carry out the licensable activity defined by law. The license fee shall take into account the administration costs of issuing the license;

s) Permit fee - a one-time mandatory payment to the state budget of Georgia or the budget of the relevant municipality (if the permit is issued by the municipal body), which the permit seeker pays in the amount established by law or on the basis of the law by the representative body of the municipality (if the permit is issued by the relevant body of the municipality), for the right to perform permit actions defined by law. for assignment. The permit fee shall take into account the administration costs of issuing the permit;

t) person - a natural person or a legal entity, a ministry provided by the Law of Georgia "On the Structure, Powers and Procedures of the Government of Georgia" or a state sub-departmental institution under its governorship, another organizational entity provided for by the law, which is not a legal entity;

u) license conditions – an exhaustive list of requirements and information prescribed by law, which must be met by the license seeker in order to obtain a license and to carry out the activities defined by the license;

f) Permit conditions – an exhaustive list of requirements and information established by law or by the decision of the representative body of the municipality on the basis of the law, which must be met by the permit seeker in order to obtain a permit and when performing the actions specified in the permit;

city) (removed - 20.07.2018, No. 3218);

g) electronic communications interception system:

g.a) software and/or hardware component constituting the stationary technical possibility of obtaining communication in real time ("monitoring system of the authorized body provided for in subsection H69" of Article 2 of the Law of Georgia "On Electronic Communications");

g.b) means of software created for the purpose of secretly obtaining information from a computer system;

g.c) GSM passive interception system.

#### Article 4. Inadmissibility of introduction of additional license and permit

1. The exhaustive list of types of licenses and permits in the areas of licensable activities and permitting actions is determined by this law. It is not allowed to introduce a license and permit for activities and actions not provided for by this law by another legislative or by-law act.

2. It is not allowed for an administrative body to introduce such an obligation by a subordinate normative act, which implies the establishment of a license or permit regime for any activity or action, or the need for the consent of the administrative body in any way.

Article 5. License and permit issuing authorities. The authority of the autonomous republics of Abkhazia and Adjara in the areas of licensing and permits

1. License and permit issuing bodies are established by law or by the decision of the Government of Georgia. 2. Licenses and permits for the activities and actions prescribed by this law are usually issued by the central government institutions of the state. On the basis of a reasoned petition of the government institution issuing the license or permit, by the decision of the Government of Georgia, it is possible to transfer the authority to issue licenses and permits in the fields and types of activities or actions to the relevant institutions of the autonomous republics.

#### Article 51. Unified automatic means of management

1. The license and/or permit issuing authority is authorized to use software and unified automated management tools for the purpose of conducting proceedings and providing access to information related to the issuance of a license/permit.

2. The license and/or permit issuing authority is authorized to receive, issue or issue any information and/or documents related to the issuance of a license/permit, including a license/permit certificate or a duplicate license/permit certificate, as well as to maintain a departmental license/permit register using uniform automated management tools.

3. The license and/or permit issuing authority is authorized to store and issue in the form of an electronic copy any document created by it or protected by it, including a license/permit certificate or a duplicate license/permit certificate, as well as a copy of the departmental license/permit register.

4. (Removed - 21.04.2017, No. 643).

5. In the document issued or issued by the license and/or permit issuing body, including the license/permit certificate or duplicate license/permit certificate, as well as in the departmental license/permit register, data can be entered by mechanical and/or electronic means.

#### Door II. Issuance of license

#### Chapter II. Types of license

#### Article 6. Types of activity license

1. License for the production and pricing of infant food products.

2. License for production and pricing of children's food products.

3. Nuclear and radiation activity license.

31. License for the use of living genetically modified organisms in a closed system.

4. (removed).

5. (removed).

6. (removed).

7. (removed).

8. (removed).

9. License for production of biological pesticides.

10. (Removed - 14.05.2014, No. 2425).

11. General license for production of military products.

12. General license for repair of military products (including modernization and on-site service).

13. General license for trade in military products.

11. License for manufacture (production) of civilian weapons, main elements of firearms, ammunition and main elements of ammunition.

L11. License to repair civilian weapons and firearms.

L12. License to trade in civilian weapons, main elements of firearms, ammunition and main elements of ammunition.

12. License to manufacture, purchase, import or export electronic means of observation.

L21. License to manufacture, import or export electronic communications interception systems.

13. Private broadcasting license.

14. Community Broadcasting License.

15. Electricity production license.

16. Electricity transmission license.

17. (Retrieved - 20.12.2019, No. 5647).

18. Electricity Distribution License.

L81. Electricity market operation license.

L82. Natural gas transmission license.

19. Natural gas distribution license. 191. Natural gas storage system operation license.

L92. Liquefied natural gas equipment operation license.

L93. Natural gas market operation license.

20. Natural gas transportation license.

21. Oil refining license.

22. Natural gas processing license.

23. Oil transportation license.

- 24. (removed).
- 25. (removed).
- 26. (removed).
- 27. educational activity license.
- 28. (removed).
- 29. Life insurance license.
- 30. Insurance license (not life).
- 31. Reinsurance license.
- 32. (removed).
- 33. (removed).
- 34. Banking activity license.
- 35. Non-banking-deposit-credit activity license.
- 36. Securities Registrar's License.
- 37. Brokerage license.
- 371. License for brokerage services for military products.
- 38. Stock Exchange License.
- 39. Central Depository License.
- 40. Asset manager activity license.
- 41. Specialized depository license.
- 42. (removed).
- 43. (removed).
- 44. (removed).
- 45. (removed).
- 46. (removed).
- 47. (removed).
- 48. (removed).
- 49. (removed).

50. (removed).

51. (removed).

52. (removed).

53. (removed).

54. (removed).

55. (removed).

56. (removed).

57. (removed).

58. (removed).

59. (removed).

60. (removed).

61. (removed).

62. (removed).

63. (removed).

64. (removed).

65. (removed).

66. (removed).

67. (removed).

68. (removed).

69. (removed).

70. (removed).

71. (removed).

72. Emergency medical license.

721. Forensic medical examination license.

722. Forensic psychiatric examination license.

723. License for pathological activity.

724. License for activities on particularly dangerous pathogens.

725. License for production transfusion activities.

73. (removed).

74. (removed).

75. (removed).

76. (removed).

77. (removed).

78. (removed).

79. (removed).

80. (removed).

81. (removed).

82. (removed).

83. (removed).

84. (removed).

85. Private security license.

86. Enforcement activity license.

87. Water supply license.

88. License for the removal of state-owned scrap metal and non-ferrous metal submerged in the territorial sea and internal waters of Georgia.

#### Article 7. Types of usage license

1. Mineral extraction license.

2. License to use underground space.

3. General license to use oil and gas resources:

a) special license for oil and gas exploration;

b) Special license for oil and gas extraction.

4. Special license for hunting.

5. Fishing license.

6. (removed).



7. (Retrieved - 20.12.2011, No. 5547).

8. License to use radio frequency spectrum.

9. License to use Sochi cones and white-flower bulbs and/or Kochivarda bulbs included in the CITES appendices of the Convention on International Trade in Endangered Species of Wild Flora and Fauna for export

### Chapter III. Procedure for issuing business license

Article 8. Procedure for issuing an activity licenseAs a rule, the activity license is issued through simple administrative proceedings, in accordance with the procedure established by Chapter VII of this law, except for the types of activity licenses precisely defined by law, which are issued through public administrative proceedings.

#### Article 9. Documentation to be submitted for obtaining an activity license

1. The applicant for an activity license submits a written application to the license issuer to obtain an activity license. Submission of an application for obtaining a license is carried out in accordance with the procedure established by Chapter VI of the General Administrative Code of Georgia.
2. The application must meet the requirements stipulated by Article 78 of the General Administrative Code of Georgia. It should also contain an indication of which type of activity license the license seeker requires and a list of attached documents.
3. The application must be accompanied by extracts from the state register for a private legal entity and an individual entrepreneur, and for a natural person - copies of the documents confirming the identification established by the law. A legal entity under public law must attach certified copies of its founding documents to the application.
4. The application must also be accompanied by a document confirming the payment of the license fee, unless the applicant for the license is a ministry provided by the Law of Georgia "On the Structure, Powers and Procedures of the Government of Georgia" or a state sub-departmental institution under its administration. The amount of the license fee, its payment in the budget, as well as the procedure for returning the overpaid amount by the license seeker are determined by the Law of Georgia "On License and Permit Fees". Additional attached documents may be determined only by law.
5. Depending on the nature of the activity, in order to obtain a license, in addition to the conditions stipulated in this article, additional licensing conditions are determined only by law.
6. If the license seeker requests a license for a specific activity and has a license in the same licensed activity field, the license issuer does not investigate the factual circumstances that satisfy the licensing conditions that were established when the previous license was issued.
7. The license seeker is obliged to present the factual circumstances satisfying the additional license conditions, the confirmation of which is not directly related to the administrative proceedings for issuing the license.

8. The license seeker is authorized not to present such documents confirming the factual circumstances satisfying the additional license conditions, which are issued by another administrative body and are the basis for issuing the license.

9. In order to confirm and present the factual circumstances provided for in paragraph 7 of this article, the license issuer, in accordance with the procedure established by Article 84 of the General Administrative Code of Georgia, upon determining the compliance of the application with the requirements established by this law, shall hand over copies of the application and attached documents to another administrative body. The license issuer is obliged to provide copies of the application and attached documents to another administrative body no later than 3 days after determining the compliance of the application with the requirements established by law. 10. Another administrative body participates in the public administrative proceedings related to the issuance of a license and is obliged to determine in an appropriate manner the factual circumstances, the confirmation of which is not the responsibility of the applicant for a license. Another administrative body is authorized to issue a reasoned refusal to determine the factual circumstances provided for in paragraph 7 of this article.

11. Another administrative body is obliged to make a decision on determining or refusing to determine factual circumstances no later than 25 days after submission of the application and copies of attached documents to the license issuer. If the mentioned term is not enough to determine the factual circumstances provided for in paragraph 7 of this article, another administrative body is authorized to request an extension of the term with a reasoned petition no later than 5 days after receiving the copies of the application and the attached documents. In case of making a decision, another administrative body is obliged to submit the decision to the license issuer no later than 27 days after submitting the application to the license issuer.

12. In case of non-satisfaction by the license issuer with a reasoned request from another administrative body, the license issuer shall be responsible for the damage caused in connection with the mentioned issue.

13. If the actual circumstances are not confirmed in the appropriate manner by another administrative body within the established period or there is a reasoned refusal to confirm it, the additional license conditions established by the legislation will be deemed fulfilled.

14. It is not allowed for the license issuer to request the applicant to submit the confirmation of the factual circumstances provided for in paragraph 7 of this article.

15. In the event of a change in the data provided for in paragraphs 2 and 3 of this article, the license holder is obliged to inform the license issuer in writing about this and to submit the appropriate documents within 7 days of making the relevant change.

16. If the activity provided for by the license is carried out by a legal entity, the branch of this legal entity has the authority to carry out the said activity. The license holder is obliged to notify the license issuer in advance of the fulfillment of the licensing conditions by the branch in order to carry out licensable activities. It is not allowed for the license issuer to impose such an additional condition or regime, which in its content implies the issuance of a separate license for the branch of the legal entity holding the activity license.

**Article 91. Authority issuing general licenses for the manufacture, production, repair of military products (including modernization and on-site service) and trade in military products and the**

## **grounds for their issuance**

1. The manufacture, production, repair of military products (including modernization and on-site service), trade in military products is carried out by a legal entity or an individual entrepreneur with the right to the mentioned activity on the basis of the relevant general license.
2. The Ministry of Defense of Georgia shall issue the general licenses specified in Clauses 101-103 of Article 6 of this Law based on the recommendation of the Standing Commission for Military-Technical Issues of the Ministry of Defense of Georgia.
3. In order to obtain the general licenses defined by clauses 101-103 of Article 6 of this law, a legal entity or an individual entrepreneur must submit together with the documentation defined by the same law:
  - a) data on the registration of a legal entity or an individual entrepreneur in the register of entrepreneurs and non-entrepreneurial (non-commercial) legal entities;
  - b) list of persons (with indication of name, surname, date of birth, profession, place of work, identity card number and place of residence, convictions/revocation of rights, convictions for crimes stipulated in subparagraph "e" of Article 27, Clause 2 of the Law of Georgia "On Weapons", absence from drug registration and reports on mental state by presentation), which have direct contact with the manufacture, production, repair (including modernization and on-site service) of military products and its trade;
  - c) the list of buildings (with addresses) in which the manufacture, production, repair (including modernization and on-site service) and trade of military products should be carried out;
  - d) a document confirming compliance with fire safety norms in the relevant building;
  - e) a document confirming compliance with the technical safety norms of the relevant building;
  - f) a document confirming the proper protection and security of the relevant building;
  - g) Recommendation of the Standing Commission for Military-Technical Issues of the Ministry of Defense of Georgia.
4. The relevant units of the state sub-departmental institution under the governance of the Ministry of Internal Affairs of Georgia - Emergency Situations Management Service will issue the document provided for in subparagraph "d" of paragraph 3 of this article.
5. The document provided for in subparagraph "e" of paragraph 3 of this article is issued by a legal entity under public law - technical and construction supervision agency.
6. The document provided for in subparagraph "f" of paragraph 3 of this article shall be issued by the entity (service) authorized to protect the relevant building and structure (responsible for protection).

Article 93. The authority issuing the license for brokerage services for military products and the basis for its issuance

1. The Ministry of Defense of Georgia issues a license for brokerage services for military products.

2. The applicant for the license for brokerage services on military products and the holder of the license may be a resident defined by the Tax Code of Georgia.

3. In order to obtain a license for brokerage services for military products, the license seeker must submit the recommendation of the Standing Commission for Military-Technical Issues of the Ministry of Defense of Georgia together with the documentation defined by this law.

#### Article 10. General rules for issuing an activity license

1. Only types of activity licenses specified by law are issued by public administrative proceedings.

2. It is not allowed for the license issuer to issue a license in the form of an administrative proceeding that is not provided for by this law, or to change the type of administrative proceeding determined by the law on issuing a specific license with another administrative proceeding.

3. The license issuer makes a decision on the issuance of a license in accordance with the public administrative procedure determined by Chapter IX of the General Administrative Code of Georgia and in accordance with this law.

4. The decision to issue a license, refuse to issue it or cancel it is an administrative act and must comply with the requirements established for an administrative legal act by Chapter IV of the General Administrative Code of Georgia. 5. Within 3 days, the license issuer verifies the compliance of the application submitted by the license applicant and the attached documents with the requirements of clauses 2, 3, 4 and 5 of Article 9 of this law.

6. After receiving the application for processing, the license issuer immediately publishes a notice on the submission of documents for public information.

7. Within 20 days after submission of the application for public information, any person is entitled to submit his opinions in writing.

8. The license issuer conducts an oral hearing no later than 7 days after the deadline for submitting written opinions.

9. The license issuer makes a decision to issue a license or refuse to issue a license. In case of refusal to issue a license, the license issuer is obliged to immediately notify the applicant of the justified refusal in writing.

10. If in order to determine the circumstances of essential importance for the case, it is necessary for the administrative proceedings to take longer than the term defined by the law, the license issuer is entitled to make a reasoned decision to extend the term of the administrative process to no more than 3 months only for the types of licenses defined by the law. The license issuer is obliged to make the mentioned decision within 15 days from the submission of the application.

11. It is not allowed to extend the term of issuing a license in accordance with paragraph 10 of this article, if the applicant for a license is not notified about the extension of the term of issuing a license within 20 days after submitting the application.

12. If, due to specific circumstances, it is impossible to issue a license within the time limit defined by the law, the Government of Georgia makes a decision to extend the time limit for an additional 3 months, based on the reasoned petition of the license issuer. The license issuer is obliged to immediately inform the license seeker about the decision of the Government of Georgia.

13. If the type of specific license, the term of which can be extended in accordance with paragraph 10 of this article, is characterized by an increased threat to human life and health, concerns a wide circle of state and public interests, and 3 months is not enough to determine the circumstances envisaged by this activity, the license issuer is entitled to apply to the Government of Georgia with a reasoned petition to extend the term of the license for another 3 months. If the above-mentioned conditions exist and become known to the license issuer during the submission of the application, the license issuer is entitled to apply to the Government of Georgia with a reasoned petition to extend the license issuance period up to 6 months.

14. In case of sharing a reasoned petition of the license issuer, the Government of Georgia makes a decision to extend the term of license issuance by 3 months. In the presence of the grounds stipulated in paragraph 10 of this article, the license issuer is obliged to apply to the Government of Georgia with a reasoned petition within 2 months from the submission of the application, and in case of extension of the deadline, to immediately inform the license seeker.

15. In case of extension of the administrative proceedings related to the issuance of the license for up to 3 or 6 months, the license issuer is entitled, on the basis of a reasoned petition of another administrative body, to make a decision on the extension of the period of confirmation of the factual circumstances specified in Article 9, Clause 7 of this Law up to 2 months. 16. In the cases provided for by paragraphs 10, 13 and 14 of this article, the licensor is entitled to extend the deadline for submission of written opinions.

17. The license issuer is obliged to make a decision on the issuance of the license within 30 days from the submission of the application. If a decision on issuing a license or refusing to issue a license is not made within the mentioned period, the license will be considered issued.

18. The license seeker is entitled to request a license certificate after the expiration of the term set for the issuance of the license. The license issuer is obliged to issue the license certificate immediately.

#### Article 11. Grounds for refusing to issue an activity license

The license issuer shall not issue an activity license if:

- a) the application submitted by the license seeker and the attached documents do not meet the requirements of the law and were not corrected by the license seeker within the deadline set by the administrative body;
- b) The license applicant cannot meet the license conditions established by law.
- c) The license applicant has been deprived of the right to work in the relevant licensable field by the legally binding judgment of the court.

#### Article 12. Appeal against the refusal to issue an activity license

The decision of the license issuer to refuse to issue an activity license can be appealed to a higher administrative body (official) or to a court.

#### Article 13. Rights and obligations of the license issuer

Licensors:

- a) in the cases established by law and according to the established procedure, issues an activity license, makes changes to it or cancels it;
- b) maintains the departmental license register;
- c) (removed);
- d) within 10 days after the decision is made, in the official printing body of Georgia - "Legislative Gazette of Georgia" publishes information about the issuance of a license, its amendment or its cancellation, except for secret information defined by the General Administrative Code of Georgia and information about the license that is issued using unified automatic means of management;
- e) keeps the documentation submitted by the license applicant in accordance with the law;
- f) controls the fulfillment of the license conditions by the license holder in accordance with the law.

#### Article 14. License certificate form

The form of the license certificate is determined by the law and/or by the normative act of the license issuer or the superior administrative body.

#### Article 15. Loss or damage of license certificate

1. In case of loss or damage of the license certificate, the license holder (his representative) applies to the license issuer with a written request for the issuance of a duplicate license certificate.
2. Within 2 days of receiving the application, the license issuer shall issue a duplicate license certificate and enter relevant information in the departmental license register.
3. A duplicate license has the same legal force as its original.
4. The amount of the fee to be paid for issuing a duplicate license certificate is determined by the Law of Georgia "On License and Permit Fees".

#### Article 16. Implementation and validity period of activity license

1. In the event of a decision on the issuance of an activity license, the applicant for a license is entitled to carry out the activities provided for by the license on the basis of the relevant administrative act before receiving the license certificate.
2. In the event that the license issuer does not make a decision on issuing a license or refusing to issue a license within the time limit specified by law, the license seeker can carry out the activities provided for by the license only after receiving the license certificate.

3. In case of loss or damage of the license certificate, the license holder is entitled to carry out licensing activities on the basis of the relevant administrative act until the certificate is restored.

4. The license issuer is obliged to issue the relevant license certificate together with the decision on the application satisfaction.

5. The license is issued for an indefinite period.

#### Article 161. Procedure for Issuing the Recommendation of the Standing Commission for Military-Technical Issues of the Ministry of Defense of Georgia

The list of documents to be submitted to the Commission for the recommendation of the Standing Commission for Military-Technical Issues of the Ministry of Defense of Georgia, as well as the procedures for decision-making by the Commission and the criteria to be taken into account when making a decision, are determined by the resolution of the Government of Georgia.

#### Chapter IV. Usage license issuance procedure

##### Article 17. Documentation to be submitted for obtaining a usage license

1. When issuing a license by auction, the applicant for a utility license shall submit a written application, which must contain an indication of which type of utility license the license applicant requests to receive.

2. The application must be accompanied by extracts from the state register for a private legal entity and an individual entrepreneur, and for a natural person - copies of the documents confirming the identification established by the law. A legal entity under public law must attach certified copies of its founding documents to the application.

3. The application must also be accompanied by a document confirming the payment of the license fee. The amount of the license fee, its payment in the budget, as well as the procedure for returning the overpaid amount by the license seeker are determined by the Law of Georgia "On License and Permit Fees".

4. Application for participation in the auction will be accepted within 15 days after the announcement of the auction. The final deadline for receiving applications is determined by the license issuer in each specific case.

5. If the license seeker refuses to participate in the auction before the deadline for submitting the application, the license fee paid by him is subject to return.

##### Article 171. Direct rule for issuing mineral extraction license

1. In the case of the approval of the Government of Georgia, the license issuer may also issue a mineral extraction license directly:

a) to the holder of the water supply license provided for in Article 6, Clause 87 of this law - for the purpose of providing consumers with water supply (drinking water) for extracting fresh underground water;

b) for the extraction (extraction, study-extraction) of useful minerals for tourist and recreational purposes - healing mud and/or underground mineral waters for external use (healing baths).



2. The cancellation of the water supply license provided for in sub-paragraph "a" of the first paragraph of this article is the basis for the cancellation of the mineral extraction license.<sup>3</sup> The license issuer may directly issue a mineral extraction license on a privately-owned land plot for commercial extraction of underground fresh water, with the right to extract no more than 5,000 (five thousand) cubic meters per year.

4. In case of interest in obtaining a mineral extraction license in a direct manner, the license seeker shall submit an appropriate written application to the license issuer. This statement must contain information about the volume, location and purpose of extraction of the mineral to be extracted.

5. In order to obtain a mineral extraction license directly, the applicant for a license must attach to the application provided for in paragraph 4 of this article:

a) in the case of a private law legal entity or an individual entrepreneur - extract from the register of entrepreneurs and non-entrepreneurial (non-commercial) legal entities;

b) in the case of a natural person - copies of identification documents established by the legislation of Georgia;

c) in the case of a legal entity under public law - copies of founding documents.

6. In the case defined by subsection "a" of the first paragraph of this article, the license seeker is obliged to submit a document confirming the possession of a water supply license together with the documentation mentioned in paragraphs 4 and 5 of the same article.

7. In the case defined by paragraph 3 of this article, the license seeker is obliged to submit a document confirming ownership of the plot of land together with the documentation mentioned in paragraphs 4 and 5 of the same article.

8. In order to obtain a mineral extraction license in a direct manner, the license seeker must also attach a document confirming the payment of the license fee to the application provided for in paragraph 4 of this article. The amount of the license fee and the manner of payment in the budget are determined by the Law of Georgia "On License and Permit Fees".

9. In order to directly issue the license provided for in this article, the license issuer establishes:

a) requirements for using a specific facility;

b) additional license conditions for the license applicant.

10. The Government of Georgia shall establish the procedure for directly issuing the license provided for in this Article.

#### Article 18. The procedure for issuing the usage license by auction

1. The usage license is issued by auction, except for the cases stipulated by this law.

2. The basis for starting the process of issuing a license for the use of a specific state resource is both the application of the license seeker and the decision of the license issuer.

3. The decision of the license issuer on the basis of the application or his own initiative to issue the usage license by auction is an administrative act.

4. For issuing a license to use state resources, it is established:

- a) requirements for using a specific facility;
- b) Additional license conditions for the license applicant.

Additional license terms are established by law.

5. The license issuer may establish quantitative, qualitative and time-defined norms and rules for the specific object of the use license, taking into account the state and public interests. 6. If the use of a specific resource of the use license and the license conditions and requirements established for this use in its essence include the activity/action provided for by another license or permit and the corresponding additional conditions, it is not necessary to obtain this license or permit to use the said resource.

7. A license for the use of a specific resource is issued by auction on the basis of taking the obligation to meet the norms and rules established for use and proposing the highest price.

8. Every license seeker has the right to participate in the issuance of a license by auction, who meets the license conditions established by law and undertakes to meet the requirements defined by the license issuer.

9. The issuer of the license shall publish information on the holding of the auction for the issuance of a license to use a specific state resource on its website no later than 1 month before the holding of the auction, except for the cases provided for in Clause 91 of this Article. In case of holding the auction through another website, it is obligatory for the licensor to publish appropriate information on his website no later than 3 working days before the date of the auction, which should indicate the date of the auction and the address of the website through which the auction is held. Other means can be used to spread the information about holding the said auction.

91. For the extraction of fuel resources and energy resources (except oil and gas), mining and chemical raw materials, non-mineral raw materials, building materials, if the total volume/weight to be extracted does not exceed 500,000 (five hundred thousand) cubic meters/tons, as well as for the issuance of a license for the extraction of underground fresh water for entrepreneurial purposes. The license issuer publishes information about the auction on its website no later than 15 days before the auction. In case of holding the auction through another website, it is obligatory for the licensor to publish appropriate information on his website no later than 3 working days before the date of the auction, which should indicate the date of the auction and the address of the website through which the auction is held. Other means can be used to spread the information about holding the said auction.

10. The published information should include the following data:

- a) the name of the license issuer;
- b) the specific object of the usage license;
- c) the terms of receiving the application and holding the auction by the license seeker;

- d) license conditions established by law;
- e) requirements for using a specific facility;
- f) criteria for identifying the winner;
- g) other data - by the decision of the license issuer.

11. The license issuer determines the quantity, volume and manner of use of the specific object of the use license, for which the use license is issued.

12. The procedure for holding the auction, identifying the winner and issuing the corresponding license certificate is established by the license issuer.

Article 19. The rule of determining and settling the initial price of issuing a usage license. Term of validity of the usage license

1. The rules for determining and settling the initial price for issuing a license for use, in compliance with the principles provided for by this law, are established by the issuer of the license.<sup>11</sup> If the issuance of the exploitation license provided for in paragraphs 1, 4, 5 and 9 of Article 7 of this law requires an environmental decision provided for by the Environmental Assessment Code, extraction of minerals is possible only after the issuance of this decision. If, in accordance with the Environmental Assessment Code, a decision was made to refuse to carry out the activity, or the environmental decision established such conditions that essentially change the license conditions for the owner of the use license, the owner of the use license, upon his request, will be refunded the final/offered amount fixed at the auction. The procedure for refunding money is determined by the normative act provided for in the first paragraph of this article.

2. Considering the state and public interests, in order to issue the usage license at the most optimal price, the validity period of the usage license is determined by the license issuer based on the application of the license seeker or without it. This term will be taken into account when determining the starting price of the auction.

3. It is not allowed to issue a usage license for life. When determining the term, take into account the feature of the specific object of the use license and the technological nature of the use.

4. The license issuer, with the approval of the Government of Georgia, has the right to extend the validity period of the usage license.

*Georgia Law No. 4681 of May 17, 2011 - website, 01.06.2011*

*Georgia's Law No. 895 of June 2017 - website, 21.06.2017*

Article 20. Transfer of the usage license in whole or in part. Other issues related to the use license

1. The license holder has the right to divide the usage license into several parts and to transfer the usage right or its part on lease or ownership to another person, except for the case provided by paragraph 7 of this article.

2. In case of alienation of the license or its part, the license holder is obliged to submit relevant documents to the license issuer. The license issuer makes changes in the license register within 10 calendar days and issues the appropriate license certificate.

21. If, before the alienation of the entire license or a part of the license, the license holder was at the same time the person defined by the Environmental Assessment Code, to whom the environmental decision was issued, after the completion of the procedure provided for in paragraph 2 of this article, the license holder and the licensee shall apply to the authorized administrative body issuing the environmental decision to make changes to the register of relevant decisions, to issue a decision and to issue an environmental decision in accordance with this decision. In order to determine the conditions. In such a case, the responsibility of each entity for violation of environmental conditions is determined individually, in accordance with the conditions established for it. The authorized administrative body issuing the environmental decision will review the submitted application together with the attached documentation and take the appropriate decision in a simple administrative procedure.

3. Non-fulfilment of the obligation specified in paragraph 2 of this article by the license issuer does not prevent the licensee from exercising the relevant benefits. 4. The licensee is entitled to carry out the relevant use only after meeting the license conditions, taking the obligation to meet the requirements established for the use of a specific facility, and submitting information on the transfer of the use license to the license issuer, and in the case provided for by paragraph 21 of this article - after making an additional environmental decision. The licensee is responsible for non-fulfillment of the mentioned obligations.

5. The issues related to the rights and duties of the license issuer and the loss and damage of the license certificate are regulated by the rules established by Chapter III of this law.

6. It is not allowed to transfer the usage license in whole or in part to another person, when the license holder has been deprived of the right to work in the relevant licensable field by a legally binding judgment of the court.

7. Only with the consent of the Government of Georgia is it possible for the owner of the license to use the resources on the Black Sea continental shelf of Georgia to divide it into several parts, to lease or transfer the use license and the right to use or a part of it to another person.

8. Any person, including a credit institution or an insurance organization, to whose ownership, use or management the license related to the use of pledged or otherwise encumbered natural resources will be transferred, is obliged to comply with the license conditions, the requirements established for the use of a specific facility and other requirements established by the license issuer.

## Chapter V. Control over the fulfillment of license conditions. Cancellation of license

### Article 21. Control over the fulfillment of license conditions

1. The license issuer controls the fulfillment of the license terms by the license holder. The license issuer is authorized to carry out control, if the said function does not belong to the competence of another administrative body according to the legislation. In the cases provided by the law, the requirements provided by other normative acts may be subject to the control of the license issuer, and in case of their violation, the forms of responsibility provided by this law may be used.

2. The licensor exercises control only by selectively checking the fulfillment of the license conditions and/or by regular reporting by the license holder.
3. Unless otherwise established by law, the license holder shall report on compliance with the license conditions every year from April 1 to May 1. Reporting is done by written submission to the license issuer. A license holder who receives a license within 6 months before the beginning of the reporting period is not obliged to submit a report to the license issuer.
4. If the submitted report does not clearly declare or does not indicate the fact of compliance with the license conditions, the licensor has the right to contact the license holder and request information confirming compliance with the license conditions within a reasonable period of time.
5. Failure of the license holder to comply with the requirements specified in paragraph 4 of this article is the basis for imposing the liability established by the law.
6. The licensor controls the fulfillment of the license conditions only by checking the license conditions. The license issuer does not have the right to check or request the presentation of such factual circumstances that are not directly related to the compliance of the license conditions by the licensee.
7. The decision of the license issuer to conduct a selective inspection is an administrative act. The license issuer is obliged to present the mentioned administrative act to the license holder during the selective inspection.
8. By the decision of the license issuer, it is possible for representatives of other administrative bodies to participate in the selective inspection.
9. After completing the selective inspection, the license issuer is obliged to draw up an appropriate inspection act, which will be entered in the register specially prepared for this purpose by the license issuer.
10. Unless otherwise established by law, the licensor can control the fulfillment of license conditions only once during a calendar year.

#### Article 22. Liability for violation of license conditions. Cancellation of license

1. Failure of the license holder to comply with the license conditions established by law will result in the license holder being fined in accordance with the law. The amount of the fine is determined by law. The license issuer shall determine a reasonable term for the fulfillment of the license conditions and shall determine the conditions that must be observed for the implementation of a specific activity.
2. Despite the imposition of responsibility, failure of the license holder to comply with the license conditions within the stipulated period will result in the trebling of the imposed fine. When imposing a fine on the license holder, the deadline and relevant conditions for satisfying the license conditions will be determined.
3. If the license conditions are not met by the licensee after the expiry of the period established from the imposition of the tripled fine, the imposed fine will be tripled.
4. If the license holder fails to comply with the license conditions despite the imposition of responsibility provided for in paragraphs 1, 2 and 3 of this article, the license issuer makes a decision to cancel the license.

41. If it is clear that the license holder's failure to comply with the terms of the license and/or the requirements for the use of a specific object will not result in a fine, the license issuer is entitled to revoke the license through a simple administrative procedure.

5. In the decision to cancel the license, the licensor must justify the necessity of using this form of responsibility.

6. Revoking a license means declaring the decision to issue a license void in accordance with the General Administrative Code of Georgia.

7. The grounds for declaring the decision on the issuance of a license invalid are:

a) request of the license holder;

b) death (liquidation) of the owner of the activity license, declaration of death according to the established procedure, recognition as missing or recognition as a recipient of support, unless otherwise determined by the court decision;

c) failure to comply with the license conditions established by law;

d) The legally binding judgment of the court regarding the deprivation of the right to work.

71. The license issuer is entitled to cancel the license related to the use of seized, pledged or otherwise encumbered natural resources in accordance with the procedure established by this law, if there are grounds for canceling the license. In case of cancellation of the license, the corresponding seizure, bail or other encumbrance is also cancelled.8. The issuer of the license makes a decision on the cancellation of the license for the issuance of the license in accordance with the procedure established by this law. The license issuer is obliged to immediately inform the license holder about the initiation of administrative proceedings regarding the cancellation of the license.

9. In the presence of the grounds provided for in subparagraph "d" of paragraph 7 of this article, as well as in the case of urgency, when the delay in making a decision may cause significant damage to public or private interests, the license issuer is obliged to make a reasoned decision on the cancellation of the license within 3 days and to immediately inform the license holder about the cancellation of the license.

91. Non-payment of the regulation fee by the owner of the usage license provided for in Clauses 1, 2, 4, 5 and 9 of Article 7-7 of this law will result in the license holder being fined. Also, regardless of the imposition of a fine, if the license holder fails to pay the adjustment fee within 30 calendar days after the expiration of the prescribed period for payment of the adjustment fee, the license issuer is entitled to cancel the license by simple administrative procedure.

10. The license certificate must be returned to the license issuer within 3 days after the decision to cancel the license comes into force.

11. Liability, in the form of revocation of the license, is used only after penalizing the license holder fails to ensure compliance with the license conditions and the licensor proves that the revocation of the license will not cause more harm than the validity of the license.

12. If the revocation of the license can cause more damage than the continuation of the license, or it is essentially impossible to suspend its validity, the licensor shall take a reasoned decision to grant the license holder the right to continue the licensable activity in compliance with the conditions established by him. In such a case, the license holder is obliged to ensure the fulfillment of additional license conditions within a reasonable period of time established by the license issuer.

13. If, in the case provided for by paragraph 12 of this article, the licensee does not ensure the fulfillment of the license conditions, the licensor is authorized to make a decision to ensure the fulfillment of the license conditions by himself or through third parties, on behalf of and at the expense of the licensee, regardless of the responsibility of the licensee.

14. In the case of types of licenses provided for by law, when it is impossible to fulfill the license conditions in accordance with paragraph 13 of this article, based on the petition of the license issuer, the court makes a decision on the appointment of a special manager to carry out the licensable activity and fulfill the license conditions. If the delay may cause damage, the licensor shall appoint a special administrator by a reasoned decision and immediately submit it to the court for a decision.

15. It is possible to apply the rule established by paragraphs 12, 13 and 14 of this article regardless of fining the license holder, if the license issuer knows in advance that the application of a fine to the license holder cannot ensure the fulfillment of the license conditions. The license issuer is obliged to substantiate the said decision.<sup>16</sup> The special manager is authorized to implement all measures related to the licensable activity at the expense of the license holder in order to ensure the fulfillment of the license conditions as soon as possible. If no other term is established by law, the monthly report of the activities carried out by the special administrator is approved by the court.

17. A special manager is appointed for a specified period, taking into account the license conditions to be fulfilled. If the license conditions were not fulfilled within the set period, the court has the right to extend the said period.

18. The license holder is obliged to immediately provide the special manager with any information or material means related to the licensable activity upon request. Non-fulfilment of the said duty by the license holder or obstructing the special manager will result in the liability of the license holder in accordance with the law.

19. In the event that the special manager or the license holder himself ensures the fulfillment of the license conditions, the court makes a decision on the cancellation of the special management.

20. All actions aimed at ensuring the fulfillment of the license conditions, including the remuneration of the special manager, are carried out at the expense of the license holder.

21. The issues of authority, activities and compensation of the special manager, taking into account the specifics of the licensable activity, can be additionally regulated by the normative act of the license issuer or its superior (controlling) administrative body.

22. If the license holder has a general license and cannot meet the license conditions regulating any narrow special activity of similar type of activities, he is authorized to carry out other activities stipulated by the general license. Non-fulfillment of license conditions regulating narrow activities cannot be the basis for prohibiting the implementation of other activities stipulated by the general license.



23. Implementation by the holder of a general license of any of the similar types of activities in violation of the license conditions regulating narrow special activities will result in liability in accordance with the procedure established by this article.

24. The control of the fulfillment of the license conditions and the requirements established for the use of a specific facility by the owner of the usage license and the responsibility for their violation is determined by the rules established by Articles 21 and 22 of this law.

25. (Retrieved - 16.03.2012, No. 5854).

26. Paragraphs 11-21 of this article do not apply to the case provided for by subparagraph "d" of paragraph 7 of the same article.

Article 23. Suspension of the decision to issue, refuse to issue, or revoke a license in case of filing an administrative complaint or lawsuit

In case of filing an administrative complaint or lawsuit, the decision to issue, refuse to issue, or revoke a license shall not be suspended, unless the administrative body that issued the license or the administrative body reviewing the complaint (suit) or the court makes another decision.

**Door III\*\*.** grant permission\*\*

Chapter VI. Types of permission

Article 24. Types of permission

1. Transit permit for products subject to veterinary control.

2. Import permit for products subject to veterinary control.

3. Permit to import products of plant origin subject to phytosanitary control.4. (Retrieved - 01.06.2017, No. 895).

5. (removed).

6. (removed).

7. (Retrieved - 13.04.2016, No. 4950).

71. Permit for import, export and transit of waste.

72. Permit for import, export, re-export and transit of ozone-depleting substances.

8. Permission to use industrial explosive materials.

9. Acquisition and transfer of radioactive materials.

10. Import, export of radioactive materials, raw materials from which nuclear material can be obtained or produced, equipment containing radioactive substances, nuclear technology or know-how, as well as export, import and transit of radioactive sources.

L01. Export of radioactive waste.

11. Permission for export, import, re-export and introduction from the sea of species included in the appendices of the Convention on International Trade in Endangered Species of Wild Flora and Fauna (CITES), their parts and derivatives.

L11. Aquaculture permit.

L12. Permit for extensive aquaculture.

12. (removed).

13. Permission to purchase (with the right to keep) short-barreled firearms for defense or sports short-barreled firearms by an individual.

14. Permit for the purchase (with the right to store and carry) of self-defense gas weapons, hunting firearms, sporting long-barreled firearms or sporting short-barreled firearms by an individual.

L41. Permit for the purchase (with the right to store and carry) of a civilian weapon defined by paragraph 13 of this article by a person who, according to the legislation of Georgia, retains the right to carry a weapon after leaving the service.

L42. Permission to purchase (with the right to store and carry) the weapons owned by the persons specified in subsections "h"-"j" of Article 9, Clause 2 of the Law of Georgia "On Weapons" during the period of official authority.

L43. Permission to purchase (with the right to carry) a weapon given as a service weapon for the beneficiaries specified in subsections "h"-"j" of article 9, paragraph 2 of the Law of Georgia "On Weapons".

15. Permission to export civilian firearms and/or gas weapons purchased in Georgia by a foreign citizen from Georgia.

L51. Permission to import and export hunting or sporting firearms and/or ammunition to Georgia by a citizen of a foreign country.

L52. Permission for temporary export of sports or hunting firearms from Georgia and import to Georgia by a sports institution of the relevant profile for participation in a sports event abroad.

L53. Permission to open shooting range, shooting range, shooting and hunting stand.

16. Permission to set up a shooting range, a shooting range and a shooting-hunting stand.

17. Permitting the import, export, re-export or transit of civilian weapons, firearms components, ammunition and ammunition components.

L71. Permission to import military products.

L72. Permission to export military products.

173. Permit for transit of military products.

174. Permission for brokerage services for military products.

175. Permission for technical assistance for military products.

18. Permission to collect and display weapons. 19. During the visit of representatives of foreign countries and international organizations, as well as other important persons, permission to bring weapons and ammunition to Georgia, to take them out of Georgia, and to move them to Georgia.

20. Transfer of weapons and ammunition - permit for transportation and reshipment.

21. removed.

22. A permit for the importation (except for transit and re-export) of civilian firearms and/or gas (gas) weapons, its/their main elements and/or ammunition into or out of Georgia by a citizen of Georgia.

23. Construction permit (except construction of radiation or nuclear facilities of special importance).

24. Construction permit for facilities of special importance (except for radiation or nuclear facilities).

241. Permission for construction of radiation or nuclear facilities.

25. (removed).

26. Permit for regular passenger transport within the administrative boundaries of the municipality.

261. Permit to transport in the capital of Georgia by car - taxi (M1 category).

27. Permit for import of dual purpose products.

271. Permit for export of dual purpose products.

272. Permit for transit of dual purpose products.

273. Permit of brokerage services for dual purpose products.

274. Technical assistance permit for dual purpose products.

28. Permit for the production of aviation works.

281. Irregular International Air Carriage Permit.

29. One-time and multiple permit for international road passenger transportation established by the international agreement of Georgia.

30. One-time and multiple permits for international freight transportation established on the basis of international agreements of Georgia.

31. Permit for international freight transportation from the territory of Georgia (over the quota established on the basis of an international agreement) carried out by a carrier of a foreign country.

- 32. Free trade point activity permit.
- 33. Customs warehouse activity permit.
- 34. (removed).
- 341. (Removed - 13.10.2011, No. 5121).
- 35. (removed).
- 36. (removed).
- 37. Permission to set up Samorine.
- 371. Permit to set up a gambling club.
- 372. Permit to provide games of chance and/or games of chance.
- 38. Permission to set up a gaming machine cabin.
- 39. Permission to set up a bookmaker.
- 40. Lottery arrangement permit.
- 41. Permit to organize bingo.
- 42. Permission to organize an incentive raffle.
- 421. Permission to arrange parity.
- 43. Permit to import or export medicinal products subject to special control.
- 44. Permission for clinical research of a pharmacological agent.
- 45. Permit for pharmaceutical production (medicinal products, except for narcotic drugs).
- 46. Authorized pharmacy permit.
- 47. (removed).
- 48. (removed).
- 49. Permit to import non-iodized salt.
- 50. Permit for works on the cultural heritage monument.
- 51. Permit for archaeological works.
- 52. Permission to export Georgian cultural values from Georgia.
- 53. Outdoor advertising permission.
- 54. Inpatient Facility Permit.

55. (Retrieved - 23.12.2017, No. 1931).

56. (Retrieved - 23.12.2017, No. 1931).

## Chapter VII. The procedure for issuing a permit through a simple administrative procedure

Article 25. Documentation to be submitted for obtaining a permit<sup>1</sup>. The permit seeker submits a written application to the permit issuer to obtain a permit. The submission, review and processing of the application for obtaining a permit is carried out in accordance with the procedure established by Chapter VI of the General Administrative Code of Georgia, except for the cases provided for by Articles 262, 263 and 265 of this law and Article 8, Clause 7 of the Law of Georgia "On Aquaculture".

2. The application must meet the requirements stipulated by Article 78 of the General Administrative Code of Georgia. It should also contain an indication of which type of permit the permit seeker is seeking and a list of attached documents.

3. The application must be accompanied by: for a legal entity under private law and an individual entrepreneur - extracts from the public register (except for the cases provided for in clauses 28 and 281 of Article 24 of this law), and for a natural person - copies of documents confirming identification established by the legislation of Georgia. A legal entity under public law must attach certified copies of its founding documents to the application.

4. The application must also be accompanied by a document confirming the payment of the permit fee, except for the cases provided for in Articles 261-263 and 265 of this law, as well as in the case when the applicant for the permit is a ministry provided for in the Law of Georgia "On the Structure, Powers and Procedures of the Government of Georgia" or a state sub-departmental institution under its governance. The amount of the permit fee, its payment in the budget, as well as the procedure for returning the overpaid amount by the permit seeker are determined by the Law of Georgia "On License and Permit Fees". Additional attached documents may be determined only by law.

5. Depending on the nature of the activity, in addition to the conditions stipulated in this article, additional permit conditions are determined by the law or by the decision of the representative body of the municipality on the basis of the law.

6. If the permit seeker requests a permit for a specific activity and has a permit for a similar type of activity, the permit issuer does not investigate the factual circumstances that satisfy the permit conditions that were established when the previous permit was issued.

7. The permit seeker is obliged to present such factual circumstances satisfying the additional permit conditions, the confirmation of which is not directly related to the administrative proceedings for issuing the permit. Confirmation of the mentioned factual circumstances is carried out by a separate administrative proceeding.

8. The permit seeker has the right not to present such documents confirming the factual circumstances satisfying the additional permit conditions, which are issued by another administrative body and are the basis for issuing the permit.

9. In order to confirm and present the factual circumstances provided for in paragraph 7 of this article, the permit issuer, in accordance with the procedure established by Article 84 of the General Administrative Code of Georgia, upon determining the compliance of the application with the requirements established by this law, shall hand over copies of the application and attached documents to another administrative body. The permit issuer is obliged to provide copies of the application and attached documents to another administrative body no later than 3 days after determining the compliance of the application with the requirements established by law. 10. Another administrative body participates in the administrative proceedings related to the issuance of the permit and is obliged to determine in an appropriate manner the factual circumstances, the confirmation of which is not the responsibility of the permit seeker. Another administrative body is authorized to issue a reasoned refusal to determine the factual circumstances provided for in paragraph 7 of this article.

11. Another administrative body is obliged to make a decision on determining or refusing to determine the factual circumstances no later than 15 days after submission of copies of the application and attached documents to the permit issuer. If the mentioned term is not enough to determine the factual circumstances provided for in paragraph 7 of this article, another administrative body is authorized to request an extension of the term with a reasoned petition no later than 5 days after receiving the copies of the application and the attached documents. In case of making a decision, another administrative body is obliged to submit the decision to the permit issuer no later than 17 days after submitting the application to the permit issuer.

12. In case of non-satisfaction by the grantor of the reasoned petition of another administrative body, the grantor of the permit is responsible for the damage caused in connection with the mentioned issue.

13. If, within the established period, the actual circumstance was not confirmed in the appropriate manner by another administrative body, or if there was a justified refusal to confirm it, the additional permit conditions established by the legislation will be deemed satisfied.

14. It is not permissible for the permit issuer to request the permit seeker to submit proof of the factual circumstances provided for in paragraph 7 of this article.

15. In the case of changes in the data provided for in paragraphs 2 and 3 of this article, the permit holder is obliged to inform the permit issuer in writing about this and submit the appropriate documents within 7 days of the relevant change.

16. If the action provided for by the permit is performed by a legal entity, the branch of this legal entity has the authority to perform the said action. The permit holder is obliged to notify the permit issuer in advance of the fulfillment of the permit conditions by the branch in order to perform the permit action by the branch. It is not permissible for the permit issuer to impose such an additional condition or regime, which in its content implies the issuance of a separate permit for the branch of the legal entity holding the permit. If a legal entity or a branch carries out such action, which is regulated by a permit, and this is not provided for by the permit obtained by them, it is necessary to obtain an appropriate permit by this legal entity.

## Article 26. General rules for issuing a permit

1. The issuer of the permit makes a decision on the issuance of the permit according to the simple administrative procedure defined by the legislation of Georgia and in accordance with this law, except for the

cases provided for in articles 261-263 and 265 of the same law.

2. (Retrieved - 11.10.2011, No. 5093).

3. The decision to issue a permit, refuse to issue it or cancel it is an administrative act and must comply with the requirements established for an administrative legal act by Chapter IV of the General Administrative Code of Georgia. 4. If in order to determine the circumstances of essential importance for the case, it is necessary for the administrative proceedings to take longer than the period defined by the law, the permit issuer is authorized to make a reasoned decision to extend the period of the administrative proceedings to no more than 3 months only for the types of permits defined by the law. The permit issuer is obliged to make the said decision within 15 days from the submission of the application.

5. It is not allowed to extend the permit issuance period in accordance with paragraph 6 of this article, if the permit seeker is not notified of the extension of the permit issuance period within 20 days from the submission of the application.

6. If, due to specific circumstances, it is impossible to issue a permit within the time limit defined by the law, the Government of Georgia makes a decision to extend the period up to an additional 3 months based on a reasoned petition of the permit issuer. The permit issuer is obliged to immediately inform the permit seeker about the decision of the Government of Georgia.

7. If the type of specific permit, the extension of the term of which is possible in accordance with paragraph 6 of this article, is characterized by an increased threat to human life and health, concerns a wide circle of state and public interests, and 3 months is not enough to determine the circumstances envisaged by this action, the permit issuer has the right to apply to the Government of Georgia to extend the term of the permit for another 3 months. If the above-mentioned conditions exist and become known to the permit issuer during the submission of the application, the permit issuer is entitled to apply to the Government of Georgia with a reasoned petition to extend the permit issuance period up to 6 months.

8. In the case of sharing a reasoned appeal of the permit issuer, the Government of Georgia makes a decision to extend the permit issuance period by 3 months. In the presence of the grounds stipulated in paragraph 9 of this article, the permit issuer is obliged to apply to the Government of Georgia with a reasoned petition within 2 months from the submission of the application, and in case of extension of the deadline, to immediately inform the permit seeker.

9. In case of extension of the administrative proceedings related to the issuance of the permit up to 3 or 6 months, the grantor of the permit is authorized to make a decision on the extension of the period of confirmation of the factual circumstances up to 2 months based on a reasoned petition of another administrative body.

10. The permit issuer is obliged to make a decision on the issuance of the permit within 20 days from the submission of the application. If the decision to issue a permit or refuse to issue a permit is not made within the mentioned period, the permit will be considered issued.

11. The permit seeker is entitled to request a permit certificate after the expiration of the period established for the issuance of the permit. The permit issuer is obliged to issue the permit certificate immediately.



#### Article 261. The procedure for issuing a permit for outdoor advertising

1. Making a decision on the introduction of the outdoor advertising permit provided for in Article 24, Clause 53 of this law is the discretionary authority of the representative body of the relevant municipality. In the event of a decision on the introduction of the permit regulation for the placement of outdoor advertising, the permit will be issued by the executive body of the municipality.
2. The permission to place outdoor advertising provided for in Article 24, Clause 53 of this law is issued by auction. Permission to place outdoor advertising is issued on the basis of undertaking to meet the established norms and rules and presenting the highest price. The permit seeker, in case of winning the auction, pays only the price of the permit for the placement of outdoor advertising according to the results of the auction. There is no fee for outdoor advertising.
3. The conditions and procedure of the auction are established by the representative body of the relevant municipality. When determining the procedure for conducting the auction, the basic requirements stipulated in Articles 25 and 26 of this law must be observed.
4. The rule of determination and settlement of the initial price for issuing the permission to place outdoor advertising shall be established by the representative body of the municipality in compliance with the principles provided for in this law.
5. The outdoor advertising placement permit prescribed by this law is issued only for outdoor advertising placement on the land plot or other property owned by the state or municipality. Placing outdoor advertising on a plot of land or other property owned by a legal entity of natural or private law or other organized entity provided for by the legislation of Georgia does not require a permit for the placement of outdoor advertising defined by this law.

#### Article 262. **Procedure for Issuing a Permit for Regular Passenger Transportation within the Administrative Boundaries of the Municipality**

1. The permit for regular passenger transportation within the administrative boundaries of the municipality is issued by the executive body of the municipality, within the administrative boundaries of the Tbilisi municipality - the government of the Tbilisi municipality, a structural unit of the Tbilisi City Hall or a legal entity established by the municipality. The winning permit seeker in the competition shall pay the permit fee for a regular passenger transportation permit within the administrative boundaries of the municipality. No fee shall be paid when issuing a permit for regular passenger transport within the administrative boundaries of the municipality.
2. The price for issuing a permit for regular passenger transport within the administrative boundaries of the municipality is determined, and the rules for holding a competition for issuing the permit and paying the price for issuing the permit are approved by the representative body of the municipality\*.\*
3. The price of issuing a permit for regular passenger transportation within the administrative boundaries of the municipality shall be credited to the budget of the respective municipality.

Article 263. Rules for Issuing Multiple Permits for International Road Passenger Transport established by the International Agreement of Georgia and Multiple Permits for International Freight Transportation established on the basis of international agreements of Georgia<sup>1</sup>. The multiple permit for international road passenger transportation established by the international agreement of Georgia and the multiple permit for

international truck transportation established on the basis of the international agreements of Georgia (hereinafter - multiple permit) are issued by the public law legal entity included in the system of the Ministry of Economy and Sustainable Development of Georgia - Land Transport Agency. The winning permit seeker in the competition pays the permit fee for multiple permits. No fee shall be paid for issuing multiple permits.

2. The Ministry of Economy and Sustainable Development of Georgia determines the fees for issuing multiple permits, and also approves the rules for conducting a competition for issuing multiple permits and paying the fees for issuing multiple permits.

3. The fee for issuing multiple permits will be credited to the account of the Land Transport Agency, a legal entity under public law within the system of the Ministry of Economy and Sustainable Development of Georgia.

Article 264. The procedure for issuing a construction permit

1. (Removed - 20.07.2018, No. 3218).

2. (Removed - 20.07.2018, No. 3218).

3. (Removed - 20.07.2018, No. 3218).

4. The building permit issuing authority is authorized to carry out the construction permit issuing process in electronic form.

5. The rules and conditions for issuing a construction permit in electronic form and reviewing an individual administrative-legal act are determined by the normative act of the Government of Georgia, and in the city of Tbilisi - by the normative act of the Sakrebulo of the city of Tbilisi. Official notification of an individual administrative-legal act issued in electronic form to an interested party means notification of an individual administrative-legal act by e-mail or other technical means.

6. (Removed - 20.07.2018, No. 3218).

7. (Removed - 20.07.2018, No. 3218).

8. In the process of issuing a construction permit for a state fire supervision facility, a conclusion on the fulfillment of fire safety requirements is mandatory, which is issued by the state sub-departmental institution under the governance of the Ministry of Internal Affairs of Georgia - Emergency Situations Management Service based on the application of the authority issuing the construction permit.

9. The decision to issue a construction permit for the purpose of increasing the existing capacity of the power plant, as well as for the construction of a new power plant, should be made based on the following objective, transparent, legally justified and non-discriminatory criteria:

a) safety and security of the power plant, including its impact on the overall safety and security of the electric power system;

- b) protection of public health and safety;
- c) environmental protection;
- d) land use and layout;
- e) use of land of the state, autonomous republic and/or municipality;
- f) energy efficiency;
- g) the nature of the primary source of energy;
- h) characteristics of the existing or potential electricity producer - technical, economic and financial capabilities;
- i) compliance with measures related to public service obligations in the electricity sector, where relevant;j) the contribution of the power plant capacity to the achievement of the general target indicators of the increase in the share of energy obtained from renewable energy sources, which are established in the country, taking into account the international obligations of Georgia;
- k) Contribution of the power plant to the emission reduction.

Article 265. Procedure for Issuing a Permit for Transportation in the Capital of Georgia by Car - Taxi (M1 Category)

1. The permit for transportation in the capital of Georgia by light vehicle - taxi (M1 category) is issued by the government of Tbilisi Municipality, a structural unit of the City Hall of Tbilisi Municipality authorized by it, or a legal entity established by the municipality. The permit seeker pays the price of the permit to get the permit for transportation in the capital of Georgia by car - taxi (M1 category). No fee will be paid when issuing a permit for transportation in the capital of Georgia by car - taxi (M1 category).
2. The representative body of the capital of Georgia approves the permit conditions for transportation in the capital of Georgia by light vehicle - taxi (M1 category), the procedure for issuing the permit, the price for issuing the permit and the procedure for its payment.
3. The price of issuing a permit for transportation in the capital of Georgia by car - taxi (category M1) will be credited to the budget of the capital of Georgia.

*Georgia May 4, 2018 Law No. 2262 – Website, 24.05.2018*

*Law of Georgia of July 17, 2020 No. 7061 - website, 29.07.2020*

**Article 266. Rules for issuing permits for export, import, re-export and introduction from the sea of species included in the appendices of the Convention (CITES) on "International Trade in Endangered Species of Wild Flora and Fauna" (CITES)**

1. In the cases of export, import, re-export and introduction from the sea of species included in the appendices of the Convention "On International Trade in Endangered Species of Wild Flora and Fauna" (CITES), their parts and derivatives, the said permit can be issued retrospectively, as an exception.

2. The procedure for issuing permits for export, import, re-export and introduction from the sea of species included in the appendices of the Convention "On International Trade in Endangered Species of Wild Flora and Fauna" (CITES), their parts and derivatives, including its retrospective issuance, is defined in the "Red List" and "Red Book" of Georgia. Chapter VIII<sup>1</sup> of the Act.

#### Article 27. Grounds for refusal to issue a permit

The permit issuer shall not issue a permit if:

- a) the application submitted by the permit seeker and the attached documents do not meet the requirements of the law and were not corrected by the permit seeker within the time limit set by the administrative body;
- b) the permit seeker cannot meet the permit conditions established by the law or on the basis of the law by the representative body of the municipality;
- c) Permit seeker Bell has been deprived of the right to work in the relevant permit area by a legally binding judgment of the court.

#### Article 28. Appeal against the refusal to issue a permit

The permit issuer's decision to refuse to issue a permit may be appealed to a higher administrative body (official) or to a court.

#### Article 29. Rights and duties of the permit issuerLicensor:

- a) issues a permit, amends it or cancels it in the cases established by law and according to the established procedure;
- b) maintains departmental permit register;
- c) (removed);
- d) within 10 days after the decision is made, publishes information about the issuance of a permit issued by a simple administrative procedure, its amendment or its cancellation, as well as information about the permit that contains personal data, state and/or commercial secrets, in accordance with the General Administrative Code of Georgia and the Law of Georgia "On Personal Data Protection";
- e) keeps the documentation submitted by the permit seeker in accordance with the law;
- f) controls the fulfillment of the permit conditions by the permit holder in accordance with the law.

#### Article 30. Permit certificate form

The form of the permit certificate is determined by the law and/or by the normative act of the permit issuer or superior administrative body.

#### Article 31. Loss or damage of the permit certificate

- 1. In case of loss or damage of the permit (except for the one-time international road transportation permit issued within the quotas), the permit holder applies to the permit issuer with a written application for the

issuance of a duplicate permit.

2. Within 2 days after receiving the application, the permit issuer shall issue a duplicate permit certificate and enter relevant information in the departmental permit register.

3. A duplicate permit has the same legal force as its original.

4. The amount of the fee to be paid for issuing a duplicate permit is determined by the Law of Georgia "On License and Permit Fees" or by the decision of the representative body of the municipality based on the Law of Georgia "On Local Fees".

5. In the cases provided for by Articles 262 and 265 of this law, the price of issuing a duplicate permit certificate is determined by the representative body of the municipality.

6. In the cases stipulated by Article 263 of this law, the fee for issuing a duplicate permit certificate is determined by the Ministry of Economy and Sustainable Development of Georgia.

#### Article 32. Validation and term of the permit

1. In the event of a decision to issue a permit, the permit seeker is entitled to perform the action provided for in the permit on the basis of the relevant administrative act before receiving the permit certificate.

2. In the case of failure of the permit issuer to issue a permit or refuse to issue a permit within the time limit specified by the law, the permit seeker may perform the action provided for in the permit only after receiving the permit certificate.

3. In case of loss or damage of the permit, the holder of the permit has the right to take permit action on the basis of the relevant administrative act before restoring the permit.

4. The permit issuer is obliged to issue the relevant permit certificate together with the decision to approve the application (except for the cases provided for in clauses 28 and 281 of Article 24 of this law; in these cases, the permit issuance process is considered complete from the moment of the administrative act issuance).5. The permit is issued once, for a specified or indefinite period. The validity period of the permit is determined by the law or in the cases provided for by Articles 261, 26.2 and 26.5 of this law by the relevant decision of the relevant authority of the municipality, and in the cases provided for by Article 26.3 of this law - in accordance with the international agreements of Georgia. The specified period of validity of the permit is automatically extended (except for the cases stipulated by Articles 261-263 and 265) of this law, if the permit conditions related to this permit have not been changed and the permit holder submits a written application and a receipt confirming the payment of the fee determined by the legislation of Georgia.

6. The permit, except for the case provided by Article 263 of this Law, is usually issued for an indefinite period. In the cases provided for by the law or Articles 261, 262 and 265 of this law, the representative body of the municipality may determine the specified period of validity of the permit. When determining the deadline, take into account the essence of the permitting action and/or the technical processes to be implemented.

#### Chapter VIII. Control over the fulfillment of permit conditions. Cancellation of permission

### Article 33. Control over the fulfillment of permit conditions

1. The permit issuer controls the fulfillment of the permit conditions by the permit holder. The permit issuer is authorized to carry out control, if the mentioned function does not belong to the competence of another administrative body according to the legislation. In the cases provided by the law, the requirements stipulated by other normative acts may also be subject to the control of the permit issuer, and in case of their violation, the forms of responsibility provided by this law may be used.
2. The permit issuer exercises control only by selectively checking the fulfillment of the permit conditions.
3. The permit issuer controls the fulfillment of the permit conditions only by checking the permit conditions. The permit issuer does not have the right to check or request the submission of factual circumstances that are not directly related to the permit holder's compliance with the permit conditions.
4. The decision of the permit issuer to carry out a selective inspection is an administrative act. The permit issuer is obliged to present the said administrative act to the permit holder during the selective inspection.
5. By the decision of the permit issuer, it is possible for representatives of other administrative bodies to participate in the selective inspection.
6. The permit issuer is obliged to draw up an appropriate inspection act after the completion of the selective inspection, which will be entered in the register specially prepared for this purpose by the permit issuer.
7. Unless otherwise established by law, the permit issuer can control the fulfillment of permit conditions only once per calendar year.
8. Clauses 2-7 of this article do not apply to the cases provided for by Articles 262, 263 and 265 of this Law and the Law of Georgia "On Organization of Lotteries, Gambling and Profitable Games".
9. In the cases provided by Articles 262, 263 and 265 of this Law and the Law of Georgia "On Organization of Lotteries, Gambling and Profitable Games", the control of permit conditions is carried out in accordance with the legislation of Georgia.

Article 34. Liability for violation of permit conditions. Cancellation of permission<sup>1</sup>. Failure of the permit holder to comply with the permit conditions established by law will result in the permit holder being fined in accordance with the law. The amount of the fine is determined by law. The permit issuer shall determine a reasonable period of time for the fulfillment of the permit conditions and establish the conditions that must be met for the implementation of a specific action.

2. Despite the imposition of responsibility, non-fulfillment of the permit conditions by the permit holder within the established period (except for the violation of the permit fee payment deadline by the permit holders for the establishment of gaming machines salon, samorini, totalizer, lotto, and bingo) will result in a tripling of the imposed fine. When imposing a fine on the permit holder, a deadline and relevant conditions for meeting the permit conditions will be determined.
3. If the permit holder does not comply with the permit conditions after the expiry of the prescribed period after the imposition of the tripled fine, the imposed fine will be tripled.

4. If the permit holder fails to fulfill the permit conditions despite the imposition of responsibility provided for in paragraphs 1, 2 and 3 of this article, the permit issuer makes a decision to cancel the permit.

41. If the permit holder, despite the imposition of a fine provided for in subsections "b", "d", "f", "h", "k" or "o" of Article 371 of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games", did not ensure the fulfillment of the permit conditions, the permit issuer makes a decision to cancel the permit.

42. In the case of cancellation of the permit for setting up a casino/permit for setting up a gaming machine parlor, the permission for setting up a gambling club issued on the basis of the aforementioned permit is cancelled.

5. The permit issuer must justify the necessity of using this form of responsibility in the decision to cancel the permit.

6. Revoking the permit means declaring the decision to issue the permit void in accordance with the General Administrative Code of Georgia.

7. The grounds for declaring the decision to issue a permit invalid are:

a) request of the permit holder;

b) death (liquidation) of the permit holder, declaration of death according to the established procedure, recognition as missing or recognition as a recipient of support, unless otherwise determined by a court decision;

c) Non-fulfillment of permit conditions established by law.

d) The legally binding judgment of the court regarding the deprivation of the right to work.

8. The permit issuer makes a decision on the cancellation of the permit in accordance with the procedure established by this law. The permit issuer is obliged to immediately inform the permit holder about the initiation of administrative proceedings regarding the cancellation of the permit.

9. In the presence of the grounds provided for in subparagraph "d" of paragraph 7 of this article, as well as in the case of urgency, when the delay in making a decision may cause substantial damage to public or private interests, the permit issuer is obliged to make a reasoned decision on the cancellation of the permit within 3 days and to immediately notify the owner of the permit about the cancellation of the permit.

10. The decision to revoke the permit can be appealed to a higher administrative body (an official) or to a court.11. The permit certificate must be returned to the permit issuer within 3 days of the entry into force of the decision to cancel the permit.

12. If the cancellation of the permit can cause more harm than the continuation of the validity of the permit, or it is essentially impossible to suspend its validity, the permit issuer makes a reasoned decision to grant the permit holder the right to perform the permit action in compliance with the conditions established by him. In such a case, the permit holder is obliged to ensure the fulfillment of additional permit conditions within a reasonable period of time established by the permit issuer.



13. If, in the case provided by paragraph 12 of this article, the permit holder does not ensure the fulfillment of the permit conditions, the permit issuer is entitled to make a decision on ensuring the fulfillment of the permit conditions by himself or through third parties, on behalf of the permit holder and at his expense, regardless of the responsibility of the permit holder.

14. In the case of the types of permits provided for by law, when the permit conditions cannot be fulfilled in accordance with paragraph 13 of this article, based on the petition of the permit issuer, the court makes a decision on the appointment of a special manager to implement the permit action and fulfill the permit conditions. If the delay may cause damage, the permittee shall appoint a special administrator by a reasoned decision and immediately submit it to the court for a decision.

15. It is possible to apply the rule established by paragraphs 12, 13 and 14 of this article regardless of fining the permit holder, if the permit issuer knows in advance that the application of a fine to the permit holder cannot ensure the fulfillment of the permit conditions. The permit issuer is obliged to justify the said decision.

16. The special manager is authorized to carry out all measures related to the permit action in order to ensure the fulfillment of the license conditions as soon as possible at the expense of the permit holder. If no other term is established by law, the monthly report of the actions taken by the special administrator is approved by the court.

17. A special manager is appointed for a specified period, taking into account the conditions of the permit to be fulfilled. If the permit conditions are not fulfilled within the set period, the court has the right to extend the said period.

18. The permit holder is obliged to provide the special manager with any information or material means related to the permit action immediately upon request. Failure of the permit holder to fulfill the said duty or obstructing the special manager will result in the permit holder's responsibility in accordance with the law.

19. In the event that the special manager or the permit holder himself ensures the fulfillment of the permit conditions, the court makes a decision on the cancellation of the special management.

20. All actions aimed at ensuring the fulfillment of permit conditions, including the remuneration of the special manager, are carried out at the expense of the permit holder.

21. The issues of authority, activities and compensation of the special manager, taking into account the specifics of the permitting action, can be additionally regulated by the normative act of the permit issuer or its superior (controlling) administrative body. 22. Paragraphs 11-21 of this article do not apply to the case provided for by subparagraph "d" of paragraph 7 of the same article.

Article 35. Suspension of the decision to issue a permit, refuse to issue it, or cancel it in case of filing an administrative complaint or lawsuit

In case of submission of an administrative complaint or lawsuit, the decision to issue, refuse to issue or cancel a permit will not be suspended, unless the administrative body that issued the permit or the administrative body reviewing the complaint (lawsuit) or the court makes another decision.

**Door IV\*\*.** Departmental license and permit registers. Availability of information. responsibility\*\*

## Chapter IX. Departmental license and permit registers. Availability of information

### Article 36. Departmental license and permit registers. Availability of information

1. (removed).
2. The departmental license/permit register is maintained by the license/permit issuer.
3. The license/permit issuer shall enter data on license/permit issuance, amendment, cancellation and duplicate issuance in the departmental license/permit register within 2 days of the decision.
4. The departmental license/permit register will also include:
  - a) Data about the holder of the license/permit: name - "On the structure, powers and activity rules of the Government of Georgia" for the ministry provided by the law of Georgia or for the state sub-departmental institutions under its governorship; Data on registration in the register of entrepreneurs and non-entrepreneurial (non-commercial) legal entities - for an individual entrepreneur or a legal entity (for other organizational entities); Data on name, surname, place of residence and workplace - for a natural person;
  - b) data on the license/permit owner's trade name (name, surname), organizational-legal form, change of location or reorganization;
  - c) type (types) of license/permit;
  - d) license/permit certificate number and date of issuance, legal address of the issuer of the license/permit issued through public administrative proceedings and the identity of the official who signed the relevant decision.
5. The issuer of the license and/or permit issued by public administrative proceedings is obliged to:
  - a) (removed);
  - b) within 10 days after the decision is made, in the official printing body of Georgia - "Legislative Gazette of Georgia" publish data on the issuance of the license, its amendment or its cancellation, except for the data on the license that is issued using unified automatic means of management;
  - c) Permits issued by the relevant body of the municipality are published by the permit issuer.
6. (Remove the boolean).
7. (removed).
8. (removed).
9. (removed).
10. (removed).
11. Everyone has the right to get acquainted with the data of the departmental license/permit register and receive public information related to licenses/permits in accordance with the procedure established by the

## General Administrative Code of Georgia.

### Chapter X. Liability

#### Article 37. Liability for violation of this law

1. Liability for violation of this law is determined by the legislation of Georgia.
2. Failure by the issuer of the license or permit to issue or refuse to issue a license or permit within the time limits set by the issuer of the license or permit, or the decision by another administrative body to take a decision within the time limits set, will lead to the transfer of the guilty official to a lower-ranking position for a period of 6 months.
3. Repeated commission of the offense specified in paragraph 2 of this article within 3 years will lead to the dismissal of this official.
4. Refusal by the issuer of the license or permit to immediately issue a license or permit certificate in the cases provided for by Article 10, Clause 18 and Article 26, Clause 11 of this law will result in a warning to the guilty official. Repeated commission of the said offense within 3 years will lead to the dismissal of this official.
5. It is not allowed to appoint an official to the same position from which he was dismissed on the grounds specified in this article. It is also not allowed to appoint this person to another position with the content and function of the vacated position.

#### **Door V\*\*.** Transitional and final provisions\*\*

### Chapter XI. Transitional provisions

#### Article 38. Legal status of licenses and permits issued prior to the implementation of this law

1. If a specific activity or action for which a license or permit was issued is no longer regulated by this law, no one has the right to request a license or permit for this activity or action.
2. A license or permit issued prior to the entry into force of this Law for a specific activity or action regulated by this Law shall remain in force for the relevant term.
3. If a license was issued for a specific activity or action and a permit is issued after the enactment of this law, or vice versa, without substantially changing the license or permit conditions, the holder of the license or permit is entitled to request the issuance of a license or permit certificate based on an application. The issuer of the license or permit is obliged to immediately issue the appropriate certificate.
4. Before the beginning of the 2009-2010 academic year, legal entities that have received a license for secondary professional educational activities are considered licensed in accordance with the Law of Georgia "On Licensing the Activities of Educational and Educational Institutions".

#### Article 381. Transitional regulation of the authorization of the authorized pharmacy

A pharmacy with a permit to set up a group I pharmacy does not need to obtain a new permit for the activities provided for in Article 24, Clause 46 of this law. The issuer of the relevant permit is obliged to provide free of charge the replacement of the permit form with the appropriate permit in the case of a request from a pharmacy with a permit to set up a group I pharmacy.

#### Article 382. Principles of issuing medical activity license/permit

1. The norms of Article 38 of this law are applied when issuing a license/permit for medical activities defined by this law, regardless of the term of the license/permit.
2. If the holder of the medical activity license promises to carry out any of the activities for which another license is issued, he is obliged to meet the different conditions established for obtaining this license.
3. In the case provided by paragraph 2 of this article, only the different conditions required for obtaining a new license are checked. The license issuer does not investigate the factual circumstances satisfying the license conditions that the license holder has fulfilled at the time of obtaining the already issued license.
4. In order to obtain a permit for medical activity, the applicant must meet the general permit conditions and additional permit conditions according to the service, along with other requirements defined by the legislation of Georgia.
5. In the case of providing services subject to additional permit conditions by the permit holder, only the different conditions established for this service are checked.
6. Non-fulfillment of the additional permit conditions established by the permit holder for any service is not a ground for revoking the medical activity permit. In this case, the permit holder is prohibited from providing services for which additional permit conditions have not been met.
7. In the normative acts regulating the relevant license/permit conditions, the implementation of measures for the replacement of license/permit certificates for such activities/actions for which a license was issued and from December 1, 2010, a permit will be issued or a license will be issued again without substantially changing the license/permit conditions shall be provided. This should be done automatically, based on the application of the license/permit holder.
8. The measures stipulated in paragraph 7 of this article shall be implemented without payment of the relevant fee until March 1, 2011, and after the expiration of this period, the replacement of the license/permit certificate shall be implemented in the case of the application of its owner and the submission of a document confirming the payment of the fee prescribed by law for the relevant license/permit.

#### Article 383. Transitional regulation of some license/permit activities

According to the Law of Georgia "On the Structure, Powers and Rules of Activity of the Government of Georgia", the ministry or the state sub-departmental institution under its governance may carry out relevant medical activities, as well as other interested persons, forensic-medical examination, forensic-psychiatric examination and patho-anatomical activities defined by this law without a proper license/permit until December 1, 2010.

#### Article 384. A special rule of validity of a permit for a separate type of permit activity

When importing radiopharmaceuticals for medical purposes by a person with a license for nuclear and radiation activities for the medical use of radioactive substances, only the permit provided for in Article 24, Clause 10 of this law is issued for a period of 1 year.

#### Article 39. Transitional regulation of usage licenses

1. A license issued for a specific activity prior to the entry into force of this Law, for which a use license is granted under this Law, shall retain legal force for the relevant term.
2. The rules and conditions for extending the validity period of the activity license mentioned in the first paragraph of this article are determined by the legislation of Georgia.

Article 40. Transitional regulation of authorities issuing licenses and permits and the manner of issuing them<sup>1</sup>. Prior to the implementation of amendments and additions to the legislative acts, the authorities issuing licenses and permits, the manner and conditions of issuance shall be established by the normative act of the Government of Georgia in accordance with this law.

2. If the license or permit conditions for an activity or action are determined by a legislative act, the license or permit is issued upon meeting the conditions established by this legislative act.
3. If this law defines the type of license or permit, the additional license or permit conditions are not defined by the legislative act, before the implementation of changes and additions to this legislative act, the license or permit conditions are determined by the normative act of the Government of Georgia.

Article 41. Measures to be taken in connection with the implementation of this law

1. The Government of Georgia shall submit to the Parliament of Georgia draft legislative acts related to the adoption of this law by November 15, 2005.
2. By January 1, 2006, the Government of Georgia should present simplified rules and conditions for the regulation of food production enterprises.

Article 42. Determination of the professional activity regulation system

1. Professional activity is regulated by separate legislation.
2. Until December 1, 2005, the Government of Georgia should provide the Parliament of Georgia with drafts of relevant legislative acts, which will include the regulation of professional activity according to the following basic principles:
  - a) Full self-regulation of professional activities – (customary regulation) for professional activities with non-essential public risks;
  - b) partial self-regulation – for professional activities with substantial public risks;
  - c) State regulation - for professional activities with high public risks.

Article 42<sup>1</sup>. Temporary legal regulation of relations related to outdoor advertising placement permit

1. Until January 1, 2010, the introduction of permit regulation of outdoor advertising provided by this law is allowed only in the territories of the capital of Georgia - Tbilisi and self-governing cities.
2. The term of validity of the agreements on the placement of outdoor advertising signed in the manner prescribed by the law before December 1, 2008, with the agreement of the parties, can be extended without the permission for the placement of outdoor advertising specified in Article 24, Clause 53 of this law, with the

permission for the placement of outdoor advertising issued as a result of the first auction conducted by the local self-government body in accordance with Article 261 of this law. for the period of validity.

## Chapter XII. Final Provisions

### Article 43. Invalid normative acts

Immediately after the entry into force of this law, the following shall be considered invalid:

- a) Law of Georgia "On the Basics of Issuing Licenses and Permits for Entrepreneurial Activities";
- b) Decree No. 472 of the President of Georgia of September 29, 2003 "On the procedure for transferring the authority to issue licenses and permits to the relevant ministries and agencies of the Autonomous Republic in the system of the government institution of the executive power of Georgia".

### Article 44. Implementation of the law

This law shall enter into force on the 15th day after its publication.

## President of Georgia

**M. Saakashvili**

**Tbilisi,**

**June 24, 2005.**

**No. 1775-rs**

# About license and permit fees

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Law of Georgia

About license and permit fees

Article 1. General provisionThis law, in accordance with Article 94 of the Constitution of Georgia, "On the Basics of the Fee System" and "On Licenses and Permits" laws of Georgia, determines the types and rates of fees, the manner and terms of their payment, for the implementation of license/permit activities established by law and/or the granting of the right to benefit, as well as for certain services provided by the state body.

*Georgia Law No. 5900 of March 14, 2008 - SSMI, No. 6, 25.03.2008, Article 25*

### Article 2. Concept of license/permit fee

The license/permit fee is a one-time (except for the cases provided for in Article 9, Clause 2 of this law) mandatory payment to the central budget of Georgia or the budget of the relevant autonomous republic (if the license/permit is issued by the relevant government institution of the Autonomous Republic of Adjara or

the Autonomous Republic of Abkhazia), which is paid by the license/permit seeker in the amount prescribed by law, for carrying out the activities determined by the state for him/her for granting the right.

*Law of Georgia of June 24, 2011 No. 4934 - website, 30.06.2011*

#### Article 3. Object of taxation with license/permit fee

Activities defined in accordance with the Law of Georgia "On Licenses and Permits" are taxed with the license/permit fee.

*Georgia Law No. 5900 of March 14, 2008 - SSML, No. 6, 25.03.2008, Article 25*

#### Article 4. Establishment and payment of license/permit fee

1. The license/permit fee statute and its amount are determined only by this law.
2. Individuals and legal entities seeking a license/permit are required to pay the license/permit fee established by this law.
3. It is not allowed to impose on anyone the obligation to pay a license/permit fee not provided for by this law.

#### Article 5. License/permit fee payers

License/permit fee payers are license/permit seekers for the activities defined by the Law of Georgia "On Licenses and Permits", except for the Ministry or the state sub-departmental institution under its governance provided for by the Law "On the Structure, Powers and Procedures of the Government of Georgia".

*Georgia Law No. 5900 of March 14, 2008 - SSML, No. 6, 25.03.2008, Article 25*

*Law of Georgia of July 21, 2010 No. 3552 - SSML, No. 46, 04.08.2010, Article 284*

#### Article 6. License fee rates

##### 1. For insurance activity licenses:

- a) life insurance - 500 GEL;
- b) insurance (not life) – 500 GEL;
- c) Reinsurance – 500 GEL.

##### 2. Rates of license fees for banking activities and non-banking depository activities:

- a) banking activity - 200,000 GEL;
- b) Activities of non-bank depository institutions - credit unions - 10,000 GEL.

21. A license seeker (Ministry of Finance of Georgia), who wants to establish a temporary bank, is exempted from paying the banking activity license fee.



3. Activities of regulated securities market participants, asset management companies and specialized depositories:

- a) stock exchange activities - 20,000 GEL;
- b) activities of the central depository - 10,000 GEL;
- c) activities of securities registrar - 5,000 GEL;
- d) brokerage activity - 5,000 GEL;
- e) (removed);f) (removed);
- g) (removed);
- h) activities of the asset management company - 3,000 GEL;
- i) Activities of a specialized depository - 5,000 GEL.

4. Rates of license fees for medical activity:

- a) (removed);
- b) (removed);
- BA) (removed);
- bb) (removed);
- c) (removed);
- G.A) (removed);
- g.b) (removed);
- d) (removed);
- e) (removed);
- E.A) (removed);
- e.b) (removed);
- e.g) (removed);
- f) (removed);
- VA) (removed);
- v. b) (removed);
- g) (removed);

h) (removed);

TA) (removed);

T.B) (removed);

T.C) (removed);

T.D) (removed);

i) (removed);

ia) (removed);

ib) (removed);

j) (removed);

K.A) (removed);

K.B) (removed);

k) (removed);

LA) (removed);

LB) (removed);

m) (removed);

MA) (removed);

MB) (removed);

n) (removed);

n) (removed);

O.A) (removed);

O.B) (removed);

p) (removed);

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t) (removed);

u) (removed);

U.A) (removed);

U.B) (removed);

U.C.) (removed);

U.D) (removed);

f) (removed);

FA) (removed);

FB) (removed);

FG) (removed);

F.D) (removed);

q) (removed);

g) (removed);

g.a) (removed);

gh.b) (removed);

k) (removed);

q.a) (removed);

Q.B) (removed);

h) (removed);

c) (removed);

Ch.a) (removed);

Ch.B) (removed);

c) (removed);

C.A) (removed);

C.B) (removed);

C.C) (removed);

c.d) (removed);

d) (removed);

y) (removed);

g) (removed);

Ch.a) (removed);

Ch.B) (removed);

k) emergency medical assistance license - 112 GEL;

1. Forensic-medical examination license - 300 GEL;

kh2) forensic psychiatric examination license - 300 GEL;

kh3) license for pathological anatomical activity - 112 GEL;

kh4) license to work on especially dangerous pathogens - 112 GEL;

kh5) production transfusion activity license - 112 GEL;

j) (removed);

h) (removed);

HA) (removed);

HB) (removed);

h 1) (removed);

H 1.a) (removed);

H 1.b) (removed);

h 2) (removed);

H 2.a) (removed);

H 2.b) (removed);

h 3) (removed);

H 3.a) (removed);

H 3.b) (removed);

H 3.c) (removed);

H 3.d) (removed);

h 4) (removed);

H 4.a) (removed);

H 4.b) (removed);

h 5) (removed);

H 5.a) (removed);

H 5.b) (removed);

h 6) (removed);

H 6.a) (removed);

H 6.b) (removed);

h 7) (removed);

H 7.a) (removed);

H 7.b) (removed);

h 8) (removed);

H 8.a) (removed);

H 8.b) (removed);

h 9) (removed);

H 9.a) (removed);

H 9.b) (removed);

H 10) (removed);

H 10.a) (removed);

H 10.b) (removed);

5. Design and construction activities:

a) project activities:

A.a) engineering-research works - 100 GEL;

A.b) city planning - 100 GEL;

A.c) residential, civil and public building - design of buildings - 100 GEL;

A. d) designing of industrial, production and agricultural buildings - 100 GEL;

A.e) Designing a transport facility - 100 GEL;

A.f) Designing of energy, hydrotechnical and improvement facilities - 100 GEL;

A.z) Designing water management, engineering systems and networks - 100 GEL; A.T) Expertise of construction projects - 100 GEL;

a.i) (removed);

b) construction activities:

B.a) Production of building constructions - 200 GEL;

bb) construction of residential, civil and public purpose buildings - 200 GEL;

BG) construction of industrial and production buildings - 200 GEL;

b.d) construction of energy facilities - 200 GEL;

B.e) Construction of engineering systems and communications - 200 GEL;

b) Construction of transport facilities - 200 GEL;

b.z) construction of bridges and tunnels - 200 GEL;

BT) construction of cable line, radio-telephone and television-relay line, radio station - 200 GEL;

ii) Construction of a special building - 200 GEL;

bk) construction of agricultural objects - 200 GEL;

b.l) hydrotechnical and meliorational construction - 200 GEL;

BM) installation of technological equipment and communication and commissioning works - 200 GEL.

6. Educational activity license - 200 GEL.

7. Audit activity:

a) activities of the audit firm - 156 GEL;

b) Auditor's activity - 84 GEL.

8. Production and repair of metrological and measuring instruments:

a) Production of metrological and measurement tools - 50 GEL;

b) Repair of metrological and measuring devices - 50 GEL.

9. Manufacturing (manufacturing) of civilian weapons, main elements of firearms, ammunition and main elements of ammunition and their trade, repair of main elements of civilian weapons and firearms:

a) Manufacturing (production) of civilian weapons, basic elements of firearms, ammunition and basic elements of ammunition - 100 GEL;

b) Repair of basic elements of civilian weapons and firearms - 100 GEL;

c) Trade in civilian weapons, basic elements of firearms, ammunition and basic elements of ammunition - 100 GEL.

91. Samkhed Ro - manufacture, production, repair (including modernization and on-site service) of ammunition and its trade:

a) production of military weapons - 2000 GEL;

b) Repair of military weapons (including modernization and on-site service) - 2000 GEL;

c) trade in military weapons - 2000 GEL.

92. Broker service license for military products - 700 GEL.

10. Sea passenger transport - 2000 GEL.

11. (removed).

12. Nuclear and radiation license - 200 GEL.

121. License to use living genetically modified organisms in a closed system - 200 GEL.

13. (Retrieved - 25.11.2011, No. 5350).

14. Activities in the field of broadcasting and electronic communications and use of exhaustible resources:

a) private broadcasting license - 2000 GEL;

b) community broadcasting license - 2000 GEL;

c) (removed - 20.12.2011, No. 5548);

d) License to use the radio frequency spectrum - 1000 GEL.

141. License for production, import or export of electronic communications interception systems - 200 GEL.

15. Production of biological pesticides - 280 GEL.

16. General license for the use of oil and gas resources, oil refining, natural gas processing, oil transportation, natural gas transportation (in the cases stipulated by the law of Georgia on "oil and gas"):

a) General license for use of oil and gas resources:



AA Special license for oil and gas exploration - 2,000 GEL; A.b) Special license for oil and gas extraction - 20,000 GEL;

b) oil processing - 15,000 GEL;

c) processing of natural gas - 5,000 GEL;

d) transportation of oil - 2,000 GEL;

e) Transportation of natural gas - 2,000 GEL.

17. License for use of natural resources (except oil and gas use):

a) (Removed - 22.05.2020, No. 5954);

b) (Removed - 22.05.2020, No. 5954);

c) license to use Sochi cones and white flower bulbs and/or Kochivarda bulbs included in the appendices of the Convention "On International Trade in Endangered Species of Wild Flora and Fauna" (CITES) for the purpose of export - 100 GEL;

d) special license for hunting - 200 GEL;

e) fishing license - 200 GEL;

f) Mineral extraction license - 200 GEL;

g) License to use underground space - 200 GEL.

18. (removed).

19. (removed).

20. (removed).

21. (removed).

22. Printing and storage of strict accounting documents:

a) activity of the first category polygraphic enterprise - 18,000 GEL;

b) activity of the second category polygraphic enterprise - 15,000 GEL;

c) Activity of the third category polygraphic enterprise - 12,000 GEL.

23. (removed);

24. (removed);

25. (removed);

251. License for enforcement activities - 200 GEL.

26. Duplicate license certificate - 10 GEL.

27. Private security activity license - 50,000 GEL.

28. License to remove state-owned scrap metal and non-ferrous metal submerged in the territorial sea and internal waters of Georgia - 500 GEL.

*Law of Georgia of December 9, 2004 No. 661-SSMI, No. 38, 24.12.2004, Article 183*

*Law of Georgia of March 10, 2005 No. 1070-SSMI, No. 11, 29.03.2005, Article 69*

*Law of Georgia of June 30, 2005 No. 1846-SSMI, No. 41, 19.07.2005, Article 289*

*Law of Georgia of May 25, 2006 No. 3175-SSMI, No. 17, 30.05.2006, Article 119*

*Law of Georgia of June 9, 2006, No. 3244-SSMI, No. 22, 16.06.2006, Article 181*

*Law of Georgia of June 23, 2006 No. 3381-SSMI, No. 26, 14.07.2006, Art. 209*

*Law of Georgia of June 23, 2006 No. 3392-SSMI, No. 26, 14.07.2006, Article 213*

*Law of Georgia of July 24, 2006 No. 3496-SSMI, No. 35, 03.08.2006, Article 252*

*Law of Georgia of December 7, 2006 No. 3834-SSMI, No. 48, 22.12.2006, Article 315*

*Law of Georgia dated December 29, 2006 No. 4234-SSMI, No. 50, 30.12.2006, Article 385*

*Law of Georgia of December 29, 2006 No. 4206-SSMI, No. 2, 04.01.2007, Article 25*

*Law of Georgia of December 29, 2006 No. 4315-SSMI, No. 4, 12.01.2007, Article 58*

*Law of Georgia of March 27, 2007 No. 4521-SSMI, No. 9, 31.03.2007, Article 86*

*Law of Georgia of May 8, 2007 No. 4714-SSMI, No. 18, 22.05.2007, Article 144*

*Law of Georgia of November 21, 2008 No. 538-SSMI, No. 34, 04.12.2008, Art. 217*

*Law of Georgia of December 19, 2008 No. 825-SSMI, No. 41, 30.12.2008, Article 303*

*Law of Georgia of July 21, 2010 No. 3552-SSMI, No. 46, 04.08.2010, Article 284*

*Law of Georgia of July 21, 2010 No. 3534-SSMI, No. 47, 05.08.2010, Article 308*

*Georgia Law No. 53 50 of November 25, 2011 - website, 06.12.2011*

*Law of Georgia of December 20, 2011 No. 5548 - website, 30.12.2011*

*Law of Georgia of December 27, 2011 No. 5652 - website, 12.01.2012*

*Law of Georgia of June 22, 2012 No. 6545 - website, 07.04.2012*

*Georgia Law No. 2426 of May 14, 2014 - website, 27.05.2014\_\_Georgia Law No. 2659 of September 18, 2014 - website, 02.10.2014*

*Georgia Law No. 490 of March 22, 2017 - website, 27.03.2017*

*Georgia Law No. 1906 of December 23, 2017 - website, 11.01.2018*

*Law of Georgia of December 20, 2019 No. 5666 - website, 31.12.2019*

*Law of Georgia of February 19, 2020 No. 5723 - website, 24.02.2020*

*Georgia Law No. 5954 of May 22, 2020 - website, 05/28/2020*

#### Article 7. Permit fee rates

1. Permit for international road transportation - one-time permit for international road freight transportation from the territory of Georgia (above the quotas established on the basis of international agreements of Georgia) - 500 GEL.

2. Permission to use industrial explosive materials - 40 GEL.

3. Inclusion of works on the cultural heritage monument - 50 GEL.

31. Inclusion of archaeological works - 50 GEL.

4. Construction permit for objects of special importance and strategic purpose:

a) object worth up to 500 thousand GEL - 1000 GEL + 0.5% of the value of the object;

b) object worth from 500 thousand to 1 million GEL - 8000 GEL;

c) object worth from 1 million to 3 million - 14,000 GEL;

d) object worth 3 million to 5 million - 19,000 GEL;

e) object worth 5 million to 10 million - 24,000 GEL;

f) Objects worth more than 10 million - 24,000 GEL + 0.01% of the value of the object.

5. (removed);

6. (Retrieved - 01.06.2017, No. 896).

6 1. (removed);

6 2. (removed);

7. Activity permit in the customs field:

a) Free trade point activity permit - 1 00 GEL per year;

b) Customs warehouse activity permit - 1000 GEL.

8. (removed).

9. Permission to place oil refining facilities in the heating and energy system, electricity production facilities, as well as facilities used for electricity transit or natural gas transportation:

a) Permit for placement of oil refining facilities in the heating and energy system in the territory of Georgia - 240 GEL;

b) Permit for location of electricity production facilities and means of transportation in the territory of Georgia - 200 GEL.

10. Permission to arrange gambling and winning games:

a) arranging an incentive draw - 15,000 GEL;

b) Setting up a gaming machine salon - from 50,000 GEL to 1,000,000 GEL per year;

c) arrangement of lotto and bingo (each type) - 15,000 GEL per year;

d) setting up a totalizer - from 30,000 GEL to 300,000 GEL per year;

e) Arrangement of S. Amourine:

e.a) in the entire territory of Georgia (except the city of Batumi, the territory adjacent to Bazaleti Lake of Dusheti Municipality, the territory of special regulation of Gudauri, the territory of Bakuriani Township, as well as the territories of Kobuleti, Borjomi, Tskaltubo and Signaghi municipalities) - no more than 5,000,000 GEL per year;

e.b) in the city of Batumi, in the vicinity of Bazaleti Lake of Dusheti municipality, as well as in Kobuleti and Borjomi municipalities - 250,000 GEL per year;

f) Setting up a gambling club - from 10,000 GEL to 50,000 GEL per year.

101. The arrangement of Samourine in the territory of special regulation of Gudauri, in the territory of Bakuriani township, as well as in the territories of Tskaltubo and Signaghi municipalities is exempted from paying the permit fee. 102. The establishment of a samourine on the territory of a newly built hotel with at least one hundred rooms in the city of Batumi, as well as in the municipalities of Kobuleti and Khelvachauri, as well as the arrangement of a samourine on the territory of a newly built hotel with at least 80 rooms in the village of Anaklia and the village of Ganmukhur of the Zugdidi municipality are exempted from the payment of a permit fee. within 10 years from the issuance of the permit.

102. For the purposes of paragraph 102 of this article, the conditions under which a hotel will be considered newly built shall be determined by the Government of Georgia.

103. The Government of Georgia sets the rates of the permit fee for setting up a gambling machine salon (including for the holder of a permit for the arrangement of gambling machines) within the framework of the rate provided for in subparagraph "b" of paragraph 10 of this article. The Government of Georgia is authorized to increase the rate of the permit fee for the arrangement of gaming machine cabins established by it within 5 years after its entry into force by no more than 30%, within the limits of the rate provided by subparagraph "b" of paragraph 10 of this article.

- L04. The Government of Georgia sets the rates of the permit fee for setting up a totalizer within the rate stipulated by sub-paragraph "d" of paragraph 10 of this article.
- L05. The Government of Georgia shall establish the rates of the permit fee for the establishment of a gambling club within the limits of the rate provided for in sub-paragraph "f" of paragraph 10 of this article.
- L06. The holder of a permit for the establishment of gambling clubs in the city of Tbilisi in any territory of Georgia is exempted from the obligation to pay the permit fee established for obtaining the permit for the establishment of no more than 3 gambling clubs.
- L07. The holder of a permit to set up a gambling machine salon in Tbilisi is exempted from the obligation to pay the permit fee established for obtaining a permit to set up a gambling club in any territory of Georgia.
- L08. The Government of Georgia, except for the cases provided for in paragraph 10 of this article, subparagraph "EB" and paragraphs 101 and 102:
- a) establishes the rates of the permit fee for the arrangement of the Samorine within the rate provided for in the subparagraph "E.A" of Clause 10 of this Article;
  - b) is authorized to establish benefits (full or partial exemption) for the payment of the permit fee for the Samorine arrangement.
- J10. Permit to arrange equalization - 15,000 GEL.
- J11. Permission to provide gambling and/or winning games - 100,000 GEL per year.
11. (removed).
- L11. Waste import, export and transit permit - 200 GEL.
- L12. Permit for import, export, re-export and transit of ozone-depleting substances - 200 GEL.
12. (Retrieved - 13.04.2016, No. 4954).
- L21. Permit for purchase and transfer of radioactive materials - 20 GEL.
- L22. Permit for import, export of radioactive materials, raw materials from which nuclear material can be obtained or produced, equipment containing radioactive substances, nuclear technologies or know-how, as well as export, import and transit of radioactive sources - 40 GEL.
- L23. Radioactive waste export permit - 40 GEL.
13. Activity permit in the field of export, import, re-export, transit, internal processing, external processing, temporary import and/or transfer of goods:a) Permit for export, import, re-export, transit, internal processing, external processing, temporary import and/or export of weapons, military equipment, technical documentation, civilian weapons, main elements of firearms, ammunition, main elements of ammunition, as well as works and services related to the production, repair and modernization of weapons (except for

weapons belonging to or intended for the state bodies of Georgia (including, weapons), military equipment, technical documentation, basic elements of firearms, ammunition, basic elements of ammunition, as well as export, import, re-export and transit permits for works and services related to the production of weapons) - according to the transaction value:

A.a) from 500 GEL to 10 million GEL - 0.5%;

A.b) from 10 million GEL above - 0.1%, but not more than 120,000 GEL;

b) permit for import or export of medicinal products subject to special control - 100 GEL;

c) permit for export, import, transit and technical assistance of dual purpose products - 30 GEL;

c1) Brokerage service permit for dual purpose products - 700 GEL;

d) (removed - 13.04.2016, No. 4954);

e) (removed - 25.11.2011, No. 5350);

f) (Removed - 25.11.2011, No. 5350);

g) Permit for export, import, re-export and introduction from the sea of species included in the appendices of the Convention (CITES) on "International Trade in Endangered Species of Wild Flora and Fauna", their parts and derivatives - 50 GEL.

L31. Brokerage service permit for military products - 700 GEL.

L32. Technical assistance permit for military products - appropriate rate of transaction value:

a) for transactions worth from 500 GEL to 10 million GEL - 0.5% of the value;

b) For transactions worth more than 10 million GEL - 0.1% of the value, but not more than 120,000 GEL.

14. (removed).

15. Permit to purchase (with the right to keep) short-barreled firearms for defense or sports short-barreled firearms by an individual - 8 GEL.

L51. Permit for the purchase (with the right to store and carry) of self-defense gas weapons, hunting firearms, sporting long-barreled firearms or sporting short-barreled firearms by a natural person - 6 GEL.

L52. Permit for the purchase (with the right to store and carry) of a civilian weapon defined by paragraph 15 of this article by a person who, according to the legislation of Georgia, retains the right to carry a weapon after the expiration of his official authority - 8 GEL.

L53. Permit to purchase (with the right to carry) a weapon issued as a service weapon for the beneficiaries defined by subparagraphs "h"- "j" of article 9, paragraph 2 of the Law of Georgia "On Weapons" - 8 GEL.

L54. Permission to purchase civilian firearms and/or gas weapons in Georgia by a foreign citizen, as well as permission to export purchased weapons from Georgia - 8 GEL.

155. Permission to import hunting or sports firearms and/or ammunition to Georgia and export them from Georgia by a citizen of a foreign country - 8 GEL.

156. Transfer of weapons and ammunition - transportation and forwarding permit:

a) for a natural person - 6 GEL;

b) for a legal entity - 12 GEL. 157. Permit for import of civil firearms and/or gas weapons, its/their main elements and/or ammunition to Georgia or export from Georgia (except for transit and re-export) by a citizen of Georgia - 8 GEL.

158. Permission to open a shooting range, a shooting range, a shooting and hunting stand - 10 GEL.

159. Permission for temporary export of sports or hunting firearms from Georgia and import to Georgia by a sports institution of the relevant profile for participation in a sports event abroad - 16 GEL.

16. Amount of export of Georgian cultural values from Georgia - 14 GEL.

17. (removed).

18. Permit to manufacture, purchase, import to Georgia and export from Georgia electronic means of observation:

a) production of electronic means of observation - 100 GEL;

b) Purchase of electronic means of observation, import into Georgia and export from Georgia - 1% of the transaction value.

19. Permission to make seals and stamps - 10 GEL.

20. Permit for sea towing (except port towing) - 1100 GEL.

21. (removed).

22. Weapon collection and exhibition permit - 100 GEL.

23. Duplicate permit certificate - 10 GEL.

24. Permit for clinical research of pharmacological means - 200 GEL.

25. Permit for pharmaceutical production (medicines, except for narcotics) - 400 GEL.

26. Authorized pharmacy permit - 300 GEL.

261. Stationary facility permit – 300 GEL.

27. (removed).

28. (removed).

29. (Retrieved - 23.12.2017, No. 1930);



30. (Retrieved - 23.12.2017, No. 1930).

\*\*\$\$ \*\* 31. Aquaculture permit - 200 GEL.

32. Issuance of extensive aquaculture permits is exempted from payment of permit fees. **(take effect from January 1, 2024) \$\$**

*Law of Georgia of June 30, 2004 No. 286-SSMI, No. 20, 16.07.2004, Art. 111*

*Law of Georgia of November 25, 2004 No. 603-SSMI, No. 36, 08.12.2004, Article 165*

*Law of Georgia of December 9, 2004 No. 661-SSMI, No. 38, 24.12.2004, Article 183*

*Law of Georgia of March 10, 2005 No. 1070-SSMI, No. 11, 29.03.2005, Article 69*

*Law of Georgia of March 25, 2005 No. 1178-SSMI, No. 15, 19.04.2005, Article 95*

*Law of Georgia of March 25, 2005 No. 1185-SSMI, No. 15, 19.04.2005, Article 100*

*Law of Georgia of December 9, 2005 No. 2238-SSMI, No. 54, 20.12.2005, Article 359*

*Law of Georgia of June 9, 2006, No. 3244-SSMI, No. 22, 16.06.2006, Article 181*

*Law of Georgia of June 9, 2006 No. 3246-SSMI, No. 24, 29.06.2006, Article 186*

*Law of Georgia of July 24, 2006 No. 3496-SSMI, No. 35, 03.08.2006, Article 252*

*Law of Georgia of November 24, 2006 No. 3767-SSMI, No. 45, 09.12.2006, Article 306*

*Law of Georgia of December 7, 2006 No. 3834-SSMI, No. 48, 22.12.2006, Article 315*

*Law of Georgia dated December 29, 2006 No. 4234-SSMI, No. 50, 30.12.2006, Article 385*

*Law of Georgia of December 29, 2006 No. 4249-SSMI, No. 50, 30.12.2006, Article 400*

*Law of Georgia of December 29, 2006 No. 4202-SSMI, No. 1, 03.01.2007, Art. 13*

*Law of Georgia of December 29, 2006 No. 4206-SSMI, No. 2, 04.01.2007, Article 25*

*Law of Georgia of May 8, 2007 No. 4714-SSMI, No. 18, 22.05.2007, Article 144*

*Law of Georgia of December 14, 2007 No. 5607-SSMI, No. 47, 26.12.2007, Art. 409*

*Law of Georgia of March 14, 2008 No. 5922-SSMI, No. 7, 26.03.2008, Article 42*

*Law of Georgia of December 26, 2008 No. 873-SSMI, No. 41, 30.12.2008, Article 308\_\_Law of Georgia of December 30, 2008 No. 970-SSMI, No. 41, 30.12.2008, Article 342*

*Law of Georgia of June 12, 2009 No. 1176-SSMI, No. 12, 29.06.2009, Article 50*

*Law of Georgia of August 10, 2009 No. 1590-SSMI, No. 26, 27.08.2009, Article 153*

*Law of Georgia of November 6, 2009 No. 2002-SSMI, No. 35, 19.11.2009, Art. 266*

*Law of Georgia of April 8, 2010 No. 2913-SSMI, No. 20, 19.04.2010, Article 114*

*Law of Georgia of July 2, 2010 No. 3287-SSMI, No. 38, 16.07.2010, Article 230*

*Law of Georgia of July 6, 2010 No. 3373-SSMI, No. 40, 20.07.2010, Article 251*

*Law of Georgia of July 21, 2010 No. 3552-SSMI, No. 46, 04.08.2010, Article 284*

*Law of Georgia of November 12, 2010 No. 3806-SSMI, No. 66, 03.12.2010, Article 414*

*Law of Georgia of December 10, 2010 No. 3961-SSMI, No. 73, 23.12.2010, Article 441*

*Law of Georgia dated December 17, 2010 No. 4124-SSMI, No. 75, 27.12.2010, Article 485*

*Law of Georgia of April 8, 2011 No. 4529-website, 02.05.2011*

*Georgia Law No. 47 19 of May 31, 2011 - website, 03.06.2011*

*Law of Georgia of June 24, 2011 No. 4934 - website, 30.06.2011*

*Law of Georgia of June 21, 2011 No. 4862-website, 07.06.2011*

*Georgia Law No. 5122 of October 13, 2011 - website, 19.10.2011*

*Georgia Law No. 5248 of November 8, 2011 - website, 22.11.2011*

*Georgia Law No. 53 50 of November 25, 2011 - website, 06.12.2011*

*Law of Georgia of December 9, 2011 No. 5451 - website, 22.12.2011*

*Law of Georgia of December 20, 2011 No. 5548 - website, 30.12.2011*

*Law of Georgia of March 20, 2012 No. 5915 - website, 23.03.2012*

*Law of Georgia of March 27, 2012 No. 5945 - website, 12.04.2012*

*Law of Georgia of April 24, 2012 No. 6055 - website, 27.04.2012*

*Georgia Law No. 6214 of May 15, 2012 - website, 29.05.2012*

*Georgia Law No. 2426 of May 14, 2014 - website, 27.05.2014*

*Law of Georgia of April 13, 2016 No. 4954 - website, 26.04.2016*

*Georgia Law No. 896 of June 1, 2017 - website, 21.06.2017*

*Georgia Law No. 1110 of June 28, 2017 - website, 10.07.2017*

*Georgia Law No. 1930 of December 23, 2017 - website, 11.01.2018*

*Law of Georgia of July 20, 2018 No. 3239 - website, 13.08.2018*

*Law of Georgia of February 19, 2020 No. 5723 - website, 24.02.2020*

*Law of Georgia of June 24, 2020 No. 6413 - website, 01.07.2020*

*Georgia Law No. 6489 of June 25, 2020 - website, 07.02.2020*

Article 8. Determining benefits for payment of license/permit fee

1. Exemptions (full or partial exemption) for payment of license/permit fee according to categories are determined only by this law, except for the cases provided by subsection "b" of Article 7, Clause 109 of the same law.
2. It is not allowed to establish individual benefits for the payment of the license/permit fee.
3. (Retrieved - 01.06.2017, No. 896).
4. (Removed - 23.12.2017, No. 1930).

*Law of Georgia of December 14, 2007 No. 5607-SSMI, No. 47, 26.12.2007, Art. 409*

*Law of Georgia of March 27, 2012 No. 5927 - website, 04.03.2012*

*Georgia Law No. 6214 of May 15, 2012 - website, 29.05.2012*

*Georgia Law No. 896 of June 1, 2017 - website, 21.06.2017*

*Georgia Law No. 1930 of December 23, 2017 - website, 11.01.2018*

Article 9. Procedure for payment of license/permit fee1. Payment of license/permit fee is made on the basis of this law and the legislation of Georgia.

2. The license/permit fee shall be paid by cash or non-cash settlement, before the relevant license/permit is issued, except for the permit fees provided for in Article 7, Paragraph 10, Sub-paragraphs "b"- "f" and Article 1011 of this Law. The holder of a permit for the establishment of a slot machine salon, a casino (except for the cases provided for in clauses 101 and 102 of Article 7 of this law), a gambling club (except for the cases provided for in clauses 107 and 108 of Article 7 of this law), a bookmaker, a lotto or bingo or a permit for the provision of gambling and/or winning games is entitled to the relevant permit The fee shall be paid annually, in the amount determined by Article 7, Clause 10, subparagraphs "b"- "f" and clauses 104, 105, 106 and 1011 of this law. In addition, the said permit fee shall be paid and an application for its payment shall be submitted to the relevant permit-issuing authority no later than every subsequent 12-month period from the date of issuance of this permit. The first-year permit fee for a permit to operate a slot machine parlor, casino, gambling club, bookmaker, lotto or bingo, or permit to supply gambling and/or winning games shall be paid in advance before the relevant permit is issued. The permit fee for the first year of the gambling club establishment permit shall be paid in full, regardless of the number of days remaining until the end of the current year of the slot machine parlor establishment permit or the gambling club establishment permit on the basis of which the gambling club establishment permit was issued.

21. In case of premature cancellation of the permit for the establishment of a gaming machine salon, samorini, gambling club, totalizer, lotto or bingo or the permit for the provision of gambling and/or

winning games, the holder of this permit shall not be obliged to pay the remaining part of the corresponding permit fee.

22. The applicant for the permit for the activity of the free trade point shall pay the permit fee in the amount corresponding to the period of validity of the permit.

3. Cashless settlement is carried out according to the rules established by the legislation of Georgia.

4. Cash payments are made in national currency in banks, by issuing a receipt of the prescribed form.

5. A natural or legal person seeking a license/permit is obliged to submit a receipt confirming the payment of the fee, together with other documents established by the legislation of Georgia, to the license/permit issuing body.

6. A natural or legal person receiving a duplicate license/permit certificate is obliged to submit a receipt confirming the payment of the duplicate license/permit certificate fee together with a written application to the license/permit issuing authority.

7. In case of refusal to issue a license/permit taking into account the conditions defined by the law, the paid fee is not subject to return.

*Law of Georgia of March 14, 2008 No. 5922-SSMI, No. 7, 26.03.2008, Article 42*

*Law of Georgia of June 24, 2011 No. 4934 - website, 30.06.2011*

*Georgia Law No. 5122 of October 13, 2011 - website, 19.10.2011*

*Georgia Law No. 5248 of November 8, 2011 - website, 22.11.2011*

*Law of Georgia of December 9, 2011 No. 5451 - website, 22.12.2011*

*Law of Georgia of April 24, 2012 No. 6055 - website, 27.04.2012*

*Georgia Law No. 6214 of May 15, 2012 - website, 29.05.2012\_\_ Georgia Law No. 6489 of June 25, 2020 - website, 07.02.2020*

Article 10. The rule of entering the license/permit fee into the budget

Enrollment of the license/permit fee in the budget is carried out according to the rules established by the law of Georgia.

*Law of Georgia of December 29, 2004 No. 887-SSMI, No. 6, 19.01.2005, Article 41*

Article 11. Rules for resolving disputed issues

1. The dispute related to the issue of license/permit fee shall be resolved by the court according to the procedure established by the legislation of Georgia.

2. Filing a lawsuit does not exempt the license/permit applicant from paying the license/permit fee.

Article 111. Transitional provision

1. No relevant permit fee shall be paid for the issuance of permits for the export from Georgia of arms (including weapons), military equipment, military equipment, technical documentation, works and services related to the production of weapons belonging to the armed forces of the Russian Federation stationed on the territory of Georgia.

2. The Government of Georgia should determine the conditions by December 1, 2009, in which case the hotel will be considered newly built.

*Law of Georgia of June 30, 2004 No. 286-SSMI, No. 20, 16.07.2004, Art. 111*

*Law of Georgia of November 6, 2009 No. 2002-SSMI, No. 35, 19.11.2009, Art. 266*

#### Article 12. Final provision

From the entry into force of this law, the laws of Georgia "On License Fee" and "On Permit Fee for International Motor Freight Transportation from the Territory of Georgia" shall be considered invalid.

#### Article 13. Implementation of the law

This law shall come into force immediately after its publication.

**President of Georgia Eduard Shevardnadze**

**Tbilisi,**

**August 12, 2003.**

**No. 2937-rs**

## About gaming business fees

:

Law of Georgia

About gaming business fees

#### Article 1. General provisions

This law, in accordance with Article 94 of the Constitution of Georgia and the Law of Georgia "On the Basics of the Fee System", determines the types and rates of fees, the method and terms of payment, established by law in connection with the gaming business.

#### Article 2. Concept of gaming business fee

1. Gaming business tax is a necessary payment in the municipal budget, which is established in accordance with the political and economic interests of the state.

2. Gambling business fees are paid by the persons specified in Article 3 of this law in the amount and manner established by the same law.

*Law of Georgia of July 15, 2020 No. 7026-RS - website, 28.07.2020*

#### Article 3. Fee payer

1. Gaming business fee payers are persons who engage in entrepreneurial activities with lotteries, gambling and profitable games, and such activities are subject to permit regulation in accordance with the legislation of Georgia.
2. Gambling business fee payers are also lottery organizers (organizers) who engage in entrepreneurial activity "On organization of lotteries, gambling and other profitable games" before the winner is revealed in the tender organized by the National Lottery Fund.

*Law of Georgia of December 9, 2011 No. 5453 - website, 22.12.2011*

#### Article 4. Fee objects

The objects of gaming business fees are:

- a) Samorine table, club table and gaming machine;
- b) (Removed - 09.12.2011, No. 5453)
- c) incentive raffle prize fund;d) playing organized in a system-electronic form (except incentive raffles);
- e) proceeds received from the sale of lottery tickets;
- f) Gambling and/or profitable gaming cash register, arranged in system-electronic form, located outside the object organized with the permission to arrange gambling and/or profitable games.

*Law of Georgia of December 9, 2011 No. 5453 - website, 22.12.2011*

*Georgia Law No. 6056 of April 24, 2012 - website, 04/27/2012*

*Georgia Law No. 6490 of June 25, 2020 - website, 07.02.2020*

#### Article 5. Fee rates

Gaming business fee rates are differentiated according to the type of gaming business and are determined by:

- a) on each Samorine table - from 20,000 GEL to 40,000 GEL per quarter;
- b) for each gaming machine - from 2,000 GEL to 4,000 GEL per quarter;
- c) (removed - 09.12.2011, No. 5453);
- d) for each incentive draw - 10% of the prize fund;
- e) on games arranged in a system-electronic form (except incentive draws) - from 250,000 GEL per quarter to 300,000 GEL inclusive;
- f) on organizing lotteries - no more than 20% of the proceeds received from the sale of lottery tickets;

g) on each cash register of gambling and/or profitable games arranged in system-electronic form outside the facility organized with the permission to arrange gambling and/or profitable games - from 1,500 GEL per quarter to 20,000 GEL;

h) on each club table - from 4,000 GEL to 14,000 GEL per quarter.

**NOTE:** If the holder of a Samorine arrangement permit uses the club table only for the conduct of gambling tournaments, he is entitled not to pay the gaming business fee provided for in this subsection.

Law of Georgia dated December 30, 2008 No. 969\* - Civil Code I, No. 41, 30.12. 2008, Art. 258

*Law of Georgia of October 12, 2010 No. 3661 - SSM I, No. 56, 20.10.2010, Art. 364*

*Law of Georgia of December 9, 2011 No. 5453 - website, 22.12.2011*

*Georgia Law No. 6056 of April 24, 2012 - website, 04/27/2012*

*16 of 2016 of Georgia Law of December №99 - website, 23.12.2016*

*Georgia Law No. 6490 of June 25, 2020 - website, 07.02.2020*

#### Article 6. Fee reporting and payment method

1. The organizer of the incentive draw is obliged to pay the gaming business fee before the start of the incentive draw stage.

2. The gaming business fee payable by the Incentive Sweepstakes Organizer is 10 percent of the prize pool of the Incentive Sweepstakes stage.

3. (Retrieved - 28.06.2012, No. 6573) .

31. (Retrieved - 28.06.2012, No. 6573) .

4. The holder of the permission to set up an incentive draw, samorini, gambling club and/or gaming machine salon, the organizer of games arranged in a system-electronic form (except for the incentive draw) shall pay the gaming business fee when purchasing a fee payment token.5. A fee payment token is an electronically issued token for the prize pool of the incentive draw stage, for a poker table, a club table, a gaming machine, a game arranged in a system-electronic form (except for the incentive lottery), which confirms the payment of the gaming business fee and for the installation of the poker table, club table, gaming machine by the gaming organizer at the place of the game, The right to hold the stage of the incentive draw and to organize the games arranged in a system-electronic form.

6. The fee payment token must include:

a) to the numbering field (range) assigned according to the gaming business fee objects, within which fee payment signs are issued;

b) the period of taxation with the fee (except for incentive raffles).

7. (Retrieved - 08.11.2011, No. 5249).



8. The organizer of the game (except the organizer of the incentive raffle) before the beginning of the reporting quarter obtains a fee payment token from the tax authority according to the fee rate of the gaming business operating in the territory of the actual location of the taxable object.

9. The numbering field (range) assigned according to the gaming business fee object is registered in the name of the gaming organizer in the tax authority.

10. (Retrieved - 08.11.2011, No. 5249).

11. The Minister of Finance of Georgia establishes the rules for the purchase of toll payment signs, the allocation of the numbering field (range), as well as the sealing of inactive taxation facilities.

12. Lottery promoters (organizers) are obliged to submit a declaration in the form approved by the Minister of Finance of Georgia to the local tax authorities on a quarterly basis and to pay the fee no later than the 15th of the following month of the reporting quarter.

*Georgia Law No. 5249 of November 8, 2011 - website, 22.11.2011*

*Law of Georgia of December 9, 2011 No. 5453 - website, 22.12.2011*

*Georgia Law No. 6056 of April 24, 2012 - website, 04/27/2012*

*Law of Georgia of June 28, 2012 No. 6573 - website, 10.07.2012*

*Georgia Law No. 6490 of June 25, 2020 - website, 07.02.2020*

#### Article 7. Administration of fee payment

1. The tax authorities are responsible for the administration of the payment of fees determined by this law.

2. Tax authorities administer the payment of gaming business fees according to the rules established by the Tax Code of Georgia.

Law No. 3594 of September 20, 2010 of Georgia \*- Civil Code I, No. 54, 12.10, 2010, Article 346

#### Article 8. Liability

For violation of this law, the payer of gaming business fee shall be subject to the sanctions defined by the Tax Code of Georgia and other responsibilities in the manner established by the legislation of Georgia.

Law No. 3594 of September 20, 2010 of Georgia \*- Civil Code I, No. 54, 12.10, 2010, Article 346

#### Article 9. Transitional and final provisions

1. Clauses of Article 4 "E", Article 5 "F" and Article 6, Clauses 12 of this Law shall be deemed invalid from the date of the identification of the winner in the tender organized by the National Lottery Fund provided for by the Law of Georgia "On the Organization of Lotteries, Gambling and Other Profitable Games".

2. This law shall come into effect on January 1, 2007.

**President of Georgia M. Saakashvili**

Tbilisi,

December 29, 2006.

No. 4250-rs

# On promoting prevention of money laundering and financing of terrorism

:

## Chapter I

### General Provisions

#### Article 1. Purpose and scope of the law

1. The purpose of this law is to create an effective legal mechanism for the prevention, detection and prevention of money laundering and financing of terrorism, as well as the financing of proliferation of weapons of mass destruction in Georgia.

2. Compliance with the requirements of this law is mandatory for the accountable person, the supervisory body and other administrative bodies defined by the legislation of Georgia, the bodies implementing investigation and criminal prosecution, as well as the managers and employees of the accountable person and service.

#### Article 2. Definition of Terms

1. For the purposes of this Act, the terms used therein shall have the following meanings:

a) Accountable person - the person defined by the first paragraph of Article 3 of this law;

b) account - a unique means of recording the client's cash, securities or electronic money with a commercial bank, brokerage company or payment service provider;

c) unregistered organizational formation - an association provided for by the legislation of Georgia or another jurisdiction (cooperative of apartment owners, unregistered union, partnership, etc.), which has an internal organizational structure/arrangement and which acts under its own name in relations with a third party, and is not registered as a legal entity;

d) Beneficial owner - natural person defined in Article 13 of this law;

e) UN Sanctions Committee - the relevant sanctions committee created on the basis of the resolutions of the United Nations Security Council;

f) United Nations Security Council Resolution - a relevant resolution of the United Nations Security Council adopted on the basis of Chapter VII of the Charter of the United Nations, the purpose of which is to prevent, detect and suppress the financing of terrorism or the proliferation of weapons of mass destruction;

- g) transaction - transaction defined by Article 50 of the Civil Code of Georgia;
- h) Related transactions - transactions concluded in a reasonable period of time and/or one-time transactions determined on the basis of other criteria, which are related to the same client. The purpose of detecting related transactions in the cases defined by this law is to prevent evasion by the client of the measures provided for by the same law by splitting the transaction amount;
- i) justified assumption - a set of information or circumstances on the basis of which an objective observer would make a conclusion about the possible commission of a crime by a person;
- j) one-time transaction - a transaction (except for a transaction prepared, concluded or executed within the framework of a business relationship), which provides for the provision of services defined by the legislation of Georgia by the accountable person to the client;
- l) Verification - obtaining such information (document) that allows the accountable person to verify the accuracy of the identification data obtained about the person, and in the case of the beneficial owner - to also make sure that the identity of the beneficial owner is known to him;
- m) Supervisory body - the institution specified in Article 4 of this law, which verifies the fulfillment of the obligations stipulated by this law by the accountable person;
- n) Identification - obtaining such identification data about a person, which allows to trace this person and to distinguish him from another person;
- n) Jurisdiction of location - the country or territory in which the person is registered and/or carries out activities;
- p) Client - a person who establishes a business relationship with an accountable person or makes a one-time transaction with an accountable person in order to use his services;
- p) Competent body - service, supervisory body or other state structure responsible for the prevention, detection, suppression, investigation and/or criminal prosecution of money laundering and/or financing of terrorism, and in the implementation of the measures specified in Chapter X of this law - also for the prevention, detection, suppression, investigation and/or of financing of terrorism in other jurisdictions State structure responsible for criminal prosecution or other authorized state structure;
- r) confidential information - information (document) containing professional secret, commercial secret and/or personal data;
- s) person - natural person, legal entity, unregistered organizational entity;
- t) Politically active person - a natural person defined by the first paragraph of Article 21 of this law;
- u) international organization - permanent interstate or intergovernmental organization;
- f) Suspicious transaction - a transaction for which there is reasonable suspicion that it was prepared, entered into or executed on the basis of illegally obtained property or the income received from such property and/or for the purpose of money laundering or is related to the financing of terrorism;
- k) Correspondent relationship - business relationship defined by the first paragraph of Article 22 of this law;

- g) Service - legal entity under public law - Financial Monitoring Service of Georgia;
- k) list of sanctioned persons - list of individuals and legal entities to which the sanctions stipulated by the resolutions of the UN Security Council apply;
- k) business relationship - continuous commercial or professional relationship between the accountable person and the client, which involves the provision of services by the accountable person to the client defined by the legislation of Georgia;
- c) life insurance - a life insurance contract/policy that is of an investment nature (including refundable and returnable life insurance types);
- c) financing of terrorism - a crime under Article 3311 of the Criminal Code of Georgia;
- d) unusual transaction - a transaction or a set of transactions defined by the first paragraph of Article 20 of this law;
- y) Trust or a legal structure similar to a trust - a legal relationship defined by Article 2 of the Hague Convention of July 1, 1985 "On Legal Norms Applicable to Trusts and Their Recognition" or a legal relationship structurally/functionally similar to it;
- g) Financial Intelligence Service - a state structure responsible for receiving and analyzing confidential information related to the possible fact of money laundering and/or terrorist financing at the national level, as well as, if necessary, for transferring said information to another competent body;
- k) Financial institution - a person defined by subparagraph "a" of the first paragraph of Article 3-3 of this law; j) fictitious bank - a commercial bank or other financial institution that is not physically present in the jurisdiction in which it is registered or licensed;
- h) cash transfer - the operation defined by the first paragraph of Article 17 of this Law;
- H1) money laundering - a crime provided for in Article 194 of the Criminal Code of Georgia;
- H2) compliance control system - a set of internal control policies, rules, systems and mechanisms defined by Article 29 of this law;
- H3) management - a natural person who has complete information about the risks of money laundering and terrorism financing related to the activity of the accountable person and is officially authorized to make a decision related to the management of these risks;
- H4) Group - parent enterprise (parent organization), its subsidiary enterprise (subsidiary organization) and/or branch, which is subject to the recommendations of the Financial Action Task Force (FATF) regarding the implementation of preventive measures and other measures.

2. Other terms used in this law have the meaning defined by the legislation of Georgia.

### **Article 3. Accountable persons**

1. Accountable persons for the purposes of this law are:

a) Financial institutions:

AA) non-bank depository institution - credit union;

A.b) the founder of a non-state pension scheme;

A.C) insurance broker, reinsurance broker;

A. d) currency exchange point;

A.e) commercial bank;

A.f) microfinance organization;

A.z) brokerage company;

A.H) payment service provider;

a.i) insurance organization;

A.k) leasing company;

A.l) lending entity;

A.m) securities registrar;

A.N) investment fund;

b) Persons performing non-financial activities:

BA) lawyer, law office;

bb) organizer of lottery, organizer of gambling or winning games;

b.c) notary public;

b.d) certified accountant, a legal entity that provides accounting services and on whose behalf the certified accountant acts;

B.e) auditor, auditing (auditing) firm;

B.f) person carrying out trade in precious stones or metals;

c) public institutions:

G.a) a legal entity of public law operating in the sphere of governance of the Ministry of Justice of Georgia - National Agency of Public Registry (hereinafter - National Agency of Public Registry);

G.b) a legal entity of public law included in the sphere of governance of the Ministry of Finance of Georgia - Revenue Service (hereinafter - Revenue Service).

2. The requirements of this law apply to the person defined by subparagraph "BA" or "BG" of the first paragraph of this article, if he provides services related to the following activities to the client:

- a) buying/selling or gifting real estate;
  - b) management of cash, securities or other property;
  - c) managing a bank account, savings account or securities account;
  - d) organization of contributions for the purposes of creation, activity or management of a legal entity;
  - e) creation, activity or management of a legal entity, an unregistered organizational formation or a trust or a legal structure similar to a trust;
  - f) Buying/selling shares or shares of an entrepreneurial legal entity.
3. The requirements of this law do not apply to the person defined in subparagraph "B.D" or "B.E" of the first paragraph of this article in case of giving legal advice to the client or in case of representation of the client in administrative proceedings, investigative body, court or arbitration and/or preparation of such representation.

4. The requirements of this law apply to the natural person defined by subparagraph "BA", "BD" or "BE" of the first paragraph of this article, who provides professional services independently.

5. If the natural person defined by subsection "BA", "BD" or "BE" of the first paragraph of this article is a partner of a legal entity defined by the same subsection or acts on its behalf, the requirements of this law apply to the relevant legal entity.

6. The National Agency of Public Registry shall only be subject to the requirements provided for in Article 11, Clause 6, Article 25, Clause 4, and Article 26, Clauses 1 and 3 of this Law.

7. Only the requirements stipulated by Article 10, Clause 9, Article 11, Clause 7, Article 25, Clause 5, and Article 26, Clauses 1 and 4 of this Law apply to the Revenue Service.

*Law of Georgia of July 14, 2020 No. 6812 - website, 22.07.2020*

#### **Article 4. Supervisory bodies**

For the purposes of this law, the supervisory bodies are:

- a) State sub-departmental institution included in the system of the Ministry of Finance of Georgia - Accounting, Reporting and Audit Supervision Service - for the persons specified in subsections "B.D" and "B.E" of the first paragraph of Article 3-3 of this law;
- b) Association of Lawyers of Georgia - for the person defined by subsection "BA" of the first paragraph of Article 3-3 of this law;
- c) National Bank of Georgia - for the persons specified in subsections "A.A", "A.D"- "A.T" and "A.L"- "A.N" of the first paragraph of Article 3 of this law;
- d) Ministry of Justice of Georgia - for the persons specified in subsections "B.G" and "G.A" of the first paragraph of Article 3-3 of this law;

e) Ministry of Finance of Georgia - for the persons specified in subsections "AK", "BB", "BB" and "GB" of the first paragraph of Article 3-3 of this law;

f) Legal entity under public law - the State Insurance Supervision Service of Georgia - for the persons specified in subsections "A.B", "A.G" and "A.I" of the first paragraph of Article 3-3 of this law.

*Law of Georgia of July 14, 2020 No. 6812 - website, 22.07.2020*

## **Chapter II**

### **Money Laundering and Financing of Terrorism**

#### **Risk assessment and management**

#### **Article 5. National Money Laundering and Terrorist Financing Risk Assessment Report and Action Plan**

1. The Government of Georgia approves the National Money Laundering and Terrorism Financing Risk Assessment Report and Action Plan (hereafter - National Risk Assessment Report and Action Plan) upon submission of the Permanent Interagency Commission (hereafter - Interagency Commission).

2. The main objectives of the National Risk Assessment Report and Action Plan are:

a) detection, analysis and assessment of the risks of money laundering and terrorism financing at the national level and according to the relevant sectors of the economy;

b) implementation of necessary legislative, institutional and other measures to ensure the management of money laundering and terrorist financing risks at the national level and according to the relevant sectors of the economy;c) promotion of priority distribution of state resources intended for the prevention of money laundering and financing of terrorism.

3. The national risk assessment report and action plan should be updated as necessary, but at least once every 2 years.

4. The national risk assessment report and the action plan are public and published in the manner established by the legislation of Georgia, except for the part that contains confidential information or state secrets or the publication of which may interfere with the ongoing investigation or criminal prosecution in Georgia, harm the interests of the state or public security of Georgia or other public interests.

#### **Article 6. Interagency Commission and Working Group**

1. In order to develop, monitor and update the national risk assessment report and action plan, an interagency commission is established by the legal act of the Government of Georgia.

2. The issues related to the management, structure, powers, composition and activity of the inter-departmental commission are defined by the statute of the inter-departmental commission approved by the Government of Georgia.



3. Within the framework of the interdepartmental commission, a working group is established, the main functions of which are:

- a) development of an appropriate methodology (hereinafter – risk assessment methodology) for the purpose of identifying, analyzing, evaluating and managing measures of money laundering and terrorist financing risks at the national level and according to the relevant sectors of the economy;
- b) development of the national risk assessment report and action plan (preparation of the project) with the participation of competent bodies and accountable persons and submission to the interdepartmental commission for consideration;
- c) to submit the project to the inter-departmental commission for consideration regarding making changes and additions to the national risk assessment report and action plan;
- d) monitoring the implementation of the action plan and giving appropriate recommendations to the competent bodies;
- e) promotion of coordinated activities of competent bodies for the purpose of managing the risks of money laundering and financing of terrorism;
- f) Timely provision of information about the risks of money laundering and terrorism financing to the accountable person.

4. The working group annually submits a report to the inter-agency commission on the implemented activities and the state of implementation of the action plan.

#### **Article 7. Recording and submission of information**

1. The competent authority shall record the following information within the scope of its powers and, upon request of the working group, shall submit to it within a reasonable period of time:

- a) the number of reports submitted to the service and selected for further analysis, as well as the number of service analysis results sent to the competent authority in accordance with the first paragraph of Article 34 of this law;
- b) the number of requests for the presentation of information or suspension of transactions received and satisfied by the said financial intelligence service sent by the service to the financial intelligence service of another jurisdiction;
- c) number of investigations and criminal prosecutions, legally binding convictions and acquittals in the case of money laundering and financing of terrorism;d) the list of confiscated, seized and confiscated property and/or the value of such property in the case of money laundering and financing of terrorism;
- e) the number of requests for discovery of legal aid sent, received and satisfied in connection with the case of money laundering and financing of terrorism;
- f) The number and type of inspections conducted by the supervisory body on the basis of this law and relevant sub-law normative acts, detected violations and implemented supervisory measures.

2. The working group is authorized to request and receive additional statistical data or other information determined by the risk assessment methodology from the competent authority.

#### **Article 8. Assessment and management of money laundering and terrorist financing risks by an accountable person**

1. An accountable person, taking into account the nature and scope of his activities, should implement an effective system for assessing and managing the risks of money laundering and terrorist financing.
2. The accountable person is obliged to periodically assess the risks of money laundering and terrorism financing related to his activities, and in the case of the head company (head organization) - also the risks of money laundering and terrorism financing at the group level based on the client and beneficial owner, the essence of their activity and the location of the jurisdiction, product, service or means of its delivery, transaction and other risk factor.
3. Before introducing a new technology, product, service or means of its delivery, or making any other significant change in business practices, the accountable person is obliged to assess the money laundering and terrorist financing risks associated with such change.
4. The accountable person is obliged to assess the risks of money laundering and financing of terrorism related to the client in the cases provided for by clauses 1-4 of Article 11 of this law and determine the risk level of the client before concluding a one-time transaction and establishing a business relationship, as well as periodically - during the course of the business relationship and when the essential circumstances related to the client change.
5. The accountable person is obliged to implement effective measures in order to manage the risks of money laundering and terrorism financing identified in accordance with this article.
6. When assessing the risks provided for in this article and implementing their management measures, the accountable person must take into account the information mentioned in the national risk assessment report and the action plan, as well as the instructions and recommendations of the service and the supervisory body.
7. The responsible person, upon request of the supervisory body, must prove to it that he has properly assessed the risks in accordance with this article and implemented effective measures to manage them.

#### **Article 9. Low risk service/product**

1. An accountable person may be exempted by a subordinate normative act of the head of the service from fulfilling the separate requirements of this law when providing services that involve low risks of money laundering and terrorist financing.
2. The exception allowed in accordance with the first paragraph of this article must be properly justified, define an exhaustive list of circumstances and apply to a specific group of accountable persons or activities.
3. In accordance with paragraphs 1 and 2 of this article, a financial institution may be exempted from fulfilling the separate requirements of this law when performing payment services with an electronic money instrument that meets all of the following conditions:

- a) it is possible to transfer cash with the instrument only for the purpose of paying for goods or services;
  - b) it is impossible to store electronic money on the device at any time, the amount of which exceeds 500 GEL or the equivalent of 500 GEL in foreign currency;
  - c) the total amount of funds allowed for transfer by means of the instrument does not exceed 500 GEL per month, if the instrument can only be used in Georgia or electronic money can only be placed/deposited on the instrument once;
  - d) It is not allowed to deposit anonymous electronic money on the instrument;
  - e) The issuer of the instrument monitors the business relationship to detect suspicious transactions.
4. The monetary limit determined by subparagraph "b" of paragraph 3-3 of this article can be increased to 1,500 GEL if the electronic money instrument can be used only in Georgia.
5. The exception provided for in paragraph 3 of this article does not apply to an electronic money instrument that provides the possibility of withdrawal or return of funds in cash for a total of 150 GEL or the equivalent of 150 GEL in foreign currency.

## **Chapter III**

### **preventive measures**

#### **Article 10. Preventive measures**

1. The responsible person is obliged to implement the following preventive measures in the cases provided for in the first-fourth paragraphs of Article 11 of this law:
- a) identify the client and verify it based on a reliable and independent source;
  - b) identify the beneficial owner and take reasonable steps to verify it based on a reliable source;
  - c) determine the purpose and intended character of the business relationship;
  - d) monitor the business relationship.
2. The accountable person, while implementing the preventive measures specified in subparagraph "a" of the first paragraph of this article, must carry out the identification of the person acting on behalf of the client and his verification based on a reliable and independent source, and must also obtain a duly certified document confirming the authority of the client's representation.
3. The responsible person shall study the ownership and control (management) structure of the client when implementing the preventive measures specified in subsection "b" of the first paragraph of this article in relation to a legal entity, an unregistered organizational formation or a trust or a legal structure similar to a trust.
4. The accountable person, while implementing the preventive measures specified in subsection "c" of the first paragraph of this article, must determine the essence of the client's activity and obtain information about the nature, volume and frequency of expected transactions.
5. When implementing the preventive measures

specified in subparagraph "d" of the first paragraph of this article, the accountable person must study the transaction prepared, concluded and/or executed within the framework of the business relationship in order to determine the extent to which it corresponds to the information known to him about the client, the commercial or professional activity of the client and the level of the client's risk, and if necessary - the origin of the client's property and cash, and must also ensure the preventive measures specified in the first paragraph of this article Updating of identification data and other information (document) obtained by the implementation of measures with appropriate periodicity.

6. It is prohibited to establish or continue a business relationship, conclude or perform a one-time transaction, if the accountable person fails to implement the preventive measures specified in the first paragraph of this article in the cases provided for in the first-4th paragraphs of Article 11 of this law. In such a case, the accountable person should study whether there is a basis for submitting the report provided for in the first paragraph of Article 25 of this law.

7. It is prohibited to establish or continue a business relationship, conclude or execute a one-time transaction, if there is a reasonable suspicion that the client or another person participating in the transaction is one of the persons specified in subparagraphs "a"-"c" of Article 41, paragraph 5 of this law. In such a case, the accountable person is obliged to submit to the service the report provided for in the first paragraph of Article 25 of this law.

8. The performance of a credit operation by a financial institution to the account of a relevant person seized in accordance with Article 41 of this Law on the prevention, detection and suppression of the financing of the spread of weapons of mass destruction is not considered an action prohibited by the UN Security Council resolution on the basis of the agreement concluded before the person's inclusion in the list of sanctioned persons.

9. The Revenue Service is obliged to carry out the identification of the person (persons) moving and/or sending/receiving cash or securities in the cases provided for in paragraph 7 of Article 11 of this law.

#### **Article 11. Basics of implementation of preventive measures**

1. Accountable person (except for the persons specified in subsections "BB" and "BB" of the first paragraph of Article 3 of this law) is obliged to implement the preventive measures specified in the first paragraph of Article 10 of this law in the presence of the following grounds:

- a) establishing a business relationship;
- b) concluding a one-time transaction, if the amount of the one-time transaction or the total amount of related transactions exceeds 15,000 GEL or the equivalent of 15,000 GEL in foreign currency;
- c) one-time cash transfer, if the amount of a single transaction or the total amount of related transactions exceeds 3,000 GEL or the equivalent of 3,000 GEL in foreign currency;
- d) doubting the accuracy of the identification data obtained by the implementation of preventive measures determined by the first paragraph of Article 10 of this law or their compliance with the requirements of this law.

2. A person trading in precious stones or metals is obliged to implement the preventive measures specified in the first paragraph of Article 10 of this law, if the amount of the transaction executed in cash or the total amount of related transactions exceeds 30,000 GEL or the equivalent of 30,000 GEL in foreign currency.3. The organizer of the lottery, the organizer of gambling or profitable games is obliged to implement the preventive measures defined by the first paragraph of Article 10 of this law in the presence of the following grounds:

a) receiving cash, giving profit or cash, if the amount/value of the transaction or the total amount/total value of related transactions exceeds 5,000 GEL or the equivalent of 5,000 GEL in foreign currency;

b) organizing lotteries, gambling and other profitable games in a systematic-electronic form, establishing a business relationship - registering the client as a player.

4. In case of suspicion of money laundering or financing of terrorism, the accountable person is obliged to implement the preventive measures defined in the first paragraph of Article 10 of this law, regardless of the monetary limit stipulated in paragraphs 1-3-3 of this article or any other reservation.

5. The subordinate normative act of the head of the service may determine the obligation of the accountable person, regardless of the monetary limit stipulated in paragraphs 1-3 of this article, to carry out the identification of the client and/or the person acting on behalf of the client and its verification based on a reliable and independent source.

6. The National Agency of Public Registry is obliged to implement preventive measures defined by subparagraph "a" of the first paragraph of Article 10 of this law in case of registration of ownership rights to real estate based on a purchase/sale transaction or a gift transaction.

7. The Revenue Service is obliged to implement the preventive measures specified in Clause 9 of Article 10 of this Law in case of bringing cash or securities into or leaving Georgia, if the amount of cash or the value of securities exceeds 30,000 GEL or the equivalent of 30,000 GEL in foreign currency.

## **Article 12. Procedure for implementation of preventive measures**

1. The accountable person is obliged to carry out the preventive measures defined by the first paragraph of Article 10 of this law in accordance with the client's risk level before concluding a one-time transaction and establishing a business relationship, as well as with appropriate periodicity - during the course of the business relationship and when the essential circumstances related to the client change.

2. In order to verify the client and/or the beneficial owner, the implementation of preventive measures specified in subsections "a" and "b" of the first paragraph of Article 10 of this law in the presence of low risks of money laundering and terrorism financing may be completed after the establishment of a business relationship, if this is necessary to prevent disruption of the client's services. In this case, the implementation of relevant preventive measures should be completed as quickly as possible, within the limits of reasonable possibility.

3. It is prohibited to open or maintain an anonymous account or an account in a fictitious name. The financial institution is authorized to open an account in accordance with the rules established by the supervisory body for the purpose of verification of the client and/or beneficial owner before the implementation of the

preventive measures specified in subparagraphs "a" and "b" of the first paragraph of Article 10 of this law, if it is prohibited to perform operations on the account on behalf of the client or on behalf of the client until the completion of the relevant preventive measures.4. In order to establish a business relationship or conclude a one-time transaction, the accountable person is authorized to carry out the preventive measures specified in subparagraphs "A"- "C" of the first paragraph of Article 10 of this Law, without direct contact with the client and/or the person acting on behalf of the client, electronically in accordance with the rules established by the supervisory body and with such operational/technical procedures as are agreed with it, which prevent money laundering and Provides effective management of terrorism financing risks.

5. The subordinate normative act of the head of the service defines the identification data that the responsible person must obtain for the purpose of identification of the client and/or the person acting on behalf of the client, as well as the documents necessary to verify the accuracy of this data.

### **Article 13. Beneficial owner**

1. For the purposes of this law, a beneficial owner is a natural person who is the ultimate owner or ultimate controller of the customer and/or on whose behalf the transaction is made, entered into or executed.

2. For the purposes of this law, the beneficial owner of a legal entity is a natural person who directly or indirectly owns 25 percent or more of the equity or voting shares of that legal entity or otherwise exercises ultimate control over the legal entity.

3. The ownership of 25 percent or more than 25 percent of the shares or voting shares of an entrepreneurial legal entity by a natural person is considered to be direct ownership of shares or shares with voting rights provided for in paragraph 2 of this article, and indirect ownership - by the legal entity controlled by the individual (persons), or by several legal entities controlled by the same natural person (persons). (controlling), owning 25 percent or more than 25 percent of shares or voting shares of an entrepreneurial legal entity.

4. If, after taking all possible measures, the accountable person is convinced that there is no beneficial owner of the legal entity provided for in paragraphs 2 and 3 of this article, the preventive measures specified in sub-paragraph b of the first paragraph of article 10 of this law must be implemented against the person (persons) with managerial authority of the client.

5. In the case of the existence of a trust or a legal structure similar to a trust, the preventive measures defined by subparagraph "b" of the first paragraph of Article 10 of this law must be implemented against the following persons or persons in their equivalent position:

a) trustee;

b) trustee;

c) Guardian (if any);

d) Beneficiary;

e) another natural person who exercises effective final control over the trust or a legal structure similar to a trust (if any).

6. If the beneficiary provided for in subparagraph "d" of paragraph 5 of this article is not predetermined, the accountable person must obtain sufficient information about the circle of persons for whose benefit a trust or a legal structure similar to a trust was created or operates in order to make sure that he will be able to take preventive measures against the beneficiary specified in subparagraph "b" of paragraph 1 of article 10 of this law. before giving the benefit to the beneficiary or until the beneficiary takes advantage of the rights attributed to him.

**Article 14. Life insurance beneficiary**1. The insurance organization, insurance broker/reinsurance broker is obliged to carry out the following measures towards the life insurance beneficiary, in addition to the preventive measures specified in the first paragraph of Article 10 of this law:

a) carry out the identification of the predetermined beneficiary;

b) obtain sufficient information about the circle of potential beneficiaries, if the beneficiary is not predetermined, to ensure that it will be possible to identify the beneficiary before issuing the insurance compensation.

2. If a financial institution becomes aware of a third party's right to claim a life insurance contract/policy in whole or in part, the third party must be identified as soon as reasonably practicable.

3. The insurance organization, insurance broker/reinsurance broker must verify the life insurance beneficiary before issuing the insurance compensation.

4. The insurance organization, insurance broker/reinsurance broker must consider the life insurance beneficiary as a risk factor, and upon detecting a high risk of money laundering or financing of terrorism, before issuing the insurance compensation, it must implement enhanced preventive measures in accordance with Article 18 of this law, including, against the beneficiary owner of the life insurance beneficiary, it must implement the same law Preventive measures defined by subparagraph "b" of the first paragraph of Article 10.

#### **Article 15. Non-state pension scheme participant**

1. The founder of the non-state pension scheme is obliged to carry out the identification of the participant of the non-state pension scheme and its verification based on a reliable and independent source, in addition to the implementation of preventive measures specified in the first paragraph of Article 10 of this law, before establishing a business relationship.

2. Verification of a participant of a non-state pension scheme in the presence of low risks of money laundering and terrorist financing may be completed after the establishment of a business relationship, if necessary to avoid disruption of customer service. In this case, the verification of the participant of the non-state pension scheme should be completed as quickly as possible within reasonable limits.

3. The founder of the non-state pension scheme must consider the participant of the non-state pension scheme as a risk factor, and upon detecting a high risk of money laundering or terrorism financing, before issuing the pension savings, in accordance with Article 18 of this law, he must implement enhanced preventive measures, including the participant of the non-state pension scheme Beneficiary must implement



preventive measures against the owner, defined by sub-paragraph "b" of the first paragraph of Article 10 of the same law.

#### **Article 16. Third party/intermediary**

1. The accountable person is authorized to rely on a third party/intermediary, who, in accordance with the recommendations of the Special Financial Action Task Force (FATF), carries out preventive measures, stores information (documents) and is subject to regulation/supervision, in the implementation of preventive measures specified in subparagraphs "a"-"c" of Article 10 of the first paragraph of this law. The final responsibility for the implementation of preventive measures by the third party/intermediary in accordance with the requirements of this law rests with the accountable person. 2. In accordance with the first paragraph of this article, when selecting a third party/intermediary, the accountable person is obliged to take into account information about the risks of money laundering and terrorism financing in the jurisdiction of the location of the third party/intermediary. An Accountable Person is prohibited from relying on a third party/intermediary located in a high risk jurisdiction.

3. The prohibition provided for in paragraph 2 of this article does not apply to a subsidiary enterprise (subsidiary organization) or a branch of an accountable person located in a high-risk jurisdiction, if the compliance control system at the group level ensures effective management of the risks of money laundering and terrorist financing.

4. The accountable person must immediately receive from the third party/intermediary the identification data and other information (document) obtained by the implementation of the preventive measures defined by subparagraphs "a"-"c" of the first paragraph of Article 10 of this law. The accountable person shall also ensure that upon his request, the third party/intermediary shall immediately provide copies of identification data and other documents.

5. The requirements set forth in paragraphs 1-4 of this article do not apply to an agent acting on behalf of an accountable person or an outsourcing service provider, whose obligations are determined by a written contract concluded with the accountable person. The ultimate responsibility for compliance with the requirements of this Act by said agent or outsourced service provider rests with the Accountable Person.

6. The accountable person, who acts as a third party/intermediary, is authorized to transfer the information specified in paragraph 4-4 of this article, including confidential information, and a copy of the document with the consent of the client to another person who, in accordance with the recommendations of the Financial Action Task Force (FATF), implements preventive measures, stores the information (document) and is subject to supervision.

7. An accountable person, an agent acting on his behalf or an outsourcing service provider is entitled, in the cases defined by this law, to use the electronic databases of the State Services Development Agency, a public law legal entity operating in the sphere of governance of the Ministry of Justice of Georgia, without the consent of the data subject, for the purpose of identification, verification and/or updating of identification data of the client, the person acting on his behalf or the beneficial owner.

#### **Article 17. Transfer of funds**

1. For the purposes of this law, a transfer of funds is an operation performed on the order/consent of the payer by electronic means, including without opening accounts in the name of the payer and the payee, to ensure the availability of funds to the payee. When transferring funds, it is possible for the payer and the recipient to be the same person or for both of them to be provided by the same financial institution.
2. The financial institution of the payer is obliged to ensure that the transfer of funds is accompanied by the identification data of the payer and the recipient of the money determined by the supervisory authority.
3. The financial institution of the recipient of the money and the intermediary financial institution must study whether there is a basis for submitting the report provided for in the first paragraph of Article 25 of this law, if the transfer of funds does not fully contain the identification data of the payer or the recipient of the money.

## **Chapter IV**

### **Strengthened preventive measures and simplified preventive measures**

#### **Article 18. Enhanced preventive measures**

1. In accordance with the identified risks, the accountable person is obliged to implement the following measures in addition to the preventive measures defined by the first paragraph of Article 10 of this law in relation to the client belonging to the high risk level:
  - a) to obtain additional information about the property and activities of the client and/or beneficial owner;
  - b) increase the frequency of updating the identification data of the client and/or beneficial owner;
  - c) to obtain additional information about the intended nature of the business relationship, including the purposes and bases of prepared, concluded or executed and expected transactions;
  - d) to receive permission from the management to establish or continue a business relationship;
  - e) take reasonable measures to determine the origin of the client's property and cash;
  - f) implement enhanced monitoring of the business relationship, including increasing the number of risk management measures and/or the frequency of their implementation and identifying a set of transactions that require further study.
2. In addition to the enhanced preventive measures specified in the first paragraph of this article, the responsible person is obliged to implement other effective measures to manage the identified risks, if necessary, in relation to the client belonging to the high risk level.

#### **Article 19. High Risk Jurisdiction**

1. For the purposes of this Act, a high-risk jurisdiction is a country or territory in which there are serious deficiencies in its anti-money laundering or terrorist financing system. The National Bank of Georgia approves the list of high-risk jurisdictions on the submission of the service and, if necessary, makes changes to it.
2. In the cases provided for in Article 11, Paragraphs 1-4 of this Law, the accountable person shall implement enhanced preventive measures in accordance with Article 18 of the same Law, if:

a) the client is a legal entity registered in a high-risk jurisdiction or a branch of such a legal entity registered in Georgia;

b) the client is a natural person with a place of registration and/or actual residence in a high-risk jurisdiction;

c) the transaction is entered into or executed through a financial institution located in a high-risk jurisdiction.

3. The implementation of enhanced preventive measures in accordance with subparagraph "b" of paragraph 2 of this article is not mandatory if the client is a citizen of Georgia or a foreigner with a residence permit in Georgia.

4. The implementation of enhanced preventive measures is not mandatory in the case provided by subparagraph "c" of paragraph 2 of this article, if the financial institution, whose location is in a high-risk jurisdiction, is a subsidiary enterprise (subsidiary organization) or branch of a financial institution registered in Georgia, and the compliance control system at the group level ensures the management of money laundering and terrorism financing risks.

**Article 20. Unusual transaction**1. For the purposes of this law, an unusual transaction is a complex, unusually large transaction or an unusual combination of transactions that does not have an obvious economic (commercial) or legal purpose.

2. The accountable person is obliged to study the unusual transaction, its purpose and grounds and, if necessary, to detect the suspicious transaction, to carry out enhanced monitoring of the business relationship in accordance with subparagraph "f" of the first paragraph of Article 18 of this law.

3. The accountable person, upon request of the supervisory body, must prove to it that he has studied the unusual transaction in accordance with paragraph 2 of this article and taken reasonable measures to detect the suspicious transaction.

#### **Article 21. Politically active person**

1. For the purposes of this law, a politically active person is a natural person performing important public or political functions (except for middle and low-ranking officials), including:

a) head of state, head of government, member of government (minister), his deputy, head of state institution;

b) member of the legislative body (parliament);

c) head of a political union, member of the governing body;

d) a member of the Supreme Court, Constitutional Court, other judicial body of the highest instance, whose decisions are subject to appeal in exceptional cases;

e) Auditor General, his deputy, member of the Court of Auditors;

f) Member of the Council of the National (Central) Bank;

g) ambassador, head of diplomatic representation;

h) head official of the defense (military) forces;

i) the head of the enterprise operating with the equity participation of the state, a member of the governing body;

j) Head of the international organization, his deputy, member of the governing body.

2. The accountable person is obliged to determine whether the client or the beneficial owner is a politically active person in the cases provided for in paragraphs 1-4 of Article 1-11 of this law, based on the appropriate system for managing the risks of money laundering and terrorism financing.

3. If the client or beneficial owner is a politically active person, the accountable person is obliged to implement the following measures in relation to him:

a) to receive permission from the management to establish or continue a business relationship;

b) take reasonable measures to determine the origin of the property and cash of a politically active person;

c) to carry out enhanced monitoring of the business relationship in accordance with subparagraph "f" of the first paragraph of Article 18 of this law.

4. After the client or beneficial owner ceases to perform significant public or political functions, the accountable person must implement effective measures to manage the continuing risks associated with the politically active person.

5. The accountable person must implement the measures specified in this article also against the following persons:

a) family members of a politically active person: spouse, sister, brother, parent, child/gery and his/her spouse;

b) a natural person who, together with a politically active person, is the beneficial owner of a legal entity, an unregistered organizational formation or a trust or a legal structure similar to a trust, or who has some other close business relationship with it;c) a natural person who is actually (informally) the beneficial owner of a legal entity, an unregistered organizational formation or a trust or a legal structure similar to a trust created for the benefit of a politically active person.

6. A person defined by subparagraph "A.B", "A.C" or "A.I" of the first paragraph of Article 3 of this law is obliged to take reasonable measures to determine whether he is a beneficiary of life insurance or a participant of a non-state pension scheme, and in the cases provided for by Article 14, Paragraph 4 and Article 15, Paragraph 3 of this Law - also his Beneficial owner, politically active person. In case of detection of a high risk of money laundering or financing of terrorism, in addition to the preventive measures specified in the first paragraph of Article 10 of this law, the accountable person must implement the following measures:

a) to inform the management about the identified risks before issuing the insurance compensation or pension savings;

b) implement enhanced monitoring of the entire business relationship;

c) to study whether there is a basis for submitting the report provided for in the first paragraph of Article 25 of this law.

## **Article 22. Correspondence relationship**

1. For the purposes of this law, a correspondent relationship is the provision of banking services by one commercial bank (correspondent) to another bank (respondent) by opening a correspondent account and performing related banking operations, as well as a similar business relationship between financial institutions, which is related to the transfer of funds or securities trading.

2. Before establishing an international correspondent relationship, the financial institution is obliged to implement the following measures, in addition to the preventive measures defined by subparagraphs "a"-"c" of the first paragraph of Article 10 of this law:

a) based on publicly available sources, examine the reputation of the respondent and the degree of supervision exercised over him, including whether the respondent has been or is being investigated for the possible fact of money laundering or terrorist financing, or whether a supervisory measure has been implemented or is being implemented against him due to the violation of the legislation on the prevention of money laundering and terrorist financing;

b) evaluate the effectiveness of the respondent's compliance control system;

c) to receive permission from the management to establish a correspondence relationship;

d) to clearly define the obligations of both the respondent financial institution and the correspondent financial institution.

3. In the course of the international correspondent relationship, the financial institution must take reasonable measures to detect suspicious transactions and, with appropriate periodicity, in accordance with the risk level of the respondent, implement the measures specified in subparagraphs "a" and "b" of paragraph 2 of this article.

4. A financial institution is prohibited from establishing or continuing a correspondent relationship if the respondent is a fictitious bank or allows a fictitious bank to use its account.

5. It is prohibited for a financial institution to establish or continue a correspondent relationship if the respondent allows a correspondent account to be directly available to the client for performing operations in its own name (payable-through account).6. The financial institution is authorized to provide the correspondent with the information (document) (including confidential information) necessary for the implementation of the measures specified in paragraphs 2 and 3 of this article before the establishment of the correspondent relationship and/or during its course.

## **Article 23. Reinsurance activity**

1. When accepting the insurance risk in whole or in part, the reinsurance company, the reinsurance broker, before establishing a business relationship with the insurer registered in another jurisdiction, in addition to the preventive measures specified in subparagraphs "a"-"c" of the first paragraph of Article 10 of this law, must implement the following measures:

a) based on publicly available sources, to study the reputation of the insurer and the degree of supervision exercised over it, including whether the insurer was or is being investigated for the possible fact of money laundering or financing of terrorism or whether a supervisory measure has been implemented or is being implemented against it due to the violation of the legislation on prevention of money laundering and financing of terrorism;

b) evaluate the effectiveness of the insurer's compliance control system;

c) to receive permission from the management to establish a business relationship;

d) to clearly define the obligations of both the insurer and the reinsurance company or reinsurance broker.

2. A reinsurance company, a reinsurance broker, during the course of a business relationship, must take reasonable measures to detect suspicious transactions and, with appropriate periodicity, in accordance with the risk level of the insurer, implement the measures specified in subsections "a" and "b" of the first paragraph of this article.

#### **Article 24. Simplified preventive measures**

1. The accountable person is authorized to implement simplified preventive measures against the client belonging to the low risk level in accordance with the identified risks, including:

a) after establishing a business relationship, verify the client and/or beneficial owner in accordance with the procedure established by paragraph 2 of Article 12 of this law;

b) reduce the frequency of updating the identification data of the client and/or beneficial owner;

c) to reduce the frequency and volume of the study of transactions during the monitoring of the business relationship within a reasonable monetary limit;

d) based on the types of business relationship or transactions, to determine the purpose and intended character of the business relationship.

2. In implementing simplified preventive measures, the accountable person must obtain sufficient information to determine the reasonableness of assigning the client to a low risk level.

3. It is not allowed for an accountable person to implement simplified preventive measures in case of suspicion of money laundering or financing of terrorism.

### **Chapter V**

#### **Submission of information for work**

#### **Article 25. Obligation to submit information to the service**

1. The accountable person is obliged to submit a report to the Service about the suspicious transaction or the preparation, conclusion or attempt to execute such a transaction. 2. By the sub-legal normative act of the head of the service, in addition to the transaction provided for in the first paragraph of this article, the types of transactions can be defined, on which the accountable person must submit a report to the service. Such

types of transactions are determined on the basis of information disseminated by international organizations or available to the Service, which indicates the likelihood of their use for money laundering or terrorist financing.

3. The subordinate normative act of the head of the service may determine the obligation of the accountable person to submit a report to the service in the cases provided for by subparagraphs "a"- "c" of article 19, paragraph 2 of this law.

4. The National Public Registry Agency is obliged to submit a report on the registration of ownership rights to real estate to the service in the cases determined by the subordinate normative act of the head of the service.

5. The Revenue Service is obliged to submit a report to the service on the movement of cash or securities over the customs border of Georgia for 30,000 GEL or the equivalent of 30,000 GEL in foreign currency. The service must also submit a report on the movement of cash or securities on the customs border of Georgia by bypassing the customs control or secretly or incorrectly declaring it.

6. The accountable person is obliged to submit to the service, upon request, any information (document) obtained in accordance with the requirements of this law about the transaction or the person (persons) participating in the transaction, as well as other information (document) that the service needs to perform the functions defined by this law (including confidential information).

7. The lawyer shall submit the report or other information (document) provided for in this article to the service, if this does not contradict the obligation to protect professional secrecy defined by the Law of Georgia "On Lawyers".

#### **Article 26. Procedure and deadlines for submitting information**

1. The report and other information (document) provided for in Article 25 of this law shall be submitted to the service electronically or in writing, in the manner established by the subordinate normative act of the head of the service.

2. The report provided for in the first paragraph of Article 25 of this law must be submitted to the service on the day of the emergence of reasonable suspicion.

3. The reports provided for in paragraphs 2-2-4 of Article 25 of this law must be submitted to the service within the time limit determined by the sub-legal normative act of the head of the service.

4. The report provided for in paragraph 5 of Article 25 of this law must be submitted to the service no later than 5 working days after the movement of cash or securities across the customs border of Georgia.

5. The information (document) provided for in paragraph 6 of Article 25 of this law must be submitted to the service no later than 2 working days after the request.

6. The lawyer is entitled to submit the report or other information (document) provided for in Article 25 of this Law to the supervisory authority within the time limits established by this Article instead of service. In this case, the supervisory body must submit the aforementioned report or other information (document) to the service in an unchanged form no later than the next working day.



## Chapter VI

### Storage of information and protection of its confidentiality

**Article 27. Rules and terms of information storage**<sup>1</sup>. The accountable person is obliged to keep the information (document) obtained in accordance with the requirements of this law and the results of the conducted analysis, as well as documentation related to the client's account and business correspondence for 5 years after the termination of the business relationship or the conclusion of a one-time transaction.

2. The accountable person is obliged to keep the information (document) related to the transaction, which allows to find full information about the transaction, within 5 years from the preparation, conclusion or execution of the transaction, in the manner established by the subordinate normative act of the head of the service.

3. The accountable person is obliged to keep the report and other information (document) submitted in accordance with Article 25 of this law, as well as the written reference and written protocols specified in Article 36 of the same law for 5 years.

4. The period determined by paragraphs 1-3 of this article may be extended by no more than 5 years based on the justified request of the service or the supervisory body.

5. The information (document) provided for in this article is kept in such a form that it can be presented to the competent authority within the appropriate period of time, and used as evidence during criminal prosecution.

6. Accountable person is obliged, taking into account the nature and scope of his activities, to create an appropriate electronic data recording and processing system in accordance with this article in order to store information (documents), to detect related transactions, unusual transactions and suspicious transactions.

### Article 28. Obligation to protect information confidentiality

1. The responsible person, his managers and employees are prohibited from informing the client or another person that in accordance with Article 20 of this law, measures are being implemented or are being implemented for the purpose of studying an unusual transaction and/or detecting a suspicious transaction or that a report or other information (document) has been submitted to the service based on Article 25 of the same law or is being implemented or is being implemented in the same Measures defined by Article 36 of the Law.

2. The following are not considered actions prohibited by the first paragraph of this article:

- a) submission of information (document) to the competent body by the accountable person in the manner established by the legislation of Georgia;
- b) dissemination of information among members of one group, if in accordance with Article 30 of this Law, a compliance control system has been implemented at the group level;
- c) Dissemination of information between the persons specified in subparagraphs "B.A", "B.C", "B.D" and "B.E" of the first paragraph of Article 3 of this Law or between such persons and similar persons registered or operating in other jurisdictions, who carry out professional activities on behalf of one legal entity or on

behalf of legal entities operating under a single structure (system) of ownership, management or compliance control are carried out;

d) Dissemination of information between the persons specified in subparagraphs "a", "b.a", "b.g", "b.d" and "b.e" of the first paragraph of article 3 of this law, or between such persons and similar persons registered or operating in another jurisdiction, who belong to the same professional category, in connection with the same client and transaction;

e) The attempt of the person specified in subsections "BA", "BB", "BB" and "BB" of the first paragraph of Article 3-3 of this law to convince the client so that he does not carry out an illegal action.<sup>3</sup> In the cases provided by subparagraphs "b"-"d" of paragraph 2-2 of this article, the accountable person is entitled to disseminate information about the implementation of the measures specified in paragraph 1 of this article, if all the following conditions are met:

a) The purpose of disseminating information is to study unusual transactions, detect suspicious transactions and/or assess and manage the risks of money laundering and terrorist financing;

b) the accountable person has taken reasonable measures to protect the confidentiality of the information and to ensure its use for the purpose specified in subparagraph "a" of this clause;

c) Legislation of other jurisdictions provides for equivalent or stricter requirements than those provided by this law and relevant subordinate normative acts.

4. In the cases provided by sub-paragraphs "b"-"d" of paragraph 2-2 of this article, the distribution of information about the request for information (document) by the service in accordance with sub-paragraph "a" of paragraph 1 of article 35 of this law or the dissemination of information about the implementation of measures specified in article 36 of the same law may be limited by the direction of the service.

5. It is not allowed to hold the accountable person, his managers and employees responsible for the violation of the obligation to protect confidentiality defined by the normative act or the agreement in case of conscientiously fulfilling the obligation to submit the report or other information (document) to the service provided for in Article 25 of this law.

6. The accountable person, his managers and employees, except for the cases stipulated by the legislation of Georgia, are prohibited from disclosing the identity of the employee who, in accordance with Article 20 of the same law, carries out measures for the purpose of studying unusual transactions and/or detecting suspicious transactions or who submitted a report or other information (document) based on Article 25 of the same law, or who implements the measures defined by Article 36 of this law. The responsible person must ensure that the said employee is protected from threats, discriminatory treatment or other unlawful influence.

## **Chapter VII**

### **Compliance Check**

#### **Article 29. Compliance control system**

1. In order to ensure compliance with the requirements of this law, the accountable person is obliged to implement such policies, rules, systems and mechanisms of internal control (hereinafter - the compliance

control system) that are proportional to the nature, scope and related risks of money laundering and terrorist financing.

2. In order to implement the compliance control system, the responsible person should develop internal instructions. The internal instruction is approved by the governing body of the accountable entity or a person with managerial authority. The internal directive should, among other things, define:

a) rights and duties of the head and employees of the person or structural unit responsible for the operation of the compliance control system;

b) employee selection rules for hiring highly qualified and reputable persons;

c) Continuing education program for employees in order to provide them with information about the requirements of this law, relevant subordinate normative acts and internal instructions;

d) Independent audit function to verify the effectiveness of the compliance control system.<sup>3</sup> The accountable person is obliged to provide the persons specified in sub-paragraph "a" of paragraph 2-2 of this article with an effective opportunity to obtain the information (document) necessary for the performance of their functions in a timely manner and to independently make a decision regarding the submission of the report provided for in paragraph 1 of Article 25 of this law.

4. The person responsible for the operation of the compliance control system or the head of the structural unit must be accountable to the person specified in paragraph 5-5 of this article.

5. The accountable entity must designate a member of its governing body or a person with managerial authority to be responsible for the effectiveness of the compliance control system.

6. An individual entrepreneur or a natural person who independently carries out professional activities, by the decision of the supervisory body, may be exempted from the fulfillment of the separate requirements provided for in paragraphs 2-2-5 of this article, taking into account the nature, scope and related risks of money laundering and terrorism financing.

### **Article 30. Compliance control at the group level**

1. The accountable person, which is the head enterprise (head organization) registered in Georgia, is obliged to introduce a compliance control system at the group level, which, in addition to the requirements provided for in Article 29 of this law, determines:

a) the rules of information (document) dissemination among group members for the purpose of implementing preventive measures and/or assessing and managing the risks of money laundering and terrorist financing;

b) the rules for providing information (documents) obtained about clients, beneficial owners and their transactions to the person responsible for the operation of the compliance control system at the group level or to the structural unit and to the group members for the purpose of studying unusual transactions, detecting suspicious transactions and/or evaluating and managing the risks of money laundering and terrorist financing;

c) Mechanisms for protecting the confidentiality of information (document) and ensuring its use for the purpose specified in subsections "a" and "b" of the first paragraph of this article.

2. A subsidiary enterprise (subsidiary organization) or branch registered or operating in another jurisdiction of the Accountable Person shall comply with the requirements of this law and the corresponding subordinate normative acts, if the legislation on money laundering and the prevention of terrorism financing in force in the jurisdiction in which it is located provides for less stringent requirements.

3. In the case provided for in paragraph 2 of this article, the accountable person is obliged to ensure the timely delivery of relevant information to the supervisory body and to take additional measures to manage the risks of money laundering and terrorism financing, if the jurisdiction of the location of its subsidiary enterprise (subsidiary organization) or branch limits the fulfillment of the requirements of this law and relevant subordinate normative acts. 4. If the additional measures taken by the accountable person in accordance with paragraph 3-3 of this article are insufficient to manage the risks of money laundering and terrorist financing, the supervisory body is obliged to implement appropriate supervisory measures. If necessary, he is authorized to request the restriction or termination of the activities of the subsidiary enterprise (subsidiary organization) or branch of the accountable person.

## **Chapter VIII**

### **Job**

#### **Article 31. Service Status**

1. The Service is a legal entity of public law created on the basis of this law, which exercises the powers granted to it by this law and other legal acts in order to promote the prevention of money laundering and terrorism financing.

2. The service is independent in its activities and is guided by the legislation of Georgia. It is forbidden to influence the service and interfere with its activities. It is not allowed to instruct the service to obtain any information or take any other action.

3. The Service is accountable to the Government of Georgia and annually submits a report on its activities. The requirements of Article 11 of the Law of Georgia "On Public Law Legal Entity" do not apply to the service.

4. The service has a seal with the image of the state coat of arms of Georgia and its name, as well as an independent balance sheet and account in the state treasury. The service can also open an account in a commercial bank in cases provided for by the legislation of Georgia.

5. The issues related to the management, structure, authority and mode of activity of the service are determined by the regulations of the service, which are approved by the Government of Georgia.

#### **Article 32. Service management**

1. The service is headed by the head of the service, who is authorized to issue subordinate statutory acts (orders) and individual legal acts in the manner established by the legislation of Georgia.

2. The head of the service is appointed and dismissed by the Prime Minister of Georgia for a period of 4 years.

3. The grounds for early dismissal of the head of service are:

- a) Termination of Georgian citizenship;
- b) committing serious official misconduct;
- c) non-fulfillment of duty for 4 consecutive months;
- d) entry into legal force of the guilty verdict of the court;
- e) to be recognized by the court as missing, to be declared dead or to be recognized as a recipient of support, unless otherwise determined by the court's decision;
- f) occupying a position incompatible with the status of the head of the service or carrying out incompatible activities;
- g) personal statement;
- h) Death.

4. The head of the service has deputies. The deputy head of the service is appointed and dismissed by the head of the service.

### **Article 33. Funding of the service**

1. The sources of financing of the service are the funds allocated from the state budget of Georgia and other revenues allowed by the legislation of Georgia.

2. Reduction of the funds provided for the current expenses of the service in the state budget of Georgia compared to the amount of the budget funds of the previous year is allowed only with the prior approval of the head of the service.

3. The amount of remuneration of the service employee should correspond to the level of remuneration in the banking system of Georgia. 4. The staff list and salary fund of the service is approved by the Prime Minister of Georgia upon submission of the head of the service.

### **Article 34. Main functions of the service**

1. The service analyzes reports and other information (documents) received from accountable persons and other sources, and in case of reasonable suspicion of money laundering, financing of terrorism or other crimes, it sends the results of its analysis to the General Prosecutor's Office of Georgia, the State Security Service of Georgia, the Revenue Service and/or the Ministry of Internal Affairs of Georgia.

2. The service informs the accountable person about the compliance of the report submitted by him with the requirements of this law and the subordinate normative acts of the head of the service, as well as the results of the analysis conducted by the service based on the report.

3. The service studies ways of money laundering and terrorism financing in Georgia and abroad and develops guidelines and warning signs for the accountable person when detecting suspicious transactions.
4. The service issues guidelines and develops methodical recommendations on issues of fulfillment of the requirements of this law and subordinate normative acts of the head of the service by the accountable person.
5. The service participates in the development and review of legal acts and policy documents in the field of prevention of money laundering and financing of terrorism in Georgia.
6. Within the scope of its authority, the service represents Georgia in international organizations and forums, as well as cooperates with the financial intelligence service of other jurisdictions in the manner established by this law.

### **Article 35. Service rights and duties**

1. The service is authorized to perform the functions defined by this law:
  - a) The responsible person shall request and receive the information (document) provided for in Article 25-6 of this Law;
  - b) The administrative body shall request and receive confidential information, as well as, if necessary, make databases containing such information directly available to it, if this is technically possible.
2. The service is obliged to protect the confidentiality of the information (document) received in accordance with the requirements of this law. It is not allowed to transfer this information (document) to any other person without a judge's decision, except for the cases defined by the same law.
3. Heads and employees of the service are obliged to protect the confidentiality of the information (document) provided for in paragraph 2 of this article during the period of exercise of official authority and after its termination, except for the cases defined by this law.
4. The service, its leaders and employees are prohibited from informing any other person that based on Articles 25 and 37 of this law, the service has received a report or other information (document) or that the measures defined by the first paragraph of Article 34 and Articles 36 and 37 of the same law are being implemented in order to facilitate the prevention of money laundering or financing of terrorism, except for the cases provided for by this law.

**Article 36. Reference on the suspension of the transaction**1. The head of the service is authorized to issue a written instruction to the accountable person within no more than 72 hours to suspend the preparation, conclusion or execution of the relevant transaction, as well as any other transaction related to this transaction and/or the person participating in this transaction, regardless of the amount of the transaction amount. The information (document) in the hands of the service is immediately transferred to the General Prosecutor's Office of Georgia, the Ministry of Internal Affairs of Georgia and/or the State Security Service of Georgia.

2. The head of the service or a person authorized by him can, in case of urgent necessity, give the reportable person orally or by means of electronic communication the reference provided for in the first

paragraph of this article. A written protocol is drawn up on the fact of giving the mentioned reference in accordance with the procedure established by the subordinate normative act of the head of the service.

3. The reference provided for in paragraph 2 of this article is made by the written reference of the head of the service. This written instruction will be given to the accountable person within the next 24 hours. In case of non-acceptance of a written reference within the mentioned period, the accountable person is entitled to resume the preparation, conclusion or execution of the relevant transaction after the expiry of this period.

4. The accountable person must confirm the receipt of the instruction provided for in paragraphs 1-3-3 of this article in accordance with the procedure established by the subordinate statutory act of the head of the service and implement the measures necessary for the immediate implementation of the said instruction.

5. The 72-hour period determined by the first paragraph of this article starts from the moment of receiving the reference by the accountable person. Holidays and holidays are not taken into account when calculating the mentioned term. The referral may be canceled early if reasonable suspicion of money laundering, terrorist financing or other crimes is not confirmed, or in the interest of the investigation, based on a written request from the Prosecutor General's Office of Georgia, the Ministry of Internal Affairs of Georgia, or the State Security Service of Georgia.

6. In accordance with paragraph 5 of this article, the head of the service or a person authorized by him makes a decision on premature cancellation of the reference. The responsible person should be informed about the said decision orally or via electronic communication in a timely manner. On the fact of such a notification, a written protocol is drawn up by the head of the service in the manner established by the by-law normative act.

7. The service is authorized to give the accountable person the reference provided for in paragraphs 1 and 2 of this article based on the request of the financial intelligence service of another jurisdiction or to send a similar request to the financial intelligence service of another jurisdiction.

8. The service will comply with the request of the financial intelligence service of another jurisdiction provided for in paragraph 7 of this article, if it is convinced that the assumption of the financial intelligence service of another jurisdiction regarding money laundering, financing of terrorism or other crime is substantiated.

**Article 37. International cooperation**1. The service is authorized to send a request for the provision of confidential information to the financial intelligence service of another jurisdiction for the purpose of prevention, detection and prevention of money laundering, financing of terrorism or other crimes and to respond to similar requests or to provide such information to the financial intelligence service of another jurisdiction on its own initiative.

2. The service must promptly provide the financial intelligence service of another jurisdiction with the information in its possession or any other confidential information that the service has the right to obtain in accordance with the first paragraph of Article 35 of this law, if the request for providing information is justified, describing the circumstances on which it was based, and explaining the ways of further use of such information. The Service uses secure means of communication when providing confidential information to the Financial Intelligence Service of another jurisdiction.



3. The Service will not comply with the request of the Financial Intelligence Service of another jurisdiction to provide confidential information, if compliance with this request may interfere with the ongoing investigation or criminal prosecution in Georgia, harm the legal interests of the person or the interests of protecting the state or public security of Georgia or other public interests. The service's refusal to provide confidential information must be justified and explained to the financial intelligence service of another jurisdiction in a timely manner.

4. The service must ensure the confidentiality of the information received from the financial intelligence service of another jurisdiction in accordance with the procedure established by paragraphs 35-2-4 of this law and use the said information only for the analysis specified in the first paragraph of Article 34 of this law or for any other purpose specified in the relevant request. It is not allowed to transfer this information to a third party without the prior permission of the Financial Intelligence Service of another jurisdiction.

5. The Service shall take reasonable steps to ensure that the Financial Intelligence Service of another jurisdiction protects the confidentiality of information provided to it and shall use such information only for purposes authorized by the Service.

6. In the event of a request from a financial intelligence service of another jurisdiction, the service shall inform it within reasonable limits of the use of the information received from it or the results of the analysis conducted on the basis of said information.

7. The service is authorized to independently conclude an agreement with the financial intelligence service of another jurisdiction, which will regulate other issues of information exchange and bilateral cooperation for the prevention, detection and prevention of money laundering, financing of terrorism or other crimes.

## **Chapter IX**

### **Oversight and Interagency Cooperation**

#### **Article 38. Functions of the supervisory body**

1. The supervisory body is obliged to ensure that the accountable person fulfills the requirements of this law and the corresponding subordinate normative acts by remote inspection and/or on-site inspection.

2. The type of inspection provided for in the first paragraph of this article and the frequency of its conduct shall be determined based on the nature, scope and related risks of money laundering and terrorism financing (hereinafter - risk level) of the activity of the accountable person. 3. The supervisory body is authorized to request and receive the necessary information (document) (including confidential information) from the responsible person in order to conduct the inspection provided for in the first paragraph of this article or to determine the risk level.

4. The supervisory authority should determine the level of risk with appropriate periodicity and when making a substantial change in the ownership or control (management) structure or activity of the accountable person. When determining the level of risk, the supervisory authority should take into account the information mentioned in the national risk assessment report and the action plan.

5. The supervisory body shall issue guidelines and develop methodical recommendations on issues of fulfillment of the requirements of this law and relevant subordinate normative acts by the accountable person.

6. The supervisory body is obliged to determine and implement appropriate supervisory measures against the accountable person in case of violation of the requirements of this law or the relevant subordinate normative act.

#### **Article 39. Cooperation and information exchange**

1. In order to facilitate the prevention of money laundering and financing of terrorism, the competent authorities should cooperate with each other within the scope of their powers by exchanging appropriate information and sharing experiences.

2. The supervisory body is obliged to inform the service in a timely manner about the violation of the requirements of this law or the corresponding subordinate normative act revealed during the inspection of the accountable person. The service must be immediately notified of a possible fact of money laundering or terrorist financing identified by a supervisory authority.

3. In order to carry out effective supervision of the group or to promote it, the supervisory authority must cooperate and exchange appropriate information with the relevant supervisory authorities of the jurisdiction where the head or subsidiary enterprise (organization) or branch of the accountable person is located.

4. The service is obliged to promptly inform the supervisory body about the possible fact of violation of the requirements of this law or the corresponding subordinate normative act by the accountable person.

5. The General Prosecutor's Office of Georgia, the State Security Service of Georgia, the Revenue Service, the Ministry of Internal Affairs of Georgia shall, upon request by the Service, inform it within a reasonable time of the results of the analysis received from the Service and the use of other information (documents) received from the Service and its results in accordance with the requirements of this law.

6. The service is authorized to submit confidential information (document) in its possession to the Prosecutor General's Office of Georgia, the State Security Service of Georgia or the Ministry of Internal Affairs of Georgia, based on a reasoned appeal by the Prosecutor General of Georgia, the head of the State Security Service of Georgia or the Minister of Internal Affairs of Georgia or their deputies authorized for this purpose, which is required by Article 194, 1941 or 3311 of the Criminal Code of Georgia or to achieve the objectives of the ongoing investigation under Chapter XXXIII.

7. The competent authority will obtain a document with evidential force from the service in accordance with the procedure established by the Criminal Procedure Code of Georgia.

### **Chapter X**

#### **Implementation of UN Security Council resolutions**

**Article 40. Government Commission and Working Group**1. The governmental commission working on issues of the implementation of the resolutions of the UN Security Council (hereinafter - the governmental commission) is the main contact body in Georgia for the UN Sanctions Committee and other structures for

the purpose of prevention, detection and suppression of the financing of terrorism and the proliferation of weapons of mass destruction in the implementation of the measures provided for in this chapter.

2. The issues related to the management, structure, powers, composition and mode of activity of the governmental commission are determined by the statute of the governmental commission, which is approved by the Government of Georgia.

3. The government commission cooperates and exchanges information with the competent bodies of Georgia and other jurisdictions and international organizations within the scope of its powers.

4. A working group functions as part of the government commission, which ensures the search, processing and dissemination of appropriate information to fulfill the functions of the government commission.

#### **Article 41. Enforcement of UN Security Council sanctions**

1. The change made by the UN Sanctions Committee acting in accordance with the UN Security Council resolutions on the fight against the financing of terrorism and the financing of proliferation of weapons of mass destruction adopted on the basis of Chapter VII of the UN Charter (inclusion of a person in the list of sanctioned persons or removal from this list or a change in the identification data of a person) takes effect directly on the official website of the UN Sanctions Committee. From the moment of publication.

2. The government commission is obliged, without notifying the relevant person, to immediately consider the appeal of Georgia or the competent body of another jurisdiction regarding the implementation of the measures defined by the UN Security Council Resolution 1373 (2001) against this person.

3. On the basis of the appeal provided for in paragraph 2 of this article, the government commission considers, using the standard of reasonable assumption, whether the relevant person meets the appropriate conditions defined by the UN Security Council Resolution 1373 (2001), and makes a decision in accordance with the procedure established by the legislation of Georgia:

a) regarding the application of sanctions determined by UN Security Council Resolution 1373 (2001) against this person;

b) Regarding the refusal to satisfy the relevant appeal of the competent body of Georgia or other jurisdiction.

4. Property under this chapter includes all things or intangible property and the income derived therefrom, owned or controlled directly or indirectly, independently or jointly with other persons:

a) a person included in the list of persons subject to sanctions or a person specified in subparagraph "a" of paragraph 3 of this article;

b) a person who acts on behalf of or on behalf of a person specified in subparagraph "a" of this paragraph;

c) a person directly or indirectly owned or controlled by a person defined in subparagraph "a" of this clause.

5. The government commission is authorized to submit an appeal to the administrative body regarding the implementation of the measures defined by the UN Security Council resolution against the person provided for in paragraph 4 of this article, including the restriction of free movement on the territory of Georgia or the acquisition of weapons, other military products and their spare parts. The said appeal of the government

commission should be implemented immediately.<sup>6</sup> The government commission is obliged to provide the interested person with information about the mechanism operating in the United Nations Organization, which, in the manner established by the UN Security Council resolution, considers the statements related to the lifting of restrictions on free movement in the territory of Georgia established in accordance with paragraph 5 of this article.

*Georgia Law No. 425 of March 30, 2021 - website, 13.04.2021..*

#### **Article 42. Total or partial removal of property seizure**

1. The government commission is obliged to study with proper periodicity, but not less than once a year, or based on the reasoned request of the interested person, whether there is sufficient ground for the reasoned assumption provided for in paragraph 3 of Article 41 of this law.
2. The government commission is obliged to make a decision on lifting the seizure of the relevant person's property if it is determined that there are no longer sufficient grounds for the justified assumption provided for in Article 41, Clause 3 of this law.
3. The governmental commission is authorized, based on the reasoned request of the interested person, in the manner established by the UN Security Council resolution, to make a decision to remove the seizure of the part of the property of the relevant person that is necessary to ensure the minimum living conditions, including food, rent, mortgage loan, medicine or other medical services, state taxes or utility services, legal assistance or the costs of maintaining the confiscated property. to compensate. The government commission takes the mentioned decision if it notifies the UN Sanctions Committee in advance about the intention to lift the seizure of the property of the relevant person and does not receive a negative response from it within 3 working days.
4. The government commission is authorized, based on the reasoned request of the interested person, to make a decision in accordance with the procedure established by the UN Security Council resolution to remove the seizure of the property of the relevant person, which is necessary to compensate for special or unforeseen expenses. The government commission makes the mentioned decision if it receives a positive response from the relevant person after notifying the UN Sanctions Committee about the intention to lift the seizure of a part of the property.
5. The government commission is authorized, based on the justified request of the interested person, to make a decision on the removal of the seizure of that part of the relevant person's property, which is necessary for the fulfillment of the obligations arising from the agreement concluded before entering the person into the list of persons subject to sanctions, in accordance with the procedure established by the resolution of the United Nations Security Council regarding the prevention, detection and suppression of the financing of the proliferation of weapons of mass destruction.

*Georgia Law No. 425 of March 30, 2021 - website, March 31, 2021.*

#### **Article 43. Referral to the UN Sanctions Committee**

1. The Governmental Commission is authorized, without notifying the concerned person, to submit an appeal to the UN Sanctions Committee for a decision on including him in the list of sanctioned persons, if there is a

reasonable doubt that the person meets the appropriate conditions defined by the UN Security Council resolution.<sup>2</sup> The appeal provided for in the first paragraph of this article must be submitted in accordance with the procedure established by the UN Security Council resolution and using the standard form of appeal. The appeal must be substantiated and contain information sufficient to identify the person.

3. The government commission is obliged to examine whether there are sufficient grounds for the suspicion provided for in the first paragraph of this article, with appropriate periodicity, but not less than once a year, or based on the justified request of the interested person.

4. The government commission is obliged to submit an appeal to the UN Sanctions Committee to remove the relevant person from the list of sanctioned persons, if it is determined that there are no longer sufficient grounds for the suspicion provided for in the first paragraph of this article.

5. In the case provided by paragraph 4 of this article, the government commission is obliged to implement the necessary measures to immediately submit an appeal to the UN Sanctions Committee to remove the relevant person from the list of sanctioned persons.

6. The government commission is obliged to provide the interested person with information about the mechanism operating in the United Nations Organization, which considers the statements related to the removal of the relevant person from the list of sanctioned persons in the manner established by the resolution of the United Nations Security Council.

## **Chapter XI**

### **Transitional and Final Provisions**

#### **Article 44. Transitional Provisions**

1. The accountable person shall ensure, within the appropriate period, but no later than November 1, 2020, the requirements provided for in Chapters III and IV of this law are distributed to such clients with whom he established business relations before the entry into force of this law.

2. When determining the appropriate term stipulated in the first paragraph of this article, the accountable person should take into account the level and importance (materiality) of the client's risk, as well as the time of implementation of preventive measures against the client in the past and compliance of identification data and other information (document) obtained by their implementation with this law.

#### **Article 45. Invalid legal acts**

1. The Law of June 6, 2003 of Georgia "On Promotion of Prevention of Legalization of Illegal Income" (Legislative Gazette of Georgia, No. 17, 16.06.2003, Art. 113) shall be declared null and void upon the entry into force of this law.

2. The relevant sub-legal normative acts adopted/issued on the basis of the Law of Georgia of June 6, 2003 "On Promotion of Prevention of Legalization of Illegal Income" (Legislative Gazette of Georgia, No. 17, 16.06.2003, Art. 113) shall remain valid until the adoption/issuance of the relevant sub-legal normative acts provided for by this law.

## Article 46. Implementation of the law

This law shall come into force immediately after its publication.

# On the approval of fees and their rates for the provision of services by a legal entity under public law - Revenue Service

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Primary look (31/03/2010 - 31/05/2010)

of the Government of Georgia

Resolution No. 96

March 30, 2010

St. Tbilisi

On the approval of fees and their rates for the provision of services by a legal entity under public law - Revenue Service

Article 1 In accordance with Article 8, Clause 2 and Article 15, Clause 4 of the Law of Georgia "On Revenue Service", to approve the fees and their rates attached to the provision of services by the Revenue Service.

## Article 2

The resolution will come into effect on June 1, 2010.

Prime Minister N. Gilauri

Fees and their rates for the provision of services by the Revenue Service

№ Service type of service Term service tariff (including VAT) 1. Issuance of permits for the organization of gambling and profitable games 20 working days 10 working days 5 working days 1 working day Free of charge 150 GEL 300 GEL 1000 GEL 2. Services of a personal tax agent 6 months 2000 GEL More than 2 working days free of charge 30 GEL. 4. Issuance of information about the bank accounts of the taxpayer more than 3 working days 3 working days 1 working day free of charge 10 GEL 20 GEL Issuance of a copy of the declaration and its attachments 10 working days 2 working days 100 GEL 250 GEL Issuance of a copy of the annual declaration for 1 reporting period 10 working days 2 working days 50 GEL 150 GEL Lari. 11. Issuance of a permit for the activity of a customs warehouse, free warehouse activity, duty-free trade point in an accelerated manner 20 working days 10 working days per free square meter 0.1 GEL, but not less than



100 GEL; 0.05 GEL per cubic meter of the reservoir, but not less than 100 GEL; in the case of a closed warehouse, the initial coefficient is halved; for an accelerated period of more than 10 days, 0.05 GEL is added to the warehouse coefficient for each accelerated day. 12. Issuance of the certificate of origin in an accelerated manner 2 more than a working day 2 days 4-8 hours 1-3 Hourly fee 40 GEL 100 GEL 150 GEL Issuance of sanitary control certificate 1 working day More than 1 working day 400 GEL 200 GEL 128.

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# On the approval of fees and their rates for the provision of services by a legal entity under public law - Revenue Service

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Primary look (31/03/2010 - 31/05/2010)

of the Government of Georgia

Resolution No. 96

March 30, 2010

St. Tbilisi

On the approval of fees and their rates for the provision of services by a legal entity under public law - Revenue Service

## Article 1

In accordance with Article 8, Clause 2 and Article 15, Clause 4 of the Law of Georgia "On Revenue Service", to approve the fees and their rates attached to the provision of services by the Revenue Service.

## Article 2

The resolution will come into effect on June 1, 2010.

Prime Minister N. Gilauri

Fees and their rates for the provision of services by the Revenue Service

| No                                                             | Service type                                                                                                                          | Term                                                                | service tariff (including VAT)                                      |
|----------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------|---------------------------------------------------------------------|
| 1.                                                             | Issuance of permits for the organization of gambling and profitable games                                                             | 20 working days                                                     | 10 working days                                                     |
| 5                                                              | working days                                                                                                                          | 1 working day                                                       | Free of charge                                                      |
| 150                                                            | GEL                                                                                                                                   | 300                                                                 | GEL                                                                 |
| 1000                                                           | GEL                                                                                                                                   | 2.                                                                  |                                                                     |
| Services of a personal tax agent                               | 6 months                                                                                                                              | 2000                                                                | GEL                                                                 |
| More than 2 working days                                       | free of charge                                                                                                                        | 30                                                                  | GEL                                                                 |
| 4.                                                             | Issuance of information about the bank accounts of the taxpayer                                                                       | more than 3 working days                                            | 3 working days                                                      |
| 1                                                              | working day                                                                                                                           | free of charge                                                      | 10                                                                  |
| GEL                                                            | 20                                                                                                                                    | GEL                                                                 | Issuance of a copy of the declaration and its attachments           |
| 10                                                             | working days                                                                                                                          | 2 working days                                                      | 100                                                                 |
| GEL                                                            | 250                                                                                                                                   | GEL                                                                 | Issuance of a copy of the annual declaration for 1 reporting period |
| 10                                                             | working days                                                                                                                          | 2 working days                                                      | 50                                                                  |
| GEL                                                            | 150                                                                                                                                   | GEL                                                                 | Lari.                                                               |
| 11.                                                            | Issuance of a permit for the activity of a customs warehouse, free warehouse activity, duty-free trade point in an accelerated manner | 20 working days                                                     | 10 working days                                                     |
| per free square meter                                          | 0.1                                                                                                                                   | GEL, but not less than 100                                          | GEL; 0.05                                                           |
| GEL per cubic meter of the reservoir, but not less than 100    | GEL; in the case of a closed warehouse, the initial coefficient is halved; for an accelerated period of more than 10 days, 0.05       | GEL is added to the warehouse coefficient for each accelerated day. | 12.                                                                 |
| Issuance of the certificate of origin in an accelerated manner | 2 more than a                                                                                                                         |                                                                     |                                                                     |

working day 2 days 4-8 hours 1-3 Hourly fee 40 GEL 100 GEL 150 GEL Issuance of sanitary control certificate 1 working day More than 1 working day 400 GEL 200 GEL

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## **On determining the detailed types of fees to be paid to the selected person, their amounts, periodicity and method of payment**

:

On determining the detailed types of fees to be paid to the selected person, their amounts, periodicity and method of payment

In accordance with paragraphs 10 and 11 of Article 361 of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games", the attached "Detailed types of fees to be paid to the selected person, their amounts, periodicity and manner of payment" should be approved.

The resolution shall take effect immediately after its publication.

## **Detailed types of fees to be paid to the selected person, their amounts, periodicity and method of payment**

### **Article 1\*\*. General Provisions\*\***

1. "Detailed types of fees to be paid to the selected person, their amounts, periodicity and method of payment" (hereinafter - the rule) defines the types of fees to be paid by the permit holder/seeker to the selected person, their amounts, periodicity and method of payment.
2. The permit holder/seeker is obliged, personally or through a third party, to pay the prescribed one-time fee before the service is provided by the selected person, and the electronic control system operating (operating) fee - at the periodicity specified in Article 5 of this rule.

### **Article 2. Definition of Terms**

For the purposes of this resolution, the terms used shall have the following meanings:

- a) **permit seeker** - a person defined by subsection "h" of Article 3 of the Law of Georgia "On Licenses and Permits" who intends to carry out activities through the provision of gaming machines, gambling and/or profitable games arranged in system-electronic form (except incentive raffles), totalizer and gambling and/or profitable games;
- b) **permit owner** - a person defined by subsection "j" of Article 3 of the Law of Georgia "On Licenses and Permits", who carries out activities through the provision of gaming machines, gambling and/or profitable (except incentive draws) games arranged in system-electronic form, totalizer and gambling and/or profitable games;
- c) **selected person** - a person selected by a public law legal entity under the governance of the Ministry of Finance of Georgia - the Revenue Service (hereinafter - the Revenue Service) for the purpose of implementing and operating the electronic gaming business control system;
- d) **GGR** - the difference between the bets received by the license holder from the players and the profit given to the player (IN-OUT); **Note:** In the case of the holder of the license to provide gambling and/or winning games, GGR includes the difference (IN-OUT) between the bets placed by the players on the gambling and/or winning game(s) provided to the holder of the gambling and/or winning game in system-electronic form (IN-OUT);
- e) **monitoring device** - device required for electronic control.

### **Article 3. Types of services**

The following services are provided by the selected person in accordance with Article 361, Clause 10 of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games":



a) **POS terminal arrangement** - a special electronic device that meets the requirements established by the Minister of Finance of Georgia and ensures the reflection of each ticket of the totalizer (except for the game organized in a system-electronic form) in the electronic control system;

b) **initial research of the gaming system and/or essential products/services/issuance of authorization certificate** - technical audit, which will be carried out by the selected person to assess the compatibility of the system and/or essential products/services with the electronic control system and issue an authorization certificate based on it. The mentioned process is carried out separately, according to the following directions of activity:

B.a) gambling and/or profitable games organized in a system-electronic form;

bb) gaming machine salon(s), totalizers, except for the cases provided for in subsection "b.a" of this paragraph;

BG) essential products/services;

c) **Placement of equipment for integration with the electronic control system with the seeker/organizer of a gambling and/or profitable game permit, as well as with the seeker/owner of a permit for the supply of gambling and/or profitable games** - placement of technical devices/devices/other means, the purpose of which is to integrate the gaming system and/or essential products/services into the electronic control system;

d) **operating fee** - current service fee provided by the selected person for operating the electronic control system;

e) **Placement of gaming machine monitoring device** - Placement of the device necessary for electronic control;

f) **GSM card activation** - activation of the communication device required for mobile signal transmission.

#### **Article 4. One-time fees**

1. The fee for initial research/authorization certificate issuance of gaming system and/or essential products/services by the permit holder/seeker - not more than 35,000 GEL, depending on each direction of activity.

2. The fee for placing the equipment for the integration with the electronic control system of the holder/seeker of the permit for the arrangement of system-electronic gambling and/or profitable games and the provision of games - no more than 100,000 GEL for each permit holder/seeker.

3. Placement of monitoring device (including installation) on the gaming machines owned/used by the owner/applicant of the permission to set up a gaming machine salon - no more than 500 GEL per gaming machine.

4. GSM card activation - no more than 10 GEL per gaming machine.

5. Arrangement of POS terminal - no more than 2500 GEL.

## **Article 5. Electronic control system operation (operating) fee**

The operating fees payable to the selected person are: a) for holders of permits for gambling and/or winning games arranged in a system-electronic form - no more than 0.5% of GGR every month;

b) on gambling and/or winning game(s) delivered in system-electronic form to the holders of the permission to provide games - no more than 5% of GGR every month;

c) For the holders of the slot machine salon permit - no more than 3.5 GEL per day for one slot machine.

## **Article 6. Method of payment of fees**

1. Payment of the fees specified in Article 4 of this rule is made by the selected person before providing the service.

2. The amount of fees specified in Article 5 of this rule and the periodicity of payment are determined in accordance with the agreement signed between the selected person and the permit holder/seeker.

# **On defining the rights and duties of the gaming organizer/permit seeker, game supplier/permit seeker and the selected person for the purpose of implementing and operating the electronic control system**

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Regarding the determination of the rights and duties of the gaming organizer/permit seeker, game provider/permit seeker and selected person for the purpose of implementation and functioning of the electronic control system

On the basis of Article 361, Paragraph 7 of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games" and Article 2, Paragraph 12 of the Law of Georgia No. 6487-II of June 25, 2020, "On Amendments to the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games", approve the attached "In order to implement and operate the electronic control system, Rights and responsibilities of games organizer/permission seeker, game provider/permission seeker and selected person".

The resolution shall take effect immediately after its publication.

**Rights and duties of the gaming organizer/permit seeker, game supplier/permit seeker and selected person for the implementation and operation of the electronic control system**

## **Article 1. General Provisions**

In order to implement and operate the electronic control system, the rights and duties of the game organizer/permit seeker, game supplier/permit seeker and the selected person (hereinafter - rights and duties) determine the rights and duties of the game organizer/permit seeker, game supplier/permit seeker and the selected person provided for by the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games", control In order to implement and operate the electronic system.

## **Article 2. Definitions of Terms**

For the purposes of these rights and obligations, the terms used therein shall have the following meanings:

- a) **Revenue Service** - a legal entity under public law under the management of the Ministry of Finance of Georgia - Revenue Service (hereinafter - Revenue Service);
- b) **selected person** - a person selected by the Revenue Service for the purpose of implementing and operating the electronic gaming business control system;
- c) **permit owner/seeker** - gaming organizer/permit seeker, game provider/permit seeker;
- d) **inventory** - all those machines, devices, devices where it is possible to place a bet and receive a profit, as well as where a decision about profit or loss is made;
- e) **monitoring device** - device required for electronic control; f) **Communication device connection source** - the place on the inventory where the monitoring device is connected;
- g) **Safety lock** - a special hatch that excludes the possibility of artificial interference with the inventory in the possession/use of the permit owner/seeker, except for the standard interference defined by the technical passport of this inventory;
- h) **authorization certificate** - a certificate issued by a selected person, which confirms the compliance of gambling and/or profitable games, as well as some essential products/services with the standards/requirements introduced/established by the Minister of Finance of Georgia.

## **Article 3. Rights and duties of the selected person**

### **1. The selected person is obliged to:**

- a) to protect confidential information (including personal data, commercial secrecy, tax secrecy, bank secrecy) in accordance with the legislation of Georgia and the signed agreement. In case of violation of the above, the selected person will be held responsible;
- b) to ensure the implementation and proper functioning of the electronic system of gaming business control;
- c) In case of the request of the Revenue Service, to ensure the provision of information in continuous (Live) mode. In case of the mentioned need, the revenue service ensures maintenance of the relevant infrastructure;
- d) to periodically update the electronic control system in order to ensure complete and timely acquisition of information. All updates of the electronic control system must be based on the technical standards valid in the European Union and/or valid in Georgia;

- e) The selected person, in agreement with the revenue service, should develop an informative manual/guide for permit holders/seekers, covering issues related to the electronic control system, and ensure its placement on the website.
- f) timely provide relevant state authorities with information on any violation of permit condition(s) and/or other requirements established by law;
- g) in the case of organizing gambling and/or profitable games in a system-electronic form, the integration with the electronic control system of the permit holder/seeker must be completed within 45 days after the completion of the initial study of the system;
- h) To submit to the Revenue Service its own recommendations and opinions regarding the risks in the gaming business industry and measures to deal with them, about possible illegal actions of persons involved in the industry, as well as about new standards.

## **2. The selected person is entitled to:**

- a) In order to investigate the incident (any non-conformity observed in the electronic control system and/or suspicious activity originating from the permit holder/its systems/equipment), the representative of the selected person shall go to the site together with the authorized representative of the Revenue Service or independently - on the basis of the authority granted by the Revenue Service;
- b) in order to issue an authorization certificate, to inspect and conduct an initial system survey of any essential products/services located at the facility of the permit holder/seeker;
- c) place the monitoring device in the gaming machine(s) and the equipment in the system-electronic network intended for gaming, in order to integrate it with the electronic control system;d) require the permit holder/seeker to submit complete technical information and certificates regarding gaming machines and/or other essential products/services and POS terminals;
- e) request the permit holder/seeker to connect the external communication device;
- f) put a safety device on the main control mechanism in the gaming machine in order to exclude the possibility of artificial manipulation;
- g) to request the provider of gambling and/or profitable games to provide information related to gambling operations carried out in Georgia;
- h) require the holder of the permit to provide gambling and/or profitable games to display any information related to games in Georgia in the electronic control system;
- i) only on the basis of a written request/certification from the Revenue Service or other authorized body, to temporarily suspend the operation of gaming machines and/or gambling and/or profitable games organized in system-electronic form, remotely or physically, if it is not subject to and/or not in accordance with the requirements established by law;
- j) in case of organization of gambling and/or profitable games in a system-electronic form - to require the permit holder to display any information related to the games in the electronic control system;

k) require the permit holders to submit periodic technical reports in a specified format;

m) in order to fully and properly fulfill the duties imposed on him by the legislative and relevant subordinate normative acts of Georgia, to sign agreements with permit holders/seekers for the purpose of providing services and determining service fees;

n) In accordance with the Resolution No. 455 of July 22, 2020 of the Government of Georgia "On the determination of the detailed types of fees to be paid to the selected person, their amounts, periodicity and manner of payment", the permit holder/seeker shall request reimbursement of the fee.

#### **Article 4. Rights and obligations of the permit holder/seeker**

##### **1. The permit holder/applicant is entitled to:**

a) to require the selected person to fulfill the obligations defined by these rights and duties and the relevant service agreement signed between the parties;

b) to request the provision of services in such a way as to ensure the possibility of smooth conduct of the activities of the permit holder/seeker.

##### **2. The permit holder/seeker is obliged to:**

a) Register on the website of the selected person -

b) in the case of organizing gambling and/or profitable games in a system-electronic form, to place the appropriate equipment on the selected person in order to integrate it with the electronic control system;

c) if the essential products/services of the permit holder/seeker fail to meet the standards/requirements established by the law, to bring the system into compliance with the standards/requirements at his own expense;

d) to ensure regular delivery of communication signal by appropriate technical means in places where the signal is not satisfactory or unavailable.

#### **Article 5. Transitional Provisions**

1. In case of organization of gambling and/or profitable games in a system-electronic form, the holder of the valid permit at the time of implementation of these rights and duties is obliged to register on the website of the selected person - until November 1, 2020. 2. The holder of a permit valid as of February 1, 2021 (except for the cases provided for in the first paragraph of this article) to arrange a gaming machine salon and a totalizer is obliged to register on the website of the selected person no later than February 1, 2021.

## **On approval of authorization procedure, authorization certificate issuance procedure and conditions**

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On approval of authorization procedure, authorization certificate issuance procedure and conditions

On Amendments to Paragraph 9 of Article 361 of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games" and the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games" No. 6487-II of June 25, 2020 (Registration Code: 040170310.05.001.019926) 2 Based on Article 10, **I order:**

To approve the "Authorization Rules, Authorization Certificate Issuance Rules and Conditions" along with the attached annexes.

This order shall take effect immediately upon publication.

**authorization rule\*\*, \*\* authorization certificate rule and conditions**

## **CHAPTER I**

### **General Provisions**

#### **Article 1. Scope of regulation and purpose**

1. This rule defines the terms and conditions of authorization of gambling and/or profitable games, as well as some essential products/services, and issuance of an authorization certificate by a person selected in accordance with the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games".
2. The purpose of the authorization is to determine the compliance with the standards/requirements of gambling and/or winning games as well as some essential products/services and compatibility with the electronic control system.
3. Authorization consists of 3 stages:
  - a) primary research of the system;
  - b) integration with the system, which means:
    - B.a) placement of equipment for integration with the electronic system of control with the seeker/organizer of the gambling and/or profitable gaming permit, as well as the seeker/owner of the gambling and/or profitable games supply permit in a system-electronic form;
    - bb) arrangement of POS terminal;
    - b.c) Placement of gaming machine monitoring device.
  - c) Issuance of a certificate.
4. Initial research/issue of authorization certificate of gaming system and/or essential products/services is carried out separately, according to the following directions of activity:
  - a) gambling and/or profitable games organized in a system-electronic form;

b) salon(s) of gaming machines, totalizers, except for the cases provided for in subparagraph "a" of this paragraph;

c) essential products/services;

5. Authorization is carried out by a person selected on the basis of Article 361 of the Law of Georgia "On Organization of Lotteries, Gambling and Profitable Games".

6. In case of successful authorization, a certificate of authorization will be issued to the applicant by the selected person.

## **Article 2. Terms Definition**

The terms used in this rule have the following meanings:

a) **permit seeker** - a person defined by subsection "h" of Article 3 of the Law of Georgia "On Licenses and Permits" who intends to carry out activities through the provision of gaming machines, gambling and/or profitable games arranged in system-electronic form (except incentive raffles), totalizer and gambling and/or profitable games;b) **permit owner** - a person defined by subsection "j" of Article 3 of the Law of Georgia "On Licenses and Permits", who carries out activities through the provision of gaming machines, gambling and/or profitable (except incentive draws) games arranged in system-electronic form, totalizer and gambling and/or profitable games;

c) **selected person** - a person selected by a public law legal entity within the sphere of governance of the Ministry of Finance of Georgia - Revenue Service (hereinafter - Revenue Service) for the purpose of implementing and operating the electronic gaming business control system;

d) **applicant** - permit seeker and/or permit holder;

e) **initial study of the system** - (technical audit) assessment of the compatibility of the system and/or essential products/services with the electronic control system by the selected person;

f) **Integration with the system** - placement of technical devices/devices/other means, the purpose of which is to integrate the gaming system and/or essential products/services into the electronic control system;

g) **day** - calendar day;

h) **authorization certificate** – a certificate issued by a selected person, which confirms the compliance of gambling and/or profitable games, as well as some essential products/services with the standards/requirements introduced/established by the Minister of Finance of Georgia.

## **Chapter II**

### **Authorization**

#### **Article 3. Application for authorization**

1. The applicant applies to the selected person with the electronic application approved by this order (Appendix No. 1) through the website.



2. The application must contain the following information:

- a) the name, identification code, name and personal number, address and contact information of the legal entity/entrepreneurial individual;
- b) the list of the services provided for in the corresponding sub-paragraph of paragraph 3 of the first article of this rule, for which authorization is desired;
- c) in the case of gaming machines - the number of gaming machines subject to authorization.

3. Communication between the applicant and the selected person is carried out in electronic form,

#### **Article 4. Review of authorization application and service fee**

- 1. No later than 5 days after receiving the authorization application, the selected person will examine the submitted application and the documents/information attached to it and determine the compliance of the information specified in the application with the requirements of Article 3, Clause 2 of this rule.
- 2. In case of incorrect presentation of the information specified in the application, the selected person is entitled to set a reasonable time limit for the applicant to request clarification of the information.
- 3. If the application meets the requirements set forth in Article 3, Clause 2, a service contract is signed between the applicant and the selected person, which defines the rights and obligations of the parties, the term of service fee payment and the amount of the service fee, which is determined by "Determining the detailed types of fees to be paid to the selected person, their amounts, periodicity and manner of payment" of the Government of Georgia dated July 22, 2020 Within the limits of the amount established by Article 4 of Resolution No. 455 (hereinafter – Resolution).
- 4. The paid fee is refundable if:
  - a) the applicant requested to stop the authorization process and return the paid amount before starting the initial research;
  - b) The fee has been paid in an amount higher than the rate determined by this rule. In this case, the difference between the amount paid and the rate determined by this rule is returned.
- 5. The fee is refunded within 10 days of the request. The request must include the justification of the basis provided for in paragraph 4 of this article for partial or full refund of the paid fee. The request must be submitted within 6 months from the payment of the fee, after the expiry of this period the fee paid is not returned.

#### **Article 5. Primary research of system and its results**

- 1. The selected person is obliged to start the initial research procedures no later than 20 days after the payment of the fee stipulated in Article 4 of the Resolution and to inform the applicant of its start and end date, which is determined as follows:
  - a) in the case provided for by subparagraph "a" of paragraph 4 of the first article of this rule - no more than 45 days;

b) in relation to gaming machines provided for in subparagraph "b" of paragraph 4 of the first article of this rule - no more than 30 days;

c) with respect to totalizers provided for by sub-paragraph "b" of paragraph 4 of the first article of this rule - no more than 15 days;

d) in the case provided for by subparagraph "c" of paragraph 4 of the first article of this rule - not more than 15 days.

2. If necessary, taking into account technical or other objective circumstances, when an additional period is required for the initial research, based on the reasoned decision of the selected person, he is authorized to extend the periods provided for in the first paragraph of this article once, no more than within the relevant periods determined by the same paragraphs, which will be immediately notified to the applicant.

3. No later than the next 7 days after the completion of the initial research, the applicant is sent the result of the research, which indicates to what extent the application submitted by him meets the requirements/standards established by the Minister of Finance and this rule.

4. If the result of the initial research is positive, the selected person starts the integration procedures with the applicant's system.

5. In the event that the result of the initial research is negative, but there are no circumstances provided for in paragraph 6 of this article, the selected person will define a reasonable period of time for the applicant to eliminate the deficiency. If the applicant does not correct the defect within this period, the authorization process will be considered terminated. If the applicant corrects the defect, the selected person confirms the correction of the defect, and no new defect is detected, the selected person starts the procedures for integrating the applicant with the system.

6. Clause 5 of this article is not applicable if the initial research proves that the applicant's gambling and/or winning games, as well as some essential products/services, do not meet the established standards/requirements, which cannot be corrected during the current authorization process.

## **Article 6. System Integration**

1. The integration process will begin in accordance with the service agreement, upon payment of the appropriate fee specified by the applicant in Article 4 of the Decree (except for the case provided for in the first paragraph of Article 4). If the appropriate fee has not been paid, the authorization process is terminated.

2. The term of integration is calculated upon payment of the fee provided for in the first paragraph of this article and continues:

a) in the case provided for by subparagraph "a" of paragraph 4 of the first article of this rule - no more than 30 days; b) in relation to the gaming machines provided for in subparagraph "b" of paragraph 4 of the first article of this rule - no more than 90 days;

c) in relation to the totalizers provided for by subparagraph "b" of paragraph 4 of the first article of this rule - no more than 10 days.

d) in the case provided for by subparagraph "c" of the first article of the first article of this rule - no more than 45 days;

3. If necessary, upon the reasoned request of the selected person, when an additional period is needed for the system integration process, the selected person is entitled to extend the terms provided for in paragraph 3 of this article once, by no more than 30 days, which shall be immediately notified to the applicant.

#### **Article 7. Issuance and revocation of authorization certificate**

1. No later than 2 days after the completion of the system integration, the selected person will issue an authorization certificate.

2. The form of the authorization certificate is determined in accordance with Appendix No. 2.

3. The authorization certificate is lifetime.

4. The authorization certificate will be revoked if:

a) the operator substantially changed gambling and/or winning games, as well as some essential products/services and did not undergo reauthorization in the prescribed manner;

b) did not pay the authorization fee in accordance with paragraph 3 of Article 4;

c) during the reauthorization, the basis provided for in clauses 5 and/or 6 of Article 5 shall be established;

d) A new authorization certificate was issued as a result of the reauthorization process.

5. Both valid and revoked authorization certificates are recorded by the selected person in the form agreed with the LLP - Revenue Service.

#### **Article 8. Reauthorization**

1. In the event that the permit holder makes substantial changes to gambling and/or profitable games, as well as some essential products/services and/or plans to make such changes, he/she shall apply to the selected person in advance for reauthorization.

2. The reauthorization process is initiated, ongoing, and completed in accordance with the rules established for authorization. In addition, in the application provided for in Article 3 of this rule, it is additionally indicated that the request concerns reauthorization.

#### **Article 9. Safety Damga**

1. For the purposes of the authorization process, as well as subsequent gambling and/or winning games, as well as to prevent unauthorized modification and manipulation of certain essential products/services, the selected person places a security guard on the applicant's devices (which includes, but is not limited to, gaming machines, relevant servers).

2. The organizer of system-electronic gambling and/or winning games must additionally place an electronic security seal (Digital Seal) on his website. This ensures that the game organizer is fully integrated into the system and that no unauthorized software and/or equipment is used in the game.

3. The form of electronic registration is determined by the selected person in agreement with the Revenue Service of the LSI.

# On approval of requirements for electronic control system of gaming business

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On approval of requirements for electronic control system of gaming businessArticle 361, Paragraph 2 of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games" and "On Amendments to the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games" No. 6487-II of June 25, 2020 (registration code: 040170310.05.001.019926) of the Law of Georgia Pursuant to Article 2, Clause 11, I order:

To approve the "Requirements for the Electronic Control System of Gaming Businesses" with the attached redaction.

This order shall take effect immediately upon publication.

## Requirements for electronic gaming business control system

### Article 1. General Provisions

This document defines the requirements that must be met by the electronic control system of gaming business.

**\*\*Article 2. Electronic control system\*\*\*\*Its requirements\*\***

1. Through the electronic gaming business control system (hereinafter - the "system"), it should be possible to control the activity of the software and equipment used/to be used for the organization/delivery of games with all the gambling and/or profitable games organizers involved in it, as well as with the owner of the gambling and/or profitable games supply.

2. The data that is controlled and generated through the system, depending on the direction of activity, should at least include:

a) information about gambling and/or winning games organized in system-electronic form:

A.a) identification data of the permit holder (name and identification code);

A.b) permit number;

A.C) authorization certificate number;

a. d) total GGR;

a.e) RTP (distribution percentage);

b) Information about gaming machines (except for games arranged in system-electronic form):

b.a) identification data of the permit holder (name and identification code);

bb) permit number according to object(s);

b.c) number of authorization certificate(s);

b.d) object(s) and the number of gaming machines located in them;

b.e) the number of gaming machines operating during the reporting period according to the object(s);

b.f) total amount of placed bets;

b.z) winnings given to players in total;

b.h) total GGR;

b.i) RTP (payout percentage);

c) information about totalizers (except for games organized in a system-electronic form);

G.a) identification data of the permit holder (name and identification code);

g.b) permit number;

g.c) list of used POS terminal(s);

c.d) number of authorization certificate(s);

g.e) number of printed tickets;

c.f) total amount of placed bets;

d) Information about the faults and incidents detected in the electronic control system (any inconsistencies detected in the electronic control system and/or suspicious actions originating from the permit holder/its systems/equipment):

d.a) identification data of the permit holder (name and identification code);

d.b) permit number;

d.c) list of POS terminal(s) used (if the incident is related to the totalizer);

d.d) number of authorization certificate(s);

d.e) specific facility where the incident occurred;

d.v) factory number of the machine involved in the incident (if the incident is related to the gaming machine(s);

d.g) description of the incident;

e) information about valid and revoked authorization certificates; f) other information provided by the law and the relevant by-law, which is necessary to ensure the smooth functioning of the system in the manner established by the legislation.

### **Article 3. Functional requirements of the electronic control system**

1. The system must function continuously, 24 hours a day.
2. In accordance with the need, in order to ensure proper functioning of the system and compliance with the standards established by the law, the system should be periodically updated.
3. The system must have a technical capability that ensures the timely delivery of information about each specific transaction or group of transactions to the LSI Revenue Service upon request by the LSI Revenue Service. For these purposes, a transaction is any action taken on the Licensee's gaming system or machine (including, but not limited to, each particular bet placed by a player, each particular jackpot awarded, etc.). For the same purposes, information is the aggregate of such transactions.
4. The information in the system must be protected from loss, deletion, damage or other similar cases. In case of information loss, it should be possible to restore it immediately, within a reasonable time, from spare and reliable copies.
5. During the entire period of system operation, information security requirements must be observed.
6. The system must meet other requirements established by the current legislation of Georgia.

**On the requirements/standards, establishment/implementation, which must be met by the applicant/permit holder of the permit for the organization of gambling and profitable games, the essential products/services, POS terminal and/or any other equipment to be used/used by the holder of the permit for the provision of gambling and/or profitable games**

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## **CHAPTER I. GENERAL PROVISIONS AND DEFINITION OF TERMS**

### **Article 1. Regulation Sphere**

This rule determines the requirements and standards of system-electronic games in accordance with the law of Georgia "On organization of lotteries, gambling and profitable games".

## **Article 2. Terms Definitions**

For the purposes of this Annex, the terms used in the rule have the following meanings:

- a) Active Account** – System-electronic gaming account used by the player to participate in gaming activities;
- b) Authentication** – the process and method used by the system-electronic gaming system to verify the validity of the critical software;
- c) Authorized game** – a game for which an authorization certificate has been issued by a selected person for use;
- d) Blocked account** – a system-electronic account that is suspended and the deposit/withdrawal of money is limited to it;
- e) canceled account** – a system-electronic gaming account on which there is no money and was closed by the player or the system-electronic operator;
- f) Cancelled bet** – a bet that was canceled by the system-electronic totalizer operator for any reason related to the event and preventing its completion;
- g) Cancelled game** – a game that cannot be completed after the bet has been placed and the result has not been determined;
- h) compliance report** – a report that contains the data of the system-electronic game platform and the servers of the game providers, which must be sent to the selected person;
- i) Inactive account** – a system-electronic gaming account on which no activity has occurred on the part of the player during the last 1 year;
- j) Electronic Security Seal** – digital signature (Digital Seal) issued by a selected person as a result of issuing an authorization certificate;
- k) Games Provider (GSP)** – in accordance with Article 3, subsection "d" of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games";
- m) system-electronic gaming** – the process of placing bets on a gaming platform, for the purpose of playing games placed on a gaming server or a system-electronic system equipped with the appropriate permission;
- n) System-electronic gaming account** – an account created by the player on the gaming platform, where funds are placed, bets are placed and funds are withdrawn by the player, except for those funds that represent a marketing incentive from the operator and are subject to withdrawal restrictions;
- n) system-electronic network** – crossing of players by one or more system-electronic operators, in order to participate in various Peer-to-peer games;



**p) system-electronic operator** – the party or parties who have the relevant permission issued by the Revenue Service, for the purpose of organizing system-electronic gambling and/or profitable games;

**p) System-Electronic Gaming Platform** – software that consists of a gaming system and/or live game broadcast on live tables and typically includes player account management and player cash management functionality;

**r) system-electronic gaming system** – a system that includes all devices, software, networks, platforms and communication used for gaming purposes, including system-electronic totalizer;

**s) Peer-to-peer game** – a gambling and/or winning game process that takes place between two or more players, where players compete with each other;

**t) player's device** – the device owned/used by the player, which is used to connect to the system-electronic gaming system, to play;

**u) Remote Game Server** – a game server that contains game software, control programs and is operated by a game provider (GSP);

**f) Remote Gaming System/Platform** – a system-electronic gaming system that contains gaming software, control programs and is operated by a gaming provider (GSP);

**k) bookmaker** -\*\*\*\*Activities defined by subsection "O.G" of Article 3 of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games";

**g) Totalizer system** – all equipment and software used for the purpose of betting and risk management system;

**k) bookmaker ticket** – an electronic ticket issued by the system-electronic operator and containing information about placed bets and possible winnings;**k) Event** – individual or team sports or athletic competition or any other event that is not prohibited by the legislation of Georgia for the purposes of placing bets;

**c) Strong Authentication** – A method that uses higher security measures than just a username and password. This size can be the player's unique number, e-mail address. The need to enter a mail or SMS code to use the system;

**c) suspended account** – a system-electronic gaming account that is temporarily suspended from placing bets;

**d) Suspicious gaming activity** – unusual gaming activity that has no reasonable explanation and contains signs of illegal trading, event manipulation, use of insider information or other prohibited activity to influence the outcome of the game;

**s) Two-digit authentication** – an authentication method that uses two components to identify the player's identity. In addition to a password, it can be an answer to a special question, a physical or electronic one-time or multiple code or any biometric data;

**g) Abnormal Gaming Activity** – Abnormal gaming activity detected by players, which will be considered by the operator as an indicator of suspicious activities. Abnormal gaming activity may include a player's bet size, bet volume on a particular event, or bet type;

**kh) operator** - applicant/permit holder of permission to arrange gambling and winning games, permission to provide gambling and/or winning games;

**j) Selected person** - a person selected by the Revenue Service (hereinafter referred to as the Revenue Service), a public law legal entity within the sphere of governance of the Ministry of Finance of Georgia, for the purpose of implementing and operating the electronic gaming business control system.

## **Chapter II. Requirements for players and their accounts**

### **Section 3. REQUIREMENTS FOR PLAYER DEVICES**

1. The player's device requirements are:

a) When a player enters a gaming website organized in a system-electronic form, the website must ensure the display of the time and date of the player's last login;

b) The operator's system must be able to determine that the player's device:

b.a) does not contain game logic that can determine the outcome of the game;

bb) does not collect unauthorized data or extract files; Must not contain computer viruses or any other program that violates the security of the device and the data stored on it.

b.c) does not use automated computer programs or other methods intended to automate participation in system-electronic games.

2. The electronic gaming operator's system must have the technical capability to use at least SSL encryption when connecting to players' devices.

### **Article 4. Player Account Requirements**

In order to create a player's system-electronic gaming account, the system-electronic operator, through the system/platform owned/used by him/her and/or its various components/modules:

a) must create an electronic player file, which must include at least:

A.a) player's name and surname;

A.b) the player's date of birth;

a.c) player's personal number or passport data;

a. d) unique player account number and/or selected username;

A.e) the player's registered place of residence;a.f) the e-mail address of the player;

a.z) player's phone number;

- a.h) any other information obtained from the player by the operator, which was used to determine the player's identity;
- a.i) the method of verifying the player's identity;
- a.k) the date of the player's identity verification;
- b) shall require the player to create a password and/or use other security mechanisms, as well as recommend the player to use a strong authentication method;
- c) must keep the fact that the player has agreed to the terms and conditions of the operator;
- d) obtain and keep the player's statement/confirmation that the information provided by him to the system-electronic operator is accurate and that he is not prohibited from participating in the system-electronic game;
- e) obtain and keep the player's proof that the minimum legal age of the player in Georgia is 18 years and that the player is prohibited from giving the right to use the account to any other person;
- f) inform the player about the activation of the account by electronic means;
- g) encrypt the information in the player's file, as well as:
  - z.a) any part of the player's personal number and/or state-issued identity document or passport;
  - z.b) player's password(s);
  - z.g) player's personal financial information;
- h) Operators are prohibited from sending advertisements related to gambling and/or winning games to players whose accounts are blocked or suspended;
- i) Players must undergo strong or two-digit authentication when creating an account;
- j) Operators, within the framework of internal control, must have a clearly established procedure for creating, modifying and canceling accounts by players;
- k) if there is no activity on the player's account for 15 minutes, he must again enter the data required for authorization;
- m) after 3 unsuccessful attempts of authorization, the player's account must be blocked;
- n) All players must be assigned a unique identification number;
- n) Players must be able to create usernames that will be displayed and accessible by other players in a number of games, such as Peer-to-Peer games;
- p) Players are prohibited from placing bets if their system-electronic gaming account does not contain enough money to place a bet.

## **Article 5. System-electronic gaming account verification**

All changes to the player's account, which exceed 3000 GEL, must be checked periodically by the system-electronic operator, his authorized/responsible person or through the system/platform, and the check information must be reliably protected in accordance with the current legislation of Georgia.

#### **Article 6. Closing the system-electronic gaming account**

The operator must make it possible for the player to close the account. The closing method, instruction and/or procedure should be easily accessible both through the player's personal page (profile) and through the call center. If there is money in the player's account at the time of closing, it must be returned to the player.

#### **Article 7. Inactive player account**

1. An account is considered inactive if the player has not used this account in the last 1 year. Inactive accounts are closed by the operator.
2. Funds placed on an inactive account will be considered abandoned from the moment the account is considered inactive.
3. At least 60 days before the funds are considered abandoned, the operator must take reasonable steps to locate the relevant player, send a notification to him through the electronic and physical means of communication specified by the player.
4. The operator will deposit all abandoned funds in a specially created account and, upon request, will notify the Revenue Service about it.

### **Chapter III. Requirements System-Electronic For Operator Owned/Used System/Platform**

#### **Article 8. System/Platform Requirements**

1. System-electronic operators, through the system/platform they own/use, must make available to players the following:
  - a) clearly show all fees, interest and/or other obligations that the player will incur in case of using the operator's website/product;
  - b) clearly and clearly post the message "Malfunction Voids All Pays"/"Malfunction VoidsAllPays";
  - c) provide comprehensive information about the rules and procedures that may apply to any action on the operator's website;
  - d) post information about the availability of detailed account information, including, but not limited to:
    - d.a) deposit and withdrawal procedure;
    - d.b) terms of availability of withdrawn funds;
    - d.c) Rules applicable to inactive accounts.
  - e) periodically or at the player's request, to make it possible to receive a statement of the player's gaming activity in a specific period. The extract must contain:

- e.a) information about the amount of the deposited amount;
- e.b) information about the amount of money withdrawn;
- e.g) information about the amount of money won;
- e.d) information about the amount of money lost;
- e) account balance;
- e.f) the amount of accrued promo credit;
- e.g) balance of accrued promo credit;
- e.t) during the game, in hours.
- g) provide instructions on responsible gaming mechanisms (if such mechanisms exist);
- h) provide the player with easy access to the following information:

TA) instructions on profile change, password and two-digit authentication;

t.b) on obtaining a copy of the rules and procedures;

T.C) About the consequences of disconnection of the Internet connection when accessing the player's system.

2. System-electronic operators must immediately notify the Revenue Service and/or other authorized body:

- a) if there is a reasonable suspicion and/or relevant justification that the player is involved in fraudulent activities, money laundering and/or any other illegal activity;
- b) if there is any threat to the integrity and/or security of the system.

3. System-electronic operators must provide internal control mechanisms to the Revenue Service or a person selected by it, which include:

- a) change management procedures;
- b) business continuity procedures;
- c) incident reporting procedures;
- d) procedures for combating money laundering;
- e) procedures for detection of fraud, transactions and deception;
- f) network security procedures;
- g) detailed scheme of the network, system and data;

h) the detailed procedure for issuing the player's password, unique identification number and/or any other security mechanism, as well as the procedure for notifying the player;

i) the procedure for making changes to the rules and conditions and the procedure for the player's declaration of consent to the change.<sup>4</sup> All electronic system operators are required to conduct a system integrity and security assessment annually (starting March 1, 2021) no later than March 1 of each subsequent year and submit a copy of the assessment report to the designated person.

5. The evaluation report should include:

a) description of the performed works;

b) identification data of the evaluating company/person;

c) the date of assessment;

d) researched materials;

e) recommended corrective actions, if necessary;

f) Completed or future actions that the operator is taking/will take based on the materials detected and recommended corrective actions.

#### **Article 9. Electronic registration**

The electronic security seal (Digital Seal) of the selected person must be placed on gaming platforms/websites organized in a system-electronic form.

#### **Article 10. System-electronic system communication**

1. The secure connection between the player's devices and the gaming platform/system must be implemented at least with SSL/TLS 1.2 methodology.

2. The connection between the system-electronic gaming platform/system and the servers of the game provider must be implemented, as a minimum, with the SSL/TLS 1.2 methodology.

#### **Article 11. Reporting of events**

The electronic system operator should be able to submit a report to the relevant authority if any suspicious activity such as fraud, dealing, money laundering or any other illegal activity is noticed.

#### **Article 12. Account Cancellation**

1. A player's account can be canceled in the following cases:

a) at the player's request;

b) at the request of the authorized body;

c) by the operator, if any illegal activity on the account is confirmed.

2. Unless the account is canceled at the player's request, the operator will notify the player via e-mail, short text message and the appropriate message when logging in to the account that the account is canceled, what restrictions apply to the account and what actions are required to avoid the cancellation of the account (if such actions are possible).

3. In case of account cancellation, the system shall not give the player:

- a) the possibility of placing a bet;
- b) possibility of depositing money to the account;
- c) ability to withdraw money from the account (except when the account is canceled at the player's request);
- d) the ability to delete the account or make any changes.

4. A canceled account may return to active status when:

- a) the cancellation period has passed (if any);
- b) the authorized body has given the appropriate approval for the activation of the account;
- c) The player has fully implemented remedial actions, if any.

## **Chapter IV. Peer-to-Peer Games**

### **Section 13. Requirements for Peer-to-Peer Games**

In the case of Peer-to-Peer games, the System-Electronic Operator System:

- a) automated or computerized players shall not be used to play against players;
- b) should allow the player to be randomly placed at the gaming table;
- c) is obliged to determine the time required for the player to perform the action;
- d) is obliged to determine the consequences for the player of failure to act within the required time.

## **Chapter V. Requirements for the remote gaming system/platform of the provider of gambling and/or winning games\*\*\*\*Article 14. Requirements for the system/platform of the provider of gambling and/or winning games**

All game providers who own a remote gaming system/platform (including a remote gaming server) and through which they provide game(s) and/or other essential products/services to the operator must:

- a) Establish and implement internal control mechanisms that cover all aspects of gaming operations. Particular attention should be paid to system security, operation and reporting;
- b) to present the internal control mechanisms at the request of the Revenue Service and/or the selected person;



c) have authorized persons in key positions, at least in the direction of information technology and change management.

#### **Article 15. Information technology requirements**

1. The provider of the game in the direction of information technology, through its duly authorized person(s), shall:

- a) ensure the safe and secure operation of the remote gaming server;
- b) ensure safe and secure operation of main and auxiliary gaming devices;
- c) ensure safe and secure communication with the operator's system, including the following:
  - c.a) the recipient and sender of all communications must be known;
  - c.b) A data encryption method and/or a secure communications protocol must be used to protect the integrity of the system and the confidentiality of communications.

2. Conduct a system integrity and security assessment annually (starting March 1, 2021) no later than March 1 of each subsequent year) and submit a copy of the assessment report to the selected person.

#### **Article 16. Changes in essential products/services**

1. In case of changes in the essential product/service, the game provider is obliged to:

- a) to provide system-electronic operators only those products/services authorized by the selected person of the Revenue Service;
- b) to continuously monitor and, if necessary, immediately report to the operator, the revenue service and/or the designated person of any occurrence that threatens the security and integrity of the remote gaming server.

2. Maintain and retain all information regarding all and any changes to the remote gaming server (including but not limited to: changes to the content delivery network, games and system reporting).

3. All and any relevant changes must be authorized by the selected person before the game(s) supplier is authorized to provide the changed product/service to the electronic system operator.

### **Chapter VI. Jackpots**

#### **Article 17. Requirements for Jackpot Platform**

1. An electronic gaming system may contain a jackpot whose value increases by percentage and which is awarded in case of a specific result or event. The operator is obliged to:

- a) to provide players with easily accessible, clear rules on awarding the jackpot;
- b) use the program authorized by the selected person;
- c) use the software authorized by the person selected to control the jackpot;

d) Jackpot, which is provided for 2 or more games, must take into account that the probability of winning the jackpot remains the same for all games.<sup>2</sup> Jackpots must be rebalanced monthly. In the event that there is a discrepancy in the issued jackpot and its filling components, this fact should be recorded by the system-electronic operator as an incident and the corresponding notification should be sent to the Revenue Service and/or the designated person.

3. Cancellation of unclaimed jackpots is not permitted.

4. It is possible to add an unclaimed jackpot to another existing jackpot only if the probability of winning the jackpot is the same or higher for the player.

**Chapter VII\*\*.** Requirements for the system/platform owned/used by the operators of system-electronic totalizer<sup>\*\*\*</sup>

### **Article 18. System/Platform Requirements**

The system-electronic operator is obliged, through the system/platform and/or other means owned/used by him:

a) report to the Revenue Service and/or designated person immediately all cases where there is suspicion of fraud, illegal transaction, deception or any other illegal activity;

b) to store data about any malfunction of the system-electronic system for at least 3 years;

c) make clear rules available to players, which should include at least:

C.a) the method of counting and paying the coefficients of the won tickets;

g.b) the method of accepting bets;

g.c) in case of a change in the time of the authorized event, the effect on the placed bet;

g. d) the method of notifying players about the change in odds;

g.e) the maximum payment limit (if any). This is allowed only if the amount of the placed bet is limited and not - the amount of money to be issued;

c.f) Operator's policy regarding cancellation of bets.

### **Article 19. Internal control mechanisms**

The electronic system operator must have internal control mechanisms that include the following:

a) accessibility of the system by the player;

b) a clear definition of the functions and responsibilities of authorized persons;

c) risk management procedures, including automatic and other processes;

d) the procedure for preventing the possibility of placing bets by prohibited persons;

- e) procedures for fulfilling the requirements of combating money laundering;
- f) procedures for detecting fraudulent and suspicious activities and reporting these activities to the Revenue Service and/or the selected person;
- g) method of payment of winnings to winning players in case the system is faulty or no longer works;
- h) In case of all and any malfunctions/defects, an appropriate report shall be sent to the designated person, which shall include the time of malfunction/defect, cause of malfunction/defect and time of correction;
- i) the bet cancellation procedure, indicating the reason for cancellation;
- k) the balance of bets placed in system-electronic form;
- k) the procedure for issuing promo funds and free bets to players and their use;
- m) information technology data security procedures;
- n) player account procedures in accordance with Article 4 of this Annex;
- n) procedures for determining the fixed and variable coefficients of the event.

#### **Article 20. Requirements of the totalizer system**

1. The bookmaker system must be authorized by a selected person for the purpose of:
  - a) the system meets these standards/requirements established by the Minister of Finance of Georgia;
  - b) All bets must be placed and settled in Georgia.
2. The operator must provide information about the relevant transactions to the selected person in advance, in accordance with the established rule.
3. The main server(s) are used to place and store player bets. The location of the server(s) must be continuously monitored by video cameras and other devices, and there must be mechanisms established by law for the security and protection of hardware, software and data.
4. The system-electronic system must be secure and safe and must ensure the protection of the player's privacy: any communication carried out over a public or third-party network must be encrypted.
5. Eligible bets available for placement by players shall include, but not be limited to:
  - a) coefficients;
  - b) a brief description of the authorized event;
  - c) persons participating in the event;
6. After placing the bet, the player will receive an electronic ticket of the bookmaker, on which the transaction is reflected. This transaction cannot be changed. The ticket must contain at least the following information:
  - a) operator's name and identification data;

- b) when placing a bet;
  - c) during an authorized event;
  - d) bets selected by the player;
  - e) the amount of the placed bet;
  - f) in case of placing a promo bet or a free bet, their identifying data must be specified;
  - g) unique ticket number;
  - h) Identification number of each specific bet. If the ticket contains a combination of several bets, each bet is assigned an individual number;
  - i) If a ticket is issued, the serial number of the relevant device must be indicated.
7. The operator can cancel the bet in the event that the result is not possible.
8. The operator has the right to place insured bets in another operator's system for the purpose of insuring the bets placed by the players. The operator is obliged, upon request, to immediately submit the list of said bets to the Revenue Service or the selected person.
9. The operator is obliged to clearly provide information to the players related to any marketing campaign available to them.
10. The operator is obliged to submit information to the Revenue Service and/or designated person upon request in a predetermined manner about all and any data bets and/or system.

## **Chapter VIII. reporting**

### **Article 21<sup>\*\*</sup>.<sup>\*\*</sup> Reporting**

In accordance with the request, the following information should be sent by the system-electronic operator to the selected person:

a) in the case of gambling games organized in system-electronic form:

- A.a) details of player account transactions;
- A.b) a brief overview of the player's account transaction;
- A.C) player account status;
- A. d) other information required by the selected person.

b) in the case of game suppliers:

- b.a) game transaction details;
- bb) review of placed bets;

- b.c) jackpot details;
- b.d) other information required by the selected person.
- c) in the case of a totalizer organized in a system-electronic form:
  - c.a) total amount of placed bets;
  - g.b) amounts to be paid to players;
  - g.c) total amount of tickets and amount of paid tickets;
- d) other information required by the selected person.

## **Chapter I. Definitions\*\*\*\*Article 1. Definitions of terms**

**1. Central System** – A system that collects information about meters (an electronic carrier of information that includes data on bets received and issued) and events. A central system may also be called a gaming machine reporting system, casino management system, or command and control system.

**2. Electronic table game** – a type of gaming device that imitates traditional table games (such as roulette and others).

**3. GAT** – The Game Authentication Terminal (GAT) protocol developed by the International Gaming Standards Association. GAT authenticates the gaming device through the computer connected to the GAT port (connection source). The value of the hash (transaction identifier) obtained as a result of the test must correspond to the data of the internationally recognized test laboratory.

**4. Jackpot Platform** – An external device that is connected to one or more gaming machines and places a common jackpot on them. The jackpot is filled with a certain percentage of the bets placed on the connected slot machine. The jackpot can be awarded by matching certain symbols or randomly.

**5. Logic board** – a computer device consisting of a central processing unit (CPU), random access memory (RAM), graphics processing unit (GPU) and a data storage medium (EPROM, hard disk, SD card, etc.).

**6. SAS** – Gaming Machine Reporting System – A serial communication protocol used by gaming devices to report metrics and events to a central system.

## **Chapter II. Technical requirements for gaming machines**

### **Article 2. Gaming machines**

As a minimum, the gaming machine must have the following capabilities:

- a) use the built-in random number generator to determine the winnings awarded;
- b) have at least one mechanism through which a choice can be made;
- c) have at least one mechanism through which results are communicated;
- d) to have the means of placing a bet and paying the profit;

e) to have the critical components of obtaining results and storing cash safely protected.

### **Article 3. Peripheral Devices**

A peripheral device is any product that is part of a gaming machine but cannot influence the outcome of the game.

A peripheral device can be:

- a) a device that connects the gaming machine to command and control or monitoring systems;
- b) equipment necessary for receiving money and/or tickets;
- c) device for reading electronic cards;
- d) cash-out ticket printing device;
- e) equipment necessary for receiving coins;
- f) coin issuing device.

### **Article 4. Minimum technical requirements of the gaming machine**

1. The gaming machine must:

- a) be created through materials that make access to internal data/devices reasonably impossible;
- b) use the key to access internal data/devices;
- c) contain a separate secure cabinet where the logic board is located and must use a separate key;
- d) include a security system for the operating system and game programs, which ensures that said programs are accessible only by opening the logic board cabinet;
- e) include a mechanism for receiving banknotes, which must be located in such a way that it does not come into contact with the internal data/devices of the game;
- f) Include special switches on the following doors: main door, banknote acceptance mechanism door, logic board cabinet door. These switches send a signal to the electronic control system when the door is opened;
- g) emit a loud sound when the main door switch is actuated (ie the door is opened);
- h) meet the CE or equivalent electrical safety standard;
- i) include at least one free serial SAS port capable of SAS v6.02 communication;
- j) include a GAT port.

2. The gaming machine software must:

- a) be stored on an authorized medium such as EPROMs, SD cards, hard disk or removable disk; contain the authorized device manufacturer's clearly printed and affixed serial number;

- b) include SAS v6.02 communication protocol support;
- c) include GAT software authentication protocol support;
- d) to mathematically realize the theoretical possibility of giving a profit of at least 80% of the placed bet;
- e) the gaming machine must not reduce the minimum percentage of the theoretical payout based on the percentage of the actual payout;
- f) decide the outcome of the game through a random number generator; When a player places a bet, there must be a chance for all possible game outcomes to occur;
- g) inform the player of the rules of the game in Georgian or English, including the following information:
  - z.a) volume of possible bet;
  - z.b) the amount of possible winnings in a particular game;
  - z.g) number of game lines (if any);
  - zd) bet limit for a specific game (if any);
  - z.e) the result of the game;
  - z.f) the amount of money won;
  - z.z) player's available amount, presented in GEL or with special credit;
  - z.h) any other information that the player may reasonably need to understand the game.
- h) have a protection mechanism through which the rules of the game or the theoretical payout percentage will not change after the game has started. If a change to the rules of the game constitutes a normal game operation, then this change must be clearly communicated to the player;
- i) to have the means to return to the same state in which it was before the occurrence of the event in the event of a power outage, locking of the device or any other event that forces the device to artificially or automatically reset;
- j) generate and store game data for the last 50 games, including the amount of total bets placed and the amount of total credit meter. 50 games must not include bonus games or free spins.

#### **Article 5. Minimum technical requirements for connected gaming machines**

Gaming machines connected through an internal or external jackpot platform must meet the following minimum technical requirements:

- a) the connected gaming machines must have the same betting requirements and the same probability to award the jackpot; Different wagering requirements are allowed if the probability of winning the jackpot varies depending on the bets;



b) The theoretical payout percentage for connected gaming machines cannot be less than at least 80% of the placed bet.

#### **Article 6. Minimum technical requirements for peripheral devices**

1. Peripheral devices must meet the following minimum technical requirements: a) Banknote acceptance mechanism:

a.a) must meet the CE or equivalent electrical safety standard;

a.b) must demonstrate that he cannot influence the outcome of the game;

A.c) receive only Georgian GEL;

A. d) to notice and not accept fake banknotes.

b) printers:

b.a) must meet CE or equivalent electrical safety standard;

bb) must demonstrate that he cannot influence the outcome of the game;

c) Communication and player activity boards:

c.a) must meet the CE or equivalent electrical safety standard;

g.b) must demonstrate that he cannot influence the outcome of the game;

#### **Article 7. Jackpot Platform Minimum Technical Requirements**

The Jackpot platform must meet the following minimum technical requirements:

a) must meet CE or equivalent electrical safety standard;

b) must demonstrate that he cannot influence the outcome of the game;

c) must be securely locked by means of a key in a separate cabinet or in any connected gaming machine (if such connected gaming machine exists);

d) be able to mathematically demonstrate that the theoretical payout percentage of the external jackpot system and gaming machine does not exceed 100%.

### **Chapter III. Electronic board games**

#### **Article 8. Electronic board games**

1. Electronic table games (ETG), including playing areas and terminals connected physically or via a network to the main control/gaming mechanism, must meet the requirements in Article 4 of this rule.

2. Electronic table games (ETG) must:

- a) to clearly describe the rules, conditions, dice, cards, etc. of the non-electronic game. Sh., which he imitates;
- b) operate under the same rules as those defined for non-electronic games;
- c) allow players to occupy and use more than one gaming place or terminal if the same rule applies to the non-electronic game that the electronic table game simulates;
- d) clearly display the minimum and maximum bet volume;
- e) provide players with clear information about the rules of the game, including information about special odds, special or additional bets.

3. An electronic table game (ETG) using a central server must:

- a) use physical control mechanisms to prevent unauthorized access to the server;
- b) be able to protect the integrity of the software and data stored on the server in case of shutdown;
- c) allow only authentic and authorized programs to be used at gaming locations/terminals;
- d) be able to use the encrypted communication connection of the gaming places/terminals with the control/gaming mechanism;
- e) Provide players with information about what will happen if the gaming venue/terminal's communication with the gaming machine is lost.

4. An electronic table game (ETG) that does not require player action to complete the game will use a random number generation program to complete the game.

5. An electronic table game (ETG) that requires player action to complete the game must, in the event of a communication link problem:

- a) suspend operations until the connection problem is resolved and continue playing from the state where the connection was interrupted; or b) after a certain (announced) time, cancel the game and return the bet amount to the players; or
- c) use a random number generation program to determine a player's action to end the game. This action is allowed only if it is stipulated by the rules of the game.

**On approval of the rules for depositing and withdrawing money from the account in the case of organizing a lottery, gambling and/or profitable game in a system-electronic form**

:

On approval of the rules for depositing and withdrawing money from the account in the case of organizing lottery, gambling and/or profitable games in a system-electronic form

In accordance with Article 29, Clause 1, Sub-Clause "Q" of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games", **I order:**

Approve the "Rule of depositing and withdrawing money from the account in the case of organizing a lottery, gambling and/or profitable game in a system-electronic form" with the attached redaction.

This order shall come into effect on March 1, 2021.

**Rule of lottery\*\*, \*\* gambling or\*\*/\*\*and profitable gaming systematic\*\*-\*\*electronic form arrangement in case of money account deposit and withdrawal from account\*\***

## **Article 1. General Provisions**

1. This rule defines the rule of depositing money into the gaming account and withdrawing money from the account in the case of organizing a lottery, gambling and/or profitable game in a system-electronic form.
2. In accordance with the conditions defined in this rule, depositing money into the gaming account and withdrawing money from the account is mandatory for the lottery organizer and the holders of the permission to organize gambling and/or profitable games, who carry out their activities in a system-electronic form.
3. The organizer of the lottery and the organizer of gambling and/or profitable games in a system-electronic form is obliged to deposit money into the gaming account and withdraw money from the account only in accordance with the rules established by this order.
4. Violation of this rule constitutes a violation of the permit conditions, and in the case of the lottery organizer, a violation of the conditions provided for in the contract, and assumes responsibility in accordance with the rules established by law.

## **Article 2. Terms Definition**

For the purposes of this rule, the terms used therein shall have the following meanings:

- a) operator** - Organizer of lotteries, gambling and/or profitable games in system-electronic form based on the law of Georgia "On organization of lotteries, gambling and/or profitable games";
- b) Player** – a person who participates in gaming in order to make a profit;
- c) Gaming account** – an account created on the gaming platform, where funds are placed, bets are placed and funds are withdrawn by the player.

## **Article 3. Depositing and withdrawing money to the gaming account**

Money can be deposited and withdrawn to the gaming account using the following means:

- a) licensed financial institution and the product issued by it;

- b) gambling and/or profitable game cash register located outside the facility organized with the permit for gambling and/or profitable game arrangement and the cash register in the lottery service center;
- c) cash register located at the facilities organized with the permission to arrange gambling and/or profitable games;
- d) service payment device; e) Electronic wallet (no more than 2000 GEL in 24 hours). However, the limit of no more than 2000 GEL per 24 hours does not apply to electronic wallets of financial institutions licensed by the National Bank of Georgia and/or in the EU Member States, the United Kingdom and/or the United States of America.

#### **Article 4. Operator Obligations**

The operator is obliged to:

- a) to make it possible to deposit and withdraw money to the gaming account, only for players who have been verified in accordance with the "registration, identification and verification of the player by the holder of the permit to organize a lottery, gambling and/or profitable game in system-electronic form" approved by the order of the Minister of Finance of Georgia;
- b) not to receive and/or give money from the player's account until the verification is completed;
- c) not to allow the transfer of money between players to gaming accounts, bypassing the licensed financial institution;
- d) ensure that the operations of depositing and withdrawing money to the gaming account by the players are fully recorded, systematized and stored in its system in such a way that, if necessary, it is possible to find and retrieve information about them within a reasonable period of time;
- e) for the purpose of a full-fledged inspection, in compliance with the security measures established by him, ensure the access of the person authorized to check the permit conditions to his internal system;
- f) In case of withdrawing money from the account in the manner provided for in subsections "b" and "c" of Article 3 of this rule, ensure that the money is issued only to the player who owns the gaming account or to his authorized representative (which must be confirmed by a notarized document confirming authority). For this purpose, to require the player to present a valid document, provided for in subparagraphs "a" - "d" of Article 5 of the first paragraph of the "Rules for client identification and verification by an accountable person" approved by Order No. 2 of the Head of the Financial Monitoring Service of Georgia on June 5, 2020, which contains the player's photo or to verify the player's data with the State Services Development Agency. in the electronic database and store a copy of the document/information in the manner and for the period established by the legislation;
- g) Taking into account the requirements of the Law of Georgia "On Promotion of Prevention of Money Laundering and Financing of Terrorism", develop a risk-based approach proportional to the nature and volume of the activity and ensure verification of the player in each such case.

# On the approval of accounting forms necessary for activities by the owners of the Samorin establishment permit and the gambling club establishment permit

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On the approval of the accounting forms necessary for the activities of the owners of the Samorin establishment permit and the gambling club establishment permit

In accordance with Article 19, Paragraph 3 of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games", **I order:**

be approved:

- a) "Procedure for production of accounting forms necessary for activities by the owners of the Samorin establishment permit and the gambling club establishment permit" with the attached edition;
- b) "Cash register opening/closing form" (Appendix No. 1);
- c) "Recording form of money/token addition/return from the cash register to the safe or from the cash register to the safe" (Appendix No. 2);
- d) "Table opening/closing registration form" (Appendix No. 3);
- e) "Cash register counting form" (Appendix No. 4);f) "Tea registration form" (Appendix No. 5).

This order shall come into effect on March 1, 2021.

## **Procedure for the production of accounting forms required for activities by the owners of the Samorin establishment permit and the gambling club establishment permit**

### **Article 1. General Provisions**

1. This rule establishes the manner and forms of production of the accounting forms necessary for the implementation of their activities by the owners of the Samorin and the gambling club establishment permit.
2. The holder of the permit for the establishment of a casino and the holder of the permit for the establishment of a gambling club are obliged to carry out their activities in the manner established by this order and through the accounting forms.
3. Violation of the rules established by this order constitutes a violation of the permit conditions and entails liability in accordance with the law.

### **Article 2. Definition of Terms**

For the purposes of this rule, the terms used therein shall have the following meanings:

**a) Cashier** – a specially arranged place intended for the sale of tokens and making monetary payments with players (clients);

**b) Token** – a small disc of various shapes, which is used instead of money during the game;

**c) Dealer** – Samorine's representative who leads the game process;

**d) Tea** – money and/or token given to the dealer or other employee by the player (client) as an additional gift and/or in exchange for services rendered;

**e) Permit holder** – the holder of a permit for the establishment of a casino and a permit for the establishment of a gambling club;

**f) accounting forms** – Appendix No. 1, Appendix No. 2, Appendix No. 3, Appendix No. 4 and Appendix No. 5 approved by this order;

**g) cash register system** – the system used by the permit holder, which records information about each player, his identification data, purchased tokens and issued funds;

**h) Drop** – a special box placed on the gaming table, which is used to place the amount paid to buy tokens on the gaming table.

### **Article 3. Obligations of the permit holder and powers Regarding the procedure for producing accounting forms**

1. The permit holder is obliged to:

a) exchange tokens for money only through the cash desk;

b) to produce each accounting form approved by this order on a daily basis, taking into account the work schedule established by him;

c) produce each accounting form approved by this order electronically, with consecutive numbering;

d) to provide electronic registration of accounting forms in a form that is proportional to the nature and volume of its activity and to submit it to the authorized bodies based on a justified request in the manner established by the legislation;

e) to approve the limited circle of persons who are authorized to have access to electronically produced accounting forms;

f) to carry out the counting of cash registers provided for by Annex No. 4 approved by this order, at the time determined by him, at least once every 36 hours, and to submit the filled form electronically to the State Tax Administration - Revenue Service no later than 24 hours after its filling. The holder of the permit is authorized to clarify the information contained in Appendix No. 4 approved by this order, taking into account the limitation period established by the Tax Code of Georgia;

g) to inform in advance the time of counting the cash register provided by the Annex No. 4 to the Revenue Service of the State Tax Administration; h) to submit information about the number of tokens in his

possession/use and their nominal value to the State Revenue Service, and in case of a change in their number, to additionally inform about it no later than 2 working days;

i) in the accounting forms stipulated by the annexes of this order, in the column of the denomination of the token, indicate the number printed on the token, and in the column of the amount - the amount of GEL or its equivalent amount at the current domestic exchange rate of that day in the national currency;

k) To display information about the tokens sold in the cash register and on the table and the amounts issued in the cash register system.

2. The permit holder is authorized to enable/allow the player to purchase tokens both at the cash desk and at the gaming table; When purchasing a token at the gaming table, the permit holder is also obliged to perform player identification/verification and reflection of the realized tokens in the cash register system.

### **Appendix No. 1**

Cash register opening/closing registration form Permit No. Permit No.: Opening Closing Closing Date: Number/Month/Year Time: (Min. Hour) Amount Currency Rate Amount (GEL) Token Cash and Denomination Amount (Piece) Amount Total - Total Total (Amount + Token) - The initial account of the cash register \_ is filled with the closing token (amount) of the cash register Annex 2: Number \_ is filled in the case of adding/returning money/token from the safe in the cash register Note:

### **Appendix No. 2**

Registration form for adding/returning money/tokens from the safe to the cash register or from the cash register to the safe.

### **Appendix No. 3**

Table Opening/Closing Record Form No. Permit holder: Permit No.: Table serial number: Opening ☐ Closing ☐ Date: day/month/year Time: hour Exchange rate Token Denomination Quantity (units) Amount Time Tip Amount Addition of tokens to the table and/or return of tokens from the table to the cash register Denomination of tokens added to the table Quantity of tokens (units) Token amount Denomination of tokens transferred from the table to the cash register Quantity of tokens (units) Token amount Opening balance of the table \*To be completed when the table is closed Note:

### **Appendix No. 4**

Cash Register Count Record Form No. Permit holder: Permit No.: Date: day/month/year Time: minutes/hour Amount GEL Cash Non-cash Reserve amount in the safe Total Exchange rate Tokens at the cash register/table Denomination Quantity (units) Amount Total Reserve tokens in the safe Denomination Quantity (units) Amount Total Total tokens (cash register/table/safe) Grand total (cash + tokens) Note:

### **Appendix No. 5**

Tip Record Form No. Permit holder: Permit No.: Date: day/month/year Exchange rate Tip Cash amount Token amount Grand total: Note:



# On Approval of the Rules for Player Registration, Identification, and Verification by a Holder of a Permit to Organize Lotteries, Gambling and/or Prize Games in System-Electronic Form

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On Approval of the Rules for Player Registration, Identification, and Verification by a Holder of a Permit to Organize Lotteries, Gambling and/or Prize Games in System-Electronic Form

Pursuant to subparagraph “zh” of paragraph 1 of Article 29 of the Law of Georgia “On the Organization of Lotteries, Gambling and Prize Games,” paragraph 7 of Article 2 of the Law of Georgia No. 6487-III of June 25, 2020 “On Amendments to the Law of Georgia on the Organization of Lotteries, Gambling and Prize Games,” and subparagraph “b” of paragraph 3 of Article 11 and paragraph 4 of Article 12 of the Law of Georgia “On Facilitating the Prevention of Money Laundering and Terrorism Financing,” **I hereby order:**

The attached “Rules for Player Registration, Identification, and Verification by a Holder of a Permit to Organize Lotteries, Gambling and/or Prize Games in System-Electronic Form” are hereby approved.

This order shall take effect immediately upon publication.

**Rule of player registration, identification and verification by the holder of a permit to organize lottery, gambling and/or profitable games in a system-electronic form**

## **Article 1. General Provisions**

1. This rule defines the procedure for registration, electronic identification and verification of the player by the holder of the permit to organize lottery, gambling and/or profitable games in a system-electronic form.
2. The "Rule of Client Identification and Verification by an Accountable Person" approved by Order No. 2 of the Head of the Financial Monitoring Service of Georgia of June 5, 2020 applies to the face-to-face (non-electronic) identification and verification of the player by the holder of the permit to organize lottery, gambling and/or profitable games in a system-electronic form.
3. The holder of a permit to organize lottery, gambling and/or profitable games in system-electronic form is obliged to register, electronically identify and verify the player in accordance with the conditions specified in this rule, and face-to-face (non-electronically) identification and verification of the player - in accordance with the rule stipulated in paragraph 2 of this article.
4. In order to participate in the game, the operator is obliged to establish business relations only with persons identified and verified in accordance with this rule (in case of electronic identification and verification) and the rule stipulated in paragraph 2 of this article (in case of face-to-face (non-electronic) identification and verification).

5. Violation of this rule and the rule stipulated in paragraph 2 of this article constitutes a violation of the permit conditions, and in the case of the lottery organizer, a violation of the conditions provided for in the contract, and assumes responsibility in accordance with the law.

## **Article 2. Definition of Terms**

For the purposes of this rule, the terms used therein shall have the following meanings:

- a) **Identification** - obtaining the identification data of a person determined by this rule (in case of electronic identification) and by the rule stipulated in paragraph 2 of the first article of this rule (in case of face-to-face (non-electronic) identification), which allow to trace this person and distinguish him from another person;
- b) **verification** - obtaining the information (document) determined by this rule (in the case of electronic verification) and the rule provided for in paragraph 2 of the first article of this rule (in the case of face-to-face (non-electronic) verification), which allows verification of the accuracy of a person's identification data;
- c) **Operator** – according to the Law of Georgia "On Organization of Lotteries, Gambling and Profitable Games", organizer of lottery in system-electronic form and gambling and/or profitable games based on the relevant permit;
- d) **Player** – a person who participates in the game in order to make a profit;
- e) **gaming account** – an account created on the gaming platform, which is used by the player to participate in gaming activities and where funds are placed, bets are made and funds are withdrawn by the player;
- f) List of persons subject to sanctions - list of persons subject to sanctions provided for by the Law of Georgia "On Promotion of Preventing Money Laundering and Financing of Terrorism".

## **Article 3. Basis of identification and verification**

1. The operator is obliged to identify and verify the player in all the following cases:

- a) player registration;
- b) risk-based approach.

2. The operator is authorized to carry out player identification/verification through a third party/intermediary provided by Article 16 of the Law of Georgia "On Promotion of Prevention of Money Laundering and Financing of Terrorism". In this case, the operator must immediately obtain from the third party/intermediary the identification data of the player defined in this rule.

3. The operator shall ensure immediate receipt of copies of documents obtained from the third party/intermediary for the purpose of customer verification, upon request.

4. The operator is authorized to meet the conditions stipulated in paragraph 3 of this article:

- a) with a contract signed with a third party/intermediary;
- b) by a written commitment by a third person/intermediary; or

c) by the rules of exchange of documents determined within the framework of the compliance control system at the group level.

5. The final responsibility for the fulfillment of the requirements established by this rule by the third party/intermediary rests with the operator.

**Article 4. Player registration on the website**1. System-electronic registration of the player on the website can be carried out both personally by the player electronically, and by the operator on the basis of direct face-to-face contact with the player.

2. At the time of registration, it is mandatory to provide at least the following information:

a) name and surname of the player;

b) date of birth of the player;

c) player's personal number (if any);

d) ID and/or citizenship document number, date of issue, issuing country, issuing body and validity period;

e) active phone number of the player;

f) username selected by the player;

g) e-mail address of the player;

h) player's password;

i) Consent button that the player agrees to the terms/conditions, is of legal age and will not authorize any other person(s) to use his/her gaming account.

3. The operator has the right to request during registration any other information that can be used to determine the identity of the player and/or to communicate with him.

4. In order to complete the registration and verify the phone number specified in the registration data, the operator is obliged to send a short-term one-time code as a short text message to the phone number specified in the registration data.

5. The operator completes the registration of the player after the player enters the one-time code received on the phone number specified in the registration data in the appropriate field on the website intended for registration.

6. The change of the information provided by subparagraphs "a"-"d" of paragraph 2 of this article by the verified player is allowed only by the relevant authorized body, in the manner established by the law, in case of changing the said information.

7. The change of information taken into account by sub-paragraphs "a"-"e" of paragraph 2 of this article is allowed only through re-verification of the player in the manner provided for by sub-paragraphs "a"-"c" of paragraph 4 of article 5 of this rule.

## **Article 5. Identification and verification procedure**

1. To pass the identification procedure, the operator uses the personal identification data/information provided by the player for registration on the website.
  2. The operator is obliged, in the case of a citizen of Georgia, to check the identification data of the person in the electronic database of the State Services Development Agency of the State Services Development Agency during the registration and risk-based approach. For this purpose, the operator is entitled to receive from the agency the following information about the player: name and surname, date of birth, personal number, document number and validity period, photograph and registered residential address.
  3. In order to carry out the verification, the player must submit to the operator a valid document, provided for in subparagraphs "a" - "d" of the first paragraph of article 5 of the rule, which contains the photo of the player.
  4. The operator is obliged to verify the player in accordance with one of the following rules:
    - a) In order to verify the player on the website, a photograph of the player taken together with the document provided for in paragraph 3 of this article must be presented, where the identification data of the document is clearly legible, the photograph and the face of the player are visible;
    - b) through a video call. The image received through the video call should allow the identification of the person;
    - c) through direct contact with the player, during which the operator will verify him face-to-face;
    - d) by sending a short-term one-time code in the form of a short text message to the player's active phone number. in the case of the lottery organizer, also by sending a short-term one-time code as a short text message sent to e-mail;
    - e) with a technological solution that uses biometric data to determine the identity of the person depicted in the photograph taken and the photograph of the identification document and/or the photograph obtained from the electronic database of the State Services Development Agency.
- Note:** It is not allowed to verify the player in the form provided for in sub-section "d" of this clause during player registration.
5. The operator is obliged, as a result of studying the information obtained in accordance with the first paragraph of this article, to make sure that the registration data corresponds to the person indicated in the photo in the case of subsection "a" of paragraph 4 of the same article, to the person making the video call in the case of subsection "b", and to the person who came directly to the place in the case of subsection "c", and the said person is not found in the list of sanctioned persons.
  6. In case the player submits incomplete information during registration, the operator has the right to give the player the opportunity to submit additional information/documents.
  7. In accordance with this rule, the documents obtained by the operator for the purpose of player verification must be kept in the manner and for the period established by the law.

## **Article 6. Obligations of the operator**

The operator is obliged to:

- a) not to allow the player to play and not to accept money and/or bets without identification and verification in accordance with this rule (in case of electronic identification/verification) and the rule provided for in paragraph 2 of the first article of this rule (in case of face-to-face (non-electronic) identification/verification);
- b) use the software (electronic) system for recording information about players;
- c) for the purpose of a full-fledged check, in compliance with the security measures established by him, ensure the access of the person authorized to check the permit conditions to the internal system of registration of information about the players;
- d) not to allow the opening of two or more gaming accounts for the same person;
- e) to keep the documents obtained for the purpose of identification and verification in the manner and for the period established by the legislation and submit them to the authorized bodies on the basis of a justified request;
- f) taking into account the requirements of the Law of Georgia "On Promotion of Prevention of Money Laundering and Financing of Terrorism", develop a risk-based approach proportional to the nature and scope of the activity;
- g) verify the player upon registration and using a risk-based approach;
- h) to store the documents/information confirming the player's verification in such a way, on the relevant information carrier, that, if necessary, it provides the justification for its verification by the date of the player's registration;
- i) to make the assigned unique code available to the player verified in accordance with this rule on the website.

## **Article 7. Transitional Provisions**

The following rule applies to the identification/verification of the player registered until March 1, 2021 for participation in the game arranged in a system-electronic form by the holders of the valid gambling and/or profitable game permit and the lottery organizer at the time of entry into force of this rule: a) If a player registered before March 1, 2021 has undergone verification in accordance with any of the rules provided for in subparagraphs "a"-"e" of Article 5, paragraph 4 of this rule, such a player shall be considered identified and verified in accordance with the requirements of the law until January 1, 2022;

b) If a player registered before March 1, 2021 has not been verified in accordance with any of the rules provided for in subparagraphs "a"-"e" of Article 5, Clause 4 of this rule, in case of verification by sending a short-term one-time code short text message to the active phone number of such player before April 1, 2021, such player until January 1, 2022 to be considered identified and verified in accordance with the requirements of the legislation;

c) After January 1, 2022, a player will be considered identified and verified in accordance with the requirements of the legislation from the moment he meets all of the requirements listed below, regardless of

the time when said requirements are met:

C.a) has undergone verification in accordance with any of the rules provided for in subparagraphs "a"-"c" and "e" of article 5, paragraph 4 of this rule;

g.b) the phone number has been activated with a short-term one-time code sent in the form of a short text message;

CG) In the case of a citizen of Georgia, the person's identification data is verified in the electronic database of the State Services Development Agency.

## On approval of the list of essential products and services

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### About the approval of the list of essential products and services

In accordance with Article 3, subparagraph "c" of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games" and the first paragraph of Article 2 of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games" of December 14, 2021 No. 1083-VIMS-XMP, approve the attached "List of essential products and services".

The decree shall come into effect immediately after its publication and shall apply to relationships arising from February 1, 2022.

### List of essential products and services

1. Essential products/services are:

- a) Gambling arranged in system-electronic form;
- b) profitable gaming arranged in system-electronic form;
- c) games used in gaming machines;
- d) random number generation platform;
- e) management system and each of its following functional components (modules):
  - e.a) user management (User Management);
  - e.b) data protection (Data Protection);
  - e.g) gaming equipment management (Gaming Equipment Management);
  - e.d) Data Exchange with Gaming Equipment (Data Exchange with Gaming Equipment);

E.e) Data Storage and Data Processing/Composing of Reports (Data Storage and Data Processing/Composing of Reports);

e.f) user interface (User Interface);

e.g) continuity/reliability measures (Reliability Measures);

e.t) Progressive Module (Progressive Module);

ie) player management (Player Management);

e.k) card management (Card Management);

e.l) Management of issued and received vouchers (TiTo Handling);

e.m. Management of awards (Prize Management);

E.N) additional promotions (Additional Promo-actions);

E.O) cash desk management (Cash Desk Management);

EP) Registration and Control (Registration and Control);Features - Floor Monitor, Event Analysis, Real Time Report, e.g. year Double-sided printer (Slip Printer);

ER) management reports (Management Reports);

E.S) reception assistant (CRM);

e.t) cash desk assistant (CashDesk Assistant);

E.u) Pit/Management Assistant (Pit/Management Assistant);

E.F) human resource management assistant (HR);

f) system-electronic gaming platform and each of its components:

v.a) the main system (Core system);

v. b) internal control panel (CORE back office);

V.C) Casino Engine (Casino Engine);

v.d) system of payment methods;

v. e) system of delivery of reports;

f) integration module;

g) remote gaming server;

h) remote gaming system/platform;

i) totalizer system;



k) server(s) used/used in operational activities for the purpose of promoting the activities carried out/to be carried out within the framework of the arrangement and/or permission of the gaming organizer for gambling and/or profitable gaming;

l) server(s) used/used for the purposes of providing gambling and/or profitable games and/or essential products/services to the gaming organizer and/or to a person outside the territory of Georgia based on the permission to supply gambling and/or profitable games issued by the supplier of gambling and/or profitable games in accordance with the Law of Georgia "On Licenses and Permits";

m) servers on which gambling and/or winning game results are revealed;

n) Gaming machine and each of the following essential components:

n.a) game machine cabinet;

NB) jackpot platform;

n.g) Game Authentication Terminal (GAT) protocol;

n.d) logic board;

NE) central processing element (CPU);

n.v) random access memory (RAM);

n.z) graphics processing element (GPU);

n.t) data storage device (EPROM);

n.i) hard disk;

NK) memory card (SD card);

n.l) controllers;

NM) peripheral devices;

n) electronic board games;

p) a physical device intended for connection to the gaming machine and protocol change/management of the gaming machine and/or the information/configuration obtained using it (the so-called eBox);

p) game architecture;

r) game combination lines;

s) website provision, web hosting, remote technical service of programs and devices intended for the organization and/or provision of services for gambling and/or profitable gaming and/or essential products;

t) software intended for the organization and/or provision of services of gambling and/or profitable games and/or essential products and corresponding updates;

u) Organizing the arrangement of gambling and/or winning games, which implies the provision of images, texts and/or information of gambling and/or winning games (including in real time (live broadcast)) and/or the provision of any essential products/services in any direct and/or indirect form, which in any way may influence and/or influence the results of gambling and/or winning games with and/or without the participation of the provider of winning games;

f) transfer of patents, licenses, copyrights or other similar intangible assets related to the organization and/or provision of services of gambling and/or profitable gaming and/or essential products;k) accompanying, supporting services of gambling and/or profitable gaming and/or organization of services of essential products and/or delivery of services, including operation of servers and devices;

gh) remote administration of the system for the purposes of organizing and/or providing services of gambling and/or profitable games and/or essential products.

2. An essential product/service is also a device/equipment/service with identical content and functional purpose as described in the first item of this list, regardless of the designation/information specified by the manufacturer and/or permit holder/applicant.

## On approval of the procedure for production of the list of dependent persons

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Primary look (21/02/2022 - 30/10/2024)

On approval of the procedure for production of the list of dependent persons

On the basis of paragraph 5 of Article 71 of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games", **I order:**

### Article 1

To approve the "Procedure of production of the list of dependent persons" with the attached edition.

### Article 2

This order will come into effect on March 1, 2022.

Minister of Finance of Georgia Lasha Khutsishvili

# On approval of the procedure for producing the list of prohibited persons

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## On the approval of the procedure for the production of the list of prohibited persons

On the basis of Article 71, Paragraph 6 of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games", the attached "Procedure for Prohibited Persons List" should be approved.

The resolution will come into effect on March 1, 2022.

## Procedure of Prohibited Persons List

### Article 1. General Provisions

This rule determines the issues related to the preparation of the list of prohibited persons provided for by the Law of Georgia "On Organization of Lotteries, Gambling and Profitable Games".

### Article 2. Terms Definition

The terms used in this rule have the same meaning as defined by the Law of Georgia "On Organization of Lotteries, Gambling and Profitable Games".

### Article 3. Prohibited person and list of prohibited persons

1. In accordance with the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games", a prohibited person is a person who is prohibited from participating in gambling and/or profitable games (except for incentive games), including in the case of games organized in a system-electronic form. For the purposes of this rule, a prohibited person is:

- a) a person employed in a budgetary organization provided for by the Budget Code of Georgia (including a state employee, civil servant, state-political official, political official provided for by the Law of Georgia "On Public Service");
- b) a person employed in the regulatory body provided for by the Law of Georgia "On National Regulatory Bodies" (National Communications Commission of Georgia; National Energy and Water Supply Regulatory Commission of Georgia);
- c) a person employed at the National Bank of Georgia in accordance with the Organic Law of Georgia "About the National Bank of Georgia";
- d) a family member registered in the unified data base of socially vulnerable families.

2. The list of prohibited persons refers to the database of persons defined by the first paragraph of this article.

**Article 4. Production of the list of prohibited persons**1. Production of the list of prohibited persons is ensured by the public law legal entity within the sphere of governance of the Ministry of Finance of Georgia - the Revenue Service (hereinafter - the Revenue Service).

2. It is allowed to enter data about Georgian citizens in the list of prohibited persons.

3. The list of prohibited persons reflects the following information about the persons provided for in the first paragraph of Article 3 of this rule:

a) name, surname;

b) personal number;

c) in the case provided for by subsections "a" - "c" of the first paragraph of Article 3 of this rule - the employer;

d) in the case provided for by subparagraph "d" of the first paragraph of Article 3 of this rule - reference to the registration of socially vulnerable families in the database.

4. Information on the list of prohibited persons is reflected by the Revenue Service based on the following data:

a) data registered in the "Register of Hired Persons" provided for in Article 12 of the Tax Code of Georgia;

b) data registered in the Social Services Agency;

c) If necessary, data available in the Revenue Service or received from other persons.

5. To ensure production of the list of prohibited persons by the Revenue Service:

a) Social Services Agency provides the Revenue Service with information about family members registered in the unified data base of socially vulnerable families;

b) The state sub-departmental institution within the sphere of governance of the Ministry of Finance of Georgia - the Treasury Service provides the Revenue Service with the list of budgetary organizations provided for by the Budget Code of Georgia in its database;

c) The Ministry of Education and Science of Georgia provides the revenue service with the list of public schools;

d) Municipal bodies provide the revenue service with the list of early education and preschool institutions established by them;

e) Budgetary organizations stipulated by the Budget Code of Georgia, regulatory bodies stipulated by the Law of Georgia "On National Regulatory Bodies" and the National Bank of Georgia are obliged to reflect information about hired persons in the "Register of Hired Persons" in accordance with the rules established by the Minister of Finance of Georgia.

6. Persons referred to in paragraph 5 of this article provide information to the Revenue Service in a constantly updated mode (taking into account the changes).

7. The list of persons prohibited by the Revenue Service includes:

a) taking into account the information specified in subsections "b" - "e" of paragraph 5 of this article, information about persons with active and suspended status registered in the register of hired persons;

b) Information about the persons provided for in subparagraph "a" of paragraph 5 of this article.

8. On the basis of the list of prohibited persons, the revenue service provides the organizer of the game, based on his request, on each specific person who wants to participate in the game, only the information regarding the prohibition of participation in the game.

9. The data of the list of persons banned by the Revenue Service is stored in "Personal Data Protection" for the period corresponding to the principles of data processing provided by the Law of Georgia.

## **On the approval of the procedure for recording information about the persons who entered the place of gambling by the holder of the permit for the organization of gambling and/or profitable games**

:On the approval of the procedure for recording information about the persons entering the place of gambling by the holder of the permit for the organization of gambling and/or profitable games

Based on Article 29, Clause 1, Sub-Clause "Q1" of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games", **I order:**

To approve the "Rule of registration of information about the persons entering the place of gambling by the holder of the permission to organize gambling and/or profitable games" with the attached edition.

This order will come into effect on March 1, 2022.

**Regulation of information about the persons entering the place of gambling by the holder of the permission to organize gambling and/or profitable games**

### **Article 1. General Provisions**

1. This rule defines the issues related to the registration of information about the persons who entered the game for the purpose of participating in the game by the holder of the permit for the organization of gambling and/or profitable games (except incentive raffles).

2. In accordance with the conditions defined in this rule, at the place where the game is organized, the registration of information about the persons who entered to participate in the game is mandatory for the holders of the permission to organize gambling and/or profitable games (except incentive raffles).

3. Violation of this rule is a violation of permit conditions and involves liability in accordance with the rule established by the legislation of Georgia.

## **Article 2. Definition of Terms**

The terms used in this rule have the same meaning as defined by the Law of Georgia "On Organization of Lotteries, Gambling and Profitable Games" and the Tax Code of Georgia.

## **Article 3. Registration of information about persons who entered the venue of the game**

1. The holder of the permit for the organization of gambling and/or profitable games (except incentive raffles) must record and store in electronic form the information about the persons entering the game for the purpose of participating in the game, which should include:

- a) name and surname of the player;
- b) the date and time of the player's entry;
- c) the player's personal number (in the case of a citizen of Georgia) or the number of another document confirming the person's identity and identification data, issued in accordance with the law (in the case of a citizen of a foreign country/person without citizenship).

2. The recording and storage of the information provided for in the first paragraph of this article must be carried out before the player is admitted to the venue of the game.

## **Article 4. Obligations of the holder of the permit for the organization of gambling and/or winning games (except incentive draws)**

The holder of a permit for the organization of gambling and/or winning games (except incentive draws) is obliged to:

- a) to create such a software (electronic) system for recording and storing information, which is proportional to the nature and volume of the activity of the holder of the permit to organize gambling and/or profitable games (except incentive raffles) and ensures the security of recorded information and the possibility of quick search;
- b) according to the calendar month, but within 5 years after the end of the calendar month, to store the information obtained in accordance with this rule in electronic form and, upon request, to submit it to the public law legal entity within the sphere of governance of the Ministry of Finance of Georgia - the Revenue Service;
- c) for the purpose of a full-fledged inspection, in compliance with the security measures established by him, ensure the access of the person authorized to check the permit conditions to the system of recording the information obtained in accordance with the present rule.

Permission to provide gambling and/or winning games

In accordance with Article 241 of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games", the applicant for a permit to provide gambling and/or profitable games must submit to the Revenue Service: a) extract from the entrepreneurial register;

- b) a document confirming the payment of the permit fee;
- c) a document confirming the origin of the funds required for the payment of the permit fee;
- d) list and detailed description of games and/or essential products/services to be delivered;
- e) authorization certificate confirming compliance of essential products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;
- f) Notice of conviction of the person authorized to lead and represent the permit seeker, the founder/partner (if any), the beneficial owner. The notice of said conviction must be issued by the relevant authorized body of the country whose citizen is the person authorized to manage and represent the permit seeker, founder/partner (if any), beneficial owner;
- g) Any other document/information that the Revenue Service requires when considering the permit seeker's application and making the appropriate decision.

#### Incentive raffle

In accordance with Article 12 of the Law of Georgia "On Organization of Lotteries, Gambling and Profitable Games", the applicant for a permit to organize an incentive lottery must submit to the Revenue Service:

- a) extract from the entrepreneurial register;
- b) a document confirming the payment of the permit fee;
- c) a document confirming the origin of the funds required for the payment of the permit fee.
- c) the contract between the permit seeker and the person who prepares tickets for winning games (except for games arranged in a system-electronic form), indicating the number and numbering of the tickets to be produced;
- d) the terms and conditions (regulations) for the arrangement of profitable games, which should include:  
  
General rules of the game (identification data of the organizer of the raffle, reason for the raffle, purpose, list of products (services), description of the products (services) and necessary conditions for participation in the raffle) which must comply with the criteria established by the Minister of Finance of Georgia;  
  
the term and place of holding the winning game; The place, date and deadline for the distribution of the winnings of the profitable game. The general deadline for disbursement of winnings is 30 calendar days after the draw. The winnings must be issued no later than 6 days after the submission of the winning ticket; The term and procedure for consideration of the claim; the number and numbering of winning game tickets;  
  
prize fund, date and address of prize fund draw, list and number of prizes, unit value and order of draw;
- e) A sample of a winning game ticket with indications of anti-forgery marks. The specimen ticket must be signed by the permit seeker; The following requisites must be prominently mentioned on the winning game ticket sample:



name and surname of the permit seeker, address; telephone number; ticket number; location of the permit number to be issued; the term and place of holding the winning game; Deadline and place for giving out winnings.

f) in case of issuing a permission to organize an incentive raffle to a representative of a product manufacturer or service provider - a document confirming the authority of the representative given by the product manufacturer or service provider to the permit seeker;

g) Any other document/information that the Revenue Service requires when considering the permit seeker's application and making the appropriate decision.

Arrangement of totalizer/lotto/bingo/organization of totalizer games in system-electronic form

1. Arrangement of bookmaker/lotto/bingo In accordance with Article 12 of the Law of Georgia "On Organization of Lotteries, Gambling and Profitable Games", the applicant for a permit to organize a bookmaker/lotto/bingo must submit to the Revenue Service:

a) extract from the entrepreneurial register;

b) a document confirming the payment of the permit fee;

c) a document confirming the origin of the funds required for the payment of the permit fee;

d) the agreement between the permit seeker and the person who prepares tickets for winning games (except for games arranged in a system-electronic form), indicating the number and numbering of tickets to be produced;

e) Terms and conditions (regulations) for the arrangement of profitable games, which should include:

the term and place of holding the winning game; The place, date and deadline for the distribution of the winnings of the profitable game. The general deadline for disbursement of winnings is 30 calendar days after the draw. The winnings must be issued no later than 6 days after the submission of the winning ticket; Term and procedure for consideration of claim. The number and numbering of winning game tickets, in case of setting up a totalizer - the number of POS terminals to be used. must indicate the credentials of the authorization certificate; List of profitable games and detailed description; If the permit seeker uses the game/games and/or essential products/services provided by another person when arranging a profitable game - the number of the valid gambling and/or profitable games supply permit issued to this person;

f) A sample of the winning game ticket with the indication of anti-forgery marks. The specimen ticket must be signed by the permit seeker;

The following requisites must be prominently mentioned on the winning game ticket sample:

name and surname of the permit seeker, address; telephone number; ticket price (except for totalizer); ticket number; location of the permit number to be issued; the term and place of holding the winning game; Deadline and place for giving out winnings.

g) in case of setting up a totalizer - a document confirming the provision of the prize fund in the amount of at least 10,000 GEL; Authorization certificate confirming the compliance of the POS terminal with the

standards/requirements introduced/established by the Minister of Finance of Georgia;

h) authorization certificate confirming the conformity of essential products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;i) if the permit seeker uses the game/games and/or essential products/services provided by another person when arranging the game - a copy of the contract signed with the supplier of gambling and/or profitable games;

j) technical documentation of the game management system;

k) Notice of conviction of the person authorized to lead and represent the permit seeker, the founder/partner (if any), the beneficial owner. The notice of said conviction must be issued by the relevant authorized body of the country whose citizen is the person authorized to manage and represent the permit seeker, founder/partner (if any), beneficial owner;

m) any other documents/information that the Revenue Service requires when reviewing the permit seeker's application and making the appropriate decision.

## 2. Organization of totalizer games in system-electronic form

In accordance with Article 12 of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games", in order to obtain a permit to organize totalizer games in a system-electronic form, the permit seeker must submit to the Revenue Service:

a) extract from the entrepreneurial register;

b) a document confirming the payment of the permit fee;

c) a document confirming the origin of the funds required for the payment of the permit fee;

d) the rules of playing organized in a system-electronic form, which must specify:

the actual address on the territory of Georgia, from where the game will be managed and organized, as well as the location of the server infrastructure on the territory of Georgia (address); Game listings and descriptions; The place/places and time limit for giving out the winnings (if the winnings are given out on the basis of paragraphs 2 and 3 of Article 28 of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games" - address/addresses of the real estate intended for arranging the cash register); The manner and term of giving profit, the manner and term of considering the claim;

In case of arranging the game online - website address intended for the game, player registration rules, deposit/balance management rules. The name of the organizer, legal address, telephone number, permit number, list of games, detailed rules of the game, information about the prohibition of participation in games for Georgian citizens under 25 years old, foreign citizens/stateless persons under 18 years old, dependent persons and persons included in the list of prohibited persons must be indicated on the website in Georgian;

In case of arranging the game by phone - phone number registered in Georgia;If the permit seeker uses the game/games and/or essential products/services provided by another person when arranging the game - the number of the valid gambling and/or winning game supply permit issued to that person; form and procedure for player registration/identification/verification; The manner and technological description of the player's

personal data storage; list of internet platform/system protection mechanisms; Description of the game management system; A detailed description of the accounting and storage of financial transactions; The number of the permit for the organization of the totalizer and the address of the facility, on the basis of which the permission to organize the games of the totalizer in system-electronic form is requested.

e) authorization certificate confirming the conformity of essential products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;

f) technical documentation of the game management system;

g) a document confirming the provision of the prize fund in the amount of at least 10,000 GEL;

h) Notification of the conviction of the person authorized to lead and represent the permit seeker, the founder/partner (if any), the beneficial owner. The notice of said conviction must be issued by the relevant authorized body of the country whose citizen is the person authorized to manage and represent the permit seeker, founder/partner (if any), beneficial owner;

h) if the permit seeker uses the game/games and/or essential products/services provided by another person when arranging the game - a copy of the contract signed with the supplier of gambling and/or profitable games;

i) Any other documents/information that the Revenue Service requires when reviewing the permit seeker's application and making the appropriate decision.

#### Gambling club

In accordance with Article 191 of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games", the applicant for the permission to establish a gambling club must submit to the Revenue Service: a) extract from the entrepreneurial register;

b) a document confirming the payment of the permit fee (except in the case of exemption from the fee);

c) Terms of arrangement (regulations), which should include:

A list of the club tables in the gambling club, indicating the name, serial number, year of manufacture and country of manufacture; the amount of service interest/commission at the club table; rules of operation of the gambling club; Rules of behavior in gambling club; Rules of games in the gambling club; Specimens of playing tokens (if applicable). If the permit seeker uses essential products/services provided by another person when arranging the game - the number of the valid gambling and/or winning game supply permit issued to that person;

d) authorization certificate confirming compliance of essential products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia; e) A copy of the contract signed with the supplier of gambling and/or winning games. In case of making a change in the said contract, the permit seeker/permit holder is obliged to notify the Revenue Service about the said change and submit a copy of the change document no later than 2 days after the change is made.

Arrangement of Samorin/organization of Samorin games in a system-electronic form

1.

Pursuant to Article 19 of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games", the person seeking a permit to organize a lottery must submit to the Revenue Service:

- a) extract from the entrepreneurial register;
- b) a document confirming the payment of the permit fee (except for the fee-exempt area);
- c) a document confirming the origin of the funds required to pay the permit fee (except for the fee-exempt area);
- d) Terms of arrangement (regulations), which must specify:

list of Samorin tables and/or club tables/club tables (must indicate the name of each table, serial number, year of manufacture, country of manufacture and manufacturer); Minimum and maximum bets on each Samorin table; In case of existence of club table/club tables - amount of service commission for each club table; A complete list of current games in Samorin and detailed rules; Samorin's working hours and rules; Rules of behavior in Samorin; the term and place of giving the profit; Procedure and time limit for consideration of claim. If the permit seeker uses essential products/services provided by another person when arranging the game - the number of the valid gambling and/or winning game supply permit issued to that person;

e) Samples of playing tokens. The denomination (if any), ornament and color must be prominently displayed on these specimens.

f) Notice of conviction of the person authorized to lead and represent the permit seeker, the founder/partner (if any), the beneficial owner. The notice of said conviction must be issued by the relevant authorized body of the country whose citizen is the person authorized to direct and represent the applicant for the permit (except for the permit to organize an incentive raffle), the founder/partner (if any), the beneficial owner;

g) if the permit seeker uses gambling and/or profitable game/games and/or essential products/services provided by another person when arranging the game - a copy of the contract signed with the provider of the gambling and/or profitable game/games and/or essential products/services;

h) authorization certificate confirming compliance of essential products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;

i) Any other documents/information that the Revenue Service requires when reviewing the permit seeker's application and making the appropriate decision.

## 2. Organization of Samorin games in system-electronic form

In accordance with Article 19 of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games", in order to obtain a permit to organize Samorin games in a system-electronic form, the permit seeker must submit to the Revenue Service:

- a) extract from the entrepreneurial register;b) a document confirming the payment of the permit fee;

c) a document confirming the origin of the funds required for the payment of the permit fee;

d) the rules of playing organized in a system-electronic form, which must specify:

the actual address on the territory of Georgia, from where the game will be managed and organized, as well as the location of the server infrastructure on the territory of Georgia (address); list and description of games; The manner of awarding the winnings, the place/places and the deadline (if the winnings are awarded on the basis of paragraphs 2 and 3 of Article 28 of the Law of Georgia "On Organization of Lotteries, Gambling and Profitable Games" - address/addresses of the real estate intended for arranging the cash register); the manner and term of consideration of the claim;

In case of online gaming - website address for gaming, player registration rules, deposit/balance management rules, organizer's name, legal address, phone number, permit number, list of games, detailed rules of the game, information on Georgian citizen under 25 years old, foreign citizen/stateless person under 18 years old, dependents list and prohibited persons list should be indicated on the website in Georgian. about the prohibition of participation in gaming;

In case of arranging the game by phone - phone number registered in Georgia; If the permit seeker uses the gambling and/or winning game/games and/or essential products/services provided by another person when arranging the game - the number of the valid gambling and/or winning game supply permit issued to that person; form and procedure for player registration/identification/verification; The manner and technological description of the player's personal data storage; list of internet platform/system protection mechanisms; description of the game management system; A detailed description of the accounting and storage of financial transactions; If the permit is requested on the basis of the Samorin arrangement permit - the number of this permit and the address of the object arrangement; any other information required by the Revenue Service;

e) Authorization certificate confirming compliance with the technical standards of the game/games organized in a system-electronic form specified in the rules of the game organized in a system-electronic form;

f) authorization certificate confirming the conformity of essential products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;

g) technical documentation of the game management system;

h) Notification of the conviction of the person authorized to lead and represent the permit seeker, the founder/partner (if any), the beneficial owner. The notice of said conviction must be issued by the relevant authorized body of the country whose citizen is the person authorized to manage and represent the permit seeker, founder/partner (if any), beneficial owner;

i) Any other documents/information that the Revenue Service requires when reviewing the permit seeker's application and making the appropriate decision.

Arrangement of a gaming machine cabin/organization of games of gaming machines in a systematic electronic form

1. Arranging the salon of gaming machines In accordance with Article 20 of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games", the applicant for a permit to set up a gaming machine parlor must submit to the Revenue Service:

- a) extract from the entrepreneurial register;
- b) a document confirming the payment of the permit fee;
- c) a document confirming the origin of the funds required for the payment of the permit fee;
- d) Terms of arrangement (regulations), which should include:

period and place of gambling; A list of gaming machines indicating the name, modification, serial number, year of manufacture, country of manufacture, manufacturer, minimum and maximum bets on each machine and the maximum amount of winnings; List of games and detailed rules in the gaming machine salon; the manner and term of consideration of the claim; If the permit seeker uses the gambling and/or winning game/games and/or essential products/services provided by another person when arranging the game - the number of the valid gambling and/or winning game supply permit issued to that person;

- e) authorization certificate confirming the conformity of essential products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;
- f) in accordance with the conditions (regulations) of the arrangement of the gaming machine cabin, the authorization certificate of the content of the specific game in each gaming machine;
- g) Notice of conviction of the person authorized to lead and represent the permit seeker, the founder/partner (if any), the beneficial owner. The notice of said conviction must be issued by the relevant authorized body of the country whose citizen is the person authorized to manage and represent the permit seeker, founder/partner (if any), beneficial owner;
- h) if the permit seeker uses gambling and/or profitable game/games and/or essential products/services provided by another person when arranging the game - a copy of the contract signed with the supplier of the game/games and/or essential products/services;
- i) Any other documents/information that the Revenue Service requires when considering the application for the issuance of the permit of the permit seeker and making the relevant decision.

## 2. Organization of gaming machines in a system-electronic form

In accordance with Article 20 of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games", in order to obtain a permit to organize gaming machine games in a system-electronic form, the permit seeker must submit to the Revenue Service:

- a) extract from the entrepreneurial register;
- b) a document confirming the payment of the permit fee;
- c) a document confirming the origin of the funds required for the payment of the permit fee;

d) the rules of playing organized in a system-electronic form, which must specify: the actual address on the territory of Georgia, from where the game will be managed and organized, as well as the location of the server infrastructure on the territory of Georgia (address); The list and description of games, the manner of awarding the winnings, the place/places and the deadline (if the winnings are awarded on the basis of paragraphs 2 and 3 of Article 28 of the Law of Georgia "On the Organization of Lotteries, Gambling and Profitable Games" - address/addresses of the real estate intended for arranging the cash register); the manner and term of consideration of the claim;

In case of arranging the game online - website address intended for the game, rules of player registration, rules of deposit/balance management, telephone number registered in Georgia. The name, legal address, telephone number, permit number, list of games, detailed rules of the game, information on the prohibition of participation in the game by Georgian citizens under the age of 25, foreign citizens/stateless persons under the age of 18, the list of dependents and the list of prohibited persons must be indicated on the website in Georgian;

In case of arranging the game by phone - phone number registered in Georgia;

If the permit seeker uses the gambling and/or winning game/games and/or essential products/services provided by another person when arranging the game - the number of the valid gambling and/or winning game supply permit issued to that person; form and procedure for player registration/identification/verification; The manner and technological description of the player's personal data storage; list of internet platform/system protection mechanisms; Description of the game management system; A detailed description of the accounting and storage of financial transactions; If the permit is requested on the basis of the permit for the arrangement of the gaming machine salon - the number of this permit and the address of the facility arrangement; Any other information required by the Revenue Service.

e) Notification of the conviction of the person authorized to lead and represent the permit seeker, the founder/partner (if any), the beneficial owner. The notice of said conviction must be issued by the relevant authorized body of the country whose citizen is the person authorized to manage and represent the permit seeker, founder/partner (if any), beneficial owner;

f) authorization certificate confirming compliance of essential products/services to be used/used with the standards/requirements introduced/established by the Minister of Finance of Georgia;

g) technical documentation of the game management system;

h) If the permit seeker uses gambling and/or profitable game/games and/or essential products/services provided by another person while arranging the game - a copy of the contract signed with the supplier of the game/games and/or essential products/services.

Documents required to obtain a permit

See the list of documents required to obtain a permit by type of permit:

Expedited service



The permit seeker is eligible to use expedited service to obtain a permit. The amount of service fees is established by the Government of Georgia in the following amounts:

3 working days - 2000 GEL;

5 working days - 800 GEL;

10 working days - 400 GEL;

20 working days - free. In the case of a permit to organize gambling/gaming machine games in a system-electronic form (including issuing a permit to organize gambling/gaming machine games in a system-electronic form based on a permit to arrange gambling machines):

5 working days - 30,000 GEL;

10 working days - 25,000 GEL;

20 working days - free.

In the case of permission to organize games of the totalizer in a system-electronic form:

5 working days - 10,000 GEL;

10 working days - 5,000 GEL;

20 working days - free.

In case of permission to organize an incentive draw:

1 working day - 12,000 GEL;

5 working days - 10,000 GEL;

20 working days - free.

In case of permission to provide gambling and/or winning games:

5 working days - 10,000 GEL;

10 working days - 5,000 GEL;

20 working days - free.

The procedure required to obtain a permit

The permit is issued by the Revenue Service. The permit seeker must submit the documents required for obtaining the permit in electronic, scanned form through the website of the Revenue Service RS.GE. The amount of the gaming business's quarterly fee

The amount of gaming business fee is established by the law of Georgia and amounts to: per quarter: for each gaming machine - from 2 000 GEL to 4 000 GEL inclusive; on each Samorine table - from 20,000 GEL to 40,000 GEL inclusive; for each club table - from 4 000 GEL to 14 000 GEL; On games organized in system-electronic form: a) Samorin games - from 250,000 to 300,000 GEL per quarter;

b) on gaming machines - from 250,000 GEL to 300,000 GEL per quarter;

c) on totalizer games - from 250,000 GEL to 300,000 GEL per quarter;

Note - quarterly gaming business fees for games organized in a system-electronic form are paid only in the case of permission(s) issued on the basis of the relevant land object.

- 1,500 GEL inclusive of 20,000 GEL for each cash register of gambling and/or profitable game arranged in system-electronic form, located outside the facility organized with the permission to arrange gambling and/or profitable game; For each incentive draw - 10% of the prize pool. The fee rate is set by the local self-government within the limit established by law.

The organizer of games organized in a system-electronic form pays a quarterly gaming business fee according to the gaming business fee rate applicable in the territory of the actual location of the tax facility provided for in the permit, on the basis of which he has received the relevant permission to organize games in a system-electronic form.

Providing gambling and/or winning games

The amount of the permit fee is 100,000 GEL per year. Lotto/Bingo/Incentive Draw

The amount of the permit fee is established by the law of Georgia and amounts to 15,000 GEL per year.

Arrangement of totalizer/organization of totalizer games in system-electronic form

The amount of the permit fee is established by the law of Georgia and is from 30,000 GEL to 300,000 GEL per year. in the territory of the city of Tbilisi - 200,000 GEL; Self-governing city in the territory of Batumi - 80,000 GEL; Self-governing city in the territory of Kutaisi - 80,000 GEL; Self-governing city on the territory of Rustavi - 80,000 GEL; on the territories of other municipalities - 40,000 GEL; Organization of totalizer games in system-electronic form - 100,000 GEL. Gambling club The permission to set up a gambling club is issued only to a person who holds a permit to set up a casino and/or gambling machine parlor in the city of Tbilisi. The amount of the permit fee is established by the law of Georgia and is from 10,000 GEL to 50,000 GEL per year. in the territory of the city of Tbilisi - 50,000 GEL; in the territory of the self-governing city of Batumi - 30,000 GEL; in the territory of the autonomous city of Kutaisi - 30,000 GEL; in the territory of the self-governing city of Rustavi - 30,000 GEL; On the territories of other municipalities - 10,000 GEL. The holder of a permit for the establishment of gambling clubs in the city of Tbilisi, in any territory of Georgia, is exempted from the obligation to pay the permit fee established for obtaining the permit for the establishment of no more than 3 gambling clubs.

The holder of a permit to set up a gambling machine parlor in Tbilisi is exempted from the obligation to pay the permit fee established for obtaining a permit to set up 1 gambling club in any territory of Georgia.

Arrangement of Samorin/organization of Samorin games in a system-electronic form

in the entire territory of Georgia (except for the city of Batumi, the territory surrounding Bazaleti Lake of Dusheti Municipality, the territory of special regulation of Gudauri, the territory of Bakuriani Township, as well as the territory of the municipalities of Kobuleti, Borjomi, Tskaltubo, Kazbegi, Signaghi, St. Poti, the territory of Grigoleti Township of Lanchkhuti Municipality, Telavi the territory of the village of Tsinandli of the municipality, the territory of the village of Kachareti of the municipality of Gurjaani, the territory of the municipalities of Akhaltsikhe, Khelvachauri and the territories of the village of Anaklia and the village of Ganmukhuri of the Zugdidi municipality) - 5,000,000 GEL per year; In the city of Batumi, in the vicinity of Bazaleti Lake of Dusheti Municipality, in the territory of Kobuleti and Borjomi Municipalities, in the territory of Poti Municipality, in the territories of Kachreti Village of Gurjaani Municipality and Daba Grigoleti of Lanchkhuti Municipality - 250,000 GEL per year; in the territory of Akhaltsikhe municipality - 100,000 GEL per year; The arrangement of Samorine in the territory of Kazbegi, Tskaltubo, Signaghi municipalities and the village of Tsinandli of Telavi municipality, as well as in the territory of Bakuriani township and the territory of special regulation of Gudauri is exempted from payment of the permit fee; The arrangement of Samorine on the territory of a newly built hotel with at least one hundred rooms in the city of Batumi, as well as in the municipalities of Kobuleti and Khelvachauri, as well as in the village of Anaklia and village of Ganmukhur of the Zugdidi municipality, the township of Lanchkhuti municipality in Grigoleti and the city of Poti municipality is exempted from paying the permit fee. Arrangement of the Samorine on the territory of the eighty-room hotel. Within 10 years from the issuance of the permission to arrange the Samorine on the territory of the newly built hotel. Organization of Samorin games in system-electronic form, the permission of which is issued on the basis of the Samorin arrangement permit - 100,000 GEL; Organization of Samorin games in a system-electronic form, except for the permission issued on the basis of the Samorin arrangement permit - 5,000,000 GEL. Arrangement of a gaming machine cabin/organization of games of gaming machines in a systematic electronic form

The amount of the permit fee is established by the law of Georgia and is from 50,000 GEL to 1,000,000 GEL per year. in the territory of the city of Tbilisi - 1,000,000 GEL; And, for the establishment of a gambling machine salon in Samorine by the person who holds the permit for the establishment of Samorine in the city of Tbilisi - 100,000 GEL; Self-governing city in the territory of Batumi - 200,000 GEL; Self-governing city in the territory of Kutaisi - 200,000 GEL; Self-governing city on the territory of Rustavi - 200,000 GEL; Self-governing city in the territory of Poti - 100,000 GEL; in the territory of Telavi municipality - 100,000 GEL; in the territory of Gori municipality - 100,000 GEL; in the territory of Marneuli municipality - 100,000 GEL; in the territory of Zugdidi municipality - 100,000 GEL; in the territory of Ozurgeti municipality - 100,000 GEL; in the territory of Akhaltsikhe municipality - 100,000 GEL; in the territory of Khashuri municipality - 100,000 GEL; in the territory of Kobuleti municipality - 100,000 GEL; in the territory of Khelvachauri municipality - 100,000 GEL; in the territory of Senaki municipality - 100,000 GEL; on the territories of other municipalities - 50,000 GEL; Organization of games of gaming machines in a system-electronic form, the permission of which is issued on the basis of the permission for arranging the salon of gaming machines - 100,000 GEL; Organization of gaming machines in a system-electronic form, except for the permission issued on the basis of the permission to set up a gaming machine cabin - 1,000,000 GEL. Permit fee

See annual permit fee rates by permit type and area:

Organization of games in a system-electronic form

The permission to organize Samorin games in a system-electronic form can be issued both on the basis of the Samorin arrangement (land object) permit and without it (online only). The permission to organize the games of gaming machines in a system-electronic form can be issued both on the basis of the permission for the arrangement of the gaming machine salon (land object) and without it (online only). The permission to organize the games of the totalizer in the system-electronic form is issued only to the holder of the permission to organize the totalizer (land object). It is permissible to organize an incentive draw in a system-electronic form. Types of gambling business permits

The Revenue Service issues the following types of permits in the field of gaming business: arrangement of gaming machines cabin; arrangement of Samorine; arranging a gambling club; arrangement of the totalizer; arrangement of lotto; organizing bingo; arranging an incentive raffle; providing gambling and/or winning games; organization of games of gaming machines in system-electronic form; Organization of Samorin games in system-electronic form; Organization of totalizer games in system-electronic form.